

DLF Ltd. (DLF)

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Call: Aug 2022

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4th August 2022

The General Manager

Dept. of Corporate Services

BSE Limited

P.J. Tower, Dalal Street,

Mumbai - 400 001 The Vice-President

National Stock Exchange of India Limited

Exchange Plaza, Bandra Kurla Complex,

Bandra (E), Mumbai -400 051

Sub: Transcript of Analyst Conference Call

Dear Sir,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015, please find attached the transcript of the Analyst Conference Call.

Requisite details regarding the Analyst Conference Call are as under:

S. No. Particulars Details

1. Date of Analyst

Conference Call 30th July 2022

2. List of management

attendees Mr. Ashok Kumar Tyagi - Chief Executive Officer

& Whole-time Director, DLF Limited

Mr. Vivek Anand - Group Chief Financial

Officer, DLF Limited

Mr. Aakash Ohri -Chief Business Officer & Group

Executive Director

Mr. Sriram Khattar - Managing Director, Rental

Business

3. Web-link <https://www.dlf.in/au->

result/Q1FY23 Earnings Call Transcript.bdf

This is for your kind information and record please.

Thanking you,

Yours faithfully,

F DLF Limited

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Company Secretary

Encl.: As above

For Stock Exchange's clarifications, please contact:

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2. Mr. Raju Paul - 09999333687/paul-raju@d1f.in

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"DLF Limited's Q1 FY'23 Earnings Conference
Call Transcript"

July 30, 2022

M

ANAGEMENT : MR. ASHOK KUMAR TYAGI – CHIEF EXECUTIVE OFFICER & WHOLE - TIME DIRECTOR , DLF LIMITED

MR. VIVEK ANAND – GROUP CHIEF FINANCIAL OFFICER , DLF LIMITED

MR. AAKASH OHRI – CHIEF BUSINESS OFFICER & GROUP EXECUTIVE DIRECTOR

MR. SRIRAM KHATTAR – MANAGING DIRECTOR , RENTAL BUSINESS

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Moderator: Ladies and gentlemen, good day and welcome to DLF Limited Q1 FY'23 Earnings Conference Call. We have with us today on the call, Mr. Ashok Tyagi , CEO and Whole -time Director; Mr. Vivek Anand, Group CFO; Mr. Aakash O hri, Chief Business Officer, and Group Executive Director; Mr. Sriram Khattar, Managing Director, Rental business. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Vivek Anand. Thank you. And over to you, Mr. Anand.

Vivek Anand: Thank you, and good morning to all of you and welcome to DLF Limited Q1 Financial Year ' 23 Earnings Webcast. Thank you once again for joining us today. Hope you and your family are keeping well and safe.

Our business continues to deliver consistent performance across all parameters. I will start with the financial highlights for Q1 Financial Year '23 which is for DLF Limited consolidated results. Consolidated revenue stood at Rs.1,516 crores, reflecting a year -on-year increase of 22%. Gross margins continue to operate in the 50%-plus range. Q1 margin stood at 53%. EBITDA stood at Rs.488 crores. There is a drop in this quarter as the business is in scaling up phase and investing for growth. The increase in staff cost is driven by organization scale up and other expenses driven by business scale up cost of marketing and brokerage. We follow a policy of fully charging off sales and construction overheads, for which the corresponding revenue will be recognized in future.

Net profit at Rs.470 crores, reflecting year -on-year increase of 39%. This was largely driven by significant reduction in the finance cost, along with growth in the JV profits.

Residential demand continues to exhibit sustained momentum. The high demand for luxury homes has been a key trend, that is expected to continue. Our residential business continues its steady performance and clocked new sales booking of Rs.2,040 crores, reflecting a year -on-year growth of 101%.

The Camelias, our super luxury offerings continue to remain the preferred destination across the super luxury segment and delivered a healthy sales booking of Rs.350 crores during the quarter.

Our new product offerings continue to evince strong interest from the market and made a healthy contribution of Rs.1,532 crores during the quarter. The contribution of new products in the total sales was approximately 75%. While rising interest rates may pose some challenges, we expect the structural recovery in the residential segment to continue. We continue to bring newer offerings across multiple segments and geographies.

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We continue to remain committed towards surplus cash generation from our operations, continues to be a focus area. We generated surplus cash of Rs.421 crores during the quarter, which led to further deleveraging and consequently, our net debt at the end of the quarter stood at Rs.2,259 crores, one of the lowest levels.

I will now move to the financial highlights for Q1 Financial Year '23 DLF Cyber City Developers Limited consolidated results. We witnessed steady performance across our office

portfolio. Retail business continued its growth path and delivered a healthy growth. Rental income grew 20% year -on-year, driven by a strong growth in retail revenue. Consolidated revenue of Rs.1,260 crores as compared to Rs.1,041 crores last year, reflecting a 21% year -on-year growth. EBITDA at Rs.961 crores, year -on-year growth of 18% and net profit at Rs.323 crores, reflecting a year -on-year growth of 60%.

Occupiers attendance continues to exhibit steady improvement

ovement, indicating return to normalcy in the office segment. Our Chennai asset is witnessing approximately 80% attendance compared to pre-COVID levels and Cyber City Gurugram is seeing 50% attendance. We are witnessing month-on-month improvement in these trends. With sustained collections and steady improvement in occupancy, the Office segment is well poised for growth. We continue to deploy capital for creating safe, sustainable, and quality workspaces. Development of our new destinations across multiple geographies remain on track. Retail business continues to exhibit steady growth with improvement in consumption trends. Organized retail is expected to get further share with strong preference for quality assets at established locations. Given these tailwinds, we remain committed to grow our portfolio across multiple geographies and hope to double our retail presence in the next few years. Our strong balance sheet, healthy cash flow generation, coupled with a diversified pipeline of quality offerings provide us a unique opportunity to leverage this upcycle. We remain committed and confident in delivering our business goals. Thank you very much. We now open the floor for Q&A.

Moderator: We will now begin the question-and-answer session. The first question is from the line of Saurabh Kumar from JP Morgan. Please go ahead.

Saurabh Kumar: Sir, I had a few questions. One is effectively on this gross margin. So, your gross margins at 50%-plus are the best in the industry, but when we compare you on EBITDA, the number is you are lower than the industry and I know that you have increased your staff and other expenses. But is there like a target level of margins you want to run at, I mean, should we expect a 35%, 38% ballpark EBITDA at DLF or how should we think about the EBITDA level? The second for Akash is so we have seen price increases in The Crest, feedback is that price has gone to 25,000 to 30,000 in the market. So is there any early feedback you have for your golf course extension project, because Gurgaon finally seems to be going up in prices, when do you expect DLF Limited
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to launch it and any indication on that, that plus Reis Magos? And the third is on this Rs. 900 crores of CAPEX in the parent business, the rental for this will be about what, 200-odd crores and which specific projects are these?

Vivek Anand: I'll take the first question. Thank you, Saurabh for your question. So, let me take the question on the EBITDA. So, first of all, as I outline that we are in a business scaling up phase, and we are investing for growth, right. So as you know that there will always be a delta between the time you scale up and the time you actually recognize the revenue. Having said that, if you really look at current quarter margin, we are holding on to our margins at upwards of 50%, to be precise this quarter our margin delivery was 53%. We are also committed to really bringing in new products which will continue to enhance our margins. So I will just give you an example that the DLF City Floors what we really launched in the last 18-months, there is Rs. 3,000 crores of City Floors what we've launched, they're all adding up to a margin of 55%-plus. Overall, the new product portfolio what we've added in the last 18 months are committed to really enhance our margins as we go forward. Yes, EBITDA last year if you really look at, our EBITDA margin was 35%, yes, there has been a slight drop, but I will say that you should not be really looking at our P & L on a quarter-on-quarter basis. I think directionally if you really look at, we are investing for growth. So yes, there is a time lag. But I think if you really look at long-term, I think the product offerings, what we are really bringing in, they are all margin-accretive, and with time when they start recognizing the revenue, you will see that the EBITD

A levels will start inching upwards of 35%.

Ashok Tyagi: So basically, sort of just to elaborate on what Vivek said, really a 35% is definitely on the horizon. I don't think that's a challenge. It's an issue that basically right now, because if you look at our absolute margin is Rs.750-odd crores which on the current run rate will be a number closer to 1,000 on a go-forward basis. So I think once this lag between the revenue and costs corrects, I think, as Vivek mentioned, I think a 35%-plus margin should definitely be doable yet again.

Aakash Ohri: You mentioned about price points, you are right in where they are today. But that's also a function of lot of other things that go behind. So not every property there if you've noticed also in Gurgaon is today demanding that kind of a price point, but also there's a lot of work that goes behind it and therefore, we are committed to continue to make sure that post-sales, our service levels, and deliveries are at par with what we had committed. So that is also a function of making sure that the price points are stable and sustainable. So these are all second and third transactions in the market. So I'm glad you mentioned it. As far as launches are concerned, yes, we are working on as we had also presented earlier. So all the products that you mentioned are being worked on and yes, there is a visibility of launches this year and we're looking forward to it in Q3 and Q4. We are gearing up. Just to let you all know that, today, we are happy to mention that most of the international designers in the world today are aware of DLF, are aware of what products and the quality of products that we kind of churn out and are spending their time and

pitching for our products and this is across the board I am talking about . So, we work with most of them , we are hiding a lot of them. So, that particular thing is also going on. And as far as Goa 63 and other floors that Vivek also touched upon , so for us right now, how we are looking at DLF Limited
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quarter -on-quarter is obviously the residual stock of super luxury, which is now minimal, but we want to continue to make sure that those price points are where they are, and we sell them , we continue to focus on our floors, which is by now , I can also tell you that it's been accepted and there was a major gap in the unorganized market, I think , which we've gone and plucked. So, the DLF floors , they are not accepted but are traded and then of course there are also new launches that you mentioned and of course Goa as well. So, we are on.

Sriram Khattar: Capex on the new products are split into two , one, which are in the books of the DCC DL platform, where we will continue to invest between 1 ,200 to 1,500 crores over the next three, four, five years. And this includes DLF Downtown, Gurgaon, DLF Downtown , Chennai , the Mall of India in Gurgaon, Vasant Kunj mall expansion, etc., In addition to that, there are a few projects both in offices and retail on the DLF platform, which include the IT Park in Noida, the new mall which in Goa, which we have now named as DLF Avenue Goa , the High Street Shopping Centers in Phase -V in Gurgaon and in the Midtown. This I think would entail an expenditure of about 400 to 500 crores a year.

Moderator: The next question is from the line of Murtuza Arsiwalla from Kotak Securities . Please go ahead.

Murtuza Arsiwalla : Hi, Aakash , a question for you. You've had a successful 18 months with the new product launches, etc. , and in about a year and a half ago, you did carve out this 35 million square feet. Any chances I'm sure you must be working on it , but any communication you want to give on how you want to replenish that 35 million square feet given you've been one and a half year at it, replenish that launch pipeline, taking more from the land bank?

Aakash O hri: Thanks . Good question. So

with regard to launches, and how we have kind of mobilized markets, I'm glad you mentioned those 18 -months, because we've been talking like this, but if you see how we have gone into every market, and quietly, like I'll make a small point of Chennai, we were there about a decade back, we got in, we worked against all odds outside the company, north Indian, whatever national yet and DLF prevailed , we got the maximum press , we got the maximum traction and I can't thank enough our investors. So, what happened there was that we have land banks as you all know across the . country Today, hopefully we are demonstrating to you and to the organization is that every square inch of our land bank is monetizable as and when we bring them in and to the levels that we can actually deliver are the price points, if you see Chennai, we did above almost 40% over what the actual markets there are, you look at Panchkula and Tri-City . I still remember three years back; it was completely written off. Today, our price points are again setting benchmarks in the market for others to follow. There is demand. Two major product launches are slated there. So basically what I'm saying is one step at a time. What we are carefully and unconsciously doing is that wherever we go, looking at those markets , looking at responses, if you look at Indore and Lucknow, we completely cleaned it up, Kochi, we've just got this one, quite a lot to go, but we've got another land bank. So everywhere where we are seeing buoyancy, we are seeing the DLF pulls, and I can't single out even one geography and say that look , that's not accepting us . Every geography has wholeheartedly kind of gone and endorsed us. So I think you will see. But I just want to be cautious here. All I'm saying is that DLF Limited
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we go by what the business plan that we have given you all. But today, I think there is confidence even within our systems that we will not only move at lightning speed, but also can deliver irrespective of whatever the conditions are, I think that is important to know. So yes , to replenish, we've got enough. So every zone like Chennai, we've done one, we are already talking about two more. So all that will now continue to happen . Panchkula, we did whatever residual about a year and a half back . All our launches, as you know are all new. So other than Gurgaon, I'm saying which is our hub, wherever we are going, we are making sure that first , we see the market, we do our conversations, and then we are on. So we will continue to replenish as we go along.

Ashok Tyagi : Just sort of reinforce what Aakash said. We are doing this across India , but make no mistake, our predominant area of focus remains NCR and Gurgaon and we already have lined up and we did communicate when we met all of you a few weeks back the launches that we have in the pipeline here. And I think you'll continue to see a series of new products coming in, not only in the next 18 months, but beyond that as well.

Moderator: The next question is from the line of Mohit Agarwal from IIFL . Please go ahead.

Mohit Agarwal: My first question is for Aakash. Just wanted to clarify, did you mention that You're looking at a

Phase-V launch in the second half, can you just clarify that?

Aakash Ohri: DLF 5 launch is not in the second half. That is other projects further down. DLF 5, we are doing a very premium launch, which is called The Grove, which are the gold standard of floors, if I can call them. And I strongly recommend a lot of you, and everybody else to invest, because that's the last parcel of, let's say, plotted development ever that you will see in one of the most premium geographies of the country. So that is something that we will be launching in the next quarter for sure. But if you're referring to group housing, that's a little further away, but I think this is going to be a very price c

atch for whoever can get in.

Mohit Agarwal: How big will that be in terms of million square feet?

Aakash Ohri: Sale value I can tell you, that is going to be almost 1,700 to about 2,000-odd crores, that is something which is there. But it's going to be very exclusive –

Mohit Agarwal: What are the timelines for a Crest-II launch, what are your thoughts on that?

Aakash Ohri: Crest-II will happen soon as we go along. As Saurabh just mentioned, and thankfully, you all are now talking about these price points and I am not. So I think market has endorsed them.

Overall, infrastructure also plays a huge role and then the community, I think, what I always believe that what makes places and companies are its people. So this community that DLF 5 has today created is very aspirational, very thing. So I think you will hear from us, but I don't see it happening in this financial year to be honest with you, because that's going to be a big kind of a mammoth job and it will require that much of detailing and preparation. So not this financial year but look forward to it.

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Mohit Agarwal: We've done 2,000 crores of pre-sales this quarter. Now, first quarter, as is typically not the strongest for residential. A couple of months back in the analyst meet, you had given a guidance of about 8,000 crores. So how do you look at that, considering that we have a strong launch pipeline, do you want to revise that 8,000 crores number considering you've done 2,000 crores in the first quarter itself?

Aakash Ohri: We won't revise anything for now. We will continue to stay to our guidance. But as you rightly said, yes, just before the call, I was sharing this data with my colleagues over the last five years Q1 performance. So, yes, this definitely is very encouraging. But, again, we're not getting carried away with anything. There's also headwinds with everything else going in the future with interest rates and all that. So even, we'd like to keep the buoyancy on, but still, I think there's always this lurking fear. So we'll be always grounded about these things. I think we've got some launches going on, we've got certain things coming. So, Q2 I think we will focus on right now what we have and we will keep the guidance as is.

Mohit Agarwal: My last question is on your cash flow. So, the collections have been at about 1,000 crores whereas the pre-sales number has moved up from about last four quarters. So, when do we see the collections moving up to the next level? Also, the overheads have been elevated for the last two quarters in the cash flow. So is that the new normal on the overhead?

Vivek Anand: So your first question is on the collections. For this quarter to be precise is around Rs.1,000 crores and we expect as we scale up this collection number to really move up. So, I think in the last call, I had mentioned the last year, we made a total collection of Rs.4,400 crores and we are committed to really scaling up on that in line with the sales growth. So, I think that is something we are committed. So, answering your question, you will see the collections picking up starting this quarter. And on the fixed cost, yes, you are right, the numbers have really moved up in the last two quarters and that's what I explained, right, the way to really look at is that we are

investing for growth and as we are scaling up our business, we need to really do that. And what is important to really see is that where are we really adding this cost. We are adding in supply organization, and we are adding it in sales organization, which is really helping us really grow the business, right. If you remember, last year, we had indicated that when we had given a sales guidance of Rs.4,000 crores, we had said that our fixed cost will be in the range of Rs.550 to Rs.575 crores. And now since we are really scaling up, we are almost doubling

our business, we

expect this to really move up close to Rs.675 crores on an annualized basis.

Moderator: The next question is from the line of Pritesh Sheth from Motilal Oswal. Please go ahead.

Pritesh Sheth: So firstly, again, on the collections specifically in Midtown, when do we expect the collections from Midtown ramping up because we are already Rs.2,500 crores of sales that we have done and still left with Rs.2,200 crores of collections, roughly 10% we have collected, what's the trajectory on that?

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Aakash O hri: See, all new projects that we have launched, whether it's Midtown or OMR, I won't say that these are new geographies for us, but new challenges. Also, we got back them almost after a decade in both these. So logistics on ground, a lot of things had changed. We had a stupendous kind of sale thing and everything else was a catch up. But then, as far as these things are concerned, just quickly I must digress and give you a thing. The adjacent properties are now almost abutting One Midtown of almost Rs.26,000 to 30,000 a square foot, phase -III capital green, which was hovering around almost 15,000 just about 15 months back, now this is what it is. So I see that ramping up now. We have certain logistic issues and all. Also, the scale of the business that came in kind of was pretty large. There were certain things that even agencies weren't formed, I'm talking about the external ones, when you collect those 10% today with RERA and all, you have those registries to be done. I'm talking about the external support systems that that kind of had to be ramped up in both these zones. I think that took time. So therefore, the call could only happen once all these things are lined up. Though we had budgeted for certain delays, but we hadn't budgeted for this kind of thing, because there were completely new agencies involved. So you will see that now ramping up and going on. And if you've seen even both these projects, they launched at a certain price and they're kind of trading at a certain price today. And they're both very healthy in terms of these transactions. But I think I don't want to speculate there, but right now, you will see that getting better quarter -after -quarter.

Vivek Anand: And just to add to what Aakash said, since this payment plan is linked to construction, and as the construction progresses, right, we are expecting a major milestone to be achieved in October. So coming specifically to your question, you will see collection ramp up starting Q3.

Pritesh Sheth : You made an interesting comment on slide #12 , that is industry supply ramping up, the first point on slide #12, new supply picking up. So, can you elaborate on that , what sort of supply that is coming into market? And has that , is there any impact in our plans or our pricing strategy from hereon?

Aakash O hri: So, overall industry, as I said in the previous question also, as an organization, I think we continue to be cautious about our approach we always have. So, there is demand. See, the only thing that we will continue to give our guidance on one thing are the margins . Even if there is a compromise on velocity, I think margins can't be compromised at all. So therefore, it's like a chicken and egg always. So, the industry products launches, if you see , our performance over the last six quarters, it has been evenly distributed with new launches, whether it is a Rs.1 crore product or whether it is a 30, 40 crores product . We have been continuously demonstrating our sales performance and collections across the board , across geographies , across product lines and price. So here, you will see new products but in the same line. And as far as DLF is concerned today, we can safely say to you that we have a product at almost everybody's price point because I think at that level of aspiration we will be able to meet. But what we have mentioned in

the

next three quarters to go, I think we will stick to that right now. There are no new products other than what we've already mentioned are going to come in, but that's enough, we got 2,000 crores. So also the other supply, I feel that markets have to be competitive . When you put things in perspective, only then your values are also seen and appreciated. So yes, there will be other

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supply coming in. And I hope they come in both in Delhi and elsewhere. I think what one thing I can definitely say is, let's say , Saurabh mentioned 63 . As soon as we announced or even started work there and got our papers done, three projects already announced to launch. So obviously it's good, because then there are certain price points established , the demand we know , but yes, Delhi also you will see industry launches , but that only helps us grow. I think the markets are happily putting their money back into real estate, and which all of us want. So the larger that pool is the better it is. I'm also hearing more launches and also it's good , I mean, there's enough space in this country for real estate for everybody.

Pritesh Sheth: Last question for Mr. Khattar . So where are we at our plans on the retail expansion? I'm just pointing it out from the perspective of when do you think that it will get reflected in our slide #27 table about under construction portfolio for retail ?

Sriram Khattar ; Under construction, let me split it into two platforms. One is the DCCDL platform , one is the DLF platform . In the DCCDL platform, our plan for Mall of India Gurgaon with the International architects, which is CallisonRTKL are at a fairly advanced stage and I think in another three months, we should be able to more or less finalize the plans that three may go to four or five months , but please appreciate that this is going to be the "Largest Mall in the Country" and we are going to bring the best experience that one can have and therefore the planning is taking much more , then execution will be relatively faster. The expansion of the Vasant Kunj malls is also under an advanced stage of planning and we should be closing over the next two quarters . On the DLF platform, the construction of what we earlier used to call , Patto Plaza, which is now

DLF Avenue in Goa is moving full scale. And at the same time, the high street shopping center, which is Summit Plaza in DLF 5 is also moving. We expect both of them to be in the market by mid-to-latter part of calendar '24. And the high street shopping center near Midtown, we should start construction in the next two to three months.

Moderator: The next question is from the line of Sameer Baisiwal from Morgan Stanley. Please go ahead.

Sameer Baisiwal: So, on your 7.6 million square feet new launch plan for this year, how much has been done in Q1 and what would be the sort of rollout plan? And within that, if you can talk a bit more about 3.3 million square feet of luxury housing?

Vivek Anand: Good morning, Sameer. Let me take this. So, the guidance what we have given for the product launch for this year is 7.6 million, of which 0.7 million is what we actually launched in Q1. So, first of all, I would like to say that we are on course to achieve this number and we have a quarterly build up from now onwards. So, next quarter again we have launches adding up to almost 2,000 crores which are going to hit the market, in Q3, we have close to 2,500 crores of launches, which are likely to hit the market, and the last quarter will be again close to anything 2,000 to 2,500 crores. So, in all, it will be almost 8,000 to 8,500 crores of product value which we will be launching during the year. Specific to your question on premium luxury housing, which is 3.3 million, this is largely as Aakash talked about, this is floors in DLF 5, then we have DLF Limited
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Goa residential, which is going to be a Phase-I of Sector 63. Those are the three which are sitting in this bucket of premium luxury housing.

Sameer Baisiwal: The second question is when we think about the demand outlook in general, demand has been good for last few months across the price point, across locations, so how long can this continue, and what are the risks to this?

Ashok Tyagi: I think it's just slightly on more macro than the micro really to get sense. When we had met, I know you unfortunately was not able to attend it, but six weeks back a lot of risks, which look on the interest rate front end, macro recession, which looks slightly farther away, now slightly closer. I mean, the Indian demand has so far at least managed to by and large beat it, as you can see, not only from us, but from all listed developers in this space. But I think clearly, if you're talking about 100, 125 basis points increase more in mortgage rates, with some recessionary trends, I think it'd be nice to say that it'll have no short-term impact. What we all hoping is that the impact will be transitional and it will not have any lasting impact, but a little bit of impact say two more 50 basis point hikes if they come in the home mortgage rates to hawkish rates. I'm sure some people will start slightly more before buying into a new product. The price point, see, generally, industry has witnessed in the last four to six quarters, obviously makes things slightly more cost to buy than what they were hoping for four quarters back. So I think it's a dynamic question. The fundamentals of the economy and the market remain very solid. The players who are gaining market share and reporting good sales, most of them are in the organized sector, with extremely strong balance sheets, hopefully extremely strong governing mechanisms. So I think the challenges that we have in the early 2010 should not be repeated for a large part of them. But yes, there is some headwinds for sure, which I think each player and each geography will have to navigate.

Sameer Baisiwal: Finally on DCCDL, a couple of questions. So one is, we are still at 88% occupancy. So how's the pre-leasing environment and when do you think this goes back to your usual mid-90s? And second is, I know we've talked a fair bit about the REIT formation, but in the mind of the two owners, what are the pros and cons that's sort of keeping you away so far?

Sriram Khattar: The vacancy leverage is at 88%. This includes the vacancy level at our SEZ in Silokhera. And we plan to go back to the mid-90s in the next four-odd quarters. The one bottleneck that had come about was the SEZ where the pickup by the new units has slowed down quite a lot. However, with the introduction of the new bill, which is development of enterprises and services up-spill in the monsoon season, we expect the demand in these places as the new avatar of IT parks should pick up from Q3 of this financial year. And therefore, the occupancies will start coming down. The issue that has been faced today is not that there is no demand, it is just that the business leaders are taking more time to decide the number of new workspaces that they need, because while hiring is going on in the IT sector at a very good clip, the comeback to office is slower than what we had projected. This is good news and bad news. The bad news is that the decision is taking a little bit time, but it is showing signs of coming back very strongly. The good news is that when we talk to the senior guys in the IT industry, they say that even if it is a hybrid DLF Limited
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model, the better companies, and the captives and GCCs are obviously planning that they will have to cater to the peak requirement of attendance that will take place during the week. And

therefore, their requirements of more spaces will be much more

e. Plus this de-densification and

having more collaborative spaces and spaces where people can interact will also add to that. One or two things if I may please take the liberty of sharing with you, it's very clear now in the market that the tenants are moving to quality assets, I mean, Grade-A buildings is passe now, they are moving to Grade -A-plus and A-plus, plus buildings which offer a very high level of sustainability, safety, wellness, which have a very strong level of compliance and infrastructure and equally importantly, opportunities to grow in that area. And therefore, if you see the plan that we have for offices, we are in the three geographic markets, where we have opportunities to grow for the next five/ six years and these are basically the Gurgaon market, the Chennai market, and the Noida market.

Ashok tyagi : On your question on the REIT, sir, on a slightly lighter tone, you are far care on the REIT before the analyst day when a number of analysts came and confused us, whether we should be doing that or not. Thank you, sir.

We have Nav in Kedia, the CFO of Rentco who's actually doing the

brunt work on that. I think at a stage if the two shareholders press a button, I think in six to eight months, we can get that into the market. I think most of the work is done. Now, the key is what is a good time and what is the good intent? So I think the pros and cons, Sameer ji, you know better than most of us frankly that given the challenges in terms of the high development potential that Cyber City has, there are obviously inherent differences between this portfolio vis-à-vis the portfolio of the other three listed REITs, which have a high proportion of the rented assets versus development assets. And in a REIT format, dividends obviously go up, but then obviously, all CAPEX have to be debt funded. It does inherently increase the leverage in the portfolio, while obviously the LTVs and all will keep on going down, all of those things are there. And then there's the macro piece where the initial 110 basis points interest rate hike, we had thought that's what a site spanner in the works, but the fact that the listed REITs have actually performed extremely well in the last few weeks since the entire interest rate hike has happened. For the first time, all the pundits uses to tell us that the compressed cap rate has to be GSec plus 50 to 100 basis points. Compressed cap rates for the listed, GSec is minus, something. So, I think we are more or less prepared in six to eight months once the two shareholders press the button we can go. But I think there are inherent pros and cons that I think both shareholders do need to consider and to be fair, I think it's obvious that both shareholders may have different objectives driving the REIT. The fundamental of the REIT still stay very strong, including the fact that it gives an opportunity for inorganic expansion as well in hopefully in a cash less zone. That's where we are. Most of the field work that had to be done I think is by and large done. Some clarifications, etc., will keep on coming. But I think we are at a stage where the two shareholders who are constantly in discussion on this piece. We continue to be at some of the work streams, including some long cycle work streams, like land deals and all are underway. So let's see, I mean, watch this space is all that I can say right now.

Moderator: The next question is a text question from the Biplab Debbarma from Antique Stock Broking.

And the question is what are the projects, new phases launched in this quarter?

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Aakash Ohri : So this quarter where the floors if you're talking about the new projects, the new launches and a small commercial project in Gurgaon and floors, and then of course, there was the other residual of super luxury and OMT. Yes, so this quarter floors and commercial.

Moderator

rr : The next question is from the line of Abhinav Sinha from Jefferies. Please go ahead.

Abhinav Sinha: Sir, a couple of follow up on what we discussed so far. So one, on the rental side when do we see Downtown Gurgaon becoming lease income earning and similarly, what will be the exit run rate for FY '23 as well as FY '24, if you can give us some guidance. So that's the first one. Second one is on DLF De vco cash flows. So good start to the year but considering the dividend outflow in 2Q, what are we looking for the end of the year, I mean, do we end say below Rs.1,000 crores of net debt?

Sriram Khattar: So the questions on the start of rentals for Downtown Gurgaon. I'm pleased to say that we've got the occupation certificate by end of June. The process of handover of the spaces to tenants has commenced. Whilst the rental inflow will start from October, I think it will be another few months after that when it comes to its full form. The run rate of the rentals in DP Gurgaon is in the ballpark of Rs. 18 to Rs. 19 crores a month. In terms of the run rate for DCCDL as a platform, I think the exit run rate at FY'23 should be about Rs.4,400 crores and 12 months later it should be about Rs.4,850/ 4,900 crores.

Abhinav Sinha: Khattar sir, on FY'24, just to be clear, we don't have another building opening up right in the next 12 months after we are done with Downtown Gurgaon?

Sriram Khattar: No, we have. Downtown Chennai, which is 2.2 million square feet is going to be finished in the

middle of next year. So we believe that the rentals for that will start in the third quarter of FY'24. If I may please add, we have had a fairly good run till now where all the new buildings that are coming up, we are successfully able to pre-lease that. And our endeavor is the same for the Downtown Chennai also. Maybe because it's 2.2 million square feet and given the size of the Chennai market, it will be 80% or so. But our endeavor is to see that rental start immediately after the OC comes.

Ashok Tyagi : Abhinav, not in the Cyber City portfolio. But I think by the time fiscal '25 hits us, our joint venture with Hines should also be in rent yielding mode .

Sriram Khattar: DLF platform even the Noida IT Park, by the later part of the year, about 800,000 , 900,000 of the data center and the IT Park, the first building , should start yielding rentals.

Abhinav Sinha: The two retail will also start by that time, right, the Phase -V and the Goa one?

Sriram Khattar: They will probably start in FY' 25 including DLF Avenue in Goa .

Abhinav Sinha: On the second one, the DLF?

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Vivek Anand: You talked about collections . I briefly answered that, that the collections will continue to grow quarter -on-quarter. And you will see that in terms of phasing, second half will be higher compared to the first half because there are a lot of projects which we have launched in second half of ' 21, which will be coming towards the end of construction cycle and there will be corresponding collections happening there too from that . With regard to Q2 in particular, yes, there'll be a dividend outflow during this quarter, but two-third of that, as will be funded by DCCDL cash.

Abhinav Sinha: Just to gear up, we have close to Rs.2,000 crores net debt reduction in second half last year and basically 2Q, 3Q, 4Q combined. Do we see that again?

Vivek Anand: See, I think we opened with a net debt of Rs.2,600 crores . And you've seen this quarter again we've dropped our net debt upwards of 400 crores. So right from the beginning, we are not working on a number to be honest with you, but we are committed to bring it down quarter -on-quarter is what I am saying.

Ashok Tyagi : Frankly, the net debt number , now meandered into an irrelevant number. But I think you have it programmed in your muscle memory. So I think free cash flow is the focus on and I think the free cash flow will keep coming. But net debt frankly of course Rs.1,125 crores or Rs.898 crores, I think it's really entering into a zone of comparative insignificance from interest standpoints.

Moderator: The next question is from the line of Kunal Lakhan from CLSA . Please go ahead.

Kunal Lakhan: So firstly, just a follow up on the REIT side. So this is the first time in the last few quarters you sounded a bit cautious on the attempt to do the REIT, especially you highlighted the structural differences between the REITs and us. So firstly wanted to clarify , if there is any disagreement between the two partners on the intent to do the REIT ?

Ashok Tyagi : No, absolutely not.

Kunal Lakhan: Sure, because the concern that you highlighted, right, in terms of like the ready portions under construction , I mean, we knew that from the start, right. So, just wanted to understand what could be the deal breakers here?

Ashok Tyagi : So there are two pieces . You're right , we knew it from the start . We had a very intensive discussion between ourselves both at DLF and with our partners on whether we should change the perimeter of the asset portfolio. And finally, we have agreed that we should go with all assets in Cyber City including the entire development potential, then obviously, that does create as you know a certain pressure on the financial metrics, which the bankers have rightfully highlighted. And I think we're just working on some of those tweaks. As in the current fiscal, the two Downtowns in Gurgaon will get completed , 12 months from now, downtown in Chennai will get completed. And each of these are an important completion from a rent yielding versus the development portfolio standpoint. So I think both the sides are clear that we need to move into

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a time when the macro is most conducive for value maximization. Luckily, neither of us needs to do it for liquidity frankly, and that is the most important piece. So both of us need to ensure that we do it at a time when actually we can maximize the value of that office.

Kunal Lakhan: So just to clarify, it's more than the intent, it's more of a timing issue ?

Ashok Tyagi : It's a timing issue, it's not an intent, that's sure.

Kunal Lakhan: Secondly, we have announced 50% higher dividends for last fiscal and, and we've never had a formal policy, but rather, like an informal policy has been that we have always passed on the dividends that we've received from DCCDL as dividends to the DLF shareholders, but this year, we saw development business, scaling up on cash flow as well, which will continue to happen, right. So, would we look at

formulating a dividend policy, just to give some outlook on to the shareh olders ? And also if you can give us some direction on how should we look at dividends going ahead?

Management: So right now, we will keep the REIT discussion out of the dividend policy because the REIT will dramatically alter the dividend. But assuming that the REIT will take place when it will, our dividend policy is very clear was that ... you are absolutely correct, for the last few years, it was the Cyber City dividend which was being distributed, because let's face it, the Devco did not have distributable cash flows. It's only now over the last four to six quarters that the Devco has begun generating distributable cash flows. And initially, we had the discipline that we wanted to get the net debt under control. And now Vivek's managed to get that down to a most like a Rs.2,000 number. We felt emboldened enough to start declaring a small token of 250 crores dividend from the Devco this year. Hopefully, if the Devco cash flows continue to strengthen, we are focusing on slight increase...Vivek, correct me if I'm wrong of the Devco dividend year - on-year. On the Rentco side, I think it's pretty clear we reach there, that

the free cash flow of the

Rentco should be distributed between the capex and the first chart on the free cash flow is of the CAPEX that they need to incur and the residual piece part of it goes into dividend. So right now Cyber City, this year had declared a Rs.750 crores dividend, and hopefully, definitely sustained and maybe as more and more properties start to come coming, it will grow. And obviously, once the REIT happens, these dynamics and these numbers change dramatically.

Kunal Lakhan: And my last question was earlier in your comments you mentioned that the supply for the industry has started to increase. Any chance that we'll look at up fronting the new launches that we have earmarked for FY '22, the 7.6 million square feet that we have outlined, any chance that we could upfront these launches?

Vivek Anand: I think last year if you really look at our total launches were 6 million square feet, this year it's around 7.8 million square feet. So there is an upscaling which has already been considered. Now, if you're saying within the quarters, are we really planning? I think as you know that for these launches, there is a lead time involved in planning, designing and approval process. I think at DLF Limited
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this point in time, whatever plans we have put, we will stick to those plans, and we are committed to really delivering them on time.

Moderator: The next question is from the line of Saurabh Kumar from JP Morgan. Please go ahead, Saurabh Kumar: Sir, just kind of follow up on this cost piece. So, Mr. Tyagi, I heard you said 35% is target, but the issue is as your sales grows, your operating costs will keep increasing, it's unlikely to come down. So, I just want to make sure that, what is the target EBITDA or does DLF have a target EBITDA or just you have a target gross margin?

Ashok K. Tyagi: Saurabh, as Vivek and I both mentioned at the start of the earlier question, we obviously have a target EBITDA, which is the 35% -plus level for sure. Our costs have gone up, and I think, Vivek, you're nearer to ground. I think the costs have now begun sort of stabilizing, because the one - time ramp up ... please appreciate, Saurabh, two years back, we were Rs.2,500 crores sales with the company with like hardly any new projects, and from that we have suddenly scaled up new geographies, new products, and obviously we get a fees for supporting the Cyber City Capex expansion as well, all of those things. So I think predominantly salary, but even the non-salary overhead had moved up in that sense. And I think the rate of growth of the overheads and all is now more or less plateauing. And what I said was that the margins will hopefully keep on growing, because the margins that we need to look at today are the products which are on the sales levels which are three or four years prior. So I think as the new cycle takes off, and sort of begins catching, hopefully this ratio will keep on improving.

Vivek Anand: Just for the sake of repetition, I think the new products what we are really bringing into the market, they are margin -accretive, upwards of 50%. I gave you an example of City Floors, Rs.3,000 crore of products, which we've launched, they are almost close to a margin of 55%, the one which we are planning in Q3 will be close to 60%. So, I think very clearly, they are margin accretive. And the other thing, what we are really doing is, when we are beefing up the organization, what we are really working hard is to really make sure that we improve the speed of execution on ground. As we improve the speed of execution, it will help us record our revenues. So I think it's a combination of all what we are working. Speed of execution will get revenue faster, so I'm able to grow my top line faster. My margins on new products, the hurdle rate of 50% is really going to make sure that that I continue to real

ly replenish at par with my

existing margin threshold or even higher. And as Mr. Tyagi said that the cost base has been reset. And I think that's not really going to really keep growing from here. So therefore, hopefully all this will really result right in the near future, where we will slowly hit the EBITDA of 35% and continue to really improve thereafter.

Saurabh Kumar: But if you look at your slide #9 and #10 of the presentation, the new project gross margin, you claim Rs.1,800 crores of gross margin against sales of Rs. 4,600 crores on page # 10, the gross works out to nearly more like 40%, not the 50% mark. So, I'm sorry to deliver this point, so what is giving you the confidence that this number kind of sustainable?

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Vivek Anand: I can separately share the details product wise. I gave you a big example, out of the total Rs. 4,400 crores what we've really done in the past couple of quarters, I give you one example, the biggest products, which is floors is at a 55% margin, which is almost Rs. 3,000 crores, almost 65% of that, but I'm happy to share details offline.

Saurabh Kumar: Just one follow up question. Historically in 2012 to '14, we used to have huge cost escalations, versus what the budgeted numbers were. Is there anything you have done in this cycle to make sure because inflation is hitting, so basically to manage your budgets better and what's the like-to-like cost increases you've seen in the portfolio versus the January start?

Vivek Anand: You'll have to maybe repeat what you just said?

Saurabh Kumar: So historically we have seen in DLF the cost escalations have been very massive at least in the last decade. So this time around, have you done something better to basically ensure that the cost escalations don't hit you, because now again, entering an inflationary period? The second is basically, what's the like-to-like cost increase you see versus budgeted today, what's been the experience in the last six months?

Vivek Anand: So I think on the fixed costs, we've been very clear on our guidance and I think we gave a guidance when our business was Rs. 4,000 crores. Again, I outline my guidance on fixed costs, when we are scaling up to Rs. 8,000 crores. I think let me move to the construction cost. I think that's where I think your bulk of the question is. I think one of the learnings what we really applied is to very, very closely monitor the construction cost. So just to let you know that at this point in time, we have more than 35 live projects on ground, and we make construction budgets every month. So there is a review which happens every month in terms of how the construction cost is really moving so for all the projects which are live, and for all the projects, which are there in the pipeline, and that gives us early warning in terms of really positioning our pricing for that product. So I think that's something which is really embedded in our business, like I said, as a margin, a hurdle rate, that's very, very large part of the project budget discussion what we really do, there is a very high focus on cash. So while there is a hurdle rate for margin, there is a hurdle rate for cash. And the construction budget reviews what we do on a monthly basis, clearly keeps us very close to the ground reality in terms of how the inflation is.

Ashok Tyagi: The one mistake that we did in 2012, '14, since I'm a survivor of that period as well which we are not repeating now. And this sort of ties into some of the questions raised in the call on upfronting of launches, etc., is that at least definitely on the high rises. We are definitely not going to launch anything till all of our contracts are in place, designs are done and good for construction drawings issue. Actually, Saurabh, we are in time and now the discussion is technically time part. The fact is that a large part of the hit

is that we got that time was partially

on account of inflation, but partially on account of the fact that we had maybe launched those products prior to doing the detail cost estimation of where we were. I think that mistake is definitely not happening. Obviously, the inflation on commodities and all, as Vivek explained at length in the last quarterly call has taken a toll. But the good news is there are no surprises

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that are happening. Every month, even if a project cost goes up by Rs.1.25 crores, the business leaders when they are saying or Vishal Damani, they are on top of it, RK, everybody knows okay it has increased, that's it. So, surprise element is not there. I mean, but yes, obviously, we can't control the macro inflation, but that is the way. I don't think this discipline we necessarily had in the 2012 to 2014.

Vivek Anand: In fact, if I were to also add, we are also further strengthening our project management process. And one of the things we are really doing is that this whole project management, which a large part of it, we do outside ERP, we are planning to really bring it into ERP, so that we can really closely monitor the execution of the project, the planning of the project, the cost escalations. As we are scaling up, we are really getting ready how to really handle the scale as we go forward.

Aakash Ohri: One thing that I'd like to add to your point, which I feel we never get any marks for is, obviously, one is the inflation and all the other finance-related matters, which is we can't take away from it because it's business. The other thing I think our biggest thing is that we continue to improvise. And to the point that you mentioned, we irrespective of what our financial commitments have been to our investors, we have gone back and better the product in its lifecycle. So, if you ask

me, I think that is something that we have continuously done. We can't take that out of our DNA . Those projects have never gone back and given us more money, but definitely, they have done wonderfully well for our investors. You look at from any point of view and all those products, we have gone back to making them better so that both from the point of view of the product and from the point of view of what the actual investment returns for our investors ...our investors, I continue to say that not to us, we may have lost money, but I think that is something that we are hopefully changing . Financially, yes, everything, but I think to continue to better ourselves every day and to keep the aspirations going, I think that is something you really can't put a finger to it. But that is something that I feel collectively has helped keep the DLF brand goodwill on top and continue to make us aspirational and we've done it on our account . so I think that is one thing also probably, I don't know whether we can still change. But I think there's a hell of a lot of discipline as Vivek just mentioned and Mr. Tyagi, every month. Also to add to what Vivek said that every time there is a 1.5 c rores increase somewhere it's passed on to me too. So I understand the pain more than any one of you. Trust me.

Sriram Khattar : Saurabh, and our other analysts friends, if I may take the liberty of adding, I would request you please go to slide # 26 which again, what Aakash was mentioning are some of the softer issues which probably don't get highlighted when we're talking of numbers all the time, is that in terms of safety and sustainability, we've taken a leadership position across the globe now. And we have one of the world's largest US Green Business Council , LEED Platinum certified portfolio . We have the largest portfolio in LEED Platinum Zero , which is in the area of water, which is again the largest portfolio in the world. And recently, we have got the LEED Platinum for the cities and communities for DLF Cyber City , Gurgaon.

Most of you have visited it, you know that while it is a Cyber City, it is not a gated community, and it is open right across and it's really like a small city. And we are the first developer owned community in the world which has got this platinum rating. And I think as we go forward the steps that we take in the area of safety and sustainability, help us position our products in a better way, and also contribute to what has now become important in terms of sustainability and carbon -neutrality.

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sustainability, help us position our products in a better way, and also contribute to what has now become important in terms of sustainability and carbon -neutrality.

Moderator: Ladies and gentlemen, this was the last question for today. I would now like to hand the conference over to Mr. Ashok Tyagi for closing comments.

Ashok K. Tyagi: So again, thanks all of you for taking your time on Saturday and joining us for this call. We could have waited till Monday, but we rightfully felt that we should do it the day after the results .

As you know from the results as Vivek and everybody else explained to you have been reasonably robust. And I think we are looking at a good year hopefully. I mean, the current year could have some more macro headwinds as we outlined than the previous year, but I think clearly our basics are now falling into place. The Rentco piece is actually now performing far better than what was 12 months back when we had the peak of COVID , the vacancy levels we're dropping, new CAPEX are back in play , retail has had a dramatic turnaround. And I think hopefully as we keep on reconnecting back with you every quarter , we will keep you abreast of all the new developments that are happening including the new launches and hopefully we will continue to enjoy your support. Thank you.

Moderator: On behalf of DLF Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines .

Call: Oct 2022

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26th October 2022

The General Manager
Dept. of Corporate Services
BSE Limited
P.J. Tower, Dalal Street,
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National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
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Sub: Transcript of Earnings Call

Dear Sir/ Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the transcript of the Earnings Call.

Requisite details regarding the Earnings Call are as under:

S. no. Particulars Details

1 Date of Earnings Call 22nd October 2022

2 List of management

attendees Mr. Ashok Kumar Tyagi – Chief Executive

Officer & Whole -time Director , DLF Limited

Mr. Vivek Anand – Group Chief Financial

Officer, DLF Limited

Mr. Sriram Khattar – Managing Director,

Rental Business

Mr. Aakash Ohri – Chief Business Officer &

Group Executive Director

3 Web -link <https://www.dlf.in/qu> -

result/Q2FY23_Earnings_Call_Transcript.pdf

This is for your kind information and record please.

Thanking you,

Yours faithfully,
For DLF Limited

R. P. Punjani
Company Secretary

Encl.: As above

For Stock Exchange's clarifications, please contact:

Mr. R. P. Punjani - 09810655115/punjani -rp@dlf.in

“DLF Limited Q2 FY23 Earnings Conference Call”

October 22, 2022

MANAGEMENT : MR. ASHOK KUMAR TYAGI – CEO, DLF LIMITED
MR. VIVEK ANAND – GROUP CFO, DLF LIMITED
MR. SRIRAM KHATTAR – MANAGING DIRECTOR , RENTAL BUSINESS
MR. AAKASH OHRI – CHIEF BUSINESS OFFICER & GROUP ED

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Moderator : Ladies and gentlemen, good day and welcome to DLF Limited Q 2 FY23 Earnings Conference Call.

We have with us on the call, Mr. Ashok Kumar Tyagi – CEO , DLF Limited ; Mr. Vivek Anand – Group CFO; Mr. Sriram Khattar – MD, Rental business ; Mr. Aakash Ohri – Chief Business Officer, and Group Executive Director.

As a reminder, all participant s' lines will be in the listen -only mode , and there will be an opportunity for you to ask questions after the presentation concludes. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vivek Anand. Thank you, and over to you, sir.

Vivek Anand: Thank you, and a very good morning, and welcome to DLF Limited Quarter T wo Financial Year 23 Earnings Webcast . I know it's a Saturday morning . So, thanks for joining us early on a Saturday . I would like to start by wishing you and your families a very Happy Deepavali .

Moving on to the results .

We continue to perform consistently across all parameters in line with the guidance. I will now first talk about the financial highlights for Quarter Two Financial Year 23 which is DLF Limited consolidated results . Consolidated revenue stood at 1 ,360 crores . Gross margin improved to 60% driven by superior product mix. EBITDA stood at 495 crores with margin improving this quarter to 36 %. Net profit at 487 cr ores, reflecting year-on-year increase of 28 %. This was primarily due to higher JV profit and significant reduction in the finance costs .

Housing demand continued to remain buoyant during the period . The luxury segment continues to witness sustained demand with a clear shift towards larger homes . We continue to experience further consolidation across the industry in the backdrop of changing consumer preference towards quality offerings from large and credible players .

The interest rate hike was on expected lines . We continued to closely monitor these developments ; however , have not experienced any material impact on housing demand so far . We remain confident that our product offerings will remain the preferred choice for customers and will c ontinue to perform well .

Our residential business deliver ed a steady performance and clock n ew sales booking of Rs. 2,052 crores reflecting a year -on-year growth of 36 %. Cumulative new sales booking for First Half Financial Year 23 stands at 4, 092 crores in line with our guidance . We believe that our well thought out strategy of bringing low -rise developments across multiple geographies augurs well in the current market .

We launched three new products across multiple price segments and geographies during the previous quarter . The Grove in DLF 5 Gurugram , the Valley Gardens in Panchkula , Garden City DLF Limited

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Enclave Independent Floor in Sector -93, New Gurugram . All these new launches witnessed encouraging response from the markets delivering cumulative sales of 1,315 crores during the quarter . The Camellias , our super luxury offerings , has consistently proven to be the preferred choice. Sustained momentum of demand for this product led to incremental sales booking of Rs. 473 crores during the quarter .

We remain optimistic about the inherent demand in housing given the changing aspirations of consumers for high quality , efficient design products being offered across established ecosystems and continue to work to offer new products across segments and geographies . Surplus cash generation during the quarter stood at 409 crores , before net outflow of Rs. 292 crores on account of increased dividend payout . Deleveraging remains a focus area, and consequently, our net debt stood at Rs. 2142 crores at the end of the quarter .

I'll now move to the financial highlights for Quarter Two Financial Year 23, DLF Cyber City Developers Limited con

solidated results . The office portfolio is exhibiting steady recovery with improvement in occupancies . The buoyancy in the retail business continues . Rental income grew 20% year-on-year , driven by a strong growth in retail revenue , which grew 54% and office business , which grew 14 % during the period . Consolidated revenue of Rs. 1,369 crores reflecting our 22 % year-on-year growth.

EBITDA stood at 1,046 crores , year-on-year growth of 21 % , net profit at 355 crores , reflecting year-on-year growth of 54 % . We continue to witness a steady upstick in occupancy attendance currently at 67 % across the portfolio along with gradual recovery in our leasing momentum . Office occupancy levels have moved up to 89% during the quarter up by 1 percentage point .

The first phase 1.7 million square feet of our next generation workplace DLF Downtown Gurugram has commenced operations and has now started contributing to the rental portfolio . Its unmatched location and our ability to offer an integrated safe and sustainable ecosystem has once again scripted a success story . The office area for this asset was completely released even before commencement of operations .

We continue to have a positive outlook towards the office business , and hence continue to judiciously put our CAPEX to feed growth in this business . We have initiated development of an additional office block in DLF Downtown Gurugram . The development of DLF Downtown Chennai remains on track .

The retail business continues to exhibit healthy growth . Footfalls and consumption trends exhibited strong momentum . Sales growth has been better compared to pre-COVID levels , and we expect similar trend in the near future given the sustained demand and the upcoming festival season . We remain comfortably poised to deliver our business goals , which is well supported by sustained housing demand , quality offerings , and a healthy balance sheet .

This completes the results update. Thank you very much . We can now open the floor for Q &A.

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Moderator: Thank you very much . We will now begin the question-and-answer session . The first question is from the line of foreign my first question is Kunal Lakhan from CLSA . Please go ahead.

Kunal Lakhan: My first question is on Slide 15. So, since we have launched about 4.5 million square feet in first half, and the second half we seem to be launching about 3.1 million square feet, second half which usually is a stronger period seasonally, so how should we look at this ? Like, would we look at upfronting some launches from '23 or beyond period to the second half ? Or you know, how should we look at this , and if you can give some commentary on the sales trajectory also in the second half ?

Aakash Ohri: So, as far as the H2 is concerned, I think what we are doing is we are going to be maintaining our guidance as to what we had mentioned to you all . Because what happens in a situation like this is that what you are seeing right now is already being pre-planned to execute and deliver . And therefore , the entire machinery then goes into putting that whole launch together . So, we have good visibility and pipelines and launches for Q3 as well as Q4 . Q3 you will see a launch , another launch in Panchkula , and Q4 we are preparing for the big high rise launch the 63 , which we will talk to you after this quarter .

And as far as the trajectory is concerned , I think we are maintaining the strike rate as we had suggested or promised. Over and above that for us to propose launches of the next year, I don't see maybe a reason right now in the most immediate future, but we've got things lined up for should we require things to happen before we have the I'd say infrastructure to support it and the five part to kind of execute that . But as of now , I think we are working to

our plan and we'd like to maintain that.

Kunal Lakhan: Just a related question on that, Aakash . So, on the Phase-5, right , we launched the Grove and we sold it out in a fortnight . How should we look at the subsequent phases coming through in Phase-5? What could be the timeline for say a Crest Phase-2 or some things on similar lines ?

Aakash Ohri: So, DLF 5 as we call it , for this year , I think we are done with DLF 5's launches . We will next year obviously in one of the quarters , we will announce the Crest 2 that you are referring to , but at this point in time , I think if you see the spread and how we've been working is across geographies . So, right now the focus is going to be Panchkula , and then it will move to the Golf Course Extension Area . Coming back to DLF 5, we will announce it hopefully after Q2 next year, but we will give that guidance before the year starts . So, you will have it much before .

Ashok Tyagi : So, Kunal , you know, just to supplement what Aakash said, I mean , before launching a major high rise, like be it in all the Golf Course Extension Road or on the Golf Course Road , we need three or four quarters of intensive preparation , not only in terms of approval , but also in terms of awarding of contracts , foundation of BOQs , beginning of at least the subsoil construction work and all of those things . So, we have been on the Golf Course Extension project for the last two or three quarters , and I think now we hopefully executed enough to have a launch in the next quarter . And similarly , hopefully , you should see a Phase-5 high-rise launch sometime in the later half of next year if all goes well .

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Kunal Lakhan: Sure. My second question was on the collection side . So, last four quarters we have been clocking 2,000 crore plus of sales consistently . And you know, considering like the new launches that we have done have much shorter monetization period or construction period of 18 to 24 months , right . So, somewhere like your collection run rate has to catch up with sales run rate. When do you think that will happen when , you know, when we can reach 2 ,000 crores of collection run rate ?

Aakash Ohri: So, most of the collections as we had even planned within the system are being done as per plan . If you pull out the four quarters collection date also, you will see it's at par with what the planning was earlier . With regard to collections at par with sales , this only happens with the construction schedules and that you call for money based on that .

So, if you have seen , you know, this is a little bit of a I'd say a dangerous call to do because, you know, you need to give the customers a little bit of a breathing space before they actually get into the habit of paying. We are the most aggressive in our calling if you have seen our payment schedules compared to anybody else in the country. We take a substantial part , almost 25 % and above most immediately in the first quarter alone.

So, therefore , I think that is the rate that we want to , but I don't think calling money more than that right now kind of unnerves the investor and the customer because everybody is doing their financial planning . Also, the banks kind of disperse money based on , you know, how they want it, and we have kept that . The collection , I don't know , Vivek say that , but I don't think I would like to keep the collection pace more than what it is today also because you need to give that comfort factor to the investor , you know . But I think that's the pace that we have been doing but let Vivek answer .

Vivek Anand: Good morning, Kunal. So, I think , first of all , on the sales rate of 2 ,000, when do you think our collections will catch up ? So, first message I want to give is that that 2 ,000 crores of sale includes the One Midt

own sales , right ? And when we look at the collections , we look at the collections which are without One Midtown. That's separate. So, therefore , the two are not comparable , but let me also answer that how our collections are picking up and what , how does I see the collection in the second half ? So, the first half collections have grown by 15 % over the same period last year. So, clearly , there is a pickup in collections . Point number one.

Second half, we expect the collections to significantly move up. Right ? That's as per our plan.

As the projects which have been launched are getting closer to their construction , their end, construction phase end , right , we will be raising demands this quarter and next quarter . And hopefully, that should get collected within 30 to 60 days . So, we will see collections improving, and we are moving up significantly in second half versus the first half. But will it be 2,000? I don't see that. Right? But yes, there will be a significant upside in the collection.

Kunal Lakhan: That's very helpful . Thank you so much and wish you all a very Happy Diwali in case I don't get a follow-up question. Thank you so much.

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Moderator: Thank you. The next question is from the line of Saurabh Kumar from JPMorgan . Please go ahead.

Saurabh Kumar: Sir, a few questions . So, first is , you know, on your opening comments , you mentioned that mortgage rates are not having an impact , but maybe that was the last quarter . You have already seen the rates go to 8.5, and with the risk that this goes to 9.5. Would you still be confident that demand will not be impacted if rates move to the 9, 9.5% handle ? And also, ex of Camellias, how many, how much of your customers would end up taking mortgages , if you can , if you would have a ballpark idea ?

Aaka sh Ohri : So, as for the mortgages are concerned , Saurabh, that I have seen a trend that people are getting into or, you know, diluting their mutual fund or other Investments to route their monies back into the new sales . I have seen this trend over one year , Saurabh. I have been monitoring this closely , also because I work very closely with the banks with our launches . And I have seen a certain amount , so, let's say , if I can give you an example of one of the recent launches , the bank mortgages or the call for that was just about maybe 15% so far , you know, compared to what these guys have in hand or whatever .

But to answer your first question , see, it's an opportunity cost . At that point of time , if you actually see what these people are going to be investing in , I'd like to answer it in a different way what I am reading over the last two quarters . And I don't think we can completely negate the interest issue , but what I am seeing is that we are the preferred investment category right now . And when I say we, I'm talking about DLF . I am not talking about the industry right now . So, I am seeing that happen where people are consciously breaking or moving their other monies towards us . So, whether that in the near future is going to impact , I don't think.

Again , I don't want to speculate, but what I am seeing a trend where , you know, it's like a Ghar Waapsi for a lot of people coming back to the DLF way of, you know, investing and everything because of the commitments that we have done over the last I think two, three years , we have demonstrated that we have finished projects . We have given people back money should they need it . You know, a DLF investment is almost like a liquid fund today. So, even if people were wanting to exit , we never kind of held back. We continue to move on. We demonstrated a lot of strength . So, the near er, the bank rates have been going up if you see over the last two quarters also, but I think the customers are right now thankfully very foc

used in investing with us , and they are looking forward to this .

The second thing that I am also doing is I am stepping up on the NRI plan . If you have seen our mostly our NRI investments are between 12 to say about 14 odd percent where it has a potential to double . So, therefore , you will see an aggressive outreach starting November where we ha ve just had two very successful outreaches in Dubai and Singa pore. So, I see that particular thing also changing because December onwards , December to February , there are a lot of NRI s who come and visit the country. So, I feel that that is something that we would like to go pitch in advance and then wait for them to make investments or come and do that . So, it's not only a

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Camellia centric story , but I am seeing this across the board, and I feel that the customers today prefer to be with us rather than investing in other asset classes . So, I am seeing this ver y clearly , Saurabh.

Saurabh Kumar: The second one is , you know, Vivek , on the pricing. So, your pricing across projects , we have seen much better than , you know, what we would have estimated at the point of launch . The Grove is 22, 000. Camellias is now 45. Even your Panchkula is at 8,400. So, should we expect that now these stable state margins at DLF maybe one , one-and-a-half years out move to a 40 % range to from 35 odd? Or do you think a large part of these gains get reinvested back ?

Vivek Anand: You are referring to EBITDA? You are referring to gross margins ?

Saurabh Kumar: EBITDA.

Vivek Anand: EBITDA. So, see, EBITDA this year also I talked about , Saurabh , that we will be somewhere close to the range of 35 , 36%, and going forward next year , I think we will surely maintain that percent age, and we will surely build on that .

Saurabh Kumar: But on incremental sales , will it be fair to assume that the margins are higher than 35?

Vivek Anand: I think it's a mix , Saurabh. So, yes, we will have to really look it as a bucket of new launches , right ? In some products , yes, the margins are high . Some are low , but on an average, right , we are really making sure that we maintain our margins .

Ashok Tyagi: The second point, Saurabh, which will also drive the EBITDA is that, you know, to scale up our business, there's been an upfront investment in costs and the overheads which may, you know, for an 8,000-crore annualized sales level has a certain EBITDA there. Hopefully, at a sales level which is higher in the following year and the cost level is broadly remaining the same, that should also add a couple of percentage points to the EBITDA margin because that gets diluted . Now what has happened there'd be this added costs in anticipation of scaling up and scaling up is happening now.

Vivek Anan d: And also just to add , once these new launches which we did in second half of financial year 2021, once we

start issuing possession letters, right, our revenue lines actually grows, right? That will also help you generate a better margin.

Saurabh Kumar: And sir, last question is on DCCDL. So, this quarter -on-quarter growth we are seeing, that's the contribution of the new downtown block. Will that be fair? Or is there any organic element to it as well? And secondly, the downtown difference with the Cyber Park, there's a 25% differential in rents. What would you attribute it to, because the building quality will be similar? Is this just market definition we have seen in Gurgaon? Or, I mean, is there anything else to read into that?

Sriram Khattar: Hi, Saurabh. Your first question on organic versus growth from USA, organic growth is definitely there. In retail, you have seen a major bounce back compared to the same quarter last

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year and even compared to the first quarter of the c

urrent fiscal. In offices, we are now seeing

the rentals getting steady to a marginal growth in the new rentals that we are doing. And therefore, the growth that you see is a combination of organic growth and inorganic growth coming from the new products, basically Downtown.

On Downtown, the rental increases are there, because the time of completion of 2 and 3 Downtown compared to Cyber Park, there is a gap of three years. So, if you just take a normal annual growth, you have about a 15% growth, one. Two, very clearly post COVID, the large multinationals are showing at the following two or three trends.

One trend is that they are definitely moving to more quality assets, especially in IT parks, which give them an opportunity for further expansion and growth over the years.

Two, there is no more their requirement of a grade A property. They are definitely looking at a grade A++ property. And three, the emphasis is much more on sustainability, wellness, the social infrastructure etc., which we have been emphasizing in our office developments for the last five, seven years, and these have held us in good state. And therefore, Downtown, which is now fully leased, has rentals which are about 23, 25% higher than Cyber Park.

Vivek Anand: So, in terms of, Saurabh, your question of in terms of office growth of 14% year-on-year, Downtown's contribution is almost 4% out of 14%. Then we have new leases contributing 5%, right? And contractual escalations around 5%. That's broadly the breakup of 14%.

Saurabh Kumar: Thank you, sir. This is very helpful, and Happy Diwali to all to you.

Aakash Ohri: Saurabh, one more thing. Camellias has been almost touching 60,000, not 45.

Saurabh Kumar: So, that's a good Diwali gift for all your and all your investors.

Vivek Anand: Yes. And to you. Thanks. Happy Diwali.

Moderator: Thank you. The next question is from the line of Sameer Baisiwala from Morgan Stanley. Please go ahead.

Sameer Baisiwala: Good morning everyone. The first question is on DCCDL. We have got 19,000 plus crores of debt. So, how do you see the interest rate impact over next, you know, 12 to 15 months?

Sriram Khattar: This was a question which we answered in the last analyst call also. It is very difficult to accurately forecast where these interest rates will go. There is the market buzz is that there will be an increase of 35 to 50 basis points between now and March, but if you take a little conservative estimate, the impact at a PAT level will be between 50 to 80 crores for the full year.

Ashok Tyagi: Sameerji, what, I mean, basically, and in fact, Vivek will then elaborate on this. Broadly, you know, the repo has gone up by 1.9 percentage points in the last whatever six months, and broadly

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what the team has been able to do led by Vivek and the Finance team in Cyber City is to restrict the impact on Cyber City to about half of it.

Vivek Anand: So, this 190 basis point increase in repo in the last five months on a gross rate of 20,000 crore theoretically translates to an impact of close to 400 crores at a PBT level, but this year what we have been able to do is to restrict the impact to a little more than 100 crores at the PBT level. So, there are series of steps what we have really taken in terms of renegotiation, refinancing which has really helped us.

Sameer Baisiwala: So, the question is how much of this is fixed versus variable? And therefore, you know, can we say that the impact can be 100, 150 basis point in say fiscal 24 based on your internal workings?

And my fear here is that whatever the rental growth that may come say three, 400 crores, a lot of that gets digested by this increase in interest cost.

Sriram Khattar: So, the fixed rates, the fixed interest portfolio in this

1,900 crores is about 15, 16%. However,

now we are starting to work with the banks which give us these rental discounting, which in by their very nature are much more long term to try and see if we can fix the interest rates for the first two years or two-and-a-half years and then they go back to floating. And the Treasury teams

are working on this . Next year's impact at a PAT level could be about 100 to about 150 crores depending upon how we exit this year . And yes, it will have an adverse impact to the P AT compared to the earlier interest regime, but I think this is something which you have to take in our stride as you go ahead. We have had two very, very good years of interest rates going down, and probably we see interest rates at a little elevated level till FY24 before they start sort of tapering off again in FY25 , 26.

Sameer Baisiwala: That's very clear . And just to be sure you said 15, 16 % is fixed . So, 85% is floating at the moment .

Sriram Khattar : Yes, but, you know, I would just like to add one thing here . When we talk of fixed , we generally have to approach the capital markets for that , whereas the variable of floating rate is available from the banking system . The banking system is much , much more flushed with funds than the capital markets for fixed rate instruments . And therefore , the banks which have healthy balance sheets now are very competitive in the rates they offer . So, therefore, in my personal view , just to compare a fixed versus floating, to take a call will be difficult because of the liquidity conditions in the banking and in the capital markets .

Sameer Baisiwala: Very clear . Sir, quick two more questions from my side. One is on the residential side . Clearly , the demand momentum has been good, but this is a cyclical industry . What are the one or two key risk factors that you see that can , you know, moderate this demand ?

Aakash Ohri : So, with regard to the present demand , I am seeing a lot of business coming in from actual users , and that has completely changed the dynamics , I can tell you today . So, I am not seeing , at this point of time , I'm not seeing , I mean , I'm seeing the investors , but I am seeing them in lesser proportions .

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So, what I feel is that right now over the next a year at least , I am seeing a lot of pent -up demand , but pent-up in a way that people had been deferring , and now people have come down to earlier they were living in homes that were rented or even otherwise not to their liking . But I am right now seeing a trend where people are actually spending a lot of time , and I am saying this because if you see our launches , there were times where during launches , people won't even come to sites. Their brokers and intermediaries would run around , fill up forms , get everything done , and we are done.

But I am seeing this change because whether it is a Midtown , whether it is a floor in phase 1 to 4, whether the DLF 5 grow , whether it is even the new Gurgaon launch that we just did , the Garden City Enclave, whether it was the Valley Garden in Panchkula , I am seeing today that people are not only visiting once but spending a lot of time contemplating , deciding, looking at the orientation and so on and so forth. So, yes, I understand it's cyclical , but, you know, we have just come back after 10 years . At least give us some more time because, you know, the residential business if you see , you know, the last three years , there has been quite a robust demand, but this is not the frivolous demand that used to be earlier .

So, this is not something that can be passed around is what my personal experience has been over this last I would say even six quarters if I can say to you. Earlier I thought it was just maybe a Camellias story , but then as I traveled ,

I saw Chennai , which was an average ticket size of maybe starting at just about 40 lakhs or , you know, every customer today , whether a mid -level or a high level customer is spending a lot of time making sure that they are buying something that they like. You know, they can't be pushed around anymore . It's not that you have got the second floor , so I can shove it down . So, what I am seeing right now is I can safely say that I am seeing a genuine demand right now . So, that cyclical nature right now is not something that I would like to, I will keep in the back of my head right now since you mentioned it . But initially , I mean , right now it doesn't bother me.

Vivek Anand: And if I were to add to , Sameer, to your question , I will say possibly one of the things which we are keeping very close is the interest rates . I think Kunal asked this question earlier . But I think if I really , and that was something we all are at this point in time watching it very , very closely . But if I really look at last three launches we had in the previous quarter , right , these launches were in three different geographies at three different price points across different segments of our customers . I think we have got a very good response . So, sometimes it's difficult to really predict what is working, what is not working.

And if you really see, we are sitting on a repo rate . In fact, repo rate has now touched 6.9 faster than what all the banks had projected sometime in April and May . So, despite that we are seeing that the demand stays as strong as it was before . So, therefore , yes, while interest could be one big watch out , but I also feel that all the other fundamental demand drivers continue to play well at this point in time .

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Sameer Baisiwal: And with your permission, one final quick question . Your intent to generate free cash flow every quarter , whether small or big, I mean , that intent remains , right ?

Vivek Anand: Yes, absolutely. That intent remains. Yes.

Moderator: Thank you. The next question is a text question. We have lost the question from Mr. Mohit . We will move on to the next question , which is from the line of Pritesh Sheth from Motilal Oswal. Please go ahead .

Pritesh Sheth: Thanks for taking my question. So, firstly , just are we all set to launch the last tower in one Midtown this quarter or its next quarter?

Aakash Ohri : No, so it's scheduled for Q1 , but we may prepone it to Q4 because right now as Mr. Tyagi was also saying that a lot of preparation goes towards making the , I mean , working for a new launch, which is a big launch as you know which is in Gurgaon, the high- rise we were talking about .

But the collections and the process there in Midtown is thankfully quite stable right now . So, right now what we are going to be doing is because there will be a price increase also with this .

And just to give you a quick background of what's happening in our adjacent property , the Capital Green which abuts the Midtown, we have almost in the Phase -3 reached a realization .

Not we, our investors , our customers have already almost reached a Rs. 30,000 a square foot realization , whereas we right now are selling Midtown the third Tower C was sold at about 23,500. So, I feel there is a tremendous amount of opportunity here for everybody to invest there . Whether we want to get in now and realize it or we want to stick to the Q1 plan is something that we will, I think we will decide in Q4 .

But at this point in time , I think , again , as I say , we would like to work through that plan because we have seen this. Every time we rush into something , obviously, there's something gets left out. But if we can just maintain this , iterate and work to our plan, I think because, you know, the entire machinery starts to work pre-launch

ch , pre-approval . First the concept , this and that. So, it's

just the gestation period for that, and within the company everybody has to align themselves for that particular long. So, I think the concentration will be here but should push comes to shove and we need to do something there , we will . We are ready for a Q4 . We are ready for a Q1 .

Pritesh Sheth: And just a follow-up on residential . So, I think for next quarter , since Grove is fully sold out , so we already have probably 1,500 crore of visibility for next quarter , right , in terms of , I mean , I guess that project was around 1,800 crore and we have booked 300 crore from that project in this quarter in Q2. So, given that we have a strong visibility , and there are two big launches that are coming one next quarter on Panchkula and in Q4, there would be high rise , so shouldn't, I mean , aren't you more confident that we can do more than 8,000 crore of sales and given the visibility we have , we need to upgrade our guidance or you will still remain cautious given the environment and stick to that 8,000 crore?

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Aakash Ohri : Will remain cautious given the environment . We don't know how everything is going to pan out , you know, seeing what UK is going through and everything else . So, I see again , we are right now at this point of time , I would rather we all be cautious because I think that's the plan we all kind of discuss and set ourselves to do . Yes, if there is opportunity to grab more , you have my assurance that we will leave no stone unturned to do that . But at this point of time , I think the , I'd say the external environments right now is the there are too many variables going on. So, if we just keep our head down and continue to at least work to our plan is what I feel that we would like to do.

Ashok Kumar Tyagi: So, I think we internally definitely feel confident that we can hopefully beat the 8,000 guidance, but given all the externalities including the interest rate, I think right now from external standpoint , we like to conclude the guidance of 8,000 that we have given with hopefully an upside risk to it.

Pritesh Sheth: And one last in terms of high rise , we already have one in plan and Crest 2 would be next year . What all are the other high rises that are already included in a launch pipeline that we have slated ? I guess there is one more in Chennai if I am not wrong, and any other let's say in new Gurgaon that you already have?

Aakash Ohri : So, yes, there is Chennai coming . We are all excited about it . That's going to be the first luxury development in Chennai right in the heart of the city which will be in the lines of Crest, Crest Plus. So, yes, Chennai , you know, we are, you know, happy to go back there with this particular product , and there will be something in Gurgaon. So, yes, so right now if you have seen given the portfolios are pretty balanced with low rise and high rise , and I think that's what you will see from us going forward , because there is thankfully a market for low rise , and there is a market for condominiums which when we started off , we want , I mean , there was skepticism all around . But I think if you have seen the results and the acceptance, I think there is now it's reasonably

established that there are both these markets can work concurrently . So, I think that's what we will do.

Pritesh She th: Very helpful, sir, but that would be next year , right?

Aakash Ohri : Yes, next year.

Moderator: Thank you. The next question is a text question from Abhishek Lodhiya from Yes Securities .

And the question is , if I heard rightly from Vivek sir , that collection of Rs. 1,252 crore doesn't include numbers from Midtown, then what is the collection run rate at Midtown and for this quarter ? Thanks , and Happy Diwali to DLF family .

Viv

ek Anand: Yes, Abhishek, you heard me correct . The numbers what we report are DLF numbers , and we don't include the JV numbers when we report the collection numbers . So, as of September , we have collected close to 400 crores in the JV , and this quarter our plan is to collect 450 crores . As the construction commences and as we are raising demand , we will be having a good upside on collections this quarter.

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Moderator: Thank you. The next question is again a text question from Nimit Gala from Ace Landstone Investments . And the question is, hi, team . Any update on REIT timelines ? Or is there a change in plan may be due to high interest rate regime and rise in cap rates ? I see no mention in the investor presentation.

Ashok Kumar Tyagi: So, there is no change in the plan or the direction . And I think both GIC and we are reasonably committed to the entire thing , but you are right . Given the high interest rate scenario currently going on and the overall uncertainty, you know, frankly , I mean , this obviously is not the best time for a new REIT , testing a REIT potential of our size to come into the market , but we are sort of reading all our firepower to it. And then hopefully, you know, as the market sort of temper and both the shareholders decide , we will bring it to the market, but yes, not in the immediate short term .

Sriram Khattar : So, I will take the liberty of adding one more point to what Ashok mentioned . See, unlike the raise in the capital markets , our raise is not because we need the money , and we in our planning have been reasonably self-sufficient last two, three years and planned to be so in the next two, three odd years where our business cash flows are adequate to service our debt and still give healthy dividends to the shareholders . The raise is only to bring the portfolio in the capital markets , and if I am maybe a little immodest , it's going to be the biggest portfolio , and therefore , we have to do it carefully and ensure that the investors get the best bang for the buck . So, while as Ashok mentioned , our preparation is going on in full steam, it is not that we are under any pressure to do it soon .

Moderator: Thank you. Ladies and gentlemen , this was the last question for today. I now ha nd the conference over to Mr Ashok Tyagi for closing comments .

Ashok Kumar Tyagi: So, thank you. Once again , you know, apologize for getting all of you out on a Saturday morning . I think this has been a good quarter, and clearly , I think we are hopefully getting on to a consistent , you know, good cycle across the industry, across all the three segment s of the industry which is residential, offices and retail . Hopefully, to the point of simplicity , you know, I think we are hopefully still at the early stages of an upcycle, and in the office s business actually emerging from a significant down cycle of th e pandemic.

So, you know, hopefully we still have a few quarters of potentially good external cycles . As you have seen , the organized p layers are the ones gaining share in both the residential and the commercial spaces , and we see that trend to continue , or we continue to stay focused on generating free cash flows in both the residential and commercial segments , and they are obviously deploying them in the residential segment on deleveraging , in the commercial segment on CapExing. And I think , hopefully , our strategy which , you know, over the last few quarters was still sort of bits and pieces is now coming together and delivering on a consistent basis and hopefully, you know, continue being on this journey for the future as well . Thank you once again.

Vivek Anand: Thank you, and a very Happy Diwali to all of you.

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Moderator: Thank you. On behalf of DLF Limited , that

concludes this conference. Thank you for joining us, and you may now disconnect your lines .

Call: Jan 2023

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Sub: Transcript of Earnings Call

Dear Sir / Madam ,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings Call.

Requisite details regarding the Earnings Call are as under:

S. No. Particulars Details
1 Date of Earnings Call 27th January 2023
2 List of management attendees - Mr. Ashok Kumar Tyagi – Chief Executive Officer & Whole -time Director, DLF Limited
- Mr. Vivek Anand – Group Chief Financial Officer, DLF Limited
- Mr. Sriram Khattar – Managing Director, Rental Business
3 Web -link of the Transcript [https://www.dlf.in/qu -result/Q3FY23_Earnings_Call_Transcript.pdf](https://www.dlf.in/qu-result/Q3FY23_Earnings_Call_Transcript.pdf)

This is for your kind information and record please.

Thanking you,

Yours faithfully,
For DLF Limited

R. P. Punjani
Company Secretary

Encl.: As above

For Stock Exchange's clarifications, please contact:
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"DLF Limited Q3 FY23 Earnings Conference Call"
January 27, 2023

MANAGEMENT : MR. ASHOK KUMAR TYAGI – CHIEF EXECUTIVE OFFICER & WHOLE -
TIME DIRECTOR – DLF LIMITED
MR. VIVEK ANAND – GROUP CHIEF FINANCIAL OFFICER – DLF LIMITED
MR. SRIRAM KHATTAR – MANAGING DIRECTOR -RENTAL BUSINESS

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Moderator: Ladies and gentlemen, good day and welcome to DLF Limited Q3 FY23 Earnings Conference Call. We have with us on the call Mr. Ashok Kumar Tyagi, CEO DLF Limited; Mr. Vivek Anand, Group CFO; Mr. Sriram Khattar, MD Rental Business. As a reminder, all participant's lines will be in the listen only mode there will be an opportunity for you to ask questions after the presentation concludes. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vivek Anand.

Vivek Anand: Thank you very much. Good afternoon to all of you and welcome to DLF Limited Quarter 3 Financial Year 23 Earnings Webcast. Let me start by wishing you all and your families a very happy new year and thank you for joining us today. We continue to witness strong business momentum across all business parameters. I'll start with financial highlights for quarter three financial year 23, DLF limited consolidated results. Consolidated revenue stood at rupees INR 1,560 crores. Gross margins improved at 59% supported by a higher contribution of Camellias, The EBITDA stood at INR 542 crores with margins at 35%. Net profit at INR 515 crores reflecting year-on-year increase of 35%. This was primarily due to higher JV profit and a continued reduction in the finance cost. Our Residential business delivered a strong performance and clocked one of the highest quarterly new sales booking of INR 2,507 crores, reflecting year-on-year growth of 24%.

Cumulative new sales for 9 months financial year '23 stands at INR 6,599 crores, reflecting a year-on-year growth of 45%. We continue to see a well-diversified sales mix. Happy to share that 89% of our quarterly sales was contributed by new products. We expect this trend to continue as we scale up our new launches.

Our luxury offering - The Grove DLF 5, Gurugram stands completely sold out, reaffirming demand for quality offerings at established locations. Sales booking during the quarter for the product stood at INR 1,570 crores. The second phase of our recently launched product, The Valley Gardens in Panchkula echoed customers' confidence towards our product offerings in that geography, clocking in sales booking of INR 540 crores during the quarter. We remain enthusiastic about the housing industry intrinsic growth potential, which continues to be supported by a resilient economy. Our focus remains on creating customer-centric products that provide a distinctive living experience with best-in-class amenities across our established ecosystems.

I'll move to cash now. Operating cash flow for the quarter stood at INR 633 crores. In light of the Hyderabad asset development being pushed back, we have repaid the outstanding capex advance of INR 582 crores to DCCDL group out of the surplus cash flows during the quarter. The transaction was largely cash neutral at the group level. Consequently, our net debt decreased to INR 2,091 crores at the end of the quarter, a reduction of INR 51 crores from the previous quarter.

I'll now move to the financial highlights for quarter 3 financial year '23, DLF Cyber City Developers Limited consolidated results. The office portfolio continued its gradual part to DLF Limited
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recovery. Strong momentum across the retail business continues. Rental income grew to INR 1,003 crores, year-on-year growth of 15%. Consolidated revenue at INR 1,363 crores as compared to INR 1,176 crores last year, reflecting a 16% year-on-year growth. EBITDA stood at INR 1,061 crores. Year-on-year growth of 16%. Net profit at INR 358 crores, reflecting a year-on-year growth of 27%. Occupiers attendance across the portfolio continues to inch upwards with gradual recovery across the office segment. While global headwind continues to persist leading to a challenging environment, we expect demand for quality office assets at established locations should continue to garner interest of larger occupiers.

New developments across DLF Downtown, Gurugram and Chennai remains on track, planning

for our upcoming retail destination Mall of India at Gurugram is in advanced stages. The retail business continues to exhibit healthy growth. Consumption trends continue to reflect sustained momentum with sales delivering consistent growth leading to a healthy retail business outlook. We remain well positioned to achieve our business objectives, which are strongly supported by continued housing demand, quality offerings and a healthy balance sheet, right? Thank you for listening to me and we can now open the floor for the Q&A session. Thank you.

Moderator: We have our first question from the line of Saurabh Kumar from JPMorgan.

Saurabh Kumar: I just had a few questions, sir. First is on this DCCDL settlement. So is there anything left? Or are we now fully done on this? And as a consequence of this, should the interest cost on the P&L now further come down? So that was -- I can follow them together and you could respond.

Vivek Anand: We'll answer all of them together, yes.

Saurabh Kumar: Okay. The second one was, sir, essentially on this mortgage rates. So we are now seeing a 9% trend and probably will go to 9.25%. So have you seen any clear trends of reduction in footfalls in terms of site visits? The third is essentially around this, the golf course extension project. I am seeing value of INR 7,500 crores for this project. So I just want to know what is the average price you are assuming for -- through the cycle for this project?

And lastly, on DCCDL, does the rental now include Midtown -- the Downtown, sorry, at that INR 1,060 crores EBITDA through Downtown. And also, if you can talk about the progression at DLF Downtown?

Vivek Anand: Saurabh, thanks for your questions. Let me take it one by one. So this DCCDL settlement of INR 582 crores, which is a cash settlement during the quarter, this completes all settlements. So there is no outstanding or c apex advance in our books as on 31st December 2022. I think that was the first question. That's right. I'll move on. On the mortgage rates, your question was that are we...

Saurabh Kumar: Interest costs will go down due to the settlement now because you were paying some interest on this, too.

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Vivek Anand: Yes, yes, yes, we were paying some interest on that. So that interest has been -- we made this settlement in October. So post October, there is no interest on that. So you will see that reduction thereafter. Yes? Okay? And on mortgage rates, yes, they are now close to 9% and in some cases, upwards of 9%. So your question is, are we seeing an impact on the footfalls, right? So at this point in time, if you really look at our sales numbers, I think the kind of response we've got in our -- in the last quarter, especially the two launches we had, right? We are not seeing any significant impact of that as of now.

The third one was the sectors, 63 group housing. So what we have indicated to you will be the launch value of INR 8,000 crores during this quarter, right? So that's coming largely from two projects. One is sector 93 and 63. And at this point in time, I think we are still in the process of finalizing the launch, including the pricing. But the total square feet I can give you, right, which is the launch, is around 4.4 million square feet for Sector 63. And last part was DCCDL rental of INR 1,003 crores. Does it include Downtown 2 and 3 rental? The answer is yes.

Sriram Khattar: So we received the occupation certificate for Downtown 2 and 3 end of June 22. And thereafter, the tenants took possession and started the fit-outs. So the first rental started trickling in from November. So what we had in the December quarter is a very small portion. This will be much higher in the March '23

quarter and will then sort of stabilize in Q1 of next year to its completeness. For your information, it's -- the buildings are -- building 2 and 3 are completely leased and the rental will be for the entire 1.65 million, except to the extent of one or two floors, which are on hard options with a multinational company.

Saurabh Kumar: Okay. So we are -- I mean, you've already achieved INR 4,200 crores exit NOI this year?

Sriram Khattar: Saurabh going to explain that, right, asking that we should be able to meet INR 4,200 crores this quarter.

Saurabh Kumar: But next year, we should then hit that 45, 46 mark pretty easily?

Ashok Kumar Tyagi: Yes, I would tend to agree. Saurabh, sorry, only one more clarification on the DCCDL advance, you are correct. The advances as of today are completely settled. However, as you are aware, the basic -- the genesis of this advance was that DLF has an onward arrangement for over 15 years with DLF, where DLF constructs the SEZ buildings and transfers to DLF. However, to ensure that DLF is not out of pocket, DLF traditionally advances that money to DLF. So right now since Hyderabad was delayed, this outstanding advance has been refunded back completely. As and when a new building comes back on the anvil, maybe a fresh advance would be taken from DCCDL.

Saurabh Kumar: And just one thing. 6 million square feet of DLF is still left to be delivered by DLF to DLF?

Ashok Kumar Tyagi: Yes, I do not have the exact number, but yes, between Silokhera, between Hyderabad, yes, you're

right, approximately, yes.

Moderator: We have our next question from the line of Kunal from CLSA.

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Kunal Lakhan: My first question was on the pre-leasing that we have done in Phase 2 Downtown, Gurgaon 0.7 million square feet. Can you give us some color on the nature of the tenant and the demand here?

Sriram Khattar: Yes. So this is what we call Block 4 in Downtown Gurgaon. This is a building of about a little in excess of 2 million square feet. 700,000 has been leased to -- I can give you a flavor to two large global capability centers in the banking, financial services, insurance. There are two the bigger ones, and then there are two, three smaller deals.

Kunal Lakhan: Sure. In the same breath, just wanted to check with you, Mr. Khattar, on how is the demand situation considering the global layoffs and the bad news that is happening globally. What's the indication that your existing occupiers as well as the new occupiers that you would be in touch with? What's the indication that you're getting there?

Sriram Khattar: So the -- I can give you the indications. The indications were getting to be quite strong in the month of October. But thereafter, with this US recession and continuous hardening of interest rates has dampened the sentiment marginally. And it has dampened the sentiment in terms of the decision makers wanting to defer their decision by a few weeks or months before the situation in the US becomes clearer.

However, India's cost competitiveness in terms of its highly qualified English-speaking engineers on one side and global quality real estate at very competitive price will always be a compelling reason for international companies to keep coming to India. And that trend continues.

We also see that the movement is to developers who are able to provide Grade A++ places not only Grade A spaces. And provide spaces which are scalable for the potential tenants in the future. In addition, the international tenants, when they first come, they don't start with the physical structure of the place or the financials -- the commercials, they start with the areas of safety, sustainability, wellness, infrastructure and what we have done to ensure that their employees are much more comfortable.

The fifth and the last trend, which I personally find quite heartening is this whole work from home

is slowly coming to an end. Now whilst hybrid will happen, but this leverage, which the -- at least in the IT-ITeS sector the employees had on working from home, it's now being looked upon rather unfavourably by the large tenants who are asking their employees to come back, albeit in the hybrid mode. Now this augurs well for our offices business going forward.

Kunal Lakhan: How about the physical attendance in this quarter?

Sriram Khattar: The attendance varied between various IT parks, but just to give you a flavour, we are at about 60% attendance in Cyber City, Gurgaon -- 60% - 65%. And in Chennai, we are at about 90% and Hyderabad is around 30- odd percent.

Kunal Lakhan: Sure, sure. Okay. And my second question was on this quarter's sales about INR 2,200 crores, you had some new products. If you can break it down between projects, I understand INR 1,500

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crores would have come from The Grove. And what would be the contribution from Panchkula and what came from the rest?

Vivek Anand: Yes. So Kunal, so you're right. So Grove is INR 1,570 crores. Valley Gardens, Panchkula is INR 540 crores, and there are others which are independent floors, which is INR 120 crores. That's broadly the construct.

Moderator: We have a next question from the line of Mohit Agrawal from IIFL.

Mohit Agrawal: So a couple of questions. So first is on the cash flows. Your current construction spend annually is about INR 1,000 crores, INR 1,200 crores against a correction of above INR 5,000 crores run rate. So I'm assuming next year, we move up on the collections run rate, considering over the last 5 -- 2 years, you've been doing more than INR 5,000 crores. So what kind of increase in construction cost do you see? Is it going to be proportionate? So broadly, are your operating cash flow margins going to be similar in the range of around 45%?

Vivek Anand: Okay. Yes. Than ks, Mohit. So you're right. Let me just start with the collections first. So in the first 9 months, we've collected INR 3,722 crores. So on a full year basis, you are right, we'll be collecting upwards of INR 5,000 crores, right? And that's almost an increase of 20% versus last year. Now moving on to the construction. So first 9 months, we've spent INR 974 crores to be precise, including capex. And on a full year basis, we expect that this number will be close to INR 1,400 crores this year, right?

The other part of your question was what is our estimate for next year. So our collections, hopefully, I think by the time we exit this year, our collections will be close to INR 1,500 crores a quarter. So we should be able to sustain that next year. And our construction outflow for next year as we are scaling up will be somewhere close to INR 1,800 crores.

Mohit Agrawal: Okay. And this includes the capex as well?

Vivek Anand: That's right.

Mohit Agrawal: On the rental asset as well? Yes.

Vivek Anand: Right. INR 1,400 crores this year going up to INR 1,800 crores / INR 1,900 crores next year.

Mohit Agrawal: Okay. Sure. My second question is on getting a little bit clarity on the launches based on the data shared in the presentation. So you're supposed to launch about 3 million square feet in the fourth quarter '23, which includes sector 63 2 million square feet.

And could you clarify what is the 0.8 million square feet of premium value homes? And also, if you could elaborate a bit on next year launches of premium value homes of about 4.4 million square feet and also the luxury housing of 3 million? And does it include any of Phase 5 launches?

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Vivek Anand: So let me start with quarter 4. So quarter 4, your first question was on 0.8 million, what we are planning to launch. This is sector 93 Garden City Enclave independent floor. So that's something which we are planning to launch during this quarter. So

we are in advance stage of getting the approvals.

Then what is there as 2 million in luxury housing, that's group housing, the 63 and that's a total of 4.4 million square feet. Of which, we are considering 2 million to be launched this quarter and the balance, hopefully, next financial year, right? So that completes quarter 4.

The next year, yes, there are a lot of launches which we have planned across geographies and across segments. So at this point in time, I will say that the number is 9 million, but I can broadly indicate to you that, yes, we are looking at launching in one group housing in South, one in DLF 5, but more details we will be able to share when we come back to you in May after the annual results.

Mohit Agrawal: Okay. And is there a Phase 5 launch in '24 planned?

Vivek Anand: That's what I said. All those details, we'll be able to share, right, sometime in May. So we are working on it. At this point in time, I think I can only say these are indicative numbers, but we'll be able to confirm to you in May.

Mohit Agrawal: Okay, sure. I just have one more question. On the Midtown project, what is the plan there? We've not seen you releasing inventory for the last 2 quarters. So if you could share your thoughts there.

Vivek Anand: Yes, that's as per plan. So as of now, what I can say is that structure is ready. So out of the total potential sales value of INR 4,500 crores, INR 2,600 crores has been sold. So the structure is ready as we speak. So now we are in the stage of really giving the finishing to the building, and that's expected -- that's going to take some time. So possibly at this point in time, the way we see it is that we will be bringing that remaining inventory of close to INR 1,900 crores sometime in the market, middle of next year.

Moderator: We have our next question from the line of Sameer Baisiwal from Morgan Stanley.

Sameer Baisiwal: Sir, what's holding back pre-leasing of 1 million square feet at Cyber City and roughly 1.5 million square feet of SEZ excluding Silokhera?

Sriram Khattar: Sorry, pre-leasing, I don't think we are doing any new projects in...

Sameer Baisiwal: No, no. I mean leasing, sir. It's the vacant area that I'm talking about. 1 million Cyber City and 1.5 million SEZ.

Sriram Khattar: Yes. If you see the vacancy numbers have been consistently coming down since April and what I have been given to understand that our vacancies are much lower than that of our competitors and peer group. The vacancies are a little higher in the SEZs for reasons which you are well aware

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of, which is the D ESH bill or the amendment to the SEZ, which is taking a little more time than we had anticipated.

But I don't think -- we've now come down to single digits, roughly in the -- in Cyber City. And Silokhera, there is a premium problem, which you are aware of in terms of a Supreme Court case where the vacancy is about 32%, 33%, giving an overall portfolio vacancy of about 10.2%.

Ashok Kumar Tyagi: So if you recall Sameer ji, the vacancy levels have risen to 15% plus at the peak of COVID.

They are declining gradually quarter -on-quarter. And now they are at about 10%, as Sriram said, and hopefully, we'll continue seeing a decline in the future quarters here.

Sameer Baisiwal a: Okay. Great. I guess what I'm also asking is, what's the walk -throu gh versus this year's exit rental and the exit rental in fiscal '24? I can see Downtown Chennai as one driver. Are there any other important items that will drive this growth?

Sriram Khattar: So the rentals of FY '24, the growth in rentals will be one, bas ed on the growth of the existing rentals, which is traditionally what it is for the existing portfolio, plus a full income for the 1.7 million in Downtown 2 and 3 in Gurgaon and a marginal inflow of the rentals of Downtown 1 and 2 in Chennai because please recall by the ti

me we get the OC, which is likely to be later middle of this calendar year, and then the larger tenants who come and do their fit -outs and by the time they start paying rents, I don't think they will be before the first quarter of the nex t calendar year, which will be the last quarter. But then in the following year, the rental for Chennai will come in full bloom. And in the year after that, the rental for the 2 million Downtown 4 will also commence.

Sameer Baisiwal a: Okay. Very clear, sir . And just on the borrowing cost for DCCDL, how much increase have you seen so far and how much is left? If you can just talk about that.

Sriram Khattar: Yes. So I was also quite intrigued to see in this quarter that our interest cost has been constant compared to Q3 of last year, and the borrowings have been constant. And when we went into a little bit of a deep dive, I realize that the interest cost was pretty high in the first 2 quarters of the last year, and then it started dipping and then it started picking up.

Our exit interest cost as of this quarter is 7.85%, 7.86% and I personally don't see the interest rates going up beyond maybe 25 basis points further with the current control on inflation that we have, and thereafter, stabilize and start probabl y looking at coming down later part of this year.

So in my view, interest rates other than 25 basis points would have peaked. And I also say that we've done a reasonably good job in ensuring that we are very competitive when we borrow.

And therefore, the i nterest rates -- the hikes that have been taken in the repo rates, et cetera, the rate of increase of our interest rates is far lower than that.

Sameer Baisiwal a: Okay. No, that's good to hear. If there's only 25 bps left, so that would be a pretty good outcome. And one final question. DLF has roughly 2.2 million square feet of rental assets like Kolkata

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SEZ and Chanakyapuri Mall, etcetera. So what's the thinking over here? You want to keep all of this? Or you want to monetize some point in time in future?

Ashok Kumar Tyagi : So Sameer, obviously, I mean, there's no intent to monetize it on a stand -alone basis. At some stage, as and when there is an eventual capital solution around the entire Cyber City piece, if it makes sense, some of these assets could flow into that. But that's again, something for the future.

Right now, we are focusing on sort of , while it's being managed by a common platform, which is Mr. Khattar's platform. The ownership is still separate between Cyber City and DLF. But at some situations it could be integrated , but I think it's still speculate right now.

Moderator: We have our next question from the line of Pritesh Sheth from Motilal Oswal.

Pritesh Sheth: First is on -- again, on Midtown, just to follow up from previous participants. So the release of, I think, the Tower D will happen sometime in first half of this year, as you said. In that sense, do we think that the second phase of 1 Midtown probably might not get launched in FY '24?

Ashok Kumar Tyagi : Yes, FY '24, I don't think it will be launched in all fairness. Also, frankly, we have a fairly rich launch pipeline. So I don't think we want to c rowd any further by having the Midtown -- I mean the next phase of the Midtown project being launched. But as mentioned by Vivek mentioned by the way, that sometime in the middle of this year, we should hopefully have the resident inventory of Midtown, it'll be released for launching.

Pritesh Sheth: Sure. Got it. I mean the launch was still reflected in our presentation as FY '24. Just wanted to clarify that, thanks for the clarification.

Vivek Anand: Yes. So Pritesh, you are right. And that's the reason I didn't comment on the launches for '23, '24. What I clarified is when we com e back to you with annual results, we w ill give you more details for our launches for next financial year. And

you are right, this 2 million of residential

JV – central delhi , this will undergo a change.

Pritesh Sheth: Sure. Got it. And one on Downtown Gurgaon, our occupancy has dropped from previous quarter to this one, from 98%, 99% to 93% right now. And even with rent that is reflected in our presentation, it was last quarter around INR 136 -odd per square feet. Now it's showing INR 120.

So just wanted a clarification on that. I mean why we saw a drop in occupancy -- I mean, drop in occupancy and drop in rentals as well.

Sriram Khattar : I don't think there is a drop, but we will come back to you with this. We will answer it on Monday for you.

Vivek Anand: We've noted this, Pritesh.

Moderator: We have our next question from the line of Puneet Gulati from HSBC.

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Puneet Gulati: My first question is on Panchkula. That seems to be doing quite well. You are selling INR 500 crores each quarter now for the last two quarters. What kind of potential do you see there? And how deep is that market?

Ashok Kumar Tyagi : So it's an intriguing question, in a sense that we ourselves have been frankly very pleasantly surprised by the depth that Panchkula has demonstrated. As you may or may not be aware, some of this inventory was actually a slow moving -- I mean, plotted inventory with us for a very long time.

And frankly, bounce back has been fairly spectacular. We obviously have some further inventory, am I right Vivek, in Panchkula, which we'll hopefully continue selling. Eventual market size, I think it's still -- I think it will take some time for us to fully fathom that .

Vivek Anand: But just to give you some -- Puneet, right, the total project size is 2.2 million square feet in Panchkula what we own, of which the inventory what we've released in Phase 1 and Phase 2 is 1.4 million square feet. And I can share, we got a very good response of which, out of 1.4 -- 1.3 million square feet has been sold and at our sales value of almost close to INR 1,100 crores, and we've realized INR 8,400 a square feet. And the balance inventory, right, hopefully, should get released in early part of next financial year and hopefully, should get sold.

Puneet Gulati: Yes. So can you give some colour on who or what kind of buyers are these? Are they investors, end users? And the realization also seems to be quite good and surprisingly as well.

Ashok Kumar Tyagi : The realization is good. It's about INR 8,000 plus per square feet in that sense. Ticket size is also almost running to INR 3 crores plus. So a lot of them are who belong to that place. I mean this question about investor and end users is a very confusion one always because obviously, for many of them who are buying, it may be a second house that they are buying, not necessarily their first house.

But they're not -- I'm sure they're not buying only for speculative purposes. There are a lot of retired government officers, retired military officers who belong to that area who are looking at a nice sort of enclave to eventually settle down. I think it's a mix of all of those. But to your first point, the depth has surprised us on the positive.

Puneet Gulati: It's also not main Panchkula as I understand, it's slightly off Panchkula as well in some sense, isn't it?

Ashok Kumar Tyagi : Panchkula is a city of small distances.

Vivek Anand: No, but this is right on the river.

Ashok Kumar Tyagi : Actually locationally, this is actually better than the main Panchkula. What we would normally call the main Panchkula area. From the river it has a great view of the Kasauli hills. It's actually very nice.

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Puneet Gulati: Understood. Got it. Got it. My second is, if you can give some comment on when should we see the time line of completion for Phase 2, balance capex left and the Downtown Chennai balance capex ?

Sriram Khattar : So

Downtown Gurgaon is a huge development. It's about 12 million square feet. Out of which, 1.7, which is Downtown 2 and 3 is already completed, leased out and it is now behind us, capitalized in the books. Downtown 4 of 2 million is under construction. So that takes it to 3.7

million, leaving about 8 -odd million, of which, 3 million is most likely the retail destination mall and the balance about 5 -odd million will be offices. Our planning for...

Puneet Gulati: 2 million square feet, yes, sorry.

Sriram Khattar : So our planning for the mall is at a very advanced stage. Now whether it ultimately comes out to be 2.7 million, 2.5 million, 3 million is really what the architects come out with. And since

this is a multiuse integrated development, the planning is much more integrated and has taken a little longer than what we had anticipated, but we are coming to the end of the cycle for the planning of this.

Puneet Gulati: Okay. So for the 2 million square feet Phase 2 for Downtown, the fourth block, what is the balance capex and time line for completion?

Sriram Khattar : So there, we are planning to be -- have the OC readiness by the quarter 2 of FY '24 -- FY '25.

Puneet Gulati: FY '25. Okay. And c apex to complete?

Sriram Khattar : Capex is a standard. It's about, I think, about INR 700 crores, INR 750- odd crores. Balance capex .

Puneet Gulati: Right ...

Ashok Kumar Tyagi : I mean in the Cyber City business, unlike DLF business, c apex is a continuous stream in that sense, actually, the day c apex stops, it's really death, frankly . This way of Downtown will end, by that time, hopefully, the malls would have begun, by that time the first part of the next 5 million square feet we will begin. So Downturn will continue to be hopeful ly a significant consumer of c apex for the next 5 to 6 years.

Puneet Gulati: I understand. But for the Chennai Downtown, 3.3, which is under development, what is the time line there? And the balance there?

Sriram Khattar : We will be ready for the OC in the next quarter.

Puneet Gulati: Okay. A nd substantial money is spent already, I presume. Right?

Sriram Khattar: Yes, I would tend to think that typically, in a project like this, what happens is that the last 6 months you spend about 40%, 45% of the funds. So about 60%, 65% would have been spent and the balance 35% would be there in terms of the cash flow.

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Puneet Gulati: Sir, if you can quantify the balance amount as well the 40%, which is left?

Sriram Khattar: So about INR 300 crores, INR 350 crores.

Puneet Gulati: And lastly, if you can comment on the competitive intensity in the Gurugram market. The commentary seems to be a lot of new players arising. The old ones who once we thought were dead are also rising back. What do you see there in the market?

Sriram Khattar : See, this is a typical market cycle where when the rentals tend to stabilize and move, you will find a few more entrants coming into the market. But the people who are coming into the market are putting up buildings which are less than 1 million square feet each. And these buildings are unlikely to give scale to the larger tenants who want to take up spaces.

So yes, they will have a market, but the market will be for smaller corporate offices and not for the larger global companies and the group capability centers who will still lo ok at much larger developments for their needs, which are in terms of size, much bigger than these smaller ones. So while this competition will be there, I think we are quite confident of sort of facing them and continuing our journey of growth as we have given the guidance or as what we plan.

Puneet Gulati: And similarly, if you can comment on the competitiveness on the residential side?

Ashok Kumar Tyagi : The residential side, the market actually is right down in expanding mode. I mean from a scale standpoint, the fact is th

at -- I mean, there's possibly one major player in Gurgaon apart from us who is sort of growing at a strong pace. And it is -- we don't force -- we are not seeing any influx of any bigger players of size and scale coming in.

There are obvi ously one -off projects by a number of players, both original Gurgaon players as well as payers coming in from Mumbai and other places. But I mean that's related. Right now the market is clearly in a zone where it can expand and can sort of absorb more, mor e supply.

Vivek Anand: And if I were to add, I think demand continues to grow in Gurgaon market. I think the supply is all-time low right? So at this point in time. In fact, NCR continued to be the highest holding inventory to almost 5 years back. Today, i f you look at the supply in Gurugram, in particular, it's close to 12 to 15 months. So I think that's one shift which has happened.

And if you look at DLF market share by value in Gurugram amongst the top 10 players, we've actually grown our share to almos t double, and the last reported share is 30%. On the pricing, we are seeing, especially again in NCR market, in the last 1 year, we have seen a healthy pricing growth of upwards of 20% versus a national average of close to 10%.

Sriram Khattar: Yes. If I ma y please add to that. See, in the renting business, we don't look at a market, we always study our competition in the micro market. Honestly, the market in which we operate, say, new Gurgaon or Sohna Road doesn't fall into this market segment at all.

Modera tor: We have our next question from the line of Sameer Baisiwala from Morgan Stanley.

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Sameer Baisiwal a: My question has been asked. Just a quick one. Any thoughts on Camellias? And also broadly INR 3,000 crores of finished goods inventory, what's the visibility of selling this time?

Sriram Khattar: So Camellias' inventory out of INR 3,000 crores, as of now, as of end December is INR 1,700 crores, and that's almost -- to be precise, these are 46 units. And during the December quarter, we have sold 4 uni ts. And if I look at the average run rate of last 1 year, it's close to 8 to 10 units

every quarter. So we expect with the price increase we've taken, right, the pace at which we've been selling will certainly now stabilize at 5 to 6. So this will take at least 2 years for us to really liquidate. So that's one.

In terms of the other inventory, which is around INR 1,200 to INR 1,300 crores, I think a large part of it is in National DevCo, which is sitting across almost 20 projects in Tri-City, in Delhi, in South, and this is residual inventory. And just to give you some numbers, 3 years back, this inventory was close to INR 2,500 crores, which now has been in the last 3 years through our focused efforts, we will be able to bring it down to close to INR 1,200 crores as of end December. So our estimate is that this will take another 2 to 3 years before we will be able to liquidate this.

Moderator: We have our next question from the line of Saurabh Kumar from JPMorgan.

Saurabh Kumar: Sir, the first question is specific to your asset Saket, so I noticed that your rental is close to a 160-odd mark. What will be the real reason why that differential versus Select would exist in your view? Select is like near 500. So that's the first one. And that's important, actually, you know why.

The second, sir, is essentially on this Gurgaon, your pricing has gone up quite a lot. But when I look at your disclosures, the gross margin is coming to about 45% odd. So I was -- because we always targeted a gross margin of about 50%. So I was wondering why. Is there some like low-value sales you've done to kind of liquidate a full moving stock? So that's the second one. And the third is on DCCDL again. Accounting would have allowed you to straight line the rentals in this quarter, right? So was there a straight-lining impact which

would have flown through in this quarter? Maybe not from a cash perspective, but from a reported EBITDA perspective, it would have happened?

Sriram Khattar : Yes. So I'll start with the Saket Mall versus this. So I think what you may be referring to is the -- you're comparing the figures that have come in the draft DRHP. The -- first of all, in my reckoning, those figures are for FY '24 or FY '25, their projections. Whereas what you're comparing it with is what you have for the current quarter for FY '23. So that's one sort of gap that you have.

Secondly, as you know, that as a commercial loading, we have 100% loading. I'm given to understand that Select's loading is much, much less. That's number two. Number 3 is that for us, it includes the back block, which is basically the cinema and a few restaurants whereas to my understanding, Select CITY sold its backlog completely, and therefore, the lower rentals that DLF Limited

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you get for the backlog do not come here. There would be other reasons, but I think these three should suffice for the time being.

As we've not had a year to stabilize in Saket because the moment we rejuvenated the mall and enhanced it and opened it, COVID hit us. And I think it's been a rather, how would I say, challenging journey on this till now. In the coming year, we've already seen an uptick in the last quarter in the earnings and the footfalls and the trading densities, et cetera. And I believe that we'll continuously witness it. It is our experience that at a mall comes to full glory of proper sustainable income after 1 or 2 proper seasons that it has seen through.

Saurabh Kumar: Okay. But your incremental rentals will be similar, right, like on incremental leasing that you do?

Sriram Khattar : Yes. Our incremental rentals in Saket would be quite decent. I don't know whether they will be similar to the Select because I do not know what their incremental rentals would be.

Saurabh Kumar: Second is basically on this on this -- on the DCCDL accounting. So was it a straight-line impact?

Sriram Khattar : Straight-lining, Saurabh as usual, your questions are quite incisive. So on a pure cash into basis to an accrual in the period, the difference is about INR 100 crores to INR 150 crores in the year, which is basically because of the straight-lining.

Saurabh Kumar: No, I'm saying for this quarter, your Downtown would have got straight-line into the EBITDA.

Sriram Khattar : INR 40 crores is what it is for this quarter.

Saurabh Kumar: Okay. Got it. And sir, lastly Vivek, on this gross margin.

Vivek Anand: Yes, I'll take that. So gross margin, yes, you're right. So it's -- of the 12.5 million products, what we've launched in the last 2 years, yes, our margins are somewhere close to 45%. Now it is because of, of course, the mix, right? So let me start with the 2.8 million square feet, which we've launched in DLF City and Phase 5, right? So that is 2.8 million, where our average price realization is upwards of 17,000 per square feet, and our margins are close to 50%, right? That's one.

Now we've launched, again, low-rise floors, which is close to 5.7 million square feet we've launched in New Gurgaon and Panchkula put together. And there, our average realization relatively is low at INR 8,300 square feet and our margins are around 35%. And 1 Midtown, Phase 1, what we launch is 2 million square feet, where our margins are around 42%.

If you take a weighted average of this, right, you will get close to the number what you have. So broadly that's what the construct is. So to answer your question, it's a mix of the different products we've launched across segments and across geographies.

Saurabh Kumar: Just to continue this thought. As your presales stabilize on your P&L in terms of revenues, your -- in terms of the operating leverage, because I'm guessing you're spending a lot of overhead

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your brokerage marketing, which is getting in P&L today, which will probably not happen as these sales stabilize. So we should expect margins to kind of move to that 35% plus mark over next 2 years as your revenues catch up to presales?

Vivek Anand: Yes, that's right. Once I -- see, today, if you really look at my revenues, what I'm looking is INR 1,400 crores to INR 1,500 crores a quarter and what I'm selling is INR 2,000 crores a quarter. So there is a gap of almost 25%. I think this will take some time before what I'm booking and what reporting as my revenue catches up, right? So on incremental rate, right, you will see the EBITDA margins really inching upwards to 35- plus levels.

Saurabh Kumar: Yes. So the incremental revenue will come at 45% margin, but the fixed costs don't go up because the staffs

Vivek Anand: Yes.

Saurabh Kumar: Understood. Understood.

Moderator: We have our next question from the line of Abhinav Sinha from Jefferies.

Abhinav Sinha: My margin question has been answered. The Second question which I had was on the independent value number, which has been booked for DCCDL G AV. This seems to have moved up by 10% Q-o-Q both for offices as well as retail and while some of the rental seems to be stable. So any comment on where this could have come from? The increase in valuation.

Sriram Khattar: Well, these are numbers which are given by independent valuers, and they are taken from the report and then mentioned. And I don't think I would like to comment on what valuation has come from credible third parties.

Ashok Kumar Tyagi: But to some degree, I think the reduction in the inventory levels -- in the vacancy levels and I mean the gradual completion cycle of the Downtown, et cetera, starts telling a bit.

Abhinav Sinha: Not to do also with the overhang now with COVID impact?

Vivek Anand: Yes, because that they have not factored in, in this quarter, now they have taken that.

Ashok Kumar Tyagi: So gradually, the values have now begun sort of reducing the overhang of the COVID that was there for the last 2 or 3 years in COVID.

Abhinav Sinha: Okay. Okay. So secondly, any thoughts and I guess that you can provide us on the plans on entering the Noida or Mumbai market, which we may have made some progress during the last few months?

Ashok Kumar Tyagi: So on Noida, I mean a no -- I mean zero progress since we spoke last. On Mumbai, clearly, we continue to try to work with the concerned bank and our joint venture partners in trying to find a solution to the Mahalaxmi project that we have, Tulsiwadi.

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We still are struggling to get everybody onboard in a manner that the project can take off. We are in conversations on potentially one more project in Mumbai. But as and when we're sort of near a closure, we will hopefully make an announcement on that. But as we speak right now, nothing further to report than what we had last quarter.

Moderator: We have our next question from Mr. Pritesh Sheth from Motilal Oswal.

Pritesh Sheth: Even I have a question on Noida, but just very specific, recently, I think we have had a few auctions happening in Noida where we didn't participate. So just wanted to understand your thought process whether the margin profile that we are looking at, is it lower than what we are getting for or what's the thought process there?

Ashok Kumar Tyagi: So two issues. One is obviously, the price points at which those biddings had all started. While obviously, if one is desperate, one can obviously participate in those, but I don't think that we needed to be in those -- with those price points.

The Noida comes with its own set of contingencies in these public auctions, including potentially future unquantifiable liabilities around compensation and those sort of things, which frankly make participating

in Noida public auctions a slightly dicey process. So we want to be very careful before we participate in one. None of the auctions in the recent past were tempting enough for us to participate.

Pritesh Sheth: Got it. Got it. And just last one, your deliveries for the floors that we have been launching since last year, I mean, FY '22 onwards, will we see that start happening in Q4 of FY '23 or that will be largely in FY '24?

Vivek Anand: Yes. So we are trying our best that we make a beginning this quarter, but for sure, it will start from quarter 1 of next financial year.

Pritesh Sheth: Okay. And on One Midtown is 25?

Vivek Anand: Yes, that's it.

Moderator: We have a next question from Mr. Kunal Lakhan from CLSA.

Kunal Lakhan: So just wanted to understand with the Sector 63 launch and the kind of run rate we have clocked in the 9 months, are we rising our sales guidance or how should we look at full year now?

Ashok Kumar Tyagi : Kunal, we still have, I don't know, 65- odd days of the quarter to clock in. I mean, I think we are very confident that we should hopefully be able to meet and slightly exceed the guidance we have given , but we will not like to substitute the earlier number with a new number right now.

Kunal Lakhan: Okay . Sure. And secondly, with the -- Mr. Khattar said we expect like another 25% -ish increasing the rates and then it should peak out. With the peaking out of rates in site now, like if you can give any update on the REIT plans or any of that sort.

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Sriram Khattar: Sorry, your question is not clear. REIT plans?

Kunal Lakhan: Reit plans, yes. So you're expecting the rates to peak out.

Ashok Kumar Tyagi : Hopefully, as the rates start peaking out and then hopefully begin declining, at least the macroeconomic rate-linked uncertainty around the REITs should start gradually melting away. I mean you've seen that at least some of the bigger REITs have had to take the hits because of the interest rate cycle, the way it's panned out and obviously, that's just the nature of the animal , frankly.

So hopefully, as things stabilize, we will come back to you with what the plan is. I mean, as we always mention that our -- downstream wise, we are more or less ready now. I think the last set of mergers should be filed in the next whatever couple of weeks I'm told. And then let's just wait for a, the macro and b, what both the players, specifically GIC feel about the entire process. And then we'll take a call.

Moderator: I now hand the conference over to Mr. Ashok Tyagi for closing comments. Over to you, sir.

Ashok Kumar Tyagi: Thank you so much. So I mean, this has been a good quarter both on the development and on the rental business. Clearly, the development pipeline and the residential sales continues to grow at a strong clip. I mean the home mortgage rates have now gone up in excess of 200 basis points since we began this cycle. But hopefully, it has a very, very limited impact on the entire sales cycle and the sales optimism .

And as we begin hopefully reaching the peak of the interest rate cycle, we do look forward to a good few more years of the entire strength in the residential business. And we, because of our locations and our products that we have are hopefully well placed to be able to take advantage of it. The rental side, I think also, I think the after effects of COVID are now gradually behind us in the retail sector completely, in the offices largely. And the new capex buildout is now accelerating. And hopefully, as we hit fiscal '24, we hit into the confidence stride in both the residential and the commercial side.

Our free cash flows on both sides of the equation, Cyber City and DLF are reasonably strong and which will continue to be deployed gainfully in terms of strategic capex -s and obviously returned to the shareholders. And hopefully, look back to reconnecti

ng back with you at the end of Q4. Thank you.

Vivek Anand: Thank you.

Moderator: Thank you. On behalf of DLF Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2023

(no extractable text — likely a scanned image PDF)

Call: Jul 2023

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27th July 2023

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Sub: Transcript of Earnings Call
Dear Sir/ Madam,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings webcast.

Requisite details regarding the earnings webcast are as under:

S. No. Particulars Details
1 Date of Earnings Call 24th July 2023
2 List of management
attendees - Mr. Ashok Kumar Tyagi – Chief Executive Officer
& Whole-time Director, DLF Limited
- Mr. Vivek Anand – Group Chief Financial Officer,
DLF Limited
- Mr. Sriram Khattar – Managing Director, Rental
Business
- Mr. Aakash Ohri – Chief Business Officer & Group
Executive Director
3 Web-link of the Transcript https://www.dlf.in/qu-result/Transcript_July_2023.pdf

This is for your kind information and record please.

Thanking you,

Yours faithfully,
For DLF Limited

R. P. Punjani
Company Secretary

Encl.: As above

For Stock Exchange's clarifications, please contact:
Mr. R. P. Punjani - 09810655115/ punjani-rp@dlf.in
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"DLF Limited
Q1FY'24 Earnings Conference Call"

July 24, 2023

MANAGEMENT : M R. ASHOK TYAGI – CHIEF EXECUTIVE OFFICER AND WHOLE TIME DIRECTOR – DLF LIMITED

M R. VIVEK ANAND – GROUP CHIEF FINANCIAL OFFICER – DLF LIMITED

M R. SRIRAM KHATTAR – MANAGING DIRECTOR , RENTAL BUSINESS

M R. AAKASH OHRI – CHIEF BUSINESS OFFICER AND GROUP EXECUTIVE DIRECTOR

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Moderator: Ladies and gentlemen, good day, and welcome to DLF Limited Q1 FY '24 Earnings Conference Call. We have with us today on the call Mr. Ashok Tyagi, Whole-Time Director and CEO, DLF Limited, Mr. Vivek Anand, Group CFO, Mr. Sriram Khattar, MD, Rental Business, and Mr. Aakash Ohri, Chief Business Officer and Group Executive Director.

At this moment all participants are in listen-only mode. A question-and-answer session will be conducted towards the end of the session. At that time, you may click on the raise hand icon from the toolbar or type your questions. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vivek Anand. Thank you, and over to you, sir.

Vivek Anand: Thank you, Aman. Good evening, and welcome to DLF Limited Quarter 1 Financial Year 24 Earnings Webcast. First of all, I'd like to thank all of you for joining us today. We are happy to announce that our business continues to deliver sustained performance across all key parameters. We will start with the highlights of the business, financial highlights for quarter 1 financial year '24 DLF Limited consolidated results.

The revenues stood at INR1,522 crores, gross margin at 52%, EBITDA at INR495 crores, net profit at INR528 crores, reflecting year-on-year growth of 12%. New sales booking for the quarter stood at INR2,040 crores, in line with our guidance. Our launch inventory across market continues to witness healthy traction from our customers. We remain optimistic about the demand for housing as the cycle continues to remain positive. We are gearing-up for bringing new product across the markets during the fiscal. We believe that macro tailwinds, along with the strong demand outlook augur well for our business.

In line with our stated strategy of entering new markets, we have announced our arrangement with Trident Buildtech Private Limited to jointly develop a residential project in Mumbai. This is an SRA project, which is currently being developed by a subsidiary of Trident. We will be developing the first phase of the free sale area totalling approximately 9 lakh square feet of saleable area. This will be a pilot project to understand the market dynamics and apply these learnings to see how best we can plan our expansion strategy in this market.

We continue to focus on strengthening our balance sheet and cash generation. Strong collections led to a further reduction in net debt during the quarter. Consequently, our net debt now stands reduced to the lowest ever at INR57 crores. With these low levels of debt, we have almost achieved our commitment of being net zero and hopefully should end the year with a surplus cash position.

I'll now move to the financial highlights for quarter 1 financial year '24 DLF Cyber City Developers Limited consolidated results. Rental income grew to INR1,047 crores, year-on-year growth of 13%. Consolidated revenue of INR1,412 crores, reflecting a 12% year-on-year growth. EBITDA at INR1,088 crores, year-on-year growth of 13%. And net profit at INR391 crores, reflecting year-on-year growth of 21%. The office portfolio maintained its stability, while the retail business continues to follow an upward growth trajectory. Quarter 1 financial year '24 DLF Limited

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consolidated revenue of DLF Cyber City Developers Limited stood at INR1,412 crores, reflecting year-on-year growth of 12%. Consolidated profit for the quarter stood at INR391

crores, year-on-year growth of 21%. We are experiencing strong demand for our new office developments. We have achieved pre-leasing of approximately 82% across our two new office complexes, DLF Downtown in Gurugram and DLF Chennai. We remain enthused about the growth prospect of our retail business and remain

committed towards expanding our retail offerings in multiple markets.

Our rental business has been conferred as the world leader in LEED Zero Water. We hold over 45 LEED Zero Certifications by the US Green Building Council, the highest in the world for any real estate developer. The residential project developed by the company, The Crest, has been voted as the Project of the Year by US Green Building Council, which recognizes projects, developers and builders that have demonstrated leadership in the residential green building marketplace.

Green homes play a pivotal role in reducing our environment footprint, fostering a sustainable and responsible way of life. These awards are a testament of our leadership approach towards sustainability and adoption of green building practices. With a strong pipeline of new launches planned for this fiscal and a strong rental portfolio, we remain confident of delivering consistent and profitable growth across our businesses.

With this, I'll end here, and we can now open the floor for the Q&A session. Thank you.

Moderator: Thank you very much. We will now begin Question and Answers sessions. To ask a question please click on the raise hand button on the tool bar or the Q&A tab and click raise hand. The operator will announce your name when it is your turn to ask the questions. Please unmute your webcam and microphone while proceeding with your questions. You may also send the Question via text from the Q&A Tab. Participants connected on the audio may click * and 1 on your phone to ask a question. Ladies and gentlemen, we wait for a moment while the question queue assembles. The first question is from the line of Pritesh Sheth from Motilal Oswal. Please go ahead.

Pritesh Sheth: Thanks for taking my question. First is -- again, on Mumbai, you mentioned 0.9 million square feet of saleable area. What would be the GDV potential, your launch plans, your initial investment into that subsidiary? If you can just provide some details and whether that project itself has further expansion possibility? And if yes, then how much it would be? Yes, that would be my first question.

Ashok Tyagi: So, okay. So, coming to the Mumbai project, I mean, in fact, I'll use this opportunity to give slightly greater colour to the entire project. This is a part of a bigger slum rehab scheme. And we anticipate once the entire process is complete, the total saleable area, I mean, I know in Mumbai we use RERA carpet but for us saleable area should be in the range of between 3 million square feet to 3.5 million square feet in the -- under the LOI, which is currently under development.

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Now learning from our experience in Mumbai so far, the first phase that has been launched, what we are doing is that basis the slum rehab that has been completed so far, about a 900,000 square feet saleable area is what sort of consummated or very near consummation. So, we are transferring that cleanly into a new entity where we'll hold 51:49, and we'll launch this. The total project on which we are taking a 51% stake will be in the range of, as I mentioned, 3 million square feet to 3.5 million square feet. Plus, there are some adjoining expansion opportunities also that exist. But right now, that is the broad indication.

From an investment standpoint, we anticipate that the total equity, quasi equity or equity equivalents that we'll end-up investing in this project should be about INR400-odd crores. There may be some additional working capital advances, but I think the equity piece of it should be ballpark in the range of INR400 crores for the entire project in that sense, not just for this sliver of 900,000 square feet, which we have disclosed about. We will, at some stage, take equity in the parent company also, but there are some internal restructuring going around in that group, and we'll be able to sort of take an equity position only

post those have been completed.

Pritesh Sheth: Sure, sure. That's helpful. And just to clarify again, so we had the SRA development right? Or...

Ashok Tyagi: No. We did not have the SRAs. The SRA was owned by an entity called Sahyog, which is a wholly-owned subsidiary of a North Indian developer called Trident. So, they had the SRA. We had no SRA. We have entered into this project because we did a lot of recce and we realized that this particular project, a) was offering almost 3 million square feet plus in the heart of Andheri; and b) I think the SRA progress was relatively better than what one normally sees in the early stage of SRAs in most other projects.

Pritesh Sheth: Sure, sure. All the best for that, and welcome back to Mumbai. My second question is on the

increased vacancy that we have seen in the commercial portfolio largely on the SEZ side. So, any particular tenant, obviously -- I mean, whoever is left has any further space to be vacated and how do we see this trend going forward? And when do we expect that improvement to come? And I think non-SEZ has been doing well. We have shown that in our pre-leasing portfolio as well. But just your comments on SEZ portfolio.

Sriram Khattar: So, in Q1, there has been a large tenant of about 0.5 million square feet, which vacated in Cyber City, Chennai. And because of that, the vacancy has temporarily gone up, and it's a minor blip. I'm pleased to share with all of you that we have negotiated to lease that entire building of about 0.5 million square feet to a strong American company.

As we speak, whilst the negotiations and handshakes are over, the paperwork is going on to give it on lease. Their lease starts from October 1, and therefore, there is a temporary blip in the revenue earning, but it will pick-up very quickly.

Overall, the SEZ market has been a little weak. We have had the existing tenants take up space. Fortunately, for us, the vacancy has not increased because of that. And we are quite hopeful that the Ministry of Commerce and the Department of Revenue and the Ministry of Finance are in the final stages of issuing a gazette notification for floor-wise denotification for the IT-ITeS SEZ. Once that happens, I think the take-up will pick-up quite well.

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Pritesh Sheth: Sure, sure. And one last question to Vivek. We have now around INR3,000 crores of cash in our balance sheet, where we will generate another INR2,500 crores, INR3,000 crores this year -- rest of the year, what are our allocation plan? Do we expect some -- should we expect some dividend payments this year, which should be higher than our usual payouts?

Vivek Anand: So, hi Pritesh, I think my response will always be the same that yes, this extra cash, whatever we are generating, our first priority is to put it behind growth. So, we'll continue with that priority. And secondly, we'll continue to reward the shareholders as we've done this year.

Pritesh Sheth: Sure. Any specific growth plans you want to highlight, or it would be like.

Vivek Anand: So, it is like, for example, we talked about -- very recently, we talked about entering a new market. So, it is something which we are always exploring and evolving, right? So, there is nothing for me to specifically call out, but this is a continuous process, which we really go through. So as and when it happens, we'll be more than happy to share with you.

Ashok Tyagi: Pritesh, like Mumbai, once an opportunity sort of gets curated enough for us to put a disclosure out, we will definitely put a disclosure out. But right now, I mean, some of those are just very early WIPs.

Moderator: Thank you. So, the next question is a text question from the line of Vasudev Ganatra from Nuvama.

Vasudev Ganatra: One, what are the exit rentals that we are expecting in FY '24 and FY '25? Two, how is our capex trajectory moving and our progress on leasing the vacant spaces in the rental's as

set in DCCDL?

Three, what is the presales guidance and launch trajectory for FY '24?

Sriram Khattar: So, let me give you on the -- based on the March '24 quarter, the exit run rate will take the rentals up to about INR5,000 crores. And based on the exit rentals for March '25, this will go up further to about INR5,600 crores, INR5,700 crores. But these are just the rentals. To this, we have to add the maintenance and power income that we have, which will also grow to about INR225 crores in FY '25 and INR275 crores in FY '26.

On the vacancies, I have just explained on the SEZ side. On the non-SEZ side, I'm pleased to share that vacancies have been slowly coming down. And if we go as per plan, by the end of this year, we will have come down to a vacancy level, which should be roughly similar to what it was in the pre-COVID times.

Management: Sales guidance, Aakash?

Ashok Tyagi: So, the sales guidance, as we had mentioned last time also, continues in the range of 12 to 13. But given the fact that we are planning some major launches in the second half of the year, I mean, obviously, there is an upside risk to it. But from a guiding standpoint, I think we'll still stick to the 12 to 13 number that we had mentioned last time.

Moderator: Thank you. The next question is from the line of Puneet Gulati from HSBC. Please go ahead.

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Puneet Gulati: Thank you so much. My first question is, again, on Mumbai, if you can give some more colour on what are you investing for the first phase? What would be the potential saleable value and what are the liabilities associated with it? Just for the first phase, I think it would be a good

starting.

Ashok Tyagi: So, in the first phase, as you mentioned, the saleable area will be ballpark 900,000 square feet. Obviously, Aakash and his team will do a recce of the sale prices prevailing in that area. I mean, you guys are all Mumbaikars, you will have a far better idea of that, so I wouldn't right now hazard. We expect that to be ballpark, at least the 900,000 to be ballpark at least in the range of a couple of thousand crores. But that, obviously, the price points and all will be closer to the launch.

The balance piece, obviously, is there. As we said that we have, I think, broadly invested about INR400 crores in equity or equity-like instruments -- not in equity, but in equity-convertible instruments in the entire structure. But we'll be basically taking hardcore equity in the upstream vehicles only once some of the restructuring get there and gets completed. This particular entity, we've transferred 900,000 cleanly into this entity. And in this entity, there's 51:49 equity, but this entity, to be fair, is a very thinly capitalized entity.

Puneet Gulati: Right. So, you're putting INR400 crores, and you get a 51 percentage of the 0.9 million square feet area, right?

Ashok Tyagi: No, broadly about 3.5 million square feet.

Puneet Gulati: But what for the 0.9 million square feet? 3.5 million square feet is for the full project, right?

Ashok Tyagi: 3.5 million square feet for total piece. This 0.9 million square feet is being transferred at a pre-agreed price from Sahyog to this entity, Pegeen. So, the equity here is actually very very good. But overall, our investment of the INR400-odd crores will hopefully give us a 51% equity or a stakeholding in the entire 3.5-odd million square feet.

Puneet Gulati: Okay. And then construction costs would be shared equally?

Ashok Tyagi: Yes, the construction costs and the selling price and construction costs would obviously be there. Yes.

Puneet Gulati: Okay, okay. So simply put INR400 crores for 3.5 million square feet?

Ashok Tyagi: So, there is the selling price, there is the construction cost and there is the slum rehab cost, which also -- which basically substitutes for the cost of land in normal circumstances.

Puneet Gulati: Okay. And what would that likely be and how much

area?

Ashok Tyagi: No. So right now, we are focusing on first getting this 900,000 to the market. This 900,000, as we mentioned, I think, should have a significant amount of both sales revenue and margin. But -- I mean, broadly, I think you guys will know what are Andheri West price points are in this area. So, you can do your modelling basis, this will be a normal high-rise. It will not be ultra-luxury, it will normal good high-rise. So, I think, I presume it will cost in the range of whatever, DLF Limited

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INR6,000 to INR7,000 a square foot that these things cost. And I think the residue would be the margin that will be emanating from this part of the project.

The balance is obviously because it does involve a lot of slum rehab work as well, the cost in rehab obviously gets more complicated. And I think we're still trying to put our entire hand in. What we did not want was that unlike in the case of our other joint venture in Mumbai, Tulsiwadi, we did not want to sort of delay getting the first launch to the market while waiting for the biggest one. So, let's get the first launch to the market fast. And then hopefully, that a, puts us the template; and b, obviously start cycle of virtuous cash flows.

Puneet Gulati: Okay. And hypothetically, sorry to level on this point. Hypothetically, if the further JV does not take off, then would it be fair to assume that the maximum investment on your part would only be INR400 crores and the balance construction cost?

Ashok Tyagi: If the balance piece doesn't take off, then obviously, the INR400 crores will also not -- will also, in some form and shape come back for sure. The idea is that the balance slum rehab, there's an LOI signed. Slum rehab is proceeding fairly aggressive clip there in that sense. In fact, some of the analysts I know are aware of the clip at which it's happening right now. So honestly, I don't think that is better. It's not that we are ending up spending INR400 crores for 900,000 square feet. I think if that is the question, the answer to that is a definitely, no.

Puneet Gulati: Yes. Okay. Understood. My second is on this quarter's gross margin's number. So gross margin was slightly lower compared to the previous quarter. How should one look at it? Is that -- how should one look at those numbers?

Vivek Anand: Yes. So, Puneet, you're right, the current quarter gross margin is upwards of 50%. It's at 52%, which has dropped from 57% of quarter 4. And I think, it's largely due to the product mix, right? So, the super luxury of -- in the base, which is quarter 4, we've issued possession letters for almost 26 versus 11 in the current quarter, right? That's the reason why we are seeing a drop in gross margin. But if you compare quarter-on-quarter, it is almost flat, right? So, 53%, 52%.

Yes. So -- but in terms of our guidance, I think we've been giving the guidance that current year, we will be holding on to 50%-plus that stays. There is no change in the guidance on the gross

margin.

Ashok Tyagi: And again, Puneet, alert, I mean all of these margins pertain to sales done four years back.

Puneet Gulati: Right. I understand that. Yes. Okay. And lastly on DCCDL, how do you expect the borrowing cost to pan out? It's almost at 8.13%. Do you expect it to increase a bit? Or do you think it has peaked out here?

Sriram Khattar: So, you know this is just gazing through the crystal ball, but we expect this cost to go up marginally to about 8.2% to 8.25% and then plateau out at that.

Moderator: Thank you. The next question is from the line of Parikshit Kandpal from HDFC Securities.

Please go ahead.

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Parikshit Kandpal: My first question is again on Mumbai market. So typically, Mumbai market is almost one lakh crores, in terms of volumes, in terms of value. So, you're kicking-off your first project now. So how do you think Bombay will pan out for you in the

next three years to four years? So, what's

the strategy here broadly? If you can help us understand what is the total development value?

What is the total saleable square feet as of now and how big can this portfolio be to your overall sales?

Ashok Tyagi: Okay. So, as I mentioned to the earlier speakers, the current LOI that the slum rehab company has in addition to a couple of adjoining parcels that they're trying to close should give a saleable area of about 3.5-odd million square feet, somewhere between 3.3 million square feet to 3.5 million square feet, depending on the final configuration. Now I do not wish to put a speculative price point in the -- on the horizon. But I think all of you would broadly be able to understand or make your own assessments of what the price points in the Andheri West, that particular micro market would broadly be, so you can make your own assumptions.

From a construction cost standpoint, we believe that the cost of constructing this sale area should be in the range of INR6,000 square foot to INR7,000 square foot. And the cost of constructing slum rehab is typically in the range of INR2,500 square foot to INR3,000 a square foot.

So those are the broad numbers that we seem to be having right now, and we seem to be broadly working, which basically means that we should hopefully get a fairly decent return on this entire piece. The first 900,000 square feet launch is an important launch for us because that really is the first time that DLF is actually launching a project in Mumbai. So, it's like a pilot. And hopefully, if that goes well, then this entire equation will keep on multiplying forward.

Parikshit Kandpal: So besides this, this Tulsiwadi, so any update there? I mean any progress there? I think there was the restructuring which was happening there? So...

Ashok Tyagi: So, no, Tulsiwadi is not in the midst of restructuring. Tulsiwadi is in the midst of actually in an acute intersay shareholder dispute because of which, frankly, there's also a lender whose loan has been -- is delinquent. It's currently in NCLT Mumbai, the lenders have initiated a process for share invocation, which like responsible corporates, both us and Shapoorji Pallonji fully supported. But the third shareholder did not. And right now, it's all in NCLT. I think, given the multiple legal fronts that this issue is being right now challenged by the third shareholder. I think it will take some time before it really stabilizes in our system.

Parikshit Kandpal: Okay. And just on this size, like, I mean, what kind of pre-sales on three years to four years from here on? So, what kind of contributions can come in? Can it be as big INR4,000 crores to 5,000 crores contribution coming in from the MMR market sell for you in three years to five years?

Ashok Tyagi: I think right now, much as I'm tempted to, I would keep my counsel to myself. Let's first get the 900,000 square feet to the market. Let's understand what are the contributions we make and then we can project. I mean at a INR20,000 a square price, it's a different product. At a INR25,000 a square foot, it's a different product. At a INR30,000 a square feet, it's a different product, where in this entire equilibrium the price points will eventually settle for a good sustainable sale velocity of at least like INR1,000-odd crores a year is I think the key point.

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And in my view that it's still early days, but I think we -- let's just sort of you know. I mean clearly, we believe that normally, if you see most of our Gurgaon projects are in the range of at least INR4,000 crores to INR5,000 crores of saleable revenue and a good 35% to 40% margins. We don't believe that these numbers should be any different from here. But again, I would honestly hesitate to hazard a more specific number, right?

Parikshit Kandpal: But are you looking for any commercial also? Because I understand it's a large lan

d parcel once

it gets cleaned up, so entire 3.5 million will have 16 acres to 17 acres and maybe you look at doing some commercial there. So, what will be the...

Ashok Tyagi: You are correct that it is a significant land parcel. You don't get 3.5 million square feet developable area in one contiguous parcel in -- on the western suburbs. So potentially, and while -- the first 900,000 square feet would, by and large, I think be residential, that's pretty much done deal. But on the balance pieces, there could be a segment of it, which is commercial, but I think it's still subject to a lot of master planning that's going on.

We have set up an office in Mumbai now as well. And we have a couple of very senior people who've joined us from the Mumbai market. So, I think we are clearly not trying to inflict our Gurgaon knowledge into Mumbai but looking at what the local guys do. But I mean, honestly, in this entire FSI mass that we'll have, a portion of it could be commercial in nature, for sure.

Parikshit Kandpal: And just the last question, sir, if I may, on this INR19,000 crores of planned launches, so if you can give some more colour on or just some names to these launches or some sectors where the premium segment and -- if you can give some granularity to this?

Vivek Anand: So, I think this is something we talked about in our last call as well. So, this 11 million square feet of launch we are holding on to the plan, which is -- which includes a high super-luxury residential in DLF 5. Most of them are 3.5 million square feet, expected sometime in quarter 4. We have a high-rise luxury residential development coming up in Chennai, which is 1.2 million square feet. Then we have a large project, which is mid/high-rise in New Gurgaon, Sector 76/77 coming up in quarter 3, that's close to 3.5 million square feet. Then we have a residential low-rise coming up in Chandigarh Tri-city, hopefully the end or early quarter -- the quarter 2 end or early quarter 3.

Then we have commercial SCOs in multiple geographies, which include Gurgaon and Tri-city, and that happens -- that's happening across quarters. That's around 0.7 million. And the last is Noida, which is 0.8 million. Here, we received OC, and I'm happy to share that the rental income will start coming in starting this quarter. And we are continuously evaluating how fast we can monetize this asset. So that's broad construct of 11 million square feet of our planned pipeline for the current fiscal.

Moderator: Thank you. The next question is a text question from the line of Biplab Debbarma from Antique Stock Broking.

Biplab Debbarma: One, are we going to use the surplus cash flow in expanding in Mumbai as well as doing capex projects in DLF? Two, what are the payment terms in the Mumbai project? And what are the responsibilities between partners?

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Ashok Tyagi: So, I'll answer the second question first. No. I mean it's a joint venture, but I mean, we'll obviously recruit the requisite talent in the joint venture. But broadly, I mean, the local thing, which is the entire approval processes in the slum rehab and all the places that I go with it, the local partner will be more adapted that. And the construction and sales and branding and financial closures are stuff that we do better, and hopefully, we'll get those skill sets to the table. I mean, obviously, this is a continuously evolving process. So, I'd say it's not like one time we cut a check and took 51% equity off the table. This will be an evolving thing. And as I said, ballpark, we believe that the total equity that we invest in this project, at least at the size at which it currently is. Tomorrow, another couple of million square feet gets added, it's a different ballgame. But at the current size at which it is, I believe that about INR400 crores should be the total equity that, give or take, that we should be investing in it. And if you see

our balance sheet, actually already that money is invested in a couple of those entities there right now in a convertible instrument format, which once their internal restructurings are done, would get converted to equity.

Moderator: Thank you. The next question is from the line of Kunal Lakhan from CLSA. Please go ahead.

Kunal Lakhan: Hi, thanks for taking my question. Firstly, again, on the Mumbai project. Tyagi Ji, we have seen in the past like that in Mumbai, slum rehabs are generally very complicated, long gestation, approvals get stuck. How have we safeguarded ourselves in terms of such delays?

Firstly, like if they are beyond the approvals, I assume you said that the slum rehab portion for the 0.9 million square feet is already done. So, where we are on the approvals process here? And when can we expect launch of this project, a formal launch? And a related question is like what kind of product segment would we look at? Because DLF is known in Gurgaon for putting up these large apartments, and how will we look at launching in Mumbai? Considering this will be our first project in Mumbai, how will we position it?

Ashok Tyagi: Okay. So, let me first answer you the -- what was the first question? I'm sorry, I understand the second on the size of the project, your first question was very complicated. Can you repeat...?

Kunal Lakhan: So, the first question was in terms of approvals, like where we are on the approval side?

Ashok Tyagi: Got you. Approvals and lessons learned.

Kunal Lakhan: Yes.

Ashok Tyagi: So, look, Kunal, we honestly have reflected a long time before re-entering Mumbai, as you know, in fact. And broadly, the three or four things we are doing differently here is that, a, we have taken 51% with the specific intent of taking overall operational controllership of the project. I don't think there's any doubt on that, that we will be the operational people who will be running this project be it construction, be it sales, be it financing, those sort of things.

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Secondly, we took a project where the slum rehab is not a complete greenfield but a brownfield. I think if I'm not mistaken, some 27 stories of the first tower are already built in, I think. And so, in that sense, a certain spec is already consummated.

The third thing was -- we did was that we did not link the first launch to the entire slum rehab completion, all of those things. But this FSI, which is consummated today, we are cleanly transferring into a new SPV, where -- which is currently our 100% subsidiary, where we will issue 49% shares to the partner and do the first launch there so that actually the team which are doing the sales, area construction and the sales and all of those things are completely isolated from the entire challenges that typically go in the slum rehab schemes.

Parallely, obviously, we are keeping a very close eye on the entire slum rehab and obviously, the slum area construction and all of those things, and those will continue. Approval, the approval of the slum rehab is already done, obviously, that the LOI is clearly approved for the entire area. The building plan approvals for the sale area will, I think, go in -- going shortly. And you can never say about approvals, but we definitely anticipate that the first launch should definitely happen 12 months from now at the latest, hopefully within this financial year.

About the pricing. No, honestly, this is early days, but clearly, at least our first launch, and it's a matter of internal discussions, frankly, between our technical teams, marketing teams and the partner. But we are clearly looking at, at least the first launch should be of a product sizing and specs where the velocity of launch, the velocity of sales is pretty high or reasonably high. And that's where we're looking. Aakash, you may want to weigh in on the entire sales cycle of this entire piece?

Aakash Ohri: So obviously,

if you see the West Andheri side, there's a certain ticket size that prevails there.

And you know go a little further to Lokhandwala, there is something, I would say, a little better than what that area is. But what I have seen there is a latent demand there. And I feel that one thing that I can very confidently tell you all today, that the first trip that I made, and post that, I think there's been a considerable amount of feedback that I have got, which has been quite encouraging.

I've been told -- I just hosted a very big brokers conference, which was just for Rest of India, nothing to do with Mumbai. But obviously, the same kind of questions were thrown at me. But there is a lot of interest for DLF to come there. You're right, you talked about a certain way that we operate. And I think the DLF lifestyle is something that we will bring there.

There is a -- we have been asked about sizes which you know are still in the making. But one thing that you all can be assured is that it will be how we've been operating all over the country, you will have the same thought process. And what is going to be on the ground is going to be something that Mumbai is yet to see, especially in those segments. So, I will strongly encourage you all to buy because this is -- wherever we have been, we have thankfully, positively changed the market.

And here also, I think with all the intent that we will bring to the project, both from the operations point of view, of course, the concept and the product and all will be very exclusive for the

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segments, I repeat, that we will bring in there. But rest assured, you will have our trend in everything that we do there as well. So, we're also equally excited about Mumbai on groundwork and all that. I mean, we will only formally come in post all our approvals, but right now, it's just an announcement. So, I think you all please wait for this next announcement.

Kunal Lakhan: Sure. Just a follow-up on that. So Tyagi Ji, you mentioned that it's a joint venture and 49% stake is what partner has. So, I'm assuming he'll be contributing to the construction costs and overheads in accordance with his stake, right? So...

Ashok Tyagi: No. Those will be done by the SPV. So, I mean the construction costs, the sales costs, the approval costs will be costs of the SPV. So, the SPV profits will be distributed in the 51:49 ratio.

Kunal Lakhan: Sure, sure. So just -- the reason why I was asking was that how well capitalized your partner is in terms of like, you know...

Ashok Tyagi: Actually, hopefully, once the product hits the operating phase, neither of the two shareholders will need to put in money because hopefully, Aakash would sell at a price and the 70% account of RERA will be more than sufficient to defray the operating and even the slum rehab expenditure. So frankly, we do not anticipate putting any significant amounts of money into this project once it's the operational stride. The money that are being invested are essentially two-folds. One is from the time that operationally cash flow starts and we obviously continuing to build on the slum rehab.

A lot of developers in Mumbai, what they do is they just make enough for the first launch, then the slum rehab also stops and then let's wait for the first launch. We will continue to invest in slum rehab because what we are targeting is that hopefully, we have 900,000 square feet launched at the end of this in fiscal, six months to nine months down the line, the next 1 million square feet should be available for launching as well. So, we want this to become like a cycle in that sense. And that is important.

Also, the one thing I thought I would say at the end, but since there are so many questions on Mumbai, I just want to put for everybody's -- and I appreciate the fact because all of you reside in Mumbai. We are right now in the second half of the year and already underway, looking at

three projects in Gurgaon. One is what Vivek mentioned in Sector 76/77. It's a project 4x the size that we are proposing to launch this quarter.

The second is the DLF 5 piece as Vivek mentioned. And the third is the entire Downtown project that Sriram will hopefully step up -- I mean, step across the next few years. Just as a reality check, the GAV of all of these 3 projects will be hired in Mumbai. Hence, I can appreciate the enormous interest around Mumbai.

Kunal Lakhan: My last question is for Khattar Ji. Sir, you mentioned a little earlier about non-SEZ vacancy at the year-end being closer to, say, pre-COVID levels. Can you comment the same on the SEZ vacancy side? Where do you expect that to settle by year-end?

Sriram Khattar: No, I wouldn't like to comment on that. As I said earlier, we are quite confident that Ministry of Commerce and Ministry of Finance are working on floor-wise denotification, and we expect that

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shortly. Once that comes, the ability to de-notify and then to lease out will happen and therefore -- thereafter, the vacancy in SEZs will also start coming down. Will we reach pre-COVID levels? It's a little difficult to say at this stage because I am not yet certain on the timing of the notification, and thereafter, the time the development commissioners will take to approve the denotification, floor-wise. So maybe during this call, at the end of Q2, we will have much more clarity on this.

Moderator: Thank you. The next question is from the line of Abhinav Sinha from Jefferies. Please go ahead.

Abhinav Sinha: thanks for taking my question. I'll take the hint of Tyagi Ji and bring it back to the NCR market. So, sir, can you talk a bit about the pricing which has been achieved in Camellias and the Midtown project this quarter? And how are things looking there?

Ashok Tyagi: Okay. So, I think you have almost given Aakash like a penalty stroke that he was waiting for all of these 45 minutes now.

Abhinav Sinha: Sir, please go ahead, sir.

Aakash Ohri: So, Camellias, obviously, has been performing phenomenally. I'm happy to let you all know that we are now trading anything upwards of, say, INR45 crores to about INR60-odd crores per apartment. We are looking at, in fact, there will be just another price increase. So INR60,000 a square foot plus, plus whatever you can attribute even today. I'm talking about INR60,000, just the BSP-plus your PLCs and all that is your present price point. You have seen last quarter's performance. So, we've got now the last some apartments left. So basically, these are, obviously, in Q2 also, we will take them out. But just to give you a little bit of -- a little more in-depth analysis of where we are.

So, we have in Camellias out of the -- stock of these 20, 30 left, we have just about seven of them, which are floor eight and below. Now why I specifically mentioned this to you is because if you see our valuations and you see where the numbers that we are talking about, so INR60,000 is already achieved, INR70,000 is what hopefully, we'll announce soon. But I see this going up to about INR1 lakh a square foot in no time because it is going to jump now. If you see the kind of valuations like what Mumbai does and see the work and in fact, you all have seen the view corridors and just the vistas and all are so phenomenally good, the infrastructure, the kind of people, the social infrastructure.

So, I feel today, if you're actually looking at if an NRI or anybody else wants to look at a good, green, safe, happy environment to invest in and live there primarily, what is the option. So one

is that.

Second, as I say, we are walking our talk in every other -- I mean, in terms of development for that area, both from operations point of view and the hospitality. And most importantly, if you see the Camellias is today, an average apartment is -- right now, rental for an average apartment is any

thing between INR8.5 lakh to INR10 lakh. This is, I'm saying the smallest apartment size, which is 7,400 square feet.

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So there, the demand for Camellias, we are right now in the home run, so -- and when I look back, I think it's been quite a gratifying journey there, a lot of work. And I still recall 18 months back when we first came onto the first call, there were so many doubts you all had, where quarter-on-quarter, one tried to allay them, and -- so where we are today is just now the final thing, but it's going to be valuation. And I definitely see once more people trade.

So, there was another thing that I'd like to add here, when the registrations happened in Camellias, and this is very important for everybody to know. I was told that the market prices will drop and there will be a substantial amount of corrections and all that. Let me happily tell you today the re-trade market in Camellias, the last thing -- the last apartment that was sold about a week back has been sold at about almost INR5,000 square foot more than what I'm in the market at.

So that has further validated the kind of work that we've been doing. So, all those, I'd say, what people had presumed and assumed has also gone out of the window because everybody who thought that they could trade it below certain price points have also now realized that, look, this is not going to be an easy buy.

So that itself has established a good price point. So, Camellias there, I feel please watch this space because I think that will be a benchmark for the country, for sure. Everything else has been kind of achieved there. So, I think price points there will continue to go up. And I reiterate substantially.

Moving on to OMT. We've got some great traction. That market, as you know, is a little bit of a different issue there in terms of -- price points has never been an issue, but I think, the way that financially, how that -- real estate wise, how that market operates has historically been a little bit of a problem with all check deals and all. And because of our policies and what we are doing, prices have definitely gone up. Sales have been pretty good. We have replaced sales. Collections have been pretty good for the last two quarters.

But I think, whatever work that we are doing in ONE midtown today, a lot of work on ground that we did in Gurgaon to establish these communities to make sure that our investors are also making money as we go along and sell. So, I feel as we are coming closer to handover, which will be sometime later part of mid next year, you will see a substantial increase there as well because that is Delhi. And no matter what happens there, prices will have to go up.

But I think at this point of time, we are going to be launching the Tower D soon, sometime later this quarter. But there also -- there's, again, just one, I'd say, 20%-odd of the stock, which is now left. Rest is all being done and is being realized as we speak. But I think that the sales -- the realization potential for our already invested patrons will be reasonably high there as we move along there as well. So, both looking good and Gurgaon and all, you already know. So, I think yes, that's where we are.

Abhinav Sinha: Sir, great to hear. A couple of questions for Khattar sir also if -- with your permission. So, sir, one, we can see Mall of India now mentioned in the area under development, slide 14 of the presentation. So, is this started now? And what are we looking as timelines here?

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Sriram Khattar: So honestly, the planning started quite some time back, but now we have nearly completed the master planning and the detailed drawing should start in the next month or so. If all goes well, we will probably start in Q3 of this financial year, the construction.

Abhinav Sinha: Okay. And sir, one last question on the offices front. We have seen large

precommitments. So

now you have about 82-odd percent lease there. So, at the time of handovers, which I'm assuming is somewhere end of the year and early next year, do you envisage a shift from the currently occupied space to Downtown, or these are completely different tenants?

Sriram Khattar: So, this has happened when we even let say, Cyber Park a few years ago, about 10% to 15% of

the existing tenants in Cyber City do move there. And that is true for even Downtown 1 and Downtown 2. Downtown 4, there is one tenant which is going to move from here. As we speak Downtown 4 out of the 2 million-odd square feet, 1.7 million, 1.75 million is already leased. There is an advanced stage of discussion with another tenant who would also partially move from Cyber City.

In Chennai, out of 3.3 million that we are doing, we've leased 2.9 million to 3 million already there because the existing IT Park was an SEZ Park, we have not seen any movement from one park to the other.

In terms of timelines, we expect the occupation certificate for Downtown Towers 1 and Downtown Towers 2 by late August, early September. And we are hoping to catch a sliver of rentals in Q4. The full rentals of Downtown 1 and Downtown 2 will come in, in the current year and Downtown 4, the rental will start in the last one month or two months of FY '25.

Abhinav Sinha: Okay. And for Chennai?

Sriram Khattar: Chennai Block 1 and Block 2, the rental should start before the end of this financial year, maybe February, maybe March. And the third tower, which is given to Standard Chartered Bank will start end of FY '25.

Moderator: Thank you. Ladies and gentlemen, that would be our last question for today. I now hand the conference over to Mr. Ashok Tyagi for closing comments. Thank you, and over to you, sir.

Ashok Tyagi: So, thank you once again to all of you for joining us today. I mean this Q1, I mean, the way we look at it is a continuation of the last few quarters where the focus has been on strengthening our sales engine, strengthening the quarter-on-quarter delivery on profits and cash flow. I mean some of you may recall the days when DLF used to have -- the DevCo side used to have a net debt almost nearing INR20,000 crores.

And this quarter, we are down to INR57 crores, which is as close to zero, hopefully, as it gets. The rental piece is now -- I mean, it's actually witnessing a situation where, hopefully, offices and retail are both growing very aggressively. We do have a slight sort of -- our launch pipeline is more slightly tweaked to the second half of the year. But hopefully, in the second half of the year, you'll actually see a lot of strong launch.

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After a long number of years, we finally re-entered Mumbai and there also, we should hopefully see the first launch in the next nine months to 12 months. And then hopefully, that should set the base for a more -- for a stronger pipeline there as well. And frankly, yes, some of you did point out what to do with excess cash.

And yes, excess cash, hopefully, is a good problem to have. And once we get used to having INR3,000 crores or INR4,000 crores lying in the bank accounts, we'll figure out the right apportionment between growth and shareholder's return, as you rightly said. But just, I mean, by way of a cautionary note that a large part of that cash does get trapped in the RERA accounts as well. So, while it's there some of it at least cannot be accessed at will, but that's the nature of the RERA piece, so no regrets there.

Hopefully, we continue to deliver what the analyst community has been looking for, for the last few years. And we'll try to keep on improving our disclosure as frankly, we have been doing over the last two years or three years now. And obviously, if any of you have any offline or detailed queries, please feel free to reach out to Kuldeep. Thank you.

Management: Thank you.

Moderator: Thank you very much.

ch. Ladies and gentlemen -- thank you. Ladies and gentlemen, on behalf of DLF Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Nov 2023

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4th November 2023

The General Manager

Dept. of Corporate Services

BSE Limited

P.J. Tower, Dalal Street,

Mumbai – 400 001 The Vice -President

National Stock Exchange of India Limited

Exchange Plaza, Bandra Kurla Complex,

Bandra(E), Mumbai – 400 051

S

Subject: Transcript of Earnings Call

Dear Sir/ Madam ,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings webcast .

Requisite details regarding the earnings webcast are as under:

S.No.Particulars Details

1 Date of Earnings Call 31st October 2023

2 List of management

attendees -Mr. Ashok Kumar Tyagi – Managing Director, DLF Limited

-Mr. Vivek Anand – Group Chief Financial Officer, DLF Limited

-Mr. Sriram Khattar – Vice Chairman and Managing Director, Rental Business, DLF Limited

-Mr. Aakash Ohri – Chief Business Officer and Joint Managing Director – DLF Home Developers Limited

3 Web -link of the

Transcript https://www.dlf.in/qu-result/DLF-Earnings-31Oct-2023_Final.pdf

This is for your kind information and record please.

Thanking you,

Yours faithfully,

For DLF Limited

R

. P. Punjani

Company Secretary

E

Encl.: As above

For Stock Exchange's clarifications, please contact:

Mr. R. P. Punjani - 09810655115/ punjani-rp@dlf.in

Mr. Amit Kumar Sinha - 09810988710 / sinha-amit@dlf.in

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"DLF Limited

Q2 FY '24 Earnings Conference Call "

October 31 , 2023

MANAGEMENT : MR. ASHOK KUMAR TYAGI –MANAGING DIRECTOR –
DLF LIMITED

MR. VIVEK ANAND – GROUP CHIEF FINANCIAL

OFFICER – DLF LIMITED
MR. SRIRAM KHATTAR – VICE CHAIRMAN AND
MANAGING DIRECTOR -RENTAL BUSINESS – DLF
LIMITED
MR. AAKASH OHRI – CHIEF BUSINESS OFFICER AND
JOINT MANAGING DIRECTOR – DLF HOME
DEVELOPERS LIMITED

DLF Limited
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Moderator: Ladies and gentlemen, good day, and welcome to DLF Limited Q2 FY '24 Earnings Conference Call. We have with us today on the call Mr. Ashok Tyagi Whole -Time Director and Managing Director, DLF Limited; Mr. Vivek Anand , Group CFO; Mr. Sriram Khattar , Vice Chairman and MD, Rental Business; Mr. Aakash Ohri , Joint Managing Director and Chief Business Officer. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Vivek Anand . Thank you, and over to you, sir.
Vivek Anand: Thank you. Good evening, and we lcome to DLF Limited Quarter 2 Financial Year '24 Earnings Webcast. Thank you for joining us today. We are happy to announce that our business delivered a strong performance across parameters. I will start with the financial highlights for quarter 2 financial year '24 DLF Limited consolidated.

The consolidated revenue stood at INR1,476 crores, gross margin at 57%, EBITDA stood at INR591 crores, reflecting year -on-year growth of 19%. Net profit at INR629 crores, reflecting year-on-year growth of 29%. Record surplus cash generation from operations at INR1,147 crores.

New sales bookings for the quarter stood at INR2,228 crores, in line with our guidance. Our new products and existing inventory continue to even strong consumer interest. Our super luxury offerings, the Camellias and DLF 5 Gurgaon saw healthy demand during the quarter and continues to set new benchmarks, indicating strong demand for high -quality residential products backed by a strong brand. We continue to see sustained demand momentum across all segments and hence, keep a positive outlook on the housing cycle.

Our new product launches that have been planned for the second half of the fiscal remains on track, and we remain committed to bringing calibrated supply across our key markets and leverage this growth cycle.

Collections continue to remain healthy, resulting in record cash flow generation during the quarter. Consequently, post dividend payout of INR990 crores, we achieved a net cash position of INR142 crores at the end of the second quarter. We have, therefore, delivered on our commitment to achieving a net debt zero position. We'll continue to further strengthen our balance sheet through consistent cash generation.

I'll now move to the financial highlights for quarter 2 financial year '24 DLF Cyber City Developers Limited consolidated results. Rental income grew to INR1,069 crores, year -on-year growth 9%. Consolidated revenue of INR1,463 crores, reflecting a 7% year -on-year growth. EBITDA stood at INR1,109 crores, a year -on-year growth of 6%. And a net profit INR416 crores, reflecting a year -on-year growth of 17%. Our office occupancy improved to 91% at the end of the quarter versus 88% in the previous quarter. Occupancy across the non -SEZ segment

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has reached back to 97%, demonstrating the high -quality and inherent demand for such products, while SEZ occupancy stood at 85%.

Our new office developments continue to garner occupier interest, and consequently have achieved a pre -leasing of 89% across our 2 new office complexes, DLF Downtown in Gurugram and Chennai. Retail business continues its growth trajectory and our progress towards expanding our retail offering stays on track. We expect construction of a large retail complex in Gurugram to start during the fiscal.

I'm happy to share that U.S. Green Building Council recognized the sustainability achievements and commitments of our rental business at the Greenbuilding International Conferen

ce and Expo

held in Washington, D.C., U.S.A. and recognize the business as a whole -- as a world leader in LEED Zero Certification and LEED for existing building platinum -certified space.

This recognition is a testament to DLF commitment towards sustainability and adoption of green building practices in the country. We strongly believe that our healthy pipeline of new products, along with the resilient, as well as a steadily growing rental portfolio, will result in delivering consistent and profitable growth across our businesses.

I will now like to hand over to Sriram to say a few words, right? Before we open this to Q&A session.

Sriram Khattar: Thanks, Vivek. It gives me a lot of pleasure to share with all of you that the U.S. Green Business Council at the annual expo recognized DCCDL and DLF as world leaders in sustainability. And I'll just read out parts of the felicitation that they did there. It says DLF has become the worldwide leader in both LEED zero certifications and LEED for existing buildings platinum -certified spaces, which are extraordinary achievements. It also goes on to say that as the largest public listed real estate company in India, your actions and leaderships are influential and inspirational. You are setting a standard for sustainability, excellence to which others may aspire.

I am honoured to recognize you're creating a sustainable build environment in the Greenbuild International Conference and Expo. U.S. Green Business Council could not be prouder to work with a global partner like DLF, leading the transformation and LEED generation of the build environment across India and throughout the world. I think this was an extraordinary achievement for us recognized by the highest body in sustainability in the world.

And we continue on our journey on this. We have got the LEED zero for waste certification for our Cyber City in Hyderabad, and now we are replicating it across all our projects. And this is in line with our long -term goals of being leaders. Definitely in India and preferably across the globe in sustainability.

Sriram Khattar : Thank you, Vivek. Back to you.

Vivek Anand: Thanks Sriram. Thank you. Yes, we can open it up for Q&A now.

Moderator: Thank you very much. We will now begin the question -and-answer session. Anyone who wishes to ask a question, may press star and one on their touch tone telephone. If you wish to remove DLF Limited

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yourself from question queue, you may press star and 2. Ladies and Gentlemen, we will wait for a while till the question queue assembled. Our first question is from the line of Saurabh Kumar from JP Morgan. Please go ahead.

Saurabh Kumar: Sir congratulations, Team DLF for achieving this positive net cash after guiding for almost 7 years. So seems to be a similar quarter for you guys. So I had a few questions. So 1 is, on Camellias, Aakash, so 14 apartments for INR712 crores. So fair to say that the pricing has now gone to INR70,000 crores, INR75,000 crores, if I just kind of do some back calculation on this unit sales? So that's the first one.

The second is on your cash flow. So our construction spends are still relatively low. Now as your construction spends kind of move to the -- and you have 30 million square feet under construction, so your construction spend maybe ramp up to maybe INR2,000- crores, INR2,500 crores a year, would you think that your cash flow is now we set still to this INR1100 crores - INR1200 crores that you are kind of generating right now? Or is this, in some sense, be cash flow what we're seeing?

The third is essentially just on your debt. Sir, what's the logic of keeping INR3,000 crores of debt and then INR3,200 crores of cash on balance sheet, that I could not finally figure out? And lastly, one for Mr. Khattar. So it seems to me basis your presentation, you don't have any space available for marketing

in the non -SEZ space in this DCCDL whereas you may have some vacancies SEZ, but the non -SEZ space is not available. So what are your thoughts in terms of getting that space to market because that's where the demand seems to be? So these are few ones.

Aakash Ohri : Okay. So thanks, Saurabh. So in Camellias, we are above the INR75,000, you're right, mark. And now, as you know, we've got the last few to go. But I'm sure you would have read the Economic Times article. So very happy for Gurgaon to have reached that INR100 crore mark for one apartment. And I think that is something that is obviously everybody is quite excited about.

So yes, Camellias is upwards of the number that you mentioned. So what you actually mentioned was the previous pricing and then it's gone up further. It's closer to what was being reported. And the only difference being that we have a price difference between lower, mid - and high floors. So that's where we are with Camellias. And I think we've been part of this journey, so where we started to where we are.

And thankfully, there is -- it's backed by not just speculation, it's backed by solid demand, and therefore, the new Super luxury product that we were talking about earlier also, where we have

-- we've also mentioned about it in our guidance. So based on the services, operations, strong demand, I'm happy to also mention to you that, today, Camellias has become the benchmark for the country and very proudly so.

So not only here, but anywhere in the world, when real estate is mentioned, I think Camellias today is being deferred as an India product. So I think that is a bigger satisfaction than just reaching INR100 crore mark. So yes, that's where we are, Saurabh.

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Vivek Anand: Yes. Saurabh, on the construction spend, first of all, last year, our total spend and annual spends were close to INR1,200 crores. First half, we spent INR650 crores and the second half, our estimate is we'll be spending close to INR1,000 crores. So on an annualized basis, we'll be spending around INR1,700 crores. Second half, we expect to start giving possessions for a large part of our floors. So that will increase our spending, plus the Arbour project pace is going to pick up in the second half.

So there will be a large part of outflow coming up in the second half. The second part of your question was cash flow from operations. Yes, in the first half, we have achieved cash flow from operations of INR2,000 crores. And if you remember, the guidance I had given was upwards of INR3,000 crores on an annualized basis. So yes, considering our performance in the first half, I see an upside in our cash flow operations on a full year basis.

Then your other part of the question was what is the logic of keeping INR3,000 crores of gross debt when we have a cash of INR3,165 crores. Just to remind you that out of INR3,165 crores of cash, the free cash which is available is only INR450 crores. Rest of the cash is not been realized for accounts, right? So therefore, we'll have to really live with this gross debt till the time we are able to generate free cash. And we are confident that as we are able to mature our product -- projects, and we are able to give OC, right, we'll be able to generate free cash and that will be utilized to repay the debt.

Sriram Khattar: So Saurabh, on your question of space available in non-SEZ, it's with the complete modesty that we have sort of done well in the last few quarters in terms of leasing. In fact, in downtown in Chennai, where there was about 250,000 square feet of space that was left, that was also committed yesterday, and therefore, Downtown Chennai is also fully leased. So the space that we have available now is about 3%, 3.5%, which is about 6 lakh-7 lakh square feet of space. In addition to that, we have some of the hard options, which the tenants may not want to take up,

which keep coming up, which will get released. And my sense is they will get released at rates which are current market rates and higher than the rates at which the hard options were.

Three, as we -- our program is to complete Downtown 4 in Gurgaon by the end of '24 -- calendar '24. And in the first quarter of '25, the Atrium Place, which is our joint venture for about 3 million with Hines in which DLF has 2/3 stake, will start getting completed. So now the leasing and operations teams are working on marketing Atrium Place, and they have a head start of more than a year before the first building comes up to lease.

In addition, this has also enthused us and we have marginally accelerated the start of construction of Phase 2 in Taramani, which we should start in the Q4 of this financial year. And we are also starting the construction in the next few weeks on the Phase 2 of Downtown in Gurgaon, which is a multiuse development of about 8 million square feet, 8, 8.5 million square feet, with a 2.7 million square feet of mall, a destination mall and about 5, 5.5 million square feet of office towers.

Saurabh Kumar: Thank you, Sir, just 1 follow-up back to the residential side. So I mean how concerned are you about the sharp price rise you're seeing in Gurgaon? Is there a concern that prices go up too much and then that basically impacts affordability or that's not a concern for you right now?

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Aakash Ohri: So, Saurabh, price is going up, so there is a latent demand. As far as concern is concerned, you're right now referring to the real estate thing for resi but tell me where the prices are not going up, whether it's eating out in our hotel or an air ticket or even a holiday. So I don't think -- see, right now, what is going up -- the only thing is that there is a demand for better products and good products.

So prices that are going up, if you see this carefully, is going up for products, which are in a certain genre, so luxury and above. So if the post-COVID what has happened is that the demand and the spends have kind of changed to a certain habit that people have got into in terms of they realize their life is finite and all that, so therefore, live it up.

So the demand for better, bigger homes is there today. Again, I'm not going to get caught into this luxury definition and all that, everybody kind of misuse it. But I'm saying better, bigger, more spacious homes is what the demand is today, and therefore, the price is a resultant of that, Saurabh.

So it is not something which is just something in the air that you're talking about a smaller apartment with certain price points. With inflation, with price points going up everywhere, this is where it is today. And buying a residential real estate today has become -- I've repeated this, and I'm going to repeat it again, has become a priority for people to kind of -- it is the number one priority today for most of the people.

So thankfully, a lot of people who are in the -- on the fringe and all that and would always live on rentals and do other stuff have also jumped into the freight. And I'm talking about the younger crowd, which is very heartening to see that the 30 to 40 bracket is today making real estate purchases.

But the good part is that they are -- everybody is wanting to fund and take bigger homes. So therefore, the rise in price points today are a reflection of a certain mindset, which is changing on ground, Saurabh. So it is not about speculators, is not about what used to happen 10 years back. These are people who want to buy homes for themselves.

And if you see the rentals, if you see rentals are a good parameter for what is happening today. And also, if you see the habitation charts, there is -- there are various reports in Gurgaon, which will tell you that most of the condominiums are now over 90%, 95% inhabited.

So I think these are -- this is w

hat you should see. So at this point in time, I wouldn't be concerned about that. But let's see how it goes. And obviously, things will settle down even further as we go along. But if you were saying that it's -- all I can say is that there are enough people out there right now who're wanting to better their experiences. And I'm looking at those people. They're not only just first time -- not only people who are habitual real estate investors, but also a lot of first-timers, which is very heartening to see, Saurabh.

Moderator: Thank you. Our next question is from the line of Kunal Tayal from Bank of America. Please go ahead.

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Kunal Tayal: Sure, Thank you. Two questions from my side. There would be about INR19,000 crores worth of launches in the next 6 months. And after which you're largely left to the pipeline of about INR23,000 -INR24,000 crores and it seems like about 1 year's worth of launches of the new base -- is there a thought process already to start planning for the next phase of launches, which should come by for FY '26 onwards? So that's question number one.

The second one is on the office side. Your IT services tenants have actually been very stable. It's something that we've not seen from the peers set. So is there any indication that you have from them that there is no intention to vacate any existing space?

Aakash Ohri: So the first question is, see, we plan for almost 3 years ahead. And based on which geography we are getting into and what we are doing. So that, as an exercise, we continue to do internally.

So yes, visibility may be shown for maybe a year or 1.5 years, but we plan 3 years in advance of what we are intending to do. So have been able to answer that question.

Ashok Kumar Tyagi: So, Kunal, I mean while we have -- we have sort of documented the pipeline or the year after. It's not that our planning process is sort of shutting down. So we will have a -- I mean, we have enough land bank, and we will have a constant stream of pipeline flowing out.

Sriram Khattar: Kunal, on your question of indication from IT services companies of any vacancy, that has sort of ebbed. And I dare say the impact of COVID is now behind us. This has been helped by 2 or 3 -- for 2 or 3 reasons. Reason one is that during COVID, the space take up was for to a lot of exits, and therefore, -- but at the same time, the hiring was very good, and therefore, that is now coming back in terms of tenants, either not leaving spaces or asking for additional spaces.

Two, what has happened is that some of the larger IT companies are no longer looking at 80 square feet per desk, etcetera, which had become the norm pre-COVID, and would like to have more network collaborative open spaces, and therefore, the demand has gone up to 100 and -- the size they look at is about 120 to 130 square feet per desk.

However, having said that, I may add a word of caution here that the companies are still working on their individual hybrid models. And that is something which has not yet stabilized. One thing is sure that it's going to be hybrid, but what form or shape the hybrid takes is still being worked out by companies.

And there are companies who want to hot desk for hybrid. There are others who want to get individual desks for hybrid. There are others who say, even if it is hybrid, they have to cater peak performance, number one, number two, while attendance in our IT parts has improved dramatically, the larger IT services companies till now have been able to manage the increased

manpower in the existing spaces.

And last about a quarter or so, we are seeing the green shoots when they have now started planning for the next year and 2 years and started looking for space. So if this come back to office starts working in a positive way, and India is far ahead of the west on that, then I see that the demand from IT services will go

up. The issue of vacancy, then we will be in a much more subdued.

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Kunal Tayal : Pretty encouraging, Thank you so much.

Moderator: Thank you. Our next question is from the line of Puneet Gulati from HSBC. Please go ahead.

Puneet Gulati: Thank you so much, Congratulations on good numbers. My first question is on the DevCo's commercial portfolio, the DLF 5 and City Center. The GAVs there seem to have fallen on a quarter-on-quarter basis. Can you comment what's happened there?

Vivek Anand: GAVs have fallen.

Ashok Kumar Tyagi: So honestly, the GAVs keep on getting adjusted basis, the rentals. So this time to be fair, on some of those assets, we have done a very thorough analysis of the of the rentals that have been -- that are not they're just today, but their rentals that those buildings have been earning for the last 6 or 7 years. And I think that is the reason why the GAVs may have been slightly adjusted. As you know, -- these numbers have no bearing on the balance sheet or -- on the balance sheet or P&L.

Puneet Gulati: Sir, I know I understand, 20% fall, which is what bothered. So just wondering...

Ashok Kumar Tyagi : So maybe part of the devil is that the earlier number may have been slightly optimistic. This is the best that I can say. Because this year -- we've done a very scientific thing of what the rentals are taken a full 9-year cash flow discounted it like a private equity and then come with these numbers. But again, tomorrow if we to go out to sell it, I'm sure you could get INR50 crores less than this or INR100 crores more than this, that will be a bilateral coordinate -- bilateral negotiation. It should not be that we are in the market for selling any of these.

Puneet Gulati: Got it. And second, DCCDL used to give dividend typically in Q2. This time, there was a dividend but very small. Any thought process behind that?

Ashok Kumar Tyagi: No, Puneet, I think if you go through the cash flow of DCCDL in the last 1 year, DCCDL gave a hefty dividend in the end of Q4, which really was a substitute for the final dividend. So hence, the final dividend was a very small one. DCCDL has again given its half year dividend, but that obviously has come at the end of September, so that's coming early October when the DCCDL did their second quarter results meeting. So DCCDL continues to be in the cycle to give 2 dividends a year, which is what we have been tuned to for the last couple of years.

Puneet Gulati: Okay. So the cash would come -- would have come in October until September...

Ashok Kumar Tyagi: Because as you would appreciate that once the first half results are declared, then the company declared in time dividend for the last 6 months.

Puneet Gulati: I understand, thank you so much. And secondly, on the cash tax liability for the DevCo, that seems to be quite low. How long do you think will that advantage persist?

Ashok Kumar Tyagi: Cash tax liability?

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Puneet Gulati: Yes. The cash tax, the cash flow statement.

Ashok Kumar Tyagi: Part of this, Puneet, is linked to the massive change in accounting policy that happened when the new Ind AS accounting standards got notified growing that sense. So part of this is linked to that. I mean, we do believe that in our tax returns, we don't foresee a significant tax liability for the next couple of years. But these are things which are constantly litigating it between us and the department, which is par for the course. But we don't foresee a significant amount of cash outflow. At least for the next couple of years. Am I right?

Vivek Anand: Yes, yes, absolutely.

Puneet Gulati: Understood. That it -- and lastly, the collection run rate has gone up to almost INR2,200 - INR2,300 crores. Is that a sustainable run rate? Or was there some completion additional collection that came through?

Vivek Anand: So Puneet, if you remember, the guidance I had given on collections was a growth of almost 13% to 15%. And that maintain absolute numbers of close to INR6,400 - INR6,500 crores. So

yes, corrections have been good in first half, and I see a potential upside coming in collections and the same upside I expect will flow in the OCF as well, which I clarified in the earlier part to Saurabh.

Puneet Gulati: Understood. And then you lastly guided that construction cost would go up by roughly 50% over the previous year. That should be...

Vivek Anand: Yes, INR1,200 crores of last year going close to INR1,700 crores. So that will be almost a 40% increase. A large part of it, you will see it in the second half.

Puneet Gulati: Understood, Thank you so much.

Moderator: Thank you, Our next question is from the line of Kunal Lakhan from CLSA. Please go ahead.

Kunal Lakhan: Sir, just on the Phase 5 side, you talked about pricing. We are getting closer to INR100,000 per square feet. When I just look at your Slide 10, like when -- where we are talking about 5 million square feet of luxury valued at about INR12,400 crores, I mean that's like 25,000 square feet. So does this number see a significant upward revision? Because I believe the bulk of this would be Phase 5.

Aakash Ohri: So what you are seeing is for a ready-to-move-in or ready apartments. And as far as valuation is concerned, definitely, you will see there is a tremendous upside there already. And as far as this is concerned, if you go back to what it was earlier on certain price points at launch, they were -- if I just go back 7 years, there was an ex-price. And today, that price is about 4x that value. So I wouldn't want to speculate on future values. But all I can say is there is a reasonably good upside to what you have just mentioned. Right now, as what Mr. Tyagi was saying, that -- when we come closer to launch, that's when we made our pricing, and we true up the whole thing. But at this point in time, this is just a guidance given. But as I said, you will obviously put together also. But there is a good reasonably positive outlook there.

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But again, we are not in the numbers game there in terms of this is going to be a staggered kind of a launch as super luxury deserves. And there will be price points at various intervals that will go up based on how much stock we bring in at that point in time. And that's how we -- that's how we'll be approaching the DLF 5 story.

Vivek Anand: And just to add to what Aakash said, Kunal. See, when we had given this guidance, we had given this guidance towards the end of last fiscal year. And a lot has changed in the last 6 months, and therefore, keeping it short, yes, these numbers will undergo a change, and there is a potential upside to this number.

Ashok Kumar Tyagi: Yes. So again, Kunal, what Vivek and Aakash said, absolutely. These numbers will undergo change as the product and the pricing gets screwed up close to the launch. I mean we had the objective we had an internal debate of whether we should change these numbers now or as it was launched. Honestly, I mean, you know us as a company. We are conservative people. We don't -- I mean, we are not in the business of trying to milk every guidance upside from a market standpoint. And so we are okay with this. But obviously, these numbers will undergo a positive change as we hit closer to launch.

Kunal Lakhan: Got it. Got it. And secondly, can you just comment a little bit on the new launches status in terms of like where we are in terms of approvals and time lines, for example, for Sector 76 and also for Phase 5?

Aakash Ohri: So in 77, that's Privana, the approval process is on, and this is a Q3 end launch and so far so good. And the other one you mentioned was the DLF 5 one, right? So that is also on track for Q4, but that was, as we had said,

Q4, Q1. So that is also on track. So far, based on what we are doing internally, our approval processes are on track. And also for the Valley Orchard in Panchkula, the SCO in Gurgaon. So all the approval process and the -- right now, we are meeting those time lines as we speak.

Kunal Lakhan: So Panchkula will be in Q3 just confirming, right? Panchkula in Q3?

Aakash Ohri: Yes, that's right.

Kunal Lakhan: And DLF 5 will be in Q4?

Aakash Ohri: Yes. Q4, Q1, yes.

Kunal Lakhan: Okay. Q1, there's a possibility it slipping in Q1?

Aakash Ohri: Not slipping. It's part of the thing because this is -- as you know, it's a big, very big project, and it's coming after Camellias was 2014. This is 20s almost a decade. So these products require that kind of an intention. So 1 month here or there won't really matter, but I'm just saying you should know where we are as far as the planning is concerned. But so far, it's on track. It's just that we just -- we'll take the call closer to Q4 or maybe in the beginning of Q4, we'll know exactly, say -- by January, we'll know without to take.

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Ashok Kumar Tyagi: And either way, Kunal, our sales guidance of 13,000 plus is under no threat, frankly, even if one of these projects tend to slip by a few weeks here and there.

Kunal Lakhan: Sure. Understood. And my last question is on, again, like I think on the utilization of free cash flows, like we are clocking almost like INR1,100 - INR1,200 crores a quarter now. And with debt behind us now, how should we look at it incrementally going ahead because we'll end up piling a lot of cash in coming quarters and years?

Vivek Anand: So I think as, Kunal, I had said earlier, the -- it's very clear. I think the first priority is to really generate as much as free cash as possible. And while we have INR3,100 plus crores of cash, the free cash available is INR450 crores. So the first priority is to make sure that we complete the projects, get the NOCs and convert that into free cash. So once we have free cash, yes, one of the things we could possibly do is to really repay some of the debt. Second is to really put the cash behind growth, right? And third is to continue to reward the shareholders. I think that's consistently what we are following.

Kunal Lakhan: Sure, Thank you so much.

Moderator: Our next question is a text question from the line of Parikshit Kandpal from HDFC Securities. Can you update us on the status of the Tulsiwadi and Andheri project?

Ashok Kumar Tyagi: Okay. So the Andheri project is on track, as we had mentioned last time. We -- in the slum rehab is making very good progress. I think of the first phase of 30 -odd stores somebody have 27 -28 stores are already ready. And we stay on track for a potential launch around, I'd say, definitely before June of '24. So that does look to be on track. And the first phase should be about 1 million square feet of launch, give or take. Tulsiwadi has been in a significant legal mess and it's just gone further deeper in that.

We had made a bid for acquiring 100% of the shareholding of the company to the then lender, PNBHF L, who did not -- who was unable to give us a position of 100% of the shares. Then they did a -- they sort of sold off the loan to an ARC, which sold off the stake to an entity. We went to -- we and Shapoorji Pallonji both went to court against the completely non transparent method that the process was done.

The Delhi High Court has made some scathing observations and has put all the shares in suspended animation. And I think both us and SPC are exploring the complete legal options on both counts; a, to restore the shareholding of the company back to where it should have been; and b, to ensure that our outstanding debt from that company to us is not jeopardized.

So I think we are an extremely strong solid -- I mean, legal ground. Delhi High Court has, by a

and large, in their interim conclusion supported our stand. And now I think we just a question of sort of taking that legal issue through all its right, I mean, course.

I think we just landed up in some sense in an unfortunate situation of what could have been a great project. But we do hope that we'll eventually be able to come out without a financial loss, maybe with the shareholding also restored. And we are in the midst of that legal battle. Andheri project is on track.

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Moderator: Thank you. Our next question is from the line of Pritesh Sheth from Motilal Oswal. Please go ahead.

Pritesh Sheth: First is to Mr. Khattar. So I think very good leasing quarter across the operations and the under construction portfolio. Just wanted to get a sense of that leasing, 3 lakh square feet each leased out in both SEZ, non -SEZ space. Where is the demand exactly coming from? Is it the existing tenants expanding? Or are we also seeing some new tenants, specifically in SEZ spaces as well?

Sriram Khattar: So I will start with the non -SEZ spaces. The demand is coming from new tenants and existing tenants. And as I have mentioned earlier in the earlier analyst calls also the majority of the demand continues to be from the so -called global capability centers, which find India a very compelling location to look at because of its strong digital backbone, high -quality, global quality, infrastructure and office spaces at a fraction of a cost, and very high -quality, young English -speaking skilled manpower.

These -- they are expanding in the country, and I personally believe that in the next 4, 5 years, they will be a major contributor to the growth of the offices market. And then in Downtown Gurgaon, we have been able to establish a rental of INR150. And in downtown Chennai, we've been able to establish a rental of INR100.

In the SEZ space, fortunately, we are slightly better off than what the competition is. We have a vacancy of about 14% -15 odd percent. We believe and we are given to understand that the ministry of commerce is in the final stages of allowing floor -wide de -notification. And once that

comes, we will -- we believe that the demand for our quality spaces even in SEZs will go up.

And over the next 4 -5 quarters, we'll see a fair amount of traction there also.

So to add to this, what Saurabh asked in the beginning as to where the stock is, we believe that floor -wise de -notification will also gi ve us about 800,000 to 1 million of stock in the next year or so.

Pritesh Sheth: Sure. And just -- just a follow up on that, SEZ space is also seeing demand from new tenants or just existing tenants expanding?

Sriram Khattar: It's a combination of both. It is existing tenants expanding, say, about 60%, 70%, and 30%, 40% new tenants coming.

Pritesh Sheth: Got it. Okay. And just 1 question on Camellias again, whether the inventory that is there right now in our slide, it's repriced to 1 lakh square feet, or -- what's the pricing assumption there?

Because I'm seeing -- like if I add up the sales that we have done this quarter, plus the inventory that is their balance, there's a 20% jump in the inventory value. So what's the pricing assumption now in Camellias?

Aakash Ohri: So pricing is, as I mentioned earlier also, it's the lower, middle and higher floors. Higher floors go upwards of the number that you're talking about. The lower floors are basically based on that.

There's a preference location thing, which is a 20% difference between the 3 segments that I just mentioned. So that's where the valuations will be. Some of the inventory that is left, some of

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them are on a higher floor, some mid - and some growth. So based on that is what the valuation is going to be . So if that's -- if I've been able to answer that for you.

Pritesh Sheth: Yes. So the range w

ould be -- Sorry, you can go ahead.

Vivek Anand: I think you -- so what we've done is that the current value of inventory is based on the average price realization of quarter 2, right? So -- and what Aakash is saying that the current price is certainly more than that. So answering your question, right, t here will be a potential upside there in pricing.

Moderator: Thank you. Our next question is from the line of Abhinav Sinha from Jefferies. Please go ahead.

Abhinav Sinha: A couple of questions. Firstly, on Privana. So is there a rethink on the product tha t we have there versus the mid -rise that we were envisaging?

Aakash Ohri: No. So product, not we think in that way, but there was -- already, there were a couple of towers of high -rise in Privana. So it was -- that's just been some more towers basically ha ve been added as high rise to the mid -rise scheme. That's all. So this -- in the plan, there was already highrise is a mix of that with some mid -rise.

But right now, there is -- I think it's just -- we've added more highlights to the scheme. So as we kind of -- we feel that the demand there is more. And then, of course, the way it's coming out, again, it's -- if I can call it an Arbour 2 because it's just -- it's the same kind of spec and payouts and all that.

And the approach infra closest to the biggest g reen land in Haryana. So for a home, it's -- it can't be more perfect . So that's what it is right now. And it's just gotten -- I mean, to answer that, it's just -- now the product is enhanced even more, and therefore, that's what it is.

Abhinav Sinha: Righ t. So we look for similar sell -throughs and does it also lead to better, let's say, FSI utilization there? Or that's not the idea here?

Ashok Kumar Tyagi: So, Abhinav, I mean what we are launching there right now is barely covering a 1/4 of the total size that we have there. So we have an enormous degree of flexibility in terms of the -- of how to use the maximum FSI available on that site. So I think what t he product changes that Aakash alluding to have been more driven by; a, the success of Arbour; and b, by what I think the customers today looking forward is just -- it's not a stand -alone site where if you don't build now, you lose the FSI for life because this is a part of a far bigger land parcel. But yes, I mean, to Aakash's point, Currently, what we are looking at is a product, frankly, far closer to Arbour than the old colony sector...

Aakash Ohri: So adding to Mr. Tyagi's point, because just for you t o put it in perspective, you can -- I mean, only a colloquial way of saying it, it can be called DLF 6, but there's so much to do there. There is so much to do there because it's a good parcel, and we'll kind of build it from scratch.

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Abhinav Sinha: Okay. secondly, and congratulations to Mr. Khattar on the strong performance we have seen. So Tyagi sir , my question is, does this bring us closer to the REIT offering now considering we are here. And the SEZ, you are also very positive on the Ministry of Commer ce giving a favourable ...

Ashok Kumar Tyagi: First, what will bring us closer to a REIT is the performance of the other REITs and not performance on Khattar. And those done doing significantly better. But to be fair, as I think we have said umpteen times in the past, we are now ready from a structuring standpoint to almost press the button within a 180 -day period of whenever the 2 shareholders decide.

I think it was, in some sense, in a pause mode for a variety of reasons, including COVID and the aftermath of COVID, the vacancy overhang that it left the bits and pieces and the entire interest rate scenario. I think there's still possibly a few quarters away from the interest rate scenario turning benign, which actually is the right time for a product like that.

But clearly, I mean, our monetization at some stage, I'm sur

e will happen. It's just a question that

-- I mean that both the shareholders, while they are aware and cognizant of that, I don't think there right now, if I may use the word in a t earing hurry to do that. But at some stage, I'm sure that there will be an interesting amortizing option that will be executed.

Abhinav Sinha: Thank you and all the best to the team.

Moderator: Thank you. Our next question is from the line of Saurabh Kumar from JP Morgan. Please go ahead.

Saurabh Kumar: So just had a few more. So 1 is your staff cost is down quarter -on-quarter. What explains that? I mean given the performance of the company. So that's first.

The second is with Dwarka Express way, we are now finally completing, sir. Is there are like a lot of investor inventory, whatever gets unlocked and that kind of comes to the market? And how does it interact with your New Gurgaon supply, if you have any thoughts about what archive Dwarka Expr ess completion in Gurgaon? So that's the second one.

And thirdly, Tyagi sir, you have kind of your sales guidance has gone from INR12,000 to INR13,000 and this call INR13,000 crore plus. Would you want to kind of give a range as to where you see the number or should it be better because every quarter now you...

Ashok Kumar Tyagi: I will answer your last question first before I defer to Vivek and Aakash on the balance piece so make in our card for the balance piece. We have always maintained a guidance of INR12,000 crores - INR13,000 crores, and even in our last call, I had mentioned specifically that there is an upside risk to this number, which is which is what -- I mean I believe that now maybe the upside risk is slightly stronger. So hence, I added the plus INR13,000 crores. But you won't not just into giving a sharper number than that.

Vivek Anand: Staff cost ,Saurabh. Our staff cost for the full year is expected to be somewhere close to INR560 crores to INR570 crores. So I think you are referring to quarter 1 and quarter 2 s taff costs, where quarter 2 staff cost has dipped, right? Is that... I think that's more to do with phasing of spend. I

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think quarter 1 has a larger provision for sales incentive, right, which is the sales incentive normally be booked with a lag of 1 quart er.

So quarter 1 had impact coming from quarter 4 sales, which was the highest quarter in the last financial year. And quarter 2 has sales incentive booked for INR2,000 crores of sales, which happened in quarter 1. I think that's the only reason why there is a difference. But on a full year basis, you can take INR560 crores, INR570 crores kind of a number.

Saurabh Kumar: And should your gross margins be higher because Camellias was booked into revenues like when a the gross margins being higher than the 57% we are reporting?

Vivek Anand: No. So you're talking about second half? I didn't get your question.

Saurabh Kumar: No, no. So this quarter, we would have booked these Camellias sales, right, into revenues, it's 14-odd apartments that's at a higher price. So the gross margins on those sales will be like north of 70%, I'm guessing. So, your gross margin, which you are reporting is 55, sorry, 57 ?

Vivek Anand: So Saurabh, what we -- what I've sold today is at a higher price and therefore, at a higher margin. So that margin will get recognized when we'll issue the possession letters, which will happen sometime away. Now this 57% margin is for the positions I have given during the quarter and something which was sold a year or 2 years back.

Saurabh Kumar: Got it. and lastly on Dwarka Express way.

Aakash Ohri: With reference to Dwarka Express way as you know, Saurabh, for over 5 years or whatever inventory that was there, that has been still hanging around there. And that is more of an investor market than anything else. So it kind of sometimes worries me next visit also. Because it's more of --

I don't know who's finishing off what payments there, but everybody is near to make that initial transaction.

And post that, what's happening is, whether it's habitation or where it's anything else, that I feel right now is contributing to what the other developments are seeing and especially in terms of moments and all. So I don't -- I mean, at this point in time, too early to comment. But whether

it's conflicting or not each markets are different. We are completely, as you know, sold out in ROG. I will only know post that . But each one of our projects kind of work on a different parameter and requirement. And basically, as far as DLF is concerned, it is an end user's product. So speculators and that particular thing I feel at this point in time, I don't think we've gone after that for a long time. At least in my tenure, I can say that very clearly to you. So I think there are two very different markets here, Saurabh.

Saurabh Kumar: Okay. And just on your Phase 5, Aakash, so your Camellias has gone to nearly 1 lakh and now you're launching this mini Camellias, if I can call it, in Q4 or Q1. So now is it like Phase 5 breaks the pack from Gurgaon and now trades in line with Central Delhi, South Delhi types? Or is that something you think is structurally now that the rate convergence between Phase 5 and South Delhi has finally happened or...

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Aakash Ohri: Yes, yes. DLF 5 now you should be worried to compare it with Bombay what you're saying central Delhi . So different about time, the kind of work that we've done and it's got accolades. And I say it with pride as in Indian, I mean first DLF and then, of course, kind of product that is being done and the ecosystem that is being kind of created. It is, today, when people -- when foreigners come or people from outside NRIs and all, the first thing is like the Beverly of India, Beverly Hills of India.

So yes, the DLF 5 would see that because also had of a lot of infrastructure, as you've seen, the social fabric is very strong. The kind of community that lives in the DLF 5 I can simply say half of India's GDP is kind of contributor from the kind of people who are who are part of the community there. And the good part is people love staying there. So as far as that is concerned, Saurabh, I see a lot of -- going forward also, it's become the choice.

I mean, today, if I can share this data also quickly with you. Any expat who's coming into the country, and you know when they come in their 6 months before that, their first choice when they come for these reiki visits is to see where they're going to live. And whilst Delhi is an option, Vasant Vihar and other colonies, DLF 5, DLF Golf Link is the most preferred choice. And this I think will pick up from any data, any relocated companies and all.

So today, I see that going up. And with the entire cost that is being great and especially the social infrastructure, I think it is now becoming the go-to place for by choice to live there. So once -- first, it was something that we were pushing. Now it is more of a full product.

So I think again, with the demand and supply syndrome, what's going to happen is that you will see this definitely going up, as you see, Mangolia today is trading at about almost INR60,000 -- INR55,000 to INR60,000 a square foot, that's about INR35 crores to INR38 crores and where it was earlier.

So these were all very latent demand. Nothing -- I don't see this as a volatile the kind of thing. I'm seeing this as people who are -- have very few options of communities like this, it's like an into a central part where you have 500 acres of a green lung right in front of you, and then, of course, the security system and everything else.

So I think that's where the demand will be. And second, you've been holding it for 5 years on launch pipelines and all. What Mr. Tyagi must told you must be musi

c to all of your years,

hopefully, that now DLF pipelines are ready and things are happening. So I think that's something that we are concentrating on.

And Vivek said, margins are something which is extremely dear to us. Our projects will be launched only subject to what conditions are. And margins will prevail over any gross numbers that we have want to post. So that's where we are Saurabh. We are getting here.

Saurabh Kumar: Thank you , Happy Diwali .

Moderator: Thank you. Ladies and gentlemen, that was the last question of our question -and-answer session. I now hand the conference over to Mr. Ashok Tyagi for closing comments.

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Ashok Kumar Tyagi: Thank you. There's not much that I can say after that Aakash's rousing speech. But honestly, I think this hitting at zero debt was a very important sort of. It's almost an emotional target for many of us over the last 8 - 9 years, as you know, and we've taken a lot of steps in the last few years on this. So it's great that we finally hit there. I think this -- I mean, the future does foretell -- I mean feel of strong cash flows and strong launches, hopefully.

The RentCo, I mean, is doing an exceptional, exceptional job in terms of its leasing pipeline, it's built out of new capex , it's certification in all of these ESG and LEED certifications. So I think

all in all, I think we are in, hopefully, a good place, and I just hope that the markets continue to be to be positive. And hopefully, you look forward to the next quarterly inter action. Thank you.
Moderator: Thank you. On behalf of DLF Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jan 2024

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30th January 2024

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Sub: Transcript of Earnings Call
Dear Sir/ Madam,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings webcast.

Requisite details regarding the earnings webcast are as under:

S. No. Particulars Details
1 Date of Earnings Call 25th January 2024
2 List of management
attendees - Mr. Ashok Kumar Tyagi – Managing Director, DLF Limited
- Mr. Vivek Anand – Group Chief Financial Officer, DLF
Limited
- Mr. Sriram Khattar – Vice Chairman and Managing
Director, Rental Business, DLF Limited
- Mr. Aakash Ohri – Chief Business Officer and Joint
Managing Director - DLF Home Developers Limited

3 Web-link of the
Transcript <https://www.dlf.in/qu-result/q3-Transcript-Final-30-01-24.pdf>

This is for your kind information and record please.

Thanking you,

Yours faithfully,
For DLF Limited

R. P. Punjani
Company Secretary

Encl.: As above

For Stock Exchange's clarifications, please contact:
Mr. R. P. Punjani - 09810655115/ punjani-rp@dlf.in
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MANAGEMENT : MR. ASHOK TYAGI – MANAGING DIRECTOR – DLF LIMITED

M R. VIVEK ANAND – GROUP CHIEF FINANCIAL OFFICER – DLF LIMITED

M R. SRIRAM KHATTAR – VICE CHAIRMAN AND MANAGING DIRECTOR -RENTAL BUSINESS – DLF LIMITED

M R. AAKASH OHRI – CHIEF BUSINESS OFFICER AND JOINT MANAGING DIRECTOR – DLF HOME DEVELOPERS LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to DLF Limited Q3 FY '24 Earnings Conference Call. We have with us today on the call Mr. Ashok Tyagi, MD, and Whole Time Director, DLF Limited; Mr. Vivek Anand, Group CFO; Mr. Sriram Khattar, Vice Chairman and MD, Rental Business; Mr. Aakash Ohri, Chief Business Officer and [Group Executive Director]. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vivek Anand. Thank you, and over to you, sir.

Vivek Anand: Yes, thank you. Good evening, and welcome to DLF Limited Quarter 3 Financial Year '24 Earnings Webcast. Thank you for joining us today. We are happy to announce that our business

continues to deliver a consistent and strong performance across all parameters. I'll start with financial highlights for quarter 3 financial year '24 DLF Limited consolidated results. Consolidated revenue stood at INR1,644 crores, gross margin at 56%, EBITDA is at INR633 crores, net profit at INR649 crores, reflecting year-on-year growth of 26%. Healthy surplus cash generation from operations at INR1,108 crores. We recorded our highest quarterly sales booking of INR9,047 crores, backed by multiple launches during the quarter. We launched 3 new products of 5 million plus square feet during the quarter of multiple segments.

The launches during the quarter includes DLF Privana South, Gurugram, a luxury high-rise development. Central 67, Gurugram, a shop-cum office plotted development and the Valley Orchard, Panchkula low-rise independent floors. We witnessed healthy demand momentum across all these products. And both projects in Gurugram were completely sold out within a record time.

With this strong performance, the new sales booking for the 9-month period stood at INR13,316 crores and hence, will exceed our full year sales guidance. We would like to highlight that with this performance, we have broadly achieved our guidance on new product launches that we had given 3 years back along with an upside in sales potential due to value enhancement across the products.

The sustained demand momentum across all segments continues to be encouraging. Consequently, we have identified a fresh pipeline of new products of approximately 32 million square feet with a sales potential of approximately INR79,000 crores, which is more than double of what we have delivered during the last 3 to 4 years and is in line with our plans of scaling up the business.

We expect to launch these products over the next 3 to 4 years. The key launch that we are working on for the next 12 to 15 months are products in Gurugram, Chennai, Goa and the first phase of our Mumbai project.

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Collections continued to be at record levels resulting in record cash flow generation during the quarter. Consequently, our net cash position at the end of the quarter improved further to INR1,246 crores. Further, the Board in line with our stated strategy to consolidate the rental business has approved transfer of DLF Centre, a marquee asset in Delhi to DCCDL at an aggregate consideration of INR825 crores plus/minus 5%. This transaction will be subject to due diligence, documentation, and requisite approval from the shareholders.

I'll now move to the financial highlights for quarter 3 financial year '24 DLF Cyber City Developers Limited consolidated. Rental income grew at -- to INR1,089 crores, year-on-year growth of 9%. Consolidated revenue of INR1,476 crores reflecting an 8% year-on-year growth. EBITDA at INR1,126 crores, year-on-year growth of 6%, PAT at INR434 cr

ores, reflecting a year-on-year growth of 21%.

The credit rating for DCCDL was upgraded to ICRA AA positive stable during the quarter, indicating the inherent strength and quality of our rental portfolio. Our non-SEZ segment continues to operate at healthy occupancy level of 97%. Our new office development across Gurugram and Chennai continue to garner strong interest from large occupiers, consequently have achieved a pre-leasing of approximately 91%.

The government decision for the amendment in the SEZ regulation allowing floor wise de-notification should lead recovery in the SEZ segment, too. We expect normalcy to return in occupancy levels in this segment over next few quarters.

Our retail business continues to deliver strong growth, and hence, we continue to remain focused on increasing our retail portfolio across multiple geographies. We remain committed to our goals of delivering consistent and profitable growth, which is well supported by the strong performance in our residential business, healthy pipeline of new products, quality asset in the growing rental portfolio, backed by a healthy balance sheet and supportive market dynamics. With this, I will end, and we can now open the floor for the Q&A session. Thank you.

Moderator: Thank you very much. The first question is from the line of Pritesh Sheth from Motilal Oswal. Please go ahead.

Pritesh Sheth: So first question is on launches, good to see a very strong pipeline now for next couple of years. You have already mentioned about projects in Gurugram, Chennai, Goa, first phase of Mumbai. Can you elaborate or quantify more on the size of these launches that are expected next year? And what are the key additions in terms of projects beyond FY '25 that you have mentioned?

Ashok Tyagi: Okay. So I'll hand over to Aakash really for elaborating. But on an overall basis, the key projects that we are ready for launch now is clearly a, the next phase, and hopefully subsequent phases of our immensely successful launch in Privana. There would be a luxury project coming up on the Golf Course Road in DLF 5 for sure. We have a launch lined up in Chennai of a luxury project and 1 lined up in Goa. We will have the first phase of our Mumbai launch next year, and we'll have a small launch in Panchkula.

Aakash, you want to further talk about this.

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Aakash Ohri: So the super luxury project in -- on the Golf Course Road will be about 450-odd apartments that will be some time in -- after the first quarter. Then there is the Privana, as we were just talking about. Privana 2 is another 800-odd apartment, Privana West of 1,100. This Chennai is going to be followed average size of apartments about 2,400 to 2,800 square feet. And then there's going to be Mumbai. The Panchkula is going to be another small development, but that will be size of about, say, INR500-odd crores floors and some commercial. So that's what we have right now. And in terms of value, we had earlier mentioned also, there is tremendous potential, both from the point of view of luxury and super luxury across the board, across geographies. And in order of launches, we are starting with Gurgaon and taking -- I mean, after these 2 launches here, we will move to Mumbai and Chennai.

Pritesh Sheth: Got it. So full 3 million square feet, which was expected this year in DLF 5 is now happening next year, FY '25, is it?

Aakash Ohri: Yes, yes.

Pritesh Sheth: And Mumbai would be 1 million square feet that we have earlier planned. That would be the first phase?

Aakash Ohri: Yes.

Pritesh Sheth: Okay. Okay. Got it. I'll connect with Kuldeep separately for other details. So thanks for that. In terms of margin expectations now, considering we have a big -- we had a big launch with a very healthy pricing of INR18,000. How should our blended margin should, I mean, track going ahead, considering we have been doing a lot in terms of pricin

g now. So that's my question on margins.

Ashok Tyagi: So I think, obviously, the margins will be driven by individual launches, an example the DLF 5 launch will obviously have the highest margin amongst everything. But overall, I think we should be ballpark in the pivot of 45% to 50% on the overall margin for new launches.

Pritesh Sheth: Okay. That should be the corporate margins and not the project level margins, right? I mean that should be how blended the margins will look like blended P&L once these projects are recognized?

Ashok Tyagi: Exactly. Exactly. Because you may -- you will unfortunately still see a lag between the time that these are launched and until the time that these are recognized because of the accounting policy issues, most of these projects should translate into that sort of margin, yes.

Pritesh Sheth: Sure. Got it. And just 1 last. I mean these things are really looking very good in terms of size of the sales that is happening INR7,000 crores, INR8,000 crores getting sold out within 3 days odd.

Are you at all worried with how things are picking up so fast? And specifically, obviously you would have also known a few of the Arbour units that were sold out that are again coming back to market at a premium kind of pricing. So investors are making good money. But should we -- should one be concerned at all about these things from the demand perspective.

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Aakash Ohri: So I'll tell you what's happening with the demand. I've been saying this for -- since the Grove time -- what is happening today is that real estate, the residential real estate has become a priority spend. It is no more -- it is not something that people earlier used to procrastinate. The young generation used to -- would prefer to live on rentals than actually buy. I am seeing a major shift from 30-year onwards of this segment, which is now coming into the actual purchase of residential properties.

Also, post-COVID, people want better homes, better connectivity, larger homes, more spacious homes and closer to nature and so on and so forth. So what I'm seeing right now -- in fact, what you just mentioned about the Arbour, we've got about 1,150-odd units in Arbour. There will always be, in any point in time that you see in projects all over the world, you will see. There will always be about 5% to 10% that will be up for trade every year. That's not an alarming situation at all. In fact, it's a very healthy situation with the kind of premium that the second and third sales are generating. That further shows robustness in the demand and the market.

As far as your point about the -- where the demand is coming from, I've categorized this earlier also during our press briefings. So I am seeing, I wouldn't call it an influx, but I'm seeing a very favourable demand from the NRIs. I credit this to the government's outreach led by the Honourable Prime minister himself with the Indian diaspora all over the world. So there is this nostalgia or a certain piece of the Indian pie that they now want to take. And what happened in the previous decade, I feel that because of unscrupulous elements coming into it, delayed constructions, foreign exchange issues and also the NRIs had burnt their fingers and didn't want to venture into an Indian real estate market.

So everybody else benefited. Today, I am seeing that happening. We worked on the NRI markets over the last 2 years extensively all over the world. We've mined, we've met, we've presented.

So what you are seeing is not just a by the way, kind of a thing, yes, definitely any tailwind is very welcome. But we have established our price points and our projects in various geographies.

If you see across over the last I'd say, at least 3 years, where definitely the tailwind is helping us. But I think also the brand is very strong. And there's a certain commitment that we make to the customers and the customers app

reciate it.

So I think if you look at it from that point of view, there is a good -- a very robust demand that I see today. And these are people who want -- and also one more important point I'd like to raise here. These are not speculators or investors. These are people who are wanting to move into better and bigger homes, and they want this to happen.

So if you see it today, I can safely say I have about 80-20 ratio. 80% is retail and people who are actual owners and 20% may be these investors or otherwise. That's what the market is today. I can speak for DLF. So that's what I'm saying.

Pritesh Sheth: No, got it. That's very helpful. So that's it from my side. I have a few more questions, but I'll jump back in queue. And all the best to Vivek for his new role.

Moderator: Next question is from the line of Saurabh Kumar from JP Morgan. Please go ahead. May I request the management members we move to the next question.

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Ashok Tyagi: Yes. We can -- Saurabh can come back later. We can move to the next one.

Moderator: Next question is from the line of Abhinav Sinha from Jefferies.

Abhinav Sinha: Sir, congratulations on strong numbers. A couple of things I wanted to check on slide 12 and 13 basically the development potential versus launch pipeline. So on the luxury side, you seem to have two types of products, right? So in FY '25, ASPs closer to INR50,000 and then it's like INR30,000 in FY '25. So how does this correspond with the DLF 5 land bank or some other products here. So that's question one.

And secondly, also, similarly, New Gurgaon, if you can help us explain, is the inventory now almost all the Privana type in terms of ASP north of INR15,000?

Ashok Tyagi: So on the first one, you are right, the sale in 24-25 is the DLF 5. The sale in the subsequent year, which is closer to an ASP almost of INR30,000 or INR28,000 is actually within DLF City, but not in DLF 5. We have two or three developments, including some on the next round of city floors in DLF phases 1 to 4. And those typically, I think this is the fair price for those.

I mean internally, anything sort of north of mid-20s, we classify as luxury. And hence, I think, that's the price difference you see between 24-25 and the year after. On New Gurgaon, clearly, Privana has set a new benchmark for sure. And I think there are a lot of sectors. A, we have about 116 odd acres in Privana itself. And then there are contiguous sectors ahead which also hopefully should sort of, I mean, gradually dovetail into ecosystem.

There is a new Gurgaon on the opposite side of the highway as well, which possibly could trade at a slightly lower price or may take actually longer to come up to the same levels, but I think clearly, new Gurgaon is now definitely early to mid-teens product even under all circumstances and the Privana ecosystem is clearly debuted at late '18 and hopefully would keep on strengthening from there.

Abhinav Sinha: Excellent, sir. And similarly, I mean, just 1 small doubt on the DLF 5, where we say we have got 24 million square feet. Now after all of these launches are done, I believe, we'll still have like a lot here, right? I mean 20 million more to go given the TOD upside and all. Is that fair?

Ashok Tyagi: Yes. So you are right that the DLF 5 has about 20 or 20-plus millions of existing pipelines and then the TOD pipeline, et cetera, will come in. So I mean, even at its sort of a very aggressive pace of 1 million, 1.5 million per year, I think the DLF 5 has a very deep pipeline, you're right.

Abhinav Sinha: And sir, just lastly, and many more questions, but I will come later maybe. On the acquisition that you have announced just like half an hour back, can you demystify it a bit, which land is this? And when can we actually see the transaction complete, please?

Ashok Tyagi: Sure. So this is land on the Golf Course extension road. There's a developer there who had

distressed loans from these 2 lenders, Standard Chartered and Deutsche and we have been working with the 2 lenders and the developer for almost now the last better part of 12 months into trying to structure this transaction.

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And what we have done today is that we have signed up the documents to acquire the debt from these 2 lenders. And now hopefully, in an amicable fashion, we will work with the developer to take control of these. I mean, we identified about 29 acres of group housing land here which should translate, including TOD and TDR to about 7.5 million square feet of saleable area, almost bang on Golf Course extension road via Sector 61 and I think it may take us, to be fair, with all the approvals, etcetera.

It may take us the better part of 12 months to have it really for coming to the market. But definitely, this is a geography where after Arbour, we were not present, and I think this will be a very big addition to our entire sort of inventory.

Abhinav Sinha: Great sir, this is the IREO part of the IREO bids, right?

Ashok Tyagi: Yes. That is correct.

Abhinav Sinha: Okay, sir. Excellent. And will join back for more.

Moderator: Our next question is from the line of Amit Goela from Rare Enterprises.

Amit Goela: This question is for Mr. Khattar. Sir, now that you've got that SEZ notification, which has come through, that 84%, when do you expect that to get normalized kind of situation because that will then improve the entire occupancy?

Sriram Khattar: Yes. Amit, thanks for asking a question. I was honestly feeling a little left out between the new launches and the pricing in the -- on the revenue side...

Amit Goela: I will make it a point to ask you a question every time.

Sriram Khattar: So I'm glad the SEZ notification came out in the beginning of December. And we have done our homework after that. And as we speak, we have already applied for all the SEZs for the floors that could be denotified under the new circular. So if we look at an overall portfolio of SEZs of 13-odd million, we have applied for 1.1 million to be denotified.

Now the process is that once we do it, make the application, we have to simultaneously go to a

chartered surveyor preferably recognized by the government authorities and work out what is the level of equivalent of duty drawback that we have to pay. And we are in the process of doing that.

We believe that this -- we've also been in touch with the ministry officials who will take some more time for starting to clear all this once they put the whole process in place. We believe that by March and April beginning, we showed April middle, we should be able to get these denotified. And we will be putting them on rent in the market for leasing in the month of March and then take it up from there.

Amit Goela: Okay. Sriram, plus this under construction Downtown in Chennai, which is there, where you are saying that 90% is leased out. When do you see the revenue from this kicking in?

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Sriram Khattar: Yes. So Downtown Block 4 Gurgaon should be ready by the end of this year and revenue will flow from Q1 of '25. Downtown Chennai Block 1 and 2 should be -- we should start paying, the OC has come. The tenant fit outs are going on, and we expect the rental to start from Q1 of FY '25. Sorry, Block 4 will be from FY '26 first quarter and Block 1 and 2 in Chennai first quarter of FY '25 and Standard Chartered will be from fourth quarter of FY '25.

Amit Goela: Okay. So most of it will kick in '25, '26?

Sriram Khattar: So Block 4 and Standard Chartered block will kick in, in FY '25, '26. Chennai Block 1 and 2, which is 2 million square feet, will kick in, in '24, '25.

Amit Goela: And one last point on this. See, on the cash flow of DLF, there will be dividend payment from the DCCDL of INR258 crores. So that is what sequential quarterly paid or what exactly is this

?

Ashok Tyagi: No. So Amit Ji, what we have agreed now with GIC and Mr. Khattar, and Mr. Khattar agreement was a tougher one to obtain than GICs, I could assure you, is that he will take -- that basically Cyber City should pay a dividend twice a year. You are every 6 months in that sense, because it is a more predictable business instead of accumulating cash through the year and only paying it once.

So twice a year, we should -- ideally they should pay dividend. DLF will still pay dividend to shareholders hopefully only once a year. But from Cyber City, we receive it twice a year.

Amit Goela: Okay. Thank you so much. And finally, like Vivek, all the very best on your new assignment.

Moderator: Our next question is from the line of Saurabh Kumar from JP Morgan.

Saurabh Kumar: Am I audible?

Ashok Tyagi: Yes, sir, you are.

Saurabh Kumar: Okay. Sir, a few questions. One is, I was just looking at your RERA filings for Privana and Arbour. So your construction costs incrementally are in the INR9,000 range. Is there a reason why the construction costs are so high? Is it like just a high-spec apartment which you're doing. So what would explain such high construction costs, which is -- because I mean the question is essentially your gross margin should be going up and they're not?

Ashok Tyagi: So Saurabh, what we are doing now, given the entire material inflation in the last 4 to 5 years, is that we assume a 5% year-on-year material cost escalation, which is baked into this number.

And I think there's a 5% contingency for any unforeseen expenses baked in.

So actually, if you were to ask Devendra Singh, who is running that project, what -- 100% of expenses were to be outflowed today, the number may be closer to seven and a half, 7,500-7,700 but the balance 1,200 to 1,500 is actually the provision for the next 4 years inflation and a potential contingency. The contingency provision keeps on reducing as we keep on ordering more and more.

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Saurabh Kumar: Okay. So your gross margins in that case should not have a -- I mean, will have an upside only, so hopefully...

Ashok Tyagi: The contingency is under control. They should go. Because frankly, I mean, you are aware that the last 12, 15 years there have been a couple of cycles when inflation has caught us off guard.

Saurabh Kumar: Okay. Got it. The second is, again, on this price sustainability. So you launched Privana, which was awesome. And then your competitors also kind of cashed into the momentum and kind of did some launches maybe slightly lower.

But point is that what do you think about the sustainability of this price increase which you're seeing in Gurgaon which is like completely delinked with what's happening in rest of India. So I understand the inventory is low, but at what point it becomes an affordability challenge?

Aakash Ohri: So what is happening, Saurabh is that affordability also comes with a certain degree of what you

are prioritizing in life. So as I say, your residential sales post-COVID earlier, people thought it's an aberration, people thought it's maybe couple of months phenomena, then they said no, it's going to be carrying on for a year, then they said 2 years now.

Now it's accepting that there is a certain set of people who have now decided to come into the fray who historically were not buying real estate, okay? And that's the age group of between 30 to 40. Then the NRIs have started to come back in a good way to invest in the country.

So as far as price sustainability is concerned, if you see the overall infrastructure in and around, Privana, let me just make that as a case in point for you. It is the hub between the Dwarka Expressway, the Mumbai Expressway, the -- this Jaipur National Highway. So basically, if you look at its connectivity wise and it abuts 10,000 acres of a green lung, you can't get it better. Now with regard to the acceptance as far as price

points are concerned, I think, I will still choose

to believe that our pricing has been very responsible, because if you see the kind of madness that was going on in Gurgaon earlier, we have kind of -- not only we have kept ourselves away from that greed and that lure and both -- and have demonstrated this very strongly, both in Arbour and in Privana that we could have picked up at least INR2,000 per square foot more, which we didn't. So we kept money on the table for the investors. So that is one.

Second, as far as we are concerned and as far as Privana is concerned, the ecosystem, the entire ecosystem, and the contiguous land parcel that we have. I'm calling it the DLF 6, so all the learnings that we have had in DLF 5 obviously, DLF 5 is super luxury, so we're not comparing it apple-to-apple. But I'm saying all the learnings of infra, social infra, everything else that we had, we will be taking that to Privana.

So you will only see a price increase. And again, I think, what has happened today is that there is a certain set of people. If you see the size of investors has increased over the last 3 years and the acceptability of residential real estate investments as an asset class has now become the top priority. So I think that is what is it.

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If you see what was happening to the capital markets over the last 5 years, why aren't people saying that how come investments went from certain billion to certain billion where are you seeing that with the FIIs pull out will individually retail guys. So everybody is trying to grow their market, but in the real estate thing, there is -- I'm seeing a very sustained demand, Saurabh. And I feel that this 80% because a lot of these investors, in fact, let me make another point clear to you. This time even deduped the Arbour data. So people who got the Arbour were not in the line of reference for Privana. So for people that -- and in fact, I'm extremely wary of these fly by night investors because we don't -- we'd rather have -- and we have enough people wanting to get better homes from DLF.

Ashok Tyagi: Saurabh.

Saurabh Kumar: Yes, you are the guy with the golden touch, sir. So I just want to just add on to one thing on this price thing because the Privana's price is what Magnolias was like 8, 9 years back, I mean that's my limited point that Magnolias stated at 18,000, Privana under construction, you've kind of got to that price. So -- but maybe I'll take it offline.

Aakash Ohri: Happy to tell you what Magnolias is trading today at INR55,000 to INR60,000 a square foot.

Saurabh Kumar: Yes. No, I understand that. Okay. Just one last...

Aakash Ohri: These are second and third phase, Saurabh. So I'm not even -- I mean, yes, I have a very strong retrade team, which is assisting people there. But that's what the price points are in Gurgaon today. And if you're wanting a better life, you want -- I say it's a great melting point. It is not only just price point related, it is also becoming the most preferred destination for living, both from the infrastructure point of view and the social infrastructure point of view.

And of course, the connectivity to the airport and everything else, 95% of the offices, big Fortune 500 companies are there, good schools, great ecosystem, fantastic golf courses, leisure opportunities, cinemas, you don't need anything out of this zone that has been created.

Saurabh Kumar: Okay. So maybe next time in Gurgaon, we can see that New Gurgaon market plan. So just very quickly moving on. Sir, just on the construction spend, your construction spends now go up very substantially from here on because of the sales velocity.

And I mean, are there any changes you've done because now you're giving fully fitted out apartments historically, we've had delays. Are there -- I mean, as you spends go up, are you confident of meeting the timelines you have kind of thought about because you

r sales have gone

up roughly 6x. I mean, the deliveries will have to keep pace. How do you think about that?

Ashok Tyagi: So you're right, Saurabh. So I think the 2 things we have done is obviously significant strengthening of our construction teams on the ground. And also a significant diversification of

the contracting ecosystem, frankly. So we are no longer working with just the 2 or 3 Grade A contractors. We have diversified.

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We have strengthened our sourcing team. We have strengthened our accounts payable team. The entire value chain of that entire construction process, we have definitely -- because we clearly understand that that could be a weak link if it's not focused on. And I think that's what we are doing.

Saurabh Kumar: Okay. And just one last question. When do we see the P&L acceleration in terms of revenue recognition? Or when should that start to happen? Maybe Vivek can answer that? We'll hold him to account still in the new company.

Vivek Anand: Saurabh, I think this was asked earlier as well. So I think it's a matter of time before these new sales will start converting it into revenue. So I think possibly my estimate that it will take another two years before you see the revenue actually growing almost in line with the new sales booking.

Saurabh Kumar: Okay. Got it. Thank you.

Moderator: Our next question is from the line of Mohit Agarwal from IIFL. Please go ahead.

Mohit Agarwal: So my first question is, I wanted to have a view -- your view on the demand for independent floor segment, especially in Gurgaon. So is the momentum continuing like what we were seeing last year, last two years or -- was it more like a post-COVID trend when -- and now homebuyers are back to buying apartments. So any thoughts on that? And within our launches, how much are we -- what share is independent floors for FY'25 in the launches?

Aakash Ohri: So independent floors, most of it that we had we sold. In fact, we just got the last 30-odd units to go as far as floors are concerned, independent floors. And one thing that -- since you asked that question, I'd like to say, because I -- we keep doing these analysis even within. There's a certain set of customers who only prefers to be in these floors or independent homes. The managing of independent homes is becoming quite a hassle for most of the people. So people are graduating to living in floors and there is a little bit of a community thing also.

Yet, it is tradable and manageable. So also happy to let you all know that the DLF independent floors are being traded at a premium of upward of 15% to 20%, which are happening today. And the set of people, and there are plenty because if you look at upcountry, they've not lived in condominiums. If you look at Delhi, most of Delhi has never lived in condominiums.

So I am getting -- I have a massive, I'd say, interest that comes in and demand that comes in from upcountry as well as Delhi. People who historically lived in independent homes or even floors there are now starting to upgrade because their children go to school here or they work here. So I'm seeing a lot of those people wanting to move here.

They had the choice of condominium living, they chose independent floors. So as a brand, I will continue to say that whatever -- I don't have much to your second question. I don't have much in Q4 or Q1 of independent floors. But if I can answer it this way, should I get an opportunity, I look forward to it.

Mohit Agarwal: Okay. Understood. My second question is in your land bank slide, you mentioned in the comment below that the TOD potential is not being considered. Could you give some color

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around this? How big could this be? And which areas is where you see the maximum TOD potential? And when does this come into your land bank? Or when does this come into play only once you exhaust

the existing pipeline or it could be more opportunistic? So some color on that.

Yes.

Ashok Tyagi: So whenever we launch a project, so as an example, when we launched Privana. We look at the TOD/TDR entitlement that Privana had and try to maximize that. So it's not that only once we complete this project when we start engaging on TOD and TDR because TOD and TDR is used on the existing land bank. It's sort of retrofits on the existing land bank. So this is done on a project-to-project basis, they will in all fairness from micro geographies in Gurgaon also where we may not be able to consume the entire TOD and TDR entitlement because of either height restrictions or footprint restrictions on account of buildings already built.

So this is a WIP in all fairness, but I think this will add to this number by a significant margin for sure. But we are not letting TOD/TDR yet. Whenever we are doing a new project, we try to sort of assess the maximization of TOD and TDR, we can do in that project, both on the DevCo side and on the RentCo side.

Mohit Agarwal: Okay. And -- okay, understood. And lastly, any update on the Midtown Tower D launch? And

are we planning to launch this in -- of FY'24? Or will it spread into FY'25?

Aakash Ohri: What has happened is that all this hullabaloo that Gurgaon has been -- all the attention that Gurgaon has been getting, we have almost sold-out Tower D. We've got the last 70-odd units left of One Midtown.

Ashok Tyagi: Before we launch.

Aakash Ohri: Even before we planned to do this in Q4, first Q3, Q4, but we are almost cleaned, just 70-odd units there. So I don't think that it merits a launch. And there is just Tower D left now. The four-bedroom we had always planned to do with the club launch, which is sometime in Q1 or Q2.

But I don't think really now -- I don't think we're going to be doing a big bang launch or anything.

We're almost out of 225 to 235-odd units, we're almost there, just 70 units to go. So that is also, I think, we'll clean this up this quarter. So I don't think there'll be a launch anymore there.

Mohit Agarwal: Okay. That's perfect. Thanks a lot for answering my questions and wish you the best, Vivek.

Vivek Anand: Thanks, Mohit

Moderator: Thank you. Our next question is from the line of Parikshit Kandpal from HDFC Securities.

Please go ahead.

Parikshit Kandpal: Hi, sir. Thanks a lot for the opportunity and congratulations on a great quarter. So after achieving our guidance of INR13,000 crores, so what are the next targets for FY'24 and '25?

Ashok Tyagi: So, depending on how the entire launch pipeline pans out, I mean, clearly, we will be looking at a number which is at least a moderate increase from what we achieved in FY 2024. I mean, traditionally, as you know, we come up with the launch -- with the launch guidance -- the sales

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guidance for next year, typically in the annual closing analyst call, which will be in early to mid-May, which is when we would update this.

By that time, this entire thing on, when are we launching Privana 2, the final timeline on the DLF 5 launch, all of these uncertainties would also have been frozen by then. So -- but I clearly look at a number which is hopefully a 15, 15 plus number at a very moderate level for next year.

Parikshit Kandpal: And even for FY'24 now being done, INR13,000 crores, if you're looking at that INR15,000 crores plus for the full year as a whole?

Ashok Tyagi: So I think -- as I think Aakash mentioned earlier also on some of the interactions post Privana, we are trying to see if we can advance the launch of 1 major project, which is currently stated for Q1 into Q4. I mean, obviously, the market is there and the customer pipeline is there. I think it's a question of can we get all the approval process done by mid-March for it to launch.

I think there's clearly -- there will be a launch, Parikshit, definitely before the end of April fo

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sure. Whether it happens on 15th March or 15th April is something that I think we are not necessarily losing our sleep about. But I think clearly, we do expect that the next round of Privana should come to the market, hopefully, in the very near term.

Parikshit Kandpal: Great. Just the last question on this new land bank, which we have announced. So you said 7.5 million square feet would be I understand the carpet sale -- carpet area and 12-odd will be sellable. So this INR825 crores would be the total...

Ashok Tyagi: Parikshit, 7.5 million square feet saleable is what we said.

Parikshit Kandpal: Sorry sir, what?

Ashok Tyagi: 7.5 million square feet sellable area.

Parikshit Kandpal: Okay. It's sellable because I think you earlier mentioned 12.5, I think just on that. So this INR825 crores is the total consideration for the sellable area and beyond that you will also need to invest on TOD?

Ashok Tyagi: No, INR825 crores was the outstanding loan that the developer had vis-à-vis these two banks.

Actually, the loan was what I think INR1,200 crores. The bankers agreed to take a haircut as a one-time settlement. So INR825 crores is what we have bought the loan at from the bankers. We are in the process of finalizing our agreement with the developer for acquisition of these 29 acres with -- with that requisite FAR. And I think whatever is the delta would then need to be paid out. So INR825 crores is not the consideration for 29 acres. The consideration would be slightly higher than that. But INR825 crores is the price at which we have bought these bonds from the current bondholders. So that now we are the lender and we will now run that process in amicable manner to acquire the targeted land.

Parikshit Kandpal: And what would be the total development potential in terms of value, 7.5 sellable, what kind of sales potential is there?

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Ashok Tyagi: I don't want to hazard a guess, but Aakash what will extension road, what will be the sales price. So I think 7.5 would be late teens.

Aakash Ohri: But I'll let Saurabh speculate that. I'm dreading saying anything to you all. No, it's a fantastic parcel. We are very excited about it. And it will be -- hopefully, as soon as we get it, I think it's going to be a good turnaround. Also, you know what the Golf Course Road is trading at today. So at this point in time, I think, let us do -- get into the market a little bit, let us do our surveys, but it will be a good number, again, responsible number.

Parikshit Kandpal: And this is not included in the presentation...

Ashok Tyagi: No, this is not included in the launch guidance because the launch guidance was prepared yesterday evening and this agreement was signed today afternoon.

Parikshit Kandpal: Okay. Thank you, sir. Those are my questions.

Moderator: Thank you. Our next question is from the line of Kunal Lakhan from CLSA. Please go ahead.

Kunal Lakhan: Yes. Hi, good evening. Just wanted to understand like since Mumbai is second in line after Gurgaon in terms of launches, what are the specs that we are looking at? What kind of units, what kind of ticket sizes we'll be launching there?

Aakash Ohri: So right now, it's going to be premium plus, ticket size, again, yet to be fully finalized, but it will be between INR5.5 crores to INR7.5 crores. And as far as the sizes are concerned, we were just about, yes, it's three-bedroom, three-bedroom plus, but we're just about finalizing over that. But it's -- it's going to be a good development again in the lines of what DLF does with infrastructure and all that. And of course, the lifestyle with the club and everything else will come with it.

So as far as the product is concerned, I mean, the first cut has come out pretty well. So yes, please keep a look out for us. And I think that's the price point that at this point in time that we're looking at, but I am now getting -- I'm going to be spending some

time in Mumbai starting, say,

maybe February, March onwards, and some realization price thing we'll kind of do once we are on ground. But more or less, we've got an idea of what we're going to be launching at. And I think, yes, I mean, we're also pretty excited to come to Mumbai. So yes.

Kunal Lakhan: Sure. And any update on Tulsiwadi? I mean Mumbai also has been doing well, especially the luxury bit, right? And that location is like well sought out for. So any update there? And any timeline that we internally hold that to start looking at monetizing that project?

Ashok Tyagi: No. So I mean Tulsiwadi, obviously, we are currently at the rough end of the legal fight. I mean, as you may have read about four, five months back, one of the three -- three shareholders, frankly, I mean, basically acquired -- the land was sort of auctioned in a very less than transparent manner to an ARC who transferred it to an affiliate of one of the shareholders.

So currently, both us and Shapoorji Pallonji are in extremely intensive litigation with, frankly, both the lenders, PNBHFL and the concerned ARC and we are hoping for a fair and equitable DLF Limited

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resolution of that. So clearly, it's not coming up for a launch anytime soon because some of these legal issues have to be resolved.

Kunal Lakhan: Sure. And lastly, we are generating these very strong free cash flows both in DLF as well as DCCDL. But in terms of our new business plans or new development plans, I mean, we got into Mumbai, but are we looking at any other market actively besides Mumbai on the West or on the southern side?

Ashok Tyagi: So we are clearly looking at certain opportunities to -- from a growth standpoint. As you recall, Vivek always used to say that free cash flow will be used for shareholder returns and growth capital. So we're still looking at growth capital. But truth be told, most of our opportunities that we are pursuing right now are within the NCR fold in that sense, which is where I think we have a strong presence and hopefully can deliver value.

Sriram Khattar: So we've actually taken Vivek's guidance very seriously.

Kunal Lakhan: Sure. Sure, sure. Khattar ji, one quick question for you. We did highlight that last time that we are seeing discussions or interest coming back from GCCs, although nothing has been put on paper yet, but are we seeing incremental signs of like new leasing coming back, especially from the larger players, larger GICs and MNCs?

Sriram Khattar: Yes, the demand or the interest from GCCs continues to be robust. And I believe that in the next few quarters, it will only grow. When these GCCs come to India, they look for 3, 4 aspects where I daresay at the cost of and I don't want to be immodest, where we are able to sort of satisfy quite well.

One is they look at what levels of sustainability do we have? And what steps do we take in that area and in the area of ESG. Secondly, look at what we can provide for the employees of these GCCs who come in terms of social infrastructure and better-quality amenities, safety, security, et cetera.

Third, they look at scalability. And fourth, they look at the quality of the real estate developer.

So I think as we go forward, this definition of so-called Grade A office space at 700 million will slowly get -- start getting segmented where we will have Grade A++ office space and Grade A office space. And Grade A++ office space, I daresay would be between 150 million to 250 million. And that is the segment we would continue to operate and grow.

Kunal Lakhan: Sure, sure. But in case -- in a sense, are you expecting like larger deals to start closing from, say, a couple of quarters?

Sriram Khattar: Yes, we expect larger deals to close from a couple of quarters. I may share with you a deal that was closed recently. To our surprise, one of our tenants wanted to see our pipeline of growth for the next seven years when -- and

this was in Gurgaon and when we shared that with him, Downtown Phase 2 for which only we have started doing the roughs and preparatory work on the site. There was a building -- we have 4.5 million square feet of offices coming behind the mall, and that's a total of about 7.5 million developments.

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So this very marquee GCC took 160,000 square feet with deposits with an auction, hard auction to take on another 160,000 in a building for which we have not yet started construction. We are having also strong inquiries on our joint venture with Hines, which in terms of timing, we have planned well so, say, downtown 4 gets delivered end of this calendar year.

And the joint venture with Hines, which we call Atrium Place those buildings start getting ready from, say, April, May of '25. Therefore, there are well sort of timed. And by the time they get completed, we will have the Phase 2 of Downtown delivery starting to come in place with a lag of about 6 months to 12 months.

Kunal Lakhan: Sure. Sure.

Moderator: Our next question is from the line of Abhinav Sinha from Jefferies.

Abhinav Sinha: Khattar sir, just a quick follow-up on Kunal's question. So on the rent side, are we seeing some movement or it's still a few quarters away?

Sriram Khattar: No. touchwood, we are seeing the rents getting not only stabilized but moving up. I am pleased to share that the last lease that we did in Downtown 4 was at INR150 a square foot. And the last lease that we did at Downtown in Chennai was at INR100 a square foot. So we are seeing rental slowly inching up. Cyber City, our budget for this year was INR114 and we'll probably be doing slightly better than the budget in the current year.

Abhinav Sinha: Right. And sir, last one on DCCDL transfer that we have seen the DLF centre. So I mean, are we looking to transfer the remaining also from DLF and including the ones -- the malls, I think, which are under construction?

Ashok Tyagi: So one thing we have realized is that it's frankly from a value realization standpoint, it's always best to transfer assets once they are completed and rent yielding versus when they are in the development phase and subject to a lot of assumptions and valuation, et cetera. I mean, if you recall, we had transferred the parent Cyber City assets in September -- December '17, transferred the next rung of assets in September 2019.

In some sense, this is the third tranche of those assets. So we -- I mean the DLF Cyber City -- DLF Centre transfer required the permission from the minority shareholders. So hence, we have taken it ultimately to Board this time and now we'll run the minority shareholder process.

And hopefully, by the time this closes, we may also be looking to transfer one or two other assets which are currently in active rental on the DLF side of the equation on to Cyber City assuming they're able to settle the price and other terms agreement with GIC at Cyber City.

Moderator: Our next question is from the line of Saurabh Kumar from JPMorgan.

Saurabh Kumar: Sir, just a few follow-ups. So one is this Atrium Place, it says sales value. So I mean, the intention is to sell it or it's part of your development that is INR7,000 crores? Or is that just a capital value?

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Ashok Tyagi: So this is a capital value. I mean the idea being obviously Saurabh, there is some stage as and when Cyber City does have a monetized solution, Atrium Place may also be -- potentially contribute to that. But this is not -- this building hardcore for lease. This is like a classical RentCo asset. It's just that as and when the monetization proposition or solution comes up for Cyber City as a whole, we'll talk to Hines at that time to see also if we can contribute that as well into that modality.

Saurabh Kumar: Okay. And current visibility, sir, where will you think the exit rental for FY25 stabilizes

now?

Sriram Khattar: Saurabh, I was waiting for this question, it should stabilize between INR5,100 crores and INR5,200 crores fiscal -- FY25.

Saurabh Kumar: FY25. Okay. INR5,100 crores, INR5,200. And this will exclude Atrium, right? I mean, Atrium will be?

Sriram Khattar: Yes, it excludes Atrium...

Ashok Tyagi: March '24 exit is...

Saurabh Kumar: And in the parent, it will -- should be at the current run rate, right? And the DLF...

Ashok Tyagi: The DLF Centre it comes at -- DLF Centre will get reduced from parent and go into Cyber City.

So that INR65 crores or INR60 crores, INR65 crores will get direct to Cyber City.

Saurabh Kumar: But nothing is completing in DLF in the next one year, right? In one of the malls you were building or the...

Ashok Tyagi: The malls will come into play in the fiscal...

Sriram Khattar: Noida will come into play. So that's about INR50-odd crores.

Ashok Tyagi: INR55 crores in Noida, yes.

Sriram Khattar: So what will happen on the DLF side that one side -- once the DLF Centre deal is consummated about INR60 crores of rental will shift from DLF to DCCDL. But in DLF, the two, the data centre one and about 0.5 million of IT Park that will start really yielding range of roughly an equivalent amount, maybe INR5crores a year.

Saurabh Kumar: Yes. So basically, DLF remains constant that goes up. Okay. Got it. Just one last question, sir, on this deal, which you've done. For me like effectively, your property prices are going up, but if I look at the transaction and even if I make assumptions around land cost, other charges, land cost is not going up, right? So you're basically buying 7.5 million square feet for less than, I don't know, maybe INR1,400, INR1,500 a square foot. So that's a very sweet spot for you as a developer to use cash when land price is not going up, property prices going up, so your incremental margins are better. I mean if you want to comment on that?

Ashok Tyagi: So Saurabh, you're right and very rough back of the envelope computation, from the agreed land cost and all the governmental charges required to go up to peak the 4.5 plus FAR. I think our DLF Limited

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landed land cost will come to around or less than INR2,500 per square foot of saleable area. And so obviously, given the price points, hopefully in the Golf Course extension road, that is a fairly sweet spot.

Saurabh Kumar: So when should you be doing more of this, like, I mean, this is like the situation doesn't last for long right?

Ashok Tyagi: Saurabh, this transaction has taken 19 months of my life...

Saurabh Kumar: I got my...

Ashok Tyagi: 19 months of my life, my HbA1c has shot up by about 20% in this transaction. So -- let's -- we'll do it...

Saurabh Kumar: It takes only two days for Aakash to sell it. Yes.

Sriram Khattar: The sugar levels of Aakash and Ashok are constant..

Ashok Tyagi: But I mean delegating this distressed effect the...

Saurabh Kumar: Okay. Got it. Thank you.

Moderator: Thank you. Ladies and gentlemen, that was the last question of our question-and-answer session. I would now like to hand the conference over to Mr. Ashok Tyagi for closing comments.

Ashok Tyagi: Thank you. So, A, obviously, I would like to thank all of you for, again, coming out and supporting us. Yes, we have hopefully had a very good quarter, and I think this is a harbinger of possibly not only the next quarter, but hopefully, the next couple of years, if not longer. I mean both the DevCo and the RentCo, both offices and malls.

I mean, really all the segments are firing right now in unison. I mean the one delta there was, was with respect to SEZ lands and that also has now been rectified. So hopefully, all the engines of the company should be working together.

Our free cash flow is now reasonably strong. We have -- as I mentioned earlier, we'll keep on distributing that across shareholder returns and growth capital. So I think overall, I think the com

pany is definitely hopefully looks to be -- I mean, the company and the industry look to be in a relatively decent zone.

I'd also like to take this opportunity, frankly, to thank Vivek, who, I think, in the last 4.25 years of -- four years plus?

Vivek Anand: Four-plus years.

Ashok Tyagi: Four-plus years. Honestly, has been tremendous in terms of putting sanity in our process, in our cash flow systems in terms of strengthening of the -- not only the teams below him but also the IT networks. I mean, in some sense, I think, he was exactly what we needed. And while we tried our level test to have him stay back, he wants to ride a motorcycle now, so which is okay. But

again on behalf of all of us, I think we once again thank him enormously for what he contributed here.

Vivek Anand: Thank you.

Ashok Tyagi: All the best, Vivek.

Vivek Anand: Thank you.

Ashok Tyagi: Thank you.

Sriram Khattar: Thank you.

Aakash Ohri: Thank you.

Moderator: On behalf of DLF Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2024

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18th May 2024

The General Manager
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BSE Limited
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National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra(E), Mumbai – 400 051

Sub: Transcript of Earnings Call
Dear Sir / Madam ,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings webcast .
Requisite details regarding the earnings webcast are as under:

S. No. Particulars Details
1 Date of Earnings Call 14th May 2024
2 List of management
attendees - Mr. Ashok Kumar Tyagi – Managing Director and
Chief Financial Officer , DLF Limited
- Mr. Sriram Khattar – Vice Chairman and Managing
Director, Rental Business , DLF Limited
- Mr. Aakash Ohri – Chief Business Officer and Joint
Managing Director , DLF Home Developers Limited
3 Web -link of the Transcript Q4-Transcript -18-05-24.pdf (dlf.in)

This is for your kind information and record please.

Thanking you,

Yours faithfully,
For DLF Limited

R. P. Punjani
Company Secretary

Encl.: As above

For Stock Exchange's clarifications, please contact:
Mr. R. P. Punjani - 09810655115/ punjani -rp@dlf.in
Mr. Amit Kumar Sinha - 09810988710 / sinha -amit@dlf.in

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"DLF Limited
Q4 & FY '24 Earnings Conference Call"

May 14, 2024

MANAGEMENT : MR. ASHOK TYAGI – MANAGING DIRECTOR AND
CHIEF FINANCIAL OFFICER , DLF LIMITED
MR. SRIRAM KHATTAR – VICE CHAIRMAN AND
MANAGING DIRECTOR - RENTAL BUSINESS , DLF
LIMITED
MR. AAKASH OHRI – CHIEF BUSINESS OFFICER AND
JOINT MANAGING DIRECTOR – DLF HOME
DEVELOPERS LIMITED

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Moderator : Ladies and gentlemen, good day, and welcome to DLF Limited Q4 FY '24 Earnings Conference Call. We have with us today on the call Mr. Ashok Tyagi – Managing Director and CFO, DLF Limited; Mr. Sriram Khattar – Vice Chairman and Managing Director, Rental Business; Mr. Aakash Ohri – Joint Managing Director and Chief Business Officer.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” and then “0” on your touchtone phone.

Please note that this conference is being recorded. I now hand the conference over to Mr. Ashok Tyagi. Thank you, and over to you, sir.

Ashok Tyagi : Okay. Thank you. Good afternoon, everyone. Welcome to DLF Limited's Analyst Call for the quarter and year ended March 31st 2024. As you may have seen from our analyst presentation that was circulated last evening, this has been one more quarter of reasonably solid and strong growth. Our pre-sales for the last year have again been in the vicinity of Rs. 15,000 crores, thus maintaining now two back-to-back years of Rs. 14,500 crores to Rs. 15,000 crores sales level. Our PAT for the quarter was Rs. 900 crores and for the full year, the consolidated PAT is Rs. 2,700 crores, which again is a very strong number and I think the most heartening is that the free operating cash flow for the year is now running at about Rs. 4,300 crores for the last fiscal year and we are now very solidly in the positive cash territory and ended the last 31st March with a net positive cash balance of Rs. 1,500 crores plus, which hopefully should keep on growing. I mean, we are clearly looking at the existing market s, in terms of the depth that they have, which has surprised us extremely positively. The launches that Aakash has led have been successful almost now without fail and I think basis the strength of what we have achieved so far, we are clearly looking at a strong growth in the next fiscal and hopefully targeting a sales guidance of Rs. 17,000 crores for Fiscal 2024-25.

With the development business, the rental business has continued to have an extremely solid year all through. The total rentals for the last year have been Rs. 4,400 crores plus, which are stated to grow significantly this year. Our growth pipeline in terms of CAPEXs is very strong with the Downtown coming up in Gurugram, the next phase of Downtown in Chennai, and our joint venture with Hines, the Atrium place, all buildings are now in an advanced state of completion. Our debt to GAV is now down to 0.23, which is almost comparable to the industry's best. And our debt to NOI is also now almost at a 4 and stated to be stood at 4 level through the year.

So, all in all, both the residential and the commercial businesses have done extremely well and frankly, without taking too much of your time, I'll now open it up for questions.

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Moderator : Thank you very much. We will now begin the question-and-answer session. To ask a question please click on the 'raise a hand' icon tab available on the toolbar or on the 'queue' tab available on your screen you may also post text question on 'ask a question' tab available on your screen.

Kindly turn on your mike when the operator announces your name. For participants joining through the audio bridge, to ask a question you may press star and one on your touch tone telephone. If you wish to remove yourself from question queue, you may press star and 2.

Participants are requested to use headsets while asking a question. Ladies and Gentlemen, we will wait for a moment till the question queue assembles.

The first question is from the line of Puneet Gulati from HS

BC. Please go ahead.

Puneet Gulati : Yes, Thank you so much and congratulations on good collection run rate. My first question is actually with respect to that only. Out of the Rs. 2,100 crore s of collection this quarter, how much of it is attributable to Chennai and how much do you think is a sustainable run rate on a quarterly basis?

Ashok Tyagi : Okay. So, the Chennai, I mean the total transaction value of Chennai was about Rs. 730 odd crores, and all of that got collected in this quarter. Total through the year, our collections net of the Chennai transaction were about Rs. 7600 odd crores. It was Rs. 8,300 crores including Chennai, about Rs. 7,600 crores excluding Chennai, which runs at about Rs. 1,900 odd crores per quarter. I mean, obviously, there will be spikes across quarters and we are frankly targeting for this number to grow by at least 15 odd percent on an ongoing basis for next year.

Puneet Gulati : Just 15% despite a huge sales launch pipeline?

Ashok Tyagi : So, if you look at, the Arbour had been launched in the previous year and Arbour collections came in now. I mean, the bulk of the first 35% Arbour collections have now come in. The subsequent collections will now come with stated construction milestones. Privana South and Privana West will have strong collections in the next fiscal. But please also appreciate the large chunk of our collection engines for the last 2 years was driven by the completed Camellias, which were all sold at a nine-month timeline and really as the Camellia's existing inventory is now winding down, that particular support will no longer be available. So, now really, I mean, in some sense, this year will be the first year where the new products launched in the last couple of years will be driving the entire collections mechanism.

Puneet Gulati : Understood, that's helpful. My second question is with respect to the recent land acquisition in Gurugram, which is the IREO project and that seems to have increased your land bank from 81 to 88 million square feet. How should one think about it? Why was there a need to buy it in this location and not get into some of the newer markets or allocate capital more towards Mumbai, for example? How should we think about the balance remaining land bank? Because you have a very- very large land bank in Gurugram already.

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Ashok Tyagi : So, like Mumbai itself is split across 7 or 8 distinct sub -markets. The fact is today, Gurugram is no longer a single market. There are at least 3 or 4 distinct sub -markets or micro -markets in Gurugram, of which the golf course road is clearly one. The erstwhile DLF City was another. The new Gurgaon was third. I mean, frankly, Aakash has almost created the entire Privana market as a premium market to the classical new Gurugram market now and the golf course extension road was always a strong market where frankly, we did not have adequate land presence. We had only one project, which was Arbour which had been launched in March of 2023.

And that was a great success, which frankly led us to believe there was potentially a window of opportunity for us to get into if we could get the right land bank and this was a land bank which came to us through the lenders and it was, as you know, a takeover of a bank debt, which we did, along with the security which came with it and then obviously, we did a SARFAESI, etc. So, I think really, I mean, this land parcel today will cost us less than Rs. 2,500 rupees a square foot on saleable area for almost 7.5 million square feet and we believe that there is a, I mean, frankly, this is an extremely profitable venture. I mean, we have already put a GAV of about Rs. 20,000 crores on this right now and honestly, by the time all our approvals are done across the next year, I think hopefully the price point should be even stronger. So, this should actually prove to be a distinctly pr

ofitable product, which is addressing a micro market where we were not present.

Puneet Gulati : Understood, that's very helpful and lastly, if you can give in terms of timelines of completion for the Hines project, and what is the plan post then in terms of D CCDL acquiring that and the Downtown project?

Ashok Tyagi : The Downtown, you want to address, Sriram.

Sriram Khattar : So, let me start with the Hines project. It's called the Atrium Place. It is a 2.9 million development at this stage, spread in 4 towers. The towers start getting delivered by April, May next year, and go on till end of next year, beginning of FY'26. So, the first 3 towers are about 600,000 square feet each and the last tower is about a million square feet. As far as Downtown is concerned, it's, as you know, a very large multi -use development. Downtown 2 and 3 of about 1.6 - 1.7 million are already completed and running and rent yielding. Downtown 4 is expected to be delivered at the end of this year, early next year, which rentals starting in Q1 of the next year. That's about 2.1 million. The development of the phase 2 as we call it, which is the Mall of India at Gurugram and about 4.6 million square feet of offices has already commenced.

We have started the raft and ground preparation, etc., and the designs have been finalized. The drawings have been put for municipal approvals and we are in the process of shortlisting the contractors to do this. This has been quite an intensive planning exercise because it is an

integrated development of in excess of 7 million, which has a reasonably strong component of infrastructure development around the 36-acre side and on the service lanes and lands around it.
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There is a small phase called so -called phase 3, which is about a million square feet, which we will do after we complete phase 2 of 7.5 million.

Puneet Gulati : So, phase 2, you're saying for D owntown Gurugram should get completed by end of this year and for Chennai phase 1, when should that get completed as well?

Sriram Khattar : So, in Chennai, D owntown 1 and 2, the occupation certificate has come. As we speak, the tenants are doing their fit outs . They are in an advanced stage and most of the rentals should start coming in from next month onwards. As far as the third tower is concerned, which was with Standard Chartered Bank, that is going to be completed in July-August and that's about the time S tandard Chartered will take it on for their fit -outs and we expect the rental s of that to start in the month of March 25.

Puneet Gulati : That's great and lastly, if you can tell us what was the exit rental s for FY'24 and your expectation of exit rental s for FY'25. That's all. Thank you so much.

Sriram Khattar : The exit rental s of FY'24 is Rs. 5,000 crores to Rs. 5,100 crores and the exit rental s for the next year is Rs. 5,900 crores to Rs. 6,000 crores. There is a major jump that will come up in rentals because of the completion of the certain towers in the two D owntowns and therefore the rentals will take a big bump up in FY '26. And these are on the books of DCCDL. These do not include the rentals that will kick in for the Hines joint venture on one side and the two shopping plazas and the malls totaling to about 1.2 million being developed in the books of DLF, which are in the Midtown, in phase 5 Gurugram and in Goa.

Puneet Gulati : Understood , that's very helpful. Thank you so much and All the best.

Moderator : Thankyou. The next question comes from the line of Parwez Kazi from Nuvama group. Please go ahead. Line from the Parwez Kazi has been on mute, may request you to unmute the line from your side and go ahead with the question. As there is no response , may I request you to move on to next participant.

Moderator : The next question is from the line of Kunal Lakhan from CLSA. Please go ahead.
Kunal Lakh

an: Hey, am I audible?

Ashok Tyagi : Yes Sir.

Moderator : Yes Sir, p lease go ahead.

Kunal Lakhan: Just on the guidance side, right, I mean, of Rs. 17,000 crores for next year, I mean, if you exclude the Privana West sales already done, we are talking about an incremental Rs. 11,500 crores coming from, say, the residual new launches worth of Rs. 30,000 crores odd. So, I mean, that's almost like about 35% to 40% of sales from the new launches that you're expecting. Considering
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most of the projects that we have launched so far in the last couple of years, we have sold out of those projects. So, this 40% of sales or like the incremental launches getting 40 percent sold for the rest of the year, isn't that a little conservative?

Ashok Tyagi : So, Kunal, I think, your question is, I think, if I may say so, making the error of averaging. So, let's analyze the launches we are doing and then hand over to A akash. We have Lux 5, which in some sense is like the biggest launch that will happen, and which will be a product comparable to or maybe better than the Camellias. Then we'll have the next phase of Privana coming in the later part of the year. We'll have the Villa launch in Goa and we'll have the Mumbai launch. So, clearly, I think the Privana, Go a and Mumbai launches should have very strong penetration of the total launch. Lux 5 being the kind of product that it will be, would obviously be a more strategic sale and really, A akash, I will hand you over to how you plan to do that really.

Aakash Ohri: So, I was going to say that also. So, Lux 5 is a super luxury product, as you know and you have seen, and I am not saying that it's going to take the same time as Camellias did, because Camellias was the first of its kind in that uber luxury. So, we've done Aralia, Magnolias, but Camellias was a completely game changer. So, we did what we had to do and at that point of time, regulations, markets, a lot of things, there were tremendous amount of headwinds.

Having built on the Camellias story now, and which is now more plausible and where most of the people now have accepted, and then not only accepted, but endorsed this, is now the Lux 5. So, this is not a product that can be advertised to sell and this is not something that you will have

because the price points are going to be reasonably high here per unit wise and therefore, it will take that much time to go through. So, yes, the first year will have a certain amount of sales.

And then every year, with an incremental value, it will continue to go up and sell. The networks and the processes that we have set up ove r the years for Camellias are going to be used and that's

how we are going to be going through it. Our teams on ground now are in place for all the launches. And, yes, I mean, we are not going to stop at 17 if that's your question. But you're right, over the past few years, you've seen a certain amount of sales velocity, and especially at launches, because we put in a lot of effort in launches and therefore, it will go on as we have mentioned. But we are not going to stop at 17. So, should the traction for a super luxury product get better, we know, again, I go back to the point of it being, the price points being at a certain value and above and therefore, should there be more traction, we are not going to hold back.

Ashok Tyagi : But obviously, the Lux 5 being the kind of product that it is, we'll have a certain price trajectory that we have in mind and the slight customer profile that we have in mind. And obviously, within those 2, I mean, if the total sales volume is higher than 17, you know we'll be the happiest.

Kunal Lakhan: Sure. A follow up to this is like, what are the timelines in terms of which quarters we plan to launch, say, Privana next phase, Goa, Mumbai, and then Lux 5?

Aakash Ohri: So, Q2, you will

see a Goa and maybe some friends and family of Lux 5. I mean, Q2 is going to be that. Q3 is going to be the main Lux 5 launch. Q4 is going to be Mumbai. That's how we

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planned it. So, Goa will be Q2. And plus, some of the residual sales and all that, that's how we've structured it.

Ashok Tyagi : On Mumbai, Kunal, really, we have done all the reiki and the slum rehab, etc. So, we believe that by end of September, we should have the complete site, not only of the stuff that we are launching, but the 2 million square feet site completely cleared off, barricaded, access done, all approvals done. And after that, frankly, it's a question of really, when does Aakash and the local execution team sort of decide to get to the market. But given the fact that Q3, you may want to focus almost exclusively on the Lux 5 launch, Mumbai could either be towards the end of Q3 or early Q4.

Kunal Lakhan: Understood. My second question was on, if I look at the premium segment launches for the next year, and in fact, next few years, it's practically negligible. So, any conscious strategy there to focus more on luxury or take a backseat on the premium side?

Ashok Tyagi : So, again, one is that this time, we have tried to be slightly mathematical, that we have said anything which is more than Rs. 18,000, Rs. 19,000 a square foot, we have classified as luxury.

I mean, because in our older slides, Privana used to be classified as premium. But the fact is if Aakash is getting a price point of Rs. 19,000 plus now, I mean, really, it is luxury like the City Floors. So, part of that is there. But obviously, some of the launches that may not happen immediately in the future but be it Tri-city or be it New Gurugram would eventually be in the premium thing of the say, the Rs. 10,000 to Rs. 15,000 a square foot price point. So, it's not a conscious choice, just that right now, we are focusing on this segment. Aakash?

Aakash Ohri: Also, it's we're focusing on the geographies that we spoke about, and they come with these price points. So, there is no conscious strategy to push back premium. It's just that in the pipeline that you refer for FY '25, are these products that are lined up, which are at a certain price and above, that's all. There is a, honestly, don't read anything beyond this.

Kunal Lakhan: Understood and just the last book-keeping question. In Privana West, how much would have been sales from NRIs?

Aakash Ohri: About 27% has been NRI sales in Privana West. We've been seeing a steady growth. As you know, we started mining the NRI base from before Arbour time and we have a certain process to do that. NRIs are one of the most strongest allies as far as DLF is concerned and, you know, we are not happy to tell you, we've not invented anything new. DLF, since its early inception days, has had a good NRI participation. It was only in after the 2010, when the markets collapsed, and there were delivery issues and all that, that the NRIs faded away for other projects and therefore, there was collateral damage also. But if you go historically and let me, make this very clear to everybody today, that the NRIs are not only a very strong support and have been over the last 3 decades for DLF, but also as far as payment structures are concerned, NRIs have always known to be holding property. They are not fly-by-the-night investors. They are not investors who just get into for smaller returns. Also, it doesn't make financial sense for them to do that.

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So, these are people who are, some of them are ones who have visibility of coming back to India in 5 years. Most of them rent these out. Some in super luxury have kept them for their regular India travel. But I think this whole, invest in India, and especially invest in DLF with the NRI system has really worked and we are continuing to make sure that we are

mining it well.

Kunal Lakhan: Sure. Thank you so much and all the best.

Moderator : The next question is from the line of Pritesh Sheth from Motilal Oswal. Please go ahead.

Pritesh Sheth : Thanks for taking my question. Firstly, just on Privana West, congrats on successful launch of second phase, just want to understand how different the demand characteristic was versus the First Phase. Even we had a little higher pricing. So, just your comment on that.

Aakash Ohri: So, Privana West, the qualitative nature of the demand this time has been extremely encouraging.

Again, as I say, there is a reasonably big and good demand from the corporates, entrepreneurs, NRIs and doctors, lawyers and all. So, the demand has been good. Also, because, please understand, the positioning of Privana, what makes the project actually tick is you've got the product, which is very superior. I can now give you a comparison of what this product is going to be. It is the new Crest. So, for those of you who have seen and heard about the Crest, Crest is the benchmark for Gurugram today in the luxury category and not only in Gurugram, but I can also safely tell you that Crest is the benchmark for a lot of people who want to emulate it in their geographies. So, happy to today announce to you that this is going to be in the same genre. That is the product. Then, of course, the connectivity is super for Privana. So, whether it's the Mumbai Expressway, which is 5 minutes away, whether it is the Dwarka Expressway, which will take you to the airport in about 25 to 30 minutes, whether it is the Jaipur Expressway, the connections to Privana are probably the best Gurugram can have. Then you are near a 10,000- hectare of a green lung, which is now becoming the most important priority for a lot of people who want to breathe the freshest air in the morning. So, all this, plus the DLF lifestyle promise, plus the ecosystems that we build, has added to this particular demand. And I've been more than happy to share, the kind the customer mix that we've got today. It's very encouraging to see the kind of people who come in. Also, the youngsters, as I say, I am repeating it for the one last 1 year, I am seeing a very good shift, and that's where the base of real estate is increasing. I am seeing the 30 and above investing in our properties, and across the board. So, I think that's where the Privana West story is.

Pritesh Sheth : I mean, the number of cheques that you've got, where was the higher than the number of units and hence you have pulled forward the next phase to this year, because earlier we didn't see, that Privana launch happening this year. And are you looking at some higher, a little premium product in Privana now in the third phase? Because if I do some back of the envelope calculation, we are getting an average realization of somewhere around Rs. 24 000 - 25,000. So, is my calculation, right?

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Aakash Ohri: Again, let me first tell you that it was always part of, I don't think we've recalled it. It was always supposed to be towards the end and all that, that that's something which is part of the whole launch plan. I know it's not that much. I hope it becomes Rs. 24,000 - 25,000 soon. It will. But right now, I think, I don't want to speculate there, but definitely, it will be upwards of the Rs. 20,000, at least 10%-15% more than the Rs. 20,000 mark for sure. But again, I reiterate, please understand, where the demand is coming from. So, what Crest was to DLF5 is what the Privana is starting to become for their New Gurugram business. And why this is happening is also, if you see, American Express recently launched their biggest campus, which is again minutes away from where the Privana is. Air India set up the largest hub there. So, hopefully, other commercial investments are also going to be there. So, Privana is starting to become the new DLF. I ca

ll it

the DLF -6, but it is the natural progression for what it is, because it's over 100 acres and more of contiguous land that we have. So, it's going to be one of the most prized possessions that people have and again, I repeat, that these are not just investors. Most of them, majority of them are people who are buying Privana for their end use. Also, because of the product being very homogeneous in terms of the sizes, the quality of people and the mix is going to be what is actually attracting the people to invest in it.

Pritesh Sheth : Sure and just one last on Lux 5. How are you going to strategize the inventory that you're bringing to the market? Will it be purely like invitation -based, starting certain customers like we did for Camellias? And how much of the sales is baked in, in this Rs. 17,000 crore guidance from Lux5? Or you wouldn't look at it that way?

Aakash Ohri: So, you're right, Lux 5 will be an invitational product as was Camellias. I don't think there, we'd like to dilute that at all. So, Lux 5 will have the same processes as Camellias was. And that is going to be by invitation, strictly by invitation. We will continue that whole process. We've got a very, very large network of people that we touch base all over the world in India. I am seeing the next demand of Camellias coming from Tier 2 cities, Kanpur, Kolkata, Bangalore, Ludhiana. These are the few sales that happened now. So, people are wanting, Bhubaneswar, people are wanting to now, if they have, if they spend some time in Delhi, people are genuinely now wanting to invest in this lifestyle of DLF5 and Super Luxury and Golf Links and these are fully serviced apartments and all. So, I see that demand coming from there. The networks of these people that we had presented to over the last 4, 5 years, we've got a very, very large base of

people that we are going to be again reaching out to, which are already now with us, those databases. We don't need to go out. So, that's how we're going to be approaching, I think. Right now, we've kept about Rs. 3,500 crores in this Rs. 17,500 crores to start with. But again, please don't read beyond this. This is as per plan, as per how much we can reach out and do. But like you said, should a good portion of that be taken, we are ready for that as well. But again, we are not ready to compromise on Lux 5 pricing at all.

Ashok Tyagi : Or the quality of customers.

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Aakash Ohri: Quality of customers is absolutely a priority. We've done that. We've shown it in the worst times. We've shown it at the time where everything was against us. Yet, we never compromised on any of our quality of customers. We will continue to do it with this little tailwind that we have.

Pritesh Sheth : Perfect, that pretty much helpful Aakash. Thank you and all the best to your team.

Moderator : Thank you, the next question is from the line of Abhinav Sinha from Jefferies. Please go ahead.

Abhinav Sinha : Hi, Firstly, on Privana again, when are we expecting the next phase? Is this the fourth quarter of the year?

Aakash Ohri: Yes, please. We are trying to bring it around that time.

Abhinav Sinha : Ok, and what are the delivery timelines we have on Arbour and Privana now? Is it 4 years, 5 years?

Aakash Ohri: As per our agreements are concerned, it is always 5. But again, we have set up very robust construction mechanisms and systems that if these things can be expedited, but these, they take that time.

Abhinav Sinha : Okay, Tyagi sir, just a question on the large cash and debt balance that we had at the end of the quarter. So, this is temporary or are we expecting some large payout?

Ashok Tyagi : So, okay. So, 2 things. If you look at the total cash balance that we have, it's about Rs. 6,000 crores, of which Rs. 4,000 crores is escrowed in the RERA 70% accounts. So, those can be used only for construction and approval really and for

little else. So, practically, while we have a

Rs. 6,000 crores cash balance, Rs. 4,000 crores is in the 70% RERA account, which is not accessible for general business purposes. Yes, the balance Rs. 2,000 crores, we believe, is maybe

at least Rs. 750 crores to Rs. 1,000 crores higher than what we would like it to be. So, I think we would want to eventually have that number stabilized around Rs. 1,000 crores. So, I think that's

a correction that you will see across the next 2 quarters. And hopefully, hence, that will also result while having now won the net debt war, the next focus is to win the gross debt war and

also get the gross debt down to as near zero as possible. And for that, obviously, we can't control the RERA cash, but we can definitely control and be far more efficient in terms of the non -

RERA cash. And the reason we obviously need to keep some non -RERA cash or at least non -

RERA lines in terms of NCD lines, etc. , is that when you have stuff like a land opportunity or something, then unfortunately, you can't use your bank borrowings for it, etc. , because all of

them come into prohibited uses. So, really, about Rs. 1,000 crores, we believe, is the number that we should maintain, which is pre -unencumbered cash. But beyond that, really, we don't need

to see. Yes, we are slightly excess right now, which we will correct.

Abhinav Sinha : Ok thank you, Sir, on RERA cash, can we use that to raise, say, debt elsewhere or does it work like that?

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Ashok Tyagi : So, honestly, Abhinav, that is in the very, very dark grey zone and we have not been tempted to do that. So, what we do is that we put that money in FDs. So, yes, so while our debt raise is, I mean, the gross debt is about, say, 8.25%, 8.3%, the RERA FDs are setting us about a north of 7% in return. So, the negative arbitrage is about 100- 125 basis points. But beyond FDs, we haven't really done anything more adventurous with the RERA cash and neither should we.

Abhinav Sinha : Ok, Sir, on DCCDL, and I think last quarter we were mentioning that we are initiating the next round of transfers of the assets from DLF. So, on this, are we decided on Atrium? I mean, is it like a transfer mechanism or we are still looking to sell when it is on DLF balance sheet?

Ashok Tyagi : On the Atrium, I will tell you, Atrium, as Sriram said, is about 18 -odd months away from completion and rent stabilization. Frankly, on Atrium, specifically, it will depend on 2 things. (A) the 33% shareholder there, which is Hines and its LPS, what are their exit plans? And (B)

obviously, what does Cyber City and its minority shareholder GIC want? It's a great asset to be acquired. But frankly, I think we will cross their bridge once we come to it 18 -24 months down the line. Sriram?

Sriram Khattar : Yes, absolutely. I think the way to look at it is that Hines joint venture is 33% held by them and it really depends on what they would like to do. But having said that, I do not foresee DLF being

a seller of that asset. So, either we will continue and they may want to give it to a third party on which of course, we have our majority rights, etc. And we will cross that bridge when we come to it, which should be not less than 2 years from now.

Abhinav Sinha : Ok, But does that mean that we are leasing it out now, right? We are not selling it?

Sriram Khattar : No, we are going to lease it out. We are definitely not selling it. In fact, leasing has commenced in the last quarter. We have already leased out about 250,000 square feet. And during the course of this year, the momentum will be far higher than that.

Abhinav Sinha : At about same 140, 150?

Sriram Khattar : Slightly higher than that.

Abhinav Sinha : Slightly higher than that. Okay, excellent. And sir, lastly, on your presentation mentions double digit PAT growth and I am assuming this is for the next few years. But just in FY25, which projects

from top line perspective can contribute here?

Sriram Khattar : So, you're talking about the rental business or the offices?

Abhinav Sinha : The DevCo, the development.

Ashok Tyagi : So, the DevCo, as you know, that our profits are driven by projects which were sold 4 years back, and whose possession is being handed over now. So, frankly, next year, again, in the fiscal

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24-25, the profits will still be driven by the possession letters being handed over for the residual Camellias, for a large chunk of the independent flows which were launched, around 2021 onwards, and some other projects. Those will be the primary drivers of this. And obviously, the rental business will continue growing its rental portfolio and hence their PAT will continue growing. But we are fairly confident, Abhinav, of a double -digit growth impact.

Abhinav Sinha : Thanks and all the best to your team .

Moderator : Thank you. The next question is from the line of Samar Sarda from Axis Capital. Please go ahead.

Samar Sarda: Thanks, First of all, congratulations to everybody, Rs. 2800 crores to Rs. 4300 crores of OCF growth in a year is good. And I also see a couple of sides of improvement on transparencies and disclosures that goes a long way. I had 3 queries.

One, Tyagi ji, you mentioned like we have roughly Rs. 4000 crores of cash in the RERA accounts, probably Rs. 1,000 odd crores or Rs. 750 odd crores might be released every year. And out of the Rs. 2,000 crores of free cash, we have another Rs. 1,000 odd cr ores which we can possibly deploy. Now, our tone has been improving, like we've been a little more bullish in the last few quarters with sales improving and the market is buoyant. So, you you've entered

Mumbai , you've like seen the market for the last 4 ye ars. From an investment, perspective, the sight is clear. But wouldn't it be a good opportunity to invest into the market for newer projects right now versus waiting for the launch of your first project and then evaluating projects for investment? That was my first question.

Ashok Tyagi : So, Samar, in all fairness, since the launch is now barely 6 months away, if we see a new project, it will take at least six months. So, frankly, let's just look at how this is. I mean, in all fairness, that project, while we had sort of in a public disclosure mentioned 2 million odd square feet as the phase 1, I mean, potentially that project has an eventual potential of almost 4.5 million to 5 million if they're joining rehabs and all continue on track. So, that itself can be a significant micro, a significant project over time. But again, let's do the first 1 million, see how it goes, and then keep on doing step by step. But at some stage, obviously, I mean, we have always said that Mumbai, maybe Noida, these are the couple of geographies where we would love to sort of expand our footprint if we can get the right parcels.

Aakash Ohri: Samar, if I can just come in, Aakash here. So, this is just the beginning for Mumbai. So, to your point, also, I think we are not going to stop here. It's just that, sometimes you're coming into a completely new territory, I think, you know, as a company, we've always been cautious. But doesn't mean that if something good comes by tomorrow, we are not going to look at it. But I think right now, we are coming into Mumbai, we've worked hard to at least understand how those systems work there. And I think we have our in our, let's say sales processes, we have a certain way of doing it, I think, Mum bai is completely different from those things. So, we still

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have to adapt to all of that. But if there are good parcels and good opportunities, as a company, we will look into it.

Ashok Tyagi : And Samar, I mean, I am sorry to belabor this point. But please understand while this hopefully will be a good experience for us, the Mumbai project,

I mean, we still are sort of, I mean, in that

sense, fighting the other Mumbai battle on our earlier JV and that, as you know, hasn't turned out to be a pleasant experience. So, I think, we also need to resolve that over time.

Samar Sarda: And just like before going to Gurugram, like in your core market, other than phase 5, you've been like, usually selling out at launch. So, Mumbai is a little different market, I understand, you were doing 2.5 BHKs, probably 3, 3.5 BHKs, much smaller units versus like what you're offering in Gurugram in Mumbai. But for your first launch, would you be like looking to pre-sell at launch or like sell like what others do in market that sell 55% -60% at launch and then over a period of time?

Aakash Ohri: So, for us as far as how we operate as you've seen us also, we would like to do as much as we can during launch and then of course take up and whatever inventory that we consciously choose to keep that will be at incremental values for sure. But again, as I said, I don't want to comment on Mumbai till we actually launch. We will take about at least a quarter to kind of get to mining and everything else. But yes, I mean how we kind of operate will be at launch maximum and then should we have any thing left that will be done at incremental values.

Samar Sarda: And if I may ask one more, this is particularly on Gurugram, like we've seen pricing of like Aralias in the secondary market go from what Rs. 7 - 9 crores to right up to Rs. 35 crores and Rs. 40 crores now. Camellias of course has gone up beyond Rs. 60 crores. In the last 2 years, especially FY23, FY24, we've done round about Rs. 13,000 crores in Gurugram plus/minus, the Company. This year probably if Privana like the next phase is sold out and assuming like some sales in Lux 5 will probably end up doing Rs. 15,000 to Rs. 16,000 crores in Gurugram itself.

How do we build confidence that this number could go to like Rs. 17,000 crores to Rs. 20,000 crores in Gurugram in this cycle in the next 2 years? Like what are the catalysts for that? Like how could investors build a little more confidence around that?

Ashok Tyagi : One thing. So, I will tell you, the problem, Samar, and I am sorry for being slightly, you sit in Mumbai and frankly, you guys don't understand markets beyond Mumbai with due respect. Gurugram today is a market which is as deep possibly, not the size but in terms of depth as

Mumbai. It has 4 or 5 distinct micro markets. Frankly, if we want, I mean Gurugram is a market which can possibly absorb a number which is significantly higher than the Rs. 15,000 crores to Rs. 16,000 crores that we are offering. So, please at least in this cycle, we should not be worried about the depth of the Gurugram market. When the cycle crashes, it will crash in Mumbai and as well as Gurugram unfortunately. But as long as the cycle is upside, I mean the last thing we should be worried about is the depth of the Gurugram market.

Samar Sarda: Tyagi ji, we are actually trying to understand how much we can grow.

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Ashok Tyagi : Whatever we execute, we will grow that much.

Aakash Ohri: It is an infinite growth. You see one thing; I will tell you. Since you've said it, let me just say how many of us believe that the ROG story today will be Rs. 20,000. When I got into this market, I will be very honest with you, even some of you were talking about Rs. 14,000, some said it shouldn't be more than Rs. 12,500 and all that. But again, our customers today are also very well informed as long as you have build an ecosystem. Today what has happened is the residential real estate to answer your question has become a priority for post-COVID. Most of the people, in fact, all age groups, I am saying this again, 30 and above 40 and above people, earlier, you would buy good real estate only after maybe 45 years of age. Today, I am seeing that change in

a big way and therefore that huge set of customers have come into the system.

So, today, what I am seeing is a change in pattern of young investors wanting to invest in residential real estate, okay? So, today, if you see, and as investments are growing, newer markets are coming up. So, like Mumbai, you've got so many, large segments of investments across Mumbai, so is Gurugram is what Mr. Tyagi was saying. Four very distinct markets have emerged, which is the whole Privana ecosystem, that's one, which is, I think it can carry on for the next 5 years. One of you asked about this project of the one that we just acquired on Golf

Course extension, which actually is an actual extension of the golf course road. So, that is, again, something that we have worked so hard, this entire ecosystem of the DLF Golf Course road, Raghavendra Marg, that's just, one ends and the other begins.

Then, of course, is the super luxury DLF 5. You yourself have put about Rs. 1, 30,000 crores worth of future developments just in DLF 5 alone. Then you've got erstwhile phase 1, 2, 3, 4, also where the people are coming from. So, today, Gurugram has become the preferred choice for people returning, whether NRIs returning, whether corporates, whether business families, the best of schools are in Gurugram, the best of leisure, the best golf course in the country is in Gurugram. The best restaurants today have moved to Gurugram. So, please understand where this trend is coming from. I think that the residential piece or the depth that you are talking about is last in queue of all that's already happening.

So, there's a huge change in Gurugram and let me invite you all for at least a 2-3 day trip here so that I think that we can build more confidence first in you all and then we will address the customers later.

Ashok Tyagi : But don't worry, Samar, there is enough depth here. At one time, we used to think, it won't go beyond Rs. 5000 crore . We are already now in the mid -teens, and we are not the only player in town. There are other players also in town, both listed and unlisted, who are doing their own sales. So, I think the market is showing enough legs, at least for now.

Aakash Ohri: And also, infrastructurally, if you see what has happened in Gurugram today in the last 2- 3 years, if you see the New Gurgaon, the expressways that I talked about, this bullet train that is coming from Ahmedabad to Gurugram in 3.5 hours, all of these things are being announced and being

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worked on ground. So, if you see, there is, it is actually, going to give Mumbai a run for its money. I mean, it's a conscious, it's an informed choice that the customers are taking to invest in Gurugram .

Samar Sarda: That's fair. Thanks for this. And just one last small data query. You've conservatively guided for sales for FY25 and even for collections growth. Given that we do collect heavy at our launches as well as during construction, it is safe to assume that despite adjusting for Chennai collections, the land sale collections, we will grow beyond Rs. 4,300 crores for FY25 as well?

Ashok Tyagi : Yes, that's a very fair assumption, sir.

Samar Sarda: Thank you all , and all the best for FY 24 -25.

Moderator : So, the next question is a text question from the line of Raghav Agarwal, who is an investor. Will your margins sustain at current levels and is there any scope of margin expansion?

Ashok Tyagi : Ok, So, Raghav ji, basically, the margins, frankly, with the launch of Lux 5 will only expand, that is very clear. In fact, as we have always guided that our current margins are in the range of the late 30s to 40s. And I think post Lux 5, our weighted average margins will clearly be in the mid to late 40s as a combined percentage. And I think that that's where we are. Our reported financial results will broadly be on the lines of where they were this year, because they are

in are

reflecting the sales and sales done 4 years, 5 years back, and the positions happening now. But in terms of the margins embedded in the pre -sale, I think we are clearly talking of the mid -40s now.

Moderator : Thanks, the next question is from the line of Parvez Kazi from Nuvama Group. Please go ahead.

Parvez Kazi : Hi, Good Afternoon, Sorry, I got dropped off earlier. So, 2 questions from my side, sir. First, when we look at our launch pipeline, either for FY25 or even beyond, a bulk of it is related to the luxury segment. And now my question is regarding more the absolute ticket size rather than pricing, do we have any thought process of looking at projects, let's say in the premium segment, let's say somewhere within Rs. 3 crores to Rs. 5 crores. And by that, I mean apartments and not independent floors , which we had launched. So, do we have any thought process towards that segment in Gurugram or even outside?

Ashok Tyagi : So, at least Parvez, the market that we are operating in, which is the golf course, potentially the golf course extension and the current Privana, and maybe a couple of other high rises that will come in the DLF city area, frankly, these will definitely be in the Rs. 5 crore plus. I mean, I think none of them will be less than Rs. 7 - 8 crores really. So, you're right. But at some stage, I think there will be opportunities in the New Gurgaon area, where potentially you could have apartments in the Rs. 5 crore range, I mean, high rise apartments. I mean, let's see how that market evolves. But you're right. I mean, we have a bias towards the sort of, you know, what

you call luxury, but which clearly, I mean, high rise apartments in that price point. And we

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believe there's enough depth in the market, at least for the level that we are talking about, for it to be absorbed. And frankly, if we have to deploy our bandwidth, we'd rather deploy it there where the margins . Similarly, in Delhi, Delhi again will be One Midtown, now the 4 -bedroom is again in the same price point.

Aakash Ohri : They are upwards of Rs. 8 crores.

Parvez Kazi : Sir, my second question was regarding One Midtown. When can we see the next phase getting launched? I am not talking about the existing inventory, but when can the next phase get launched?

Aakash Ohri: Next phase as in the new launches?

Parvez Kazi : Yes.

Ashok Tyagi : So, as you know, after One Midtown is complete, we have a 7 million square feet potential development, which I think once we have delivered One Midtown, we will be anyway in the pre-design phase of it. Let's see. But I think that maybe I'd say 18 months away from a launch standpoint.

Parvez Kazi : And lastly, just wanted to get our thoughts on we had applied for some denotification of SEZs.

So, what is the progress there? And how do we see the roadmap?

Ashok Tyagi : Denotification of SEZs.

Sriram Khattar : So, the denotification of SEZs happened some time ago, but there was a difference in the government on the way the duty which was saved by the developers at the time of construction had to be cloud backed. Fortunately, for that, the Ministry of the Department of Revenue and the Ministry of Finance issued the clarifications about a month back. And now it should gather pace. As far as the DLF SEZ portfolio is concerned, we were able to get the in -principal Board of Approvals in the Ministry of Commerce for certain areas in the SEZ in Gurugram and the Silokhera SEZ for which now the duty has been assessed by the customs officers. We are in the process of paying for it in the next 3 -4 days. And then these floors will be available to us for leasing. This is about 800,000- 900,000 square feet. The proposals for the Chennai SEZ, Hyderabad SEZ and Kolkata SEZ have been submitted, but the Board of Approval has said that you first pay the duties before you come back to us. We are in the process of

getting those assessed and we should complete that in the next 10 -15 days and apply for denotification of floors there also. The good news is that some of the floors in Chennai and some of the floors in SEZs in Gurugram have been leased in the March quarter subject to the denotification coming. So, as soon as these denotifications come, we will hand it over to the tenants for their fit outs . The leasing teams are in the market to lease the balance of the floors.

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Moderator : Thank you Mr. Parvez. The next question is from the line of Puneet Gulati from HSBC. Please go ahead.

Puneet Gulati : My first question is on this launch pipeline of 33,000 for luxury segment. Is it possible to break it between, luxury 5 you said is Rs. 3500 crores. How much would be others if you can break it between the segments and Mumbai?

Ashok Tyagi : So, Puneet, this is the launch pipeline. So, the Rs. 3,500 crores is the indicative sales for the year on Lux 5. The launch pipeline is a multiple of that. So, all I say is that this is a combination of the Lux 5 launch and the select phase, the next 2 phases of the Privana launch and a couple of other launches that we are looking at. But obviously, this is a constantly evolving pipeline, in that sense. Hopefully, if 12 months from now we launch sector 61, that itself will add a significant chunk to this pipeline. So, this is a pipeline which is constantly evolving. And obviously, it keeps on getting utilized by the sales that are done. But the new launches keep on adding to the pipeline. Privana is overall about 17 odd million square feet development of which only the first 7 million have been launched so far.

Puneet Gulati : So, out of the 33,385, roughly, can we assume Rs. 11,000 - Rs. 12,000 crores coming from Privana, Rs. 7,000 crores maybe coming from Lux 5 and then Mumbai if you can give a similar number?

Ashok Tyagi : So, Mumbai, this particular launch is a number between Rs. 2,000 crores - Rs. 2,500 crores as you know. So, we will not be able to give a breakup, but Lux 5, the total launch pipeline for Lux 5 will be a number almost approaching Rs. 20,000 crores or maybe higher.

Puneet Gulati : So, Rs. 27,000 crores for Lux 5, you said?

Ashok Tyagi : Yes.

Puneet Gulati : Out of Rs. 33,000 crores, Rs. 20,000 crores is Lux 5.

Ashok Tyagi : No, not out of Rs. 33,000 crores. Rs. 33,000 crores have the next phases of the Privana. Above that, more will be coming later. This is what we have right now planned for. There's obviously more phases which are not being planned for right now.

Puneet Gulati : No, sure. Just a breakup of plan which I am trying to understand.

Aakash Ohri: Puneet, I will just qualify that Lux 5 statement. Lux 5 is closer to Rs. 30,000 crores, just Lux 5.

Puneet Gulati : Yes and in this, how much is Lux 5 is what I am keen to know?

Aakash Ohri: This right now is just Rs. 3,500 crores. But again, as Mr. Tyagi is saying, this is a launch pipeline. Sometimes it adds to it.

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Ashok Tyagi : Puneet, don't get into micro analytics of this number, but don't get into micro analytics. These are directional indicative numbers.

Puneet Gulati : Secondly, if you can give some color on how are you thinking about pricing appreciation in the Gurugram market? And if you're keen also to enter the Dwarka Expressway market, where you are not there so far.

Aakash Ohri: So, I will answer the second question first. No, not at this point in time, Dwarka Expressway, because we've got a lot of our land to monetize. And as you all started today by talking about this new golf course extension development, as far as pricing is concerned, I think one thing that

you have to please understand that we have always come out with very responsible pricing. Even during the Privana or other stories, Dwarka Expressway and all those prices were going ballistic

ic.

And as you see the major correction that has happened now. So, I don't think we are going to go into a market with the expectation of milking it on the first day. We are not that kind of a Company. We like to build legacies. We like to build a price appreciation story, which where we want it has to be an inclusive growth story where the customer has to benefit first. And that is what we've been known for over the last seven decades, we've always kept a lot of money on the table. So, there is a price appreciation model. I will go back to saying that Gurugram is the preferred destination for residential sales in the country today. And there is a price appreciation model that we'd like to keep. We've demonstrated it in Privana and in 4 months, we've taken it up by Rs. 50 lakh rupees a unit almost. So, you will see that continuously happening. You will also see price appreciations, good price appreciations in the super lux launch between what the earlier Magnolia was to the new Lux 5. It will not compare immediately with Camellias, but I am sure it will overtake Camellias in no time. You will see a price increase there as well. And therefore, whether it is the floors or anything else that we have done, there will be in every zone that we are doing, you will see a 3 to 5 year price escalation in system and in terms of revenues will go up for our existing customers who kind of bought into us during launch and all, and the sustainability will continue to go up. We are demonstrating it right now. I am not even talking about the future.

Moderator : Understood, Thank you, that's helpful and all the best .

Moderator : Thank you. Ladies and gentlemen, that was the last question for the day. As there are no further questions from the participants, I now hand the conference over to Mr. Ashok Tyagi for closing comments.

Ashok Tyagi : So, thank you everybody for coming across for our call. Hopefully, we have been able to address most of your queries. In case there are some unaddressed queries or details, please write to Kuldeep and he will organize the requisite answers. Last few quarters have been very encouraging on residential and commercial, both segments. And we hope that the overall macro winds continue to be positive for the industry as a whole and for us. And we'll continue driving

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both the engines, the commercial engine, and the residential engine, hopefully to stronger growth. Thank you.

Moderator : Thank you. On behalf of DLF Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jul 2024

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30th July 2024

The General Manager

Dept. of Corporate Services

BSE Limited

P.J. Tower, Dalal Street,

Mumbai – 400 001 The Vice-President

National Stock Exchange of India Limited

Exchange Plaza, Bandra Kurla Complex,

Bandra(E), Mumbai – 400 051

Sub: Transcript of Earnings Call

Dear Sir/ Madam,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings webcast.

Requisite details regarding the earnings webcast are as under:

S. No. Particulars Details

1 Date of Earnings Call 26th July 2024

2 List of management

attendees -Mr. Ashok Kumar Tyagi – Managing Director and

Chief Financial Officer, DLF Limited

-Mr. Sriram Khattar – Vice Chairman and Managing

Director, Rental Business, DLF Limited

-Mr. Aakash Ohri – Chief Business Officer and Joint

Managing Director, DLF Home Developers Limited

3 Web-link of the Transcript <https://www.dlf.in/qu-result/q1-eaing-Transcript-july-2024-25.pdf>

This is for your kind information and record please.

Thanking you,

Yours faithfully,

For DLF Limited

R. P. Punjani

Company Secretary

Encl.: As above

For Stock Exchange's clarifications, please contact:

Mr. R. P. Punjani - 09810655115/ punjani-rp@dlf.in

Mr. Amit Kumar Sinha - 09810988710/ sinha-amit@dlf.in

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“DLF Limited Q1 FY’25 Earnings Conference Call”

July 26, 2024

MANAGEMENT : MR. ASHOK TYAGI – MANAGING DIRECTOR & CFO,
DLF LIMITED
MR. SRIRAM KHATTAR – VICE CHAIRMAN & MD,
RENTAL BUSINESS
MR. AAKASH OHRI – JOINT MANAGING DIRECTOR &
CHIEF BUSINESS OFFICER

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Moderator: Ladies and gentlemen good day and welcome to DLF Limited's Q1 FY'25 Earnings Conference Call.

We have with us today on the call Mr. Ashok Tyagi – Managing Director and CFO, DLF Limited, Mr. Sriram Khattar – Vice Chairman and MD (Rental Business). Mr. Aakash Ohri – Joint Managing Director and Chief Business Officer.

As a reminder all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes.

I now hand the conference over to Mr. Ashok Tyagi. Thank you and over to you Mr. Tyagi.

Ashok Tyagi: Thank you and good afternoon, everybody. I hope that all of you have had a good opportunity to go through our analyst Presentation and our Result details.

In all fairness it was a good quarter. Our pre-sales number was in the range of 6,400 crores, predominantly headlined by the extremely successful launch of Privana West. Our PAT numbers obviously given that they are on the complete contract method and are driven by the possession letters that was issued but again good at 646 crores. And I think the most heartening number that really everybody should draw lot of enthusiasm from is the entire cash flow number, where really if you see between our DLF and Cyber City numbers together, we did in excess of 2,500 crores of free operating cash flow during the quarter. And that actually does paint itself to have extremely formidable run rate of free cash flow going forward.

The DevCo business continues to run very strongly because of the strong pre-sales. And there are these big tenfold launches that happen in which Aakash and his team do a phenomenal job of taking the market and there are those maintenance sales which continue. Our collections performance has continued to go from strength to strength which has resulted in the cash flows being strong as well. And all of this has been supported extremely strongly by continued robustness in the rental business, both on offices and malls. And frankly our faith in the rental business is even more reinforced by the quantum of capex that we are doing on the rental side, both in DLF Cyber City as well as on the non-DLF Cyber City capex.

So, frankly with that I rest myself and then let's go to questions. The budget obviously was a very interesting budget. There has been a lot of noise around indexation. But really once the noise is sort of filtered out, I don't think it has too much of a bearing on the way the sales behaviors will be. So, I think with that I would hand you over for the question queue.

Moderator: Thank you very much sir. We will now begin the question-and-answer session. To ask a question please click on the 'raise a hand' icon tab available on the toolbar or on the 'queue' tab available on your screen you may also post text question on 'ask a question' tab available on your screen.

Kindly turn on your mike when the operator announces your name. For participants joining through the audio bridge, to ask a question you may press star and one on your touch tone

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telephone. If you wish to remove yourself from question queue, you may press star and 2.

Participants are requested to use headsets while asking a question. Ladies and Gentlemen, we will wait for a moment till the question queue assembles. The first question is from Puneet Gulati from HSBC. Please go ahead

Puneet Gulati: Yes, Thank you so much and congratulations on great numbers. My first question is on the margin side. If I were to take out the other income, which was higher if you can comment on that as well and excluding the other income the margins were a little weak. What all products have gone into that margin recognition if you can give some color, it will be very useful?

Ashok Tyagi: So, in all fairness Puneet as you are aware that the reported numbers and the reported margins are based on the posse

ssions issued for a product mix that was sold between 3 to 5 years back.

As the proportion of Camellias possessions start reducing and I think now there are just about 30-35 Camellias left for giving possession now, you will see at times some of the slight softening and obviously it will be buoyed at times by luxury floors coming in for completion, etc., So, I

wouldn't sort of put too much attention on the historical reported margins. Our embedded margins for new product launch continue in the late 30s and hopefully with the LUX 5 during the later part of this year we should be back to the mid-40s that we have charted ourselves for. As far as the other revenue is concerned, I think clearly with now with us carrying a cash balance about 5,000 crores in RERA accounts alone and about 2,000 odd crores in addition to that, our quarterly interest earnings on fixed deposits, both mandatory and otherwise is now running it in excess of 125 crores a quarter. Then in this particular quarter there were some other interest incomes including one from an income tax refund that was ordered in the case of DLF Limited from the tax department.

Puneet Gulati: What was that number?

Ashok Tyagi: The number of the income tax refund?

Puneet Gulati: Yes.

Ashok Tyagi: I think that the total income tax refund ordered is about 600 crores or 550 crores and the interest component of it is in the range of 80 crores to 90 crores. The third point was that there was a provision that we had made for an advance that we had issued that we had given for a collaboration about 15 years back and there was a fallout between the landowner and us and it was all in arbitration because of which at one stage about 5 or 6 years back we had made a provision of about 75 crores. We have got a finally an arbitral award in our favor and though the arbitrary award is in all fairness and a number far higher than the provision reversed but since it's open for further adjudication, what we have done is we have reversed the provision that was made about 5 years back about 75 odd crores. So, I think those are the three points that are there on the other income side. And of course, there's a standard recurring other income because some of the incomes of our clubs and all also frankly get classified as other income. So, that's the DLF Limited

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ongoing piece. But yes, this quarter the other income is a slightly higher number than what it normally is.

Puneet Gulati: And secondly if you can talk a bit about the construction cost, while your collections have moved up, construction cost on a quarter-on-quarter basis is actually a little low. Should we assume that this is how it will trend or is there room for it to meaningfully go up from current levels in the current fiscal year itself?

Ashok Tyagi: No, this will go up for sure. And the reason right now is that if you see the launches, the high rise launches that we have done in the last 15 months. So, Arbour was launched in March of '23, Privana South was launched in December of '23 and Privana West in April of '24. Only Arbour has acquired serious construction phase right now, Privana's South contracts and all have been awarded. The contractors have mobilized, executions commenced. Privana West that process should begin in the next couple of months. So, really what you'd see is that maybe in about a couple of quarters you would actually see construction hitting full throttle.

Puneet Gulati: Ok. And what would that number look like?

Ashok Tyagi: I think our construction is on an ongoing basis. Yes, we believe that on a full total basis from Q3, the construction outflow on the DevCo side should be a number north of 800 crores.

Puneet Gulati: And lastly you also increased the launch guidance in some sense. What are the new projects that you've added there?

Ashok Tyagi: So, at least for this quarter, Puneet there are no new projects. What's happened is that,

I think

clearly we were understating the pricing expectations from LUX 5 and we have rationalized them now. So, by and large the 5,000 or 6,000 crores that's been the increase from last quarter to this quarter is predominantly driven by a more realistic price expectation on LUX 5. The pricing expectations on the Privana family on Mumbai and on Goa broadly remain the same that they were in the last quarter.

Puneet Gulati: And also, the 11.6 million square feet has also gone to 12.8, so some bit of new projects.

Puneet Gulati: That is a true up as the final plans of some of these projects have frozen.

Moderator: We will take the next question from the line of Pritesh Sheth from Motilal Oswal. Please go ahead

Pritesh Sheth: So, just first question on a little bit of noise off late which was created in Gurgaon about little slower sales in (+7) crores or little higher ticket size category. Obviously not for you guys but for some other competitors. So, just wanted your thoughts on, are you seeing at least some exhaustion in terms of price increase at certain price point, there would be certain section of customers who are right now probably moving away from the absorption. So, just your thoughts on that.

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Ashok Tyagi: So, obviously we haven't seen that slowdown in our case but I will really hand over to Aakash who knows this market inside out.

Aakash Ohri: So, we've done in about 15 months as you all know, we've done about close to 22,000 crores of sales and which includes Arbour, which includes both the Privanas that you saw. They hover around \$1 million each unit. So, right now, as I see it the demand is further consolidating also towards a better and a good product. I say this extremely humbled with the fact that the kind of response that DLF gets today is, I strongly believe, is because of all the work that we have done on ground which includes not only of the product but working on the immediate geography and on the infra that we are known to do. So, I think the endorsement Pritesh is of what we see and the kind of response that we are seeing, very important for you all to know that our bookings are around—we don't do the 5-10 lakh, we charge a Rs. 50 lakh booking amount, so these first of all most of the people who come in with this kind of money are very serious. Second I am also happy to report to your point that even after we sell out, within one month there is the process of these agreements that are signed that further solidifies the sales because then you are practically the customer signing on the 10% agreement. Happy to report to all of you that even after that should there be any discomfort in customers and there have been like 20 odd in the most recent Privana West, I can report to you, have all been reinstated with an additional increased cost. So, the process right now as we go along is of course how we are going about the whole business and the latent demand that a DLF product still has and our delivery schedule and our commitment. So, I feel based on all of that our price points stay where they are. Also Mr. Tyagi had made a mention yesterday also that if you have seen our collections have been on an all-time high, it has been a record collections this quarter as well. And you please track us down the last six quarters, you will see what I mean. So, therefore, this is a strong endorsement of a DLF brand and of a DLF product. I don't see any slow down at this point in time. I am being very honest with you, and I don't see anything right now because right now as we play the whole world together. Any launch is a global launch for us whether it's the NRI, domestic or other cities in the country. We are seeing very robust demand. We are seeing extremely good customers with good paying capacity and a very very good eclectic mix of people coming and buying these products. So, that's it from me.

Ashok Tyagi: Another thing Prit

esh because this is normally a noise level of investor versus real so-called resident. Actually, in the sales that Aakash and his team have done in the last 2.5-3 years, the proportion of re-trade that has come in the market is minuscule. So, it's not that people who are buying are exiting in a hurry by making that Rs. 50 lakhs profit or something. They're all here to stay for at least a medium term if not 100% case the long term. So, that earstwhile speculative market continues to be away from all of these launches.

Aakash Ohri: And also, to add to you Mr. Tyagi, in nine months of time after every launch you're almost taking about 35%-40% of the cost of the thing. So, we don't promote speculators to that point.

Pritesh Sheth: Just a follow up on that. I mean while we remain confident on demand would you be equally confident on price increases as well? If at all we want to take let's say Privana where we have

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had a very couple of successful phases. So, are you seeing some kind of exhaustion there or still there is scope of prices going up depending upon the quality of the product that we are going to launch?

Aakash Ohri: No exhaustion. If you are saying again, I don't work in one geography Pritesh. So, for me as I said to you again, I repeat the whole world is one playing field for me. When I launch, I do a global launch. So, it is not restricting me to one NCR geography. My customers today are coming from all over. I have a very strong NRI pipeline as we reported in our closure of last year, we have a 25% top line. So, please understand for us when we launch a product for us our outreach is all over. Plus, again I reiterate the fact that people are today endorsing a DLF brand and they're endorsing a good DLF product, and I see and let me put it another way to you that these are only what, how many, the next launch will have another maybe 800 to 1,000 people. That's all. You are looking at it from the overall number of 8,000-10,000 crores. I look at it from the point of view units. So, for me an 800 unit is to source say about maybe 1.5 - 2x the people all over the world. So, I'm sure somebody is doing well at that point in time who's going to be affording this particular thing and that's about our principles, that's how we've been operating.

Pritesh Sheth: Second and on the cash allocation from here on. So, last year we have had like couple of big transactions, one in Mumbai, one in Gurgaon. Will we have a plan of at least signing up like a couple of projects in a year considering the kind of cash flows that we are generating, or we would just be opportunistic in terms of investing into these newer projects if it makes sense from margin profitability perspective.

Ashok Tyagi: So, while we have broadly always indicated that we would like on a medium-term basis to allocate our free cash flow to growth and shareholder returns on broadly a half-half basis. But I

think it will depend year to year. There is no set target that we have to acquire 10 million square feet of GAV or something because frankly we have enough GAV of our own. But clearly like we did in Sector 61 or Mumbai, if there's interesting opportunity that crops by which is available at the right cost and in a market which is either underserved or contiguous market we are, we will always be open to it. But frankly it's not that we are aggressively pursuing any inorganic opportunity as of now.

Pritesh Sheth: Just one last for Sriram sir. On the SEZ leasing, it has almost remained flattish in last probably couple of quarters I would say 85%-86%. How do you see the trajectory going ahead? Let's say by end of the year what kind of leasing targets do you have internally for the SEZ portfolio specifically?

Sriram Khattar: So, our SEZ portfolio before the denotification started was in the DLF system including DCCDL 16.5 million, out of which we de-notified about 10% about 1.6 milli

on. This has been now I

think 70%-80% leased out and I think as we go forward in the next three-four quarters the leasing momentum will pick up further because of two reasons. One the Ministry of Commerce and the development commissioners of the SEZs in the various states are now getting to the process of denotification which in the first one or two rounds was a little tedious as people did not know as DLF Limited

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the officials did not know what stance to take and how to go about it. Now that process is settling down. That is number one. Number two, if you take Gurgaon, the vacancy in Cybercity Non-SEZ which is about 13 million square feet is only to 2-3% now. So, any new inquiry that comes in is shown the likely vacancies to be coming up in SEZs or the existing vacancies for them to take up. So, I am cautiously optimistic that in the next three-four quarters this will show a lot of traction. I will also share that we have sort of the rental rates for the non SEZ or the non-processing declared areas are slightly better than the rates that we get on SEZ.

Pritesh Sheth: But no specific targets on leasing as of now, it would be as and when it comes?

Sriram Khattar: We have yearend targets. Our vacancy today in offices is about 8 odd%. We plan to take it down overall to between 6% and 7%.

Pritesh Sheth: Sure, that's it from my side. Thank you and all the best.

Moderator: We will take the next text question from Parwez Qazi from Nuvama Group. And the question is, what are the completion timelines for DT Gurgaon Block 4 of 2 msf and DT Chennai Block 3 of 1.7 msf.

Sriram Khattar: I will take that question. Downtown 4 Gurgaon the OC is expected by the end of this year. However, after the OC comes there is a fair amount of other development, landscaping and other work to be done. We think this building will complete in all its ramifications by February-March next year. Downtown 3 in Chennai, we expect the OC to come in end August, early September, most likely September and by the time the landscaping and the other things are completed, it should be by the end of this year. However, our handover to tenants will start once the OCs come and for both the projects, we expect the rental incomes to start flowing in from May next year.

Moderator: We will take the next question from the line of Praveen Choudhary from Morgan Stanley. Please go ahead

Praveen Choudhary: I have two simple questions. One is the launch timelines for some of the projects that you are expecting in the second half festive season, especially Mumbai project. Also, in the Mumbai project we saw last quarter in your presentation, it was in the premium segment. And now I find it in the either super luxury segment or luxury segment. So, was there any change in expectation of ASP there? And my final question is related to a question that you might have got earlier about Gurgaon market. The ASP increase is quoted very high in different media and different reports by JLL, etc., I just wanted to understand if such kind of ASP increase is visible, would it attract speculators? Even though I agree that the last 2 years you may not have seen but are you seeing in the last 3 to 6 months?

Ashok Tyagi: I will address the launch sales pipeline piece and then refer to Aakash for the average selling price increase question. So, our launch pipeline remains what we had indicated earlier which is that hopefully if all approvals come in time, we should have the Goa launch in this quarter before DLF Limited

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September end and we should have the LUX 5 launch in the next quarter. Mumbai, right now the approval process is on along with the requisite clearance, etc., The first slum rehab building of about 35 odd stories is ready now. And I think the shifting of the tenement dwellers will begin. So, we are expecting that again to hopefully get launched by December

, maybe over flow to

January. But I think December is the target right now. And Q4 should see one more launch of the Privana family. Whether it's in the Privana landscape or adjoining one I think is open to discussion. But clearly one more Privana like product should hit the market in Q4. In addition to this, there will be small launches of Chandigarh and a couple of commercial launches.

Aakash Ohri: So, with regard to your ASP and in attracting the investors I think we mentioned in the previous conversation also that for us our intent has been to look at retail customers. Our intent has been over the last 2 years, we have deduped our list even if somebody is asking for two units, mostly we say no. Our intent is to spread our base as far as we can so that we can seek that end customer.

And that is how we have been going about our business. So, as far as investors are concerned and speculators are concerned, there are two things. One is that our price point entry barrier itself is very high. So, that is the first level. Second should we see somebody repeatedly trading or not retaining their properties, we generally put them last in our priority. So, the allocation process also as it goes should we find any miss and our checks and balances are on a monthly basis because these are linked to our collections. So, therefore, anytime collection flags off a name or an occurrence which is other than what it should be the systems then kick in and identify those problems and then get in. So, that is how we have put our checks and balances. So, therefore, speculators to a large extent, I don't think we would attract them or even for them it's not going to be easy. So, I think for us we want to play it absolutely safe and low down. I feel that for us it takes a lot of effort to reach to that end customer and we are happy to do that. Our systems are geared up to do that and that is what we do on a daily basis. So, we mine irrespective of the launch or a product, we continue to mine every day for a new customer and our various categories and various price points are open and therefore we keep putting them in various buckets. As and when we launch and we know what category they are and what level of investments they want to make and as and when we launch post our RERA approvals then we reach out to these sets of people who we have continued to mine as I said earlier and then that's how we operate. So, I hope Praveen if that has answered your question.

Praveen Choudhary : Yes, Thank you so much and congratulations for good collections.

Moderator: The next question is from Kunal Lakhan from CLSA. Please go ahead.

Kunal Lakhan: Firstly, you've rationalized the pricing in your new launches. Does that make any changes to your full year guidance and for your presales of 17,000 crores?

Ashok Tyagi: So, right now, we are not officially re-guiding you to a higher number. But I think it's a logical conclusion that there should hopefully be some upward bias to that. Maybe wait one more quarter. By the end of next quarter, we should be far closer to our actual launches. And hopefully I mean again as we have mentioned last time the 17,000 crores number basically still budgets in

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about a (90%+) sale level on all other launches and a small introductory sale level on LUX 5 and hopefully that's where possibly the upside could come in. I think hopefully by the time we are again talking to each other in October, we will really have a completely tried-up number of this.

Aakash Ohri: I'm just adding to what Mr. Tyagi just mentioned, Kunal. There's also a very strong second market that we monitor. And I am happy to report two transactions in the second market in the last one week. One of Grove which is in the DLF 5 geography which is crossed Rs. 30,000 a square feet. And recently just today an hour back we closed a Crest 4,000 square feet unit at 49,500. It's to

uched Rs. 50,000 a square foot Crest. So, again no matter what we say obviously you can take with a pinch of salt. But please if you monitor the kind of work that is happening on the ground in terms of the second and third sales, you will understand where these price points and where these customers, these are all they are not speculators. They're people who are buying for themselves or their family. So, therefore, the valuations that you will see obviously will have to reflect the facts on the ground.

Kunal Lakhan: And the fact that you said that excluding LUX 5 the rest of the launches you're expecting at least 90% to be sold out. That clearly puts you northwards of that 17,000 crores numbers.

Ashok Tyagi: We hope so, yes.

Kunal Lakhan: On the collection side, your collections excluding Privana launch should be around say about Rs. 2,500 crores now, would that be an accurate number?

Ashok Tyagi: Yes. So, you're right. It will be about 2,500-2,600 crores excluding the Privana West. And I think Kuldeep can give you the details offline. So, I don't have that number rightly available.

Aakash Ohri: It will be about 2,700-2,800, so you take out the recent PrivanaWest about 800 odd units.

Kunal Lakhan: This number should also inch up considering your last year's sales number and then Privana also contributing from like next quarter onwards, this number should see a significant jump?

Ashok Tyagi: So, now I think now frankly the numbers are, they are reflecting the regular installments of both Arbour and Privana South. The Privana West installments will start coming in now from maybe Q3 onwards. But the fact is that even in the first 6 months you collect about 35% so that there is

a there's a significant upward collection that also then eventually aligns itself with the construction milestones, etc., So, I think the number will stay in the 3,000 odd crores range. Again, the new launches could occasionally provide a bubble but ballpark this 2,900 to 3,000 crores is I think what a quarterly collection for the next two quarters at least should stay at. Kunal Lakhan: Just to follow up on that, Arbour, it's been it must have been at least a year and a half since Arbor's launch.

Ashok Tyagi: 15 months.

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Kunal Lakhan: So, how much would you have collected in that project by now?

Ashok Tyagi: 45%.

Kunal Lakhan: So, like 15 months 45%?

Ashok Tyagi: Yes.

Kunal Lakhan: My last one is on a is a bookkeeping question actually. We used to have this surplus cash potential slide until last quarter which is not there in this quarter. If you can give some details from that slide in terms of balance cost of construction....

Ashok Tyagi: In all fairness I will tell you. So, we have the data, Kuldeep will give you. We just thought that data in all fairness Kunal, was a legacy of the cash crunch time when you wanted to convince analysts and more importantly convince yourself that you will have the money to complete the projects. I think really with the RERA now being a scale that risk no longer exists. But you're right we have that number. I will give you off the cuff. Ballpark our receivables of the projects that we have launched till the 30th June is about 21,000 crores have to be collected. We have about 10,500-11,000 crores is our total cost to complete. Of that 11,000 crores, 5,000 crores is already residing in the RERA account today. So, basically, of the 21000 crores collection that is to come, about 6,000 odd crores will need to be spent more on construction and the balance really would be margin. In addition to all of this we have about 3,000 crores of ready inventory including a few Camellias which obviously will also be 100% sales generation. So, we had that slide that's been put in here. We will restore it on popular demand if you want from the next quarter.

Kunal Lakhan: That will help. And also, the CAPEX on DLF as well as DCCDL balance.

Srir

am Khattar: On DCCDL this year's CAPEX will be 1,800 crores and going forward in the next 2-3 years this will go up by about 18%-20% from this ballpark figure of 2,000 crores.

Kunal Lakhan: And on standalone that number was about 700 crores balance CAPEX that would be slightly lower now.

Ashok Tyagi: What do you mean by the standalone?

Kunal Lakhan: On the DLF side.

Ashok Tyagi: So, the residual CAPEX on the three malls that DLF is constructing is about 700 crores. And the residual CAPEX on the Atrium Place which is a JV with Hines is again about 700 odd crores.

Kunal Lakhan: Thank you so much and all the very best.

Moderator: The next question is from Abhinav Sinha from Jefferies. Please go ahead.

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Abhinav Sinha: Khattar sir, on DCCDL maybe I missed this but what is the driver of the jump in rentals this quarter and what is the exit run rate we are looking at?

Sriram Khattar: So, the jump in rental is a combination of two things. One, the accrual that comes on an annual basis and the other is the start of the rentals in Downtown 1 and 2 in Chennai. The exit for this which we had given the guidance earlier is 5,000 crores. But next year the jump up will be rather significant because Downtown 4 in Gurgaon Downtown 3 in Chennai and the full rentals of Downtown 1 and 2 will come into play. And therefore, this will go up significantly in FY26.

Abhinav Sinha: So, north of 6,000 crores next year?

Sriram Khattar: My sense is it will be while I cannot officially say, it will be about 5,800 to 6,000 crores.

Abhinav Sinha: On the DLF malls plus Atrium that we are constructing, can you give us some similar guidance because some of these are nearing completion also?

Sriram Khattar: Atrium Place is as you know a joint venture with Hines where DLF owns two thirds equity. The total which we are building there is 2.9 million. There are three blocks of about 650,000 each and one block of 850,000. The first three blocks, the OCs will come between January, February and April next year. And Block 4 which is the bigger block it will come in October next year.

The rentals next year will be in the ballpark of 240-250 crores though when all the four blocks are completed on a steady state, the rental will be about 580 to 600 crores. I may also share that we have started leasing that and we've already leased about 400,000 square feet. That is one area of focus in the current year to ensure that we continue to lease the buildings at least 80%-90%

before we get the OCs.

Abhinav Sinha: And similarly for the malls also.

Sriram Khattar: So, there are three malls that are coming up. I will give you the details one by one. One is what we call the Midtown Plaza, which is the baby mall. out of the three it's about 200, odd square feet, that gets completed end of this year, and the rental should start by April next year. The next one coming up will be Summit Plaza where the rentals will start in Q1, early Q2 of FY26 and the DLF Promenade in Goa which is 700,000 that will get completed end of next year and the rental of it will come in April '26.

Abhinav Sinha: And this will total up to another roughly 250-300 crores?

Sriram Khattar: Yes, this is 300 crores.

Abhinav Sinha: When all these three are done?

Sriram Khattar: Yes, and this is about 1.3 million.

Abhinav Sinha: And any plans to sort of retain them or transfer to DCCDL, any thought process there?

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Ashok Tyagi: Once they are in a final rent yielding mode at that time we will talk to Mr. Khattar and GIC and depending on how the two of them decide we will discuss.

Sriram Khattar: Yes but having said that as the excellence in maintaining, the excellence of tenancies, the excellence of operations is seamless between whether the asset is owned in the books of DLF or in DCCDL.

Abhinav Sinha: Tyagi sir, one last question from my side. On the

Ireo piece, we are expecting a launch next year.

Is there anything outstanding legally or payment wise or is just the process of planning it?

Ashok Tyagi: There are basically two major parcels. One is 19.5 or 20 acres; one is 7 acres. The 20 acres was already a group housing license. So, the transfer of license process is going on. I think that should really be completed in the next very short time. The balance 7 acres was a part of a plotted license and there's a migration of license exercise. There's a certain protocol process in the government. That's going on to convert it into a group housing license and the two of them will be combined. So, I think by the time both of them are done, we expect it to be end of this calendar definitely for sure if not end of this fiscal and hence the plan to launch it in the early part of next year. Yes, there will be some governmental charges, etc., that I think are due. But if you recall, the total cost that we had paid and committed for the entire 28 acres to the sellers was about 1,250 odd crores. And I think all told the approval, etc., for getting it to the requisite 3.5 FAR is I think another 400 to 500 crores. Some of it which has been expended, some of it will be expended across the next three to four quarters.

Abhinav Sinha: Thanks and all the best.

Moderator: The next question is from Puneet Gulati from HSBC. Please go ahead.

Puneet Gulati: For the land acquisition payment of Rs. 413 crores this quarter does that relate to the same Ireo thing or is it for some other land parcels?

Ashok Tyagi: Actually, it does not. So, about 225 or 230 crores of it actually, it was a question of how you classify it, is actually the TDR payments for the Privana TDR. So, what happens in TDR is that basically either you have surplus land which right now we don't have, or you acquire those sort of licensable or those TDRable lands in the market and then send it to the government. The government gives you the TDR certificates. So, this 230 odd crores is the land cost of those TDR certificates and the balance 170 odd crores is some partner payments to our collaborators and some smaller land acquisitions for contiguity. But the big chunk here is TDR, it was just to sort of bring everybody up to speed. The total cost of TDR land plus approval all together runs to about Rs. 1,800 to 1,900 a square feet which frankly given the sale prices of (20,000+) is a fraction. And the cost of residential TOD is actually under Rs. 1,000 a square feet. So, obviously we do want to maximize the TOD and TDR entitlements, not blindly but in the places that we are launching.

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Puneet Gulati: And the government charges of 330 odd crores, that that excludes the TDR payment?

Ashok Tyagi: The land payment for TDR, that is in the land charges and the approval charges which is normal license fee, TOD approval charges, TDR approval charges, those will get classified in the governmental charges.

Puneet Gulati: And lastly, you also talked about potentially maybe buying some land parcel which is interesting. Would you ever be looking at Dwarka Expressway market or you would largely focus on your side of Gurgaon?

Ashok Tyagi: I don't think Mr. Ohri is interested in Dwarka Expressway right now. I mean currently no.

Aakash Ohri: Puneet we have got so much happening on our side of the place. So, I think we'd like to stick

there.

Puneet Gulati: Thank you so much and all the best.

Moderator: Ladies and gentlemen, we will take that as the last question for today. I would now like to hand the conference over to Mr. Ashok Tyagi for closing comments. Over to you sir.

Ashok Tyagi: Thank you so much. It was a very engaging discussion and obviously coming off a decent quarter, you guys asked everything that there was to ask, especially about the launch pipeline, about the rental business, capexs, the run rates. And we will continue trying to hopefu

Ily carry

on the good work on both the RentCo and the DevCo sides. Currently frankly is one of those virtuous cycles where the markets for both residential, retail malls and offices, all the three segments where we operate in are all witnessing an upcycle. So, without getting reckless in terms of in terms of launches or pre-sales, we will continue to sensibly keep on launching and monetizing the stuff that we have and hopefully continuing on our journey towards cash flow and margin. And really hope to see all of you again in October. Thank you.

Moderator: Thank you, members of the management. Ladies and gentlemen, on behalf of DLF Limited that concludes this conference. We thank you for joining us and you may now exit the meeting.

Thank you very much sir.

Call: Oct 2024

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29th October 2024

The General Manager

Dept. of Corporate Services

BSE Limited

P.J. Tower, Dalal Street,

Mumbai – 400 001 The Vice-President

National Stock Exchange of India Limited

Exchange Plaza, Bandra Kurla Complex,

Bandra(E), Mumbai – 400 051

Sub: Transcript of Earnings Call

Dear Sir/ Madam,

Pursuant to Regulation 30 of the Securities and Exchange Board of India

(Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended,

please find enclosed the transcript of the Earnings webcast.

Requisite details regarding the earnings webcast are as under:

S. No. Particulars Details

1 Date of Earnings

webcast 26th October 2024

2 List of management

attendees - Mr. Ashok Kumar Tyagi – Managing Director and

Chief Financial Officer, DLF Limited

- Mr. Sriram Khattar – Vice Chairman and

Managing Director, Rental Business

- Mr. Aakash Ohri – Chief Business Officer and

Joint Managing Director, DLF Home Developers

Limited

3 Web-link of the Transcript [https://www.dlf.in/qu-result/Q2-earning-](https://www.dlf.in/qu-result/Q2-earning-Transcript-sep-oct-2024-25.pdf)

Transcript-sep-oct-2024-25.pdf

This is for your kind information and record please.

Thanking you,

Yours faithfully,

For DLF Limited

R. P. Punjani

Company Secretary

Encl.: As above

For Stock Exchange's clarifications, please contact:-

Mr. R. P. Punjani – 09810655115/ punjani-rp@dlf.in Ms. Nikita Rinwa – 09069293544/ rinwa-nikita@dlf.in

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"DLF Limited

Q2 FY '25 Earnings Conference Call"

October 26, 2024

MANAGEMENT : MR. ASHOK TYAGI –MANAGING DIRECTOR AND CHIEF
FINANCIAL OFFICER – DLF LIMITED
M R. SRIRAM KHATTAR – VICE CHAIRMAN AND MANAGING
DIRECTOR -RENTAL BUSINESS
M R. AAKASH OHRI – JOINT MANAGING DIRECTOR AND
CHIEF BUSINESS OFFICER

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Moderator: Ladies and gentlemen, good day, and welcome to DLF Limited's Q2 FY '25 Earnings Conference Call. We have with us today on the call, Mr. Ashok Tyagi, Managing Director and CFO, DLF Limited; Mr. Sriram Khattar, Vice Chairman and MD, Rental Business; Mr. Aakash Ohri, Joint Managing Director and Chief Business Officer.

As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. I would now like to hand the conference over to Mr. Ashok Tyagi for his opening remarks. Thank you, and over to you, Mr. Tyagi.

Ashok Kumar Tyagi: Okay. Thanks, Michelle. So good morning and a good afternoon, everybody, and thanks for taking time out on a Saturday first half. I mean, we invariably end up doing this on a Saturday because the meeting is held on a Friday. So apologies for that. I mean, as you must have seen the numbers and the presentation by now, I think we continue to be on a very steady and a positive trip on both the development and the rental businesses.

The quarterly new sales last quarter was an aberration slip, and it was only about INR690-odd crores because, frankly, sometimes you can't micromanage the approval cycles. And some of the approvals that we were expecting to come in Q2, actually, one of them has now come in Q3, which is for The Dahlias. And some other approvals are in the pipeline. But we still maintain a first half total sales -- presales of about INR7,000 crores and continue to be strongly poised for achieving our sales guidance for the year.

On the free cash flow piece, we continue to generate strong cash flows and did about INR1,200 crores of free cash flow on the DevCo side and about INR900 crores of free cash flow before dividend and CapEx on the RentCo side. So combined as a business, we continue to generate about INR2,000 crores plus of free cash flow per quarter. The PAT for the quarter was INR781 crores from an operating standpoint. And then there was that onetime deferred tax liability reversal, which you may have seen and observed in some other listed entities as well, and we'll discuss about it as we process.

And that added a further INR600-odd crores to the PAT. But in all fairness, I would suggest not putting too much weight on that, because that to a large measure is a notional entity, which because of Ind AS, one has to account for in that manner. But we did end up reporting a higher PAT than usual for sure.

We have a very strong launch and sales pipeline for the second half. On the rental business, while obviously the rental portfolio continues to expand, I think buoyed by the overall positivity that generates, we have accelerated our CapEx programs, as Mr. Khattar will elucidate during this hour. The Downtown Gurgaon, the Downtown Chennai, the retail in Downtown Gurgaon, the Atrium Place, the 3 plazas that we are developing in the final stage of completion in Gurgaon, Delhi, and Goa. So there's a flurry of activity happening on the rental business as well, as there is on the development business.

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Beyond that, I suggest that now we leave the floor open. The only other opening remark that I'd like to mention is that we have tried to make a slight change in the way our presentations are structured, because we felt that the presentations were by and large structured on the financial lines of DLF Limited and DCCDL. And as we know that there is right now a small but hopefully a growing rental business in DLF as well, so we would try to also start capturing more metrics of RentCo as a whole and DevCo as a whole, because while today the rental business of DLF is maybe less than 7%, 8% of the total rental business, this proportion will grow in the next 2 to 3 years to a more sizable number. And I think it is important that we also share that data in a

transparent fashion with the market.

Beyond that, now, I open the floor for questions.

Moderator: We will now begin the question-and-answer session. To ask a question please click on the raise

hand icon tab available on your toolbar or on the QA tab available on your screen. You may also post your text questions on the, Ask a Question Tab available on your screen, kindly turn on your mic when the operator announces your name. Ladies and gentlemen, we will wait for a moment while the question assembles.

The first question is from the line of Puneet Gulati from HSBC.

Puneet Gulati: Congratulations on good progress. My first question is with respect to the launch approvals. If you can update us on where you are in approval stage for various launches, Goa -- Dahlias, you said you've got approvals, when is the formal launch expected, and the other projects like the rest of the phases of Privana?

Ashok Kumar Tyagi: Okay. So Puneet, as you're right, and as we have mentioned in, I think, the release, the Dahlias' formal approvals have come in, in the 1st week of October. And I think Aakash will detail out to you later on the entire prelaunch cycle and how he's progressing there. The balance approvals, which is Goa, Mumbai, and the next phase of Privana are all in different stages of the approval processes.

Sometimes, frankly, especially for non-Gurgaon approvals, it becomes very difficult to predict down to the last fortnight, but we continue to be confident of hopefully launching Mumbai in Q4. And Privana and Goa also look to be going on track. As I mentioned that especially now with the Dahlias' prelaunch, we are far more confident now and we are very strong that we should be able to meet our guidance that we had given to you for the full year.

Puneet Gulati: And Aakash if you can talk a bit on the Dahlias side. Initially, the expectation was it will be a INR50,000 crore realization product. Now at least the media report seems to be suggesting INR80,000 per square feet, and much larger area sizes as well. If you can comment something on the Dahlias business.

Ashok Kumar Tyagi: So before Aakash answers, just one -- I'll just -- to ensure that everybody stays on the factual piece. As you know, RERA filings are public and some of you may have already downloaded. In RERA, what we have filed right now is the total revenue of about INR26,000 crores for DLF Limited October 26, 2024

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Dahlias based on the prelaunch price that Aakash has. These numbers will obviously keep on going upwards as the price keeps on moving. But what's been reported in RERA officially is a total revenue of INR26,000 crores and a margin of 70% plus. That is what we have basically reported on the RERA website. Aakash?

Aakash Ohri: So Puneet, as Mr. Tyagi just mentioned, that is the beginning. As you know, Camellias started with a INR7,000 crore valuation, and we are exiting at about INR12,500-almost crores. So I think super luxury has to be dealt completely separate from how the rest of the country or anything else sells. It has a certain progress, it has a certain process, and I think we need to respect that. Putting price to a super luxury product, so I can say it will go up to a phenomenal amount. You've seen how Camellias' recent sales have been, and not one, many sales have been in the 3-digit number.

So I feel the start is what you just mentioned. But we've got -- I think, very humbled by the response we've got for Dahlias. And I think we would like to keep it one day at a time. We've built up a very good equity here and across the globe as well. I think what has happened right now, Puneet, is that today, people are looking for the best lifestyle that money can buy, and Dahlias is today that option for the country.

Another good thing that I'd like to share with you all is that it is no more a geographic development or people who are -- there's no more a south-north kind of a divide. I hav

e seen in

super luxury, including our projects in Goa and of course, Camellias, it has been pan-India. The recent sales and the interest that I'm seeing is coming from top families of Tier 2 cities all over the country. So I'm pretty excited with this kind of a feedback. And I feel that the start point is where we are today. It is only going to go up.

As I said, it is not a first day, first show kind of a scenario. It's one of the largest projects that the country has had, as you know, almost \$7 billion. So I think what is important right now is to keep it that way. But the product is absolutely out of the world. It is one of the best that has ever been made, and I can say it with great pride, I don't think there is anything comparable to the Dahlias in the world, with 4-meter ground to ceiling height, magnificent 17 feet outdoor living spaces decks, 10,300 square feet is a minimum size that you begin with.

And of course, one of the most spectacular greens that are going to be created, lake parks. So it is going to be a paradise. You can dream whatever you want to. We are on our way to implement it. Puneet?

Puneet Gulati: Excellent. All the best for that. And my second question is, you would have seen all your peers also raising equity and now more aggressively buying land, etcetera, in NCR region. How do you feel about that? And are you doing anything to accelerate your launches for FY '26 there?

Aakash Ohri: So Puneet, peers -- it's always good to have good competition. You need to be kept on your toes. Complacency is not good. But again, I say respectfully to everybody here that peers are doing what they do. We do what we know best. And one most important thing where we get the support from is our existing customers. We have a very strong re-trade team that is on ground for the DLF Limited
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last almost 4 years. All they do daily is to make sure that our existing customers' interests are kept protected and they continue to grow.

So peers will come and go, but I think we need to work on our areas. I'd rather look inwards and continue to make sure that my customers are satisfied and happy. And then, of course, if they are, then most of the business and a lot of it then is generated out of that constituency. And then, of course, we continue to mine every day. Our NRI business has grown from 3%, 8% to about almost now 28% this year. So we will continue to make sure that not only in India, but across the globe, we will continue to market DLF products.

So as far as the pipelines are concerned, yes, Privana, as you know, the Privana 3, there is a huge demand coming in for that now. That ecosystem is doing phenomenally well. American Express, with their massive office, almost 20,000 people to move in that area. And that area is coming up. It's infrastructurally extremely good. So that is the next thing to do. Then, of course, a couple of other things that are happening.

So we will continue to do our bit, I assure you. But I don't think we are going to be doing this because we are pressurized with peers or something. We've got a very robust 3-year Gurgaon plan, Puneet.

Puneet Gulati: Lastly, on the rental business, can you also give some sense of where does the rental EBITDA for your main parent company stands? And what is the expectation into FY '25 and '26, and also exit rental EBITDA for DCCDL?

Sriram Khattar: So Puneet, the FY '25 exit rental, and I would add the other income, because that's the total rental revenue, so to say, will be as guided earlier in the ballpark of INR5,000 crores. And add to that another about INR300 crores in DLF. So it will be INR5,300 crores. For FY '26, this total will jump to about INR5,800 crores for DCCDL and will jump to about INR1,000 crores for DLF, taking it to about INR6,800 crores. And this is because the new assets which are going to be income generating in DLF are all coming up in the current year, be it

the 3 malls that are there

or DLF share in Atrium Place, our joint venture with Hines.

Puneet J. Gulati: And when you talk about the INR1,000 crore EBITDA for DLF, you are attributing only your share or the entire Atrium share?

Sriram Khattar: This is the entire thing. So if you look at only our share, it will be in the ballpark of about INR800 crores, because certain properties are owned by DLF. It's only Atrium Place, which is owned 67%.

Puneet J. Gulati: Right. And if you can give the number for Atrium stand-alone as well, so we know what the other...

Sriram Khattar: So Atrium stand-alone numbers, we will share with you separately. But out of the 2.9 million square feet development, we expect rental to commence from May, June onwards for about 2.1 million, which will get completed. So we will have the benefit of 8, 9 months rentals there. And another tower, which is about 800,000 square feet, is slated for completion in December '25, for DLF Limited
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which the rental should start in May, June '26. And if you take a total of about INR300 million and take, say, an average rent of, say, INR160-odd, you can do the arithmetic around. I would sense about INR600 crores, yes.

Moderator: The next question is from the line of Saurabh Kumar from JPMorgan.

Saurabh Kumar: Sir, just a few questions. So first is on Dahlias. So the RERA filing which you filed, the gross margins, as you rightly said, is 70. That seems to imply a construction cost north of like INR20,000. Is the number, right? I mean, why is the construction cost so high?

Ashok Tyagi: No. So one point. I think the total construction cost on a carpet area basis that's been filed is, if I'm not mistaken, about INR18,000 or so, which translates to a lesser number on a scalable basis.

So there are two pieces here. Frankly, some of the accounting on it will get settled over time, which is that apart from the buildings and their construction cost there, there is a massive lake park, etcetera, that is also being developed, as well as there is an infrastructure that will be developed, I mean, to basically have a seamless connectivity.

So I think some of those costs will also settle here. B, also please appreciate that the club that is

being slated for the Dahlias will almost be 2x. Correct me, Aakash, if I'm right.

Aakash Ohri: 2.5x.

Ashok Tyagi: 2.5x is the size of the club in Camellias in that sense.

Aakash Ohri: Camellias is about 1.6 lakh square feet.

Ashok Tyagi: This is almost a 4 lakh square feet-ish club. So the club cost is also baked in here. So I think some of these costs will fine-tune as the sales price will fine-tune. I mean, Saurabh, to be fair, I think if you are basically hinting that the 70% may be a lower number than what will eventually turn out to be, that may be correct. And hopefully, that will be correct. But I think this is what the starting numbers that we thought we should prudently go with.

And obviously, as every 6 months odd, these filings keep on getting updated, hopefully, these numbers will keep on getting updated.

Saurabh Kumar: So basically, in the construction cost, you basically subsume that entire -- the land near Crest basically comes into golf course? You basically...

Ashok Tyagi: Not entire. As I said, there is some accounting allocation that's been done. But the cost here is not only the cost of the tower construction, it also includes the cost of the club and some of the surrounding infrastructure, yes.

Saurabh Kumar: And so basically, now it is fair to say that the last of Crest is now done, it's all going to be then Golf Course Necklace, then Dahlias and the subsequent phases.

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Ashok Tyagi: Yes. That does look to be the case right now. But again, one doesn't know how life in future will be. But currently, you're right that the plan is to have sort of the Camellias-like product

like

Necklace around.

Saurabh Kumar: And Aakash, just any initial feedback you've got? Like there are only 400 units, you need to sell about 420-odd. How should we think about what your initial demand is? And basis that, like if you were to think about your full year guidance of INR17,000-odd crores, how would you think -- what will be your feedback?

Aakash Ohri: So Saurabh, so far, so good. We've pretty overwhelmed with the initial first set of, I'd say, very strong EOIs, which have been concluded. And I think it's an extremely good start. But as I said to you in previous discussions also that I think this is something that we'd like to keep polishing and bringing out almost every quarter. So right now, the kind of the first set that has come out has come out almost double to what your expectations were. So hopefully, that should also reflect in the stock values.

You should do that also, but I think most importantly one step at a time. I think this is -- it's been very well received. Allow me to share the numbers in time and in Q3. But I think right now what has happened is that where I see this coming from is that the people who initially missed the Camellias bus and are still a lot of them who reside in Golf Links and, of course, outside of it people who -- I'm seeing a lot of people in Tier 2 cities or even Mumbai, Bangalore, Chennai, they have now started to invest in Delhi.

They need like a place there. And I'm seeing a lot of demand in the recent Camellias and not demand and sales in the recent Camellias from there including Kanpur and Bhubaneswar and everywhere, which I feel is also going to -- is driving the Dahlias demand.

So these are all qualified leads. Everybody knows the price points are between the numbers that have been quoted. Most of them know that's a 4-year payment plan. They know that there is going to be almost a 30% outflow in the first year. They know that the product is what it is today. Also, the entire ecosystem that we are making is going to be one of its kind. So the Necklace will complete as you and Mr. Tyagi have said, but again with super luxury in time. I think once the lake park and all that come about, and the landscapes and all that people start to see it is -- I wish I can say it's comparable to the Golf Club. It's going to be far more superior in terms of the view corridors that we are creating aesthetically and everything else.

So it's going to complement the Dahlias in a very big way. So, Saurabh, when we start there's going to be an x amount of numbers or traction. Then as I see it, obviously, it has to maybe plateau in some stage, but that's the time that we are -- and very interestingly Dahlias is also a very step-up kind of a price point game. So it's not like blocks. It's like every apartment is different from the other in terms of price points and PLCs and all. So therefore, there is already a kind of a step-up which is already planned in the budgeting process. So I think one quarter at a time, but I'm seeing right now a good amount of interest. I just want to see how much of that we will convert and then we will keep reporting to you, Saurabh.

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Ashok Tyagi: In fact, Saurabh, through you -- I mean, through your question, I would also like to sort of inform indicatively, while Kuldeep will work the details with your entire team, that after the Q3 results are over, so sometime in February at a mutually convenient date, we would like to organize an Analyst Day by which time all of our Dahlias plans and all will be completely out there, ready to be shown.

Our entire plans on Downtown will be ready to be shown. And I think hopefully, all of you will get a far greater clarity of how this entire ecosystem on both the Downtowns in RentCo and the Dahlias and the Privana on the DevCo side are coming along. And obviously, Atrium Place. So at some time, I think we'll work the details out, but

t I think we are right now targeting sometime

in February for organizing an Analyst Day because March onwards, it starts getting hot.

Saurabh Kumar: Sir, just coming back to Dahlias. So Camellias is at INR1,30,000, let's say. Historically, DLF has never given significant discounts on new launch projects versus completed. And now you're coming with Dahlias. Your RERA filing seems to indicate INR70,000 to INR80,000. Why is there such a big difference when Dahlias is a better product than Camellias?

Aakash Ohri: No, INR1,30,000, you are talking about carpet, right?

Saurabh Kumar: Carpet will be 1 lakh, right?

Ashok Tyagi: Yes. Actually, the RERA carpet that we have filed for Dahlias, it's about INR1lakh a square foot.

Aakash Ohri: So Saurabh, Camellias is a completed project. Dahlias is a 4-year -- I mean, 4 to 5 years horizon.

So obviously -- in fact, I thought you were complimenting us saying that very aggressive pricing.

But yes, there's not much difference. I mean, if you see, there's only -- you have to keep some kind of -- give them a head start, but Camellias, obviously, right now is established. People are living there; people are moving in there. So Dahlias, I'm sure will overtake that in a reasonable short span of time.

Saurabh Kumar: Okay. Understood. Sir, just last two questions. So one is on DLF RentCo. Your rentals have gone to INR120-odd crores this quarter in your cash flow statement. What is the commissioning which has happened incrementally this quarter?

Sriram Khattar: So there are four new streams of income that are going to come in or I would say, one is the mall that we have the small one in West Delhi in Moti Nagar. That the OC is expected by the...

Ashok Tyagi: No, he's saying, in this quarter apparently, we reported INR120,000 rental income on the DLF side. So that's, I think, what he's asking.

Sriram Khattar: So you're asking about that or how it is going to pan out over the next few quarters?

Ashok Tyagi: Saurabh, when we report that rental income, we include the DMA income which is basically the fee income for providing construction services to Cyber City that we provide. And as the Downtown construction has sort of accelerated that number is stronger, but I think it's an

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important point and I'll request the finance team to henceforth sort of segregate the route, so that there's no confusion on this.

Saurabh Kumar: Okay. Got it. And just lastly on this the cash flow which you get from your Midtown project, should we expect that dividend this year or next year? And similarly, Atrium consolidation, that will be a JV consolidation, or you will consolidate at parent?

Ashok Tyagi: So the One Midtown is a JV consolidation and it's been like that from the start. So we expect that the cash flow should start coming in from Q3. And hopefully, between Q3 and Q4, a large chunk of it should get accounted for. But some of it could get accounted for in Q1 also because as you know some of the 4-bedroom units will be sold now in that sense, hopefully with a shorter payment plan. But yes, cash flow should start accruing.

Some part of P&L of our total share of about INR1,000-odd crores about INR250 crores through revenue share has been accrued in the last few quarters, but the balance P&L should also start accruing with a higher share from Q3 onwards, because now the OC has been received. I think the offers of position are in the process of being sent out. So I think hopefully, both the P&L and the cash flow on One Midtown should start now.

Saurabh Kumar: Okay. And just last thing. So in the AGM, the Chairman said that the cash proceeds will be used to make gross debt zero. That still stands at DLF level?

Ashok Tyagi: So if you see, the net debt is already zero in that sense. When we say gross debt zero, we are basically saying that even excluding the 70% RERA account our total. I think honestly right now, we I

look on track, but if there's some very interesting opportunity that comes up like the

Sector 61 opportunity that came in February that's something that we'll see. But it's clearly -- I mean, if there's no other significant opportunity that is pursued, I think that's a target which

remains on track frankly in the next three to four quarters.

Moderator: We'll take the next question from Praveen Choudhary from Morgan Stanley. And the question is thank you for the presentation. Just to understand the launch strategy for DLF Dahlias, would you wait for confirmed interest from 10 or 50 or 80 units before launching the project? Is there any chance it could get delayed to January 2025 or 4Q?

Aakash Ohri: No, Praveen, thanks. It's not going to get delayed. It's already on the floor. And as far as the main launch is concerned with the whole experience center experience and everything else that I had stated some time back that, that is going to be sometime in July, August. But thanks to the demand, thanks to the support and the good amount of inquiries that we've got from our super luxury customers, we have already done post RERA, we are already in the market. I assure you; it's been an overwhelming response.

If you allow me to just give me this time to close the numbers and then state them in our next call, I think it will be better. But all I can say to you is -- whatever numbers that you just mentioned, I don't know 10, 30, 80, all of the above, let me put it this way, so we are on our way to at least start. It's a good start. We've got good inquiries. We've got good EOIs. They're all

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backed with -- if I can give you a little more confidence, they are all backed with instruments which are already banked. Money is in the account. So therefore, there is no speculation.

Ashok Tyagi: So there's no speculation. Q3, you will see a substantial amount -- I mean, a reasonable sum of money towards the new sales booking from Dahlias in Q3 numbers.

Moderator: Thank you. The next question is from Parvez Qazi from Nuvama Group. Please go ahead.

Parvez Qazi: So my first question is to Khattar sir. Sir, what would be the completion time line for the mall of Gurgaon? I believe we have already given out the construction contracts. And also same time lines for DT Gurgaon Block 4 and Chennai Block 4.

Sriram Khattar: So I'll start with the offices first. Downtown 4, we expect the OC during this quarter. And it is nearing completion now. And hopefully, in the next 5, 6 months, the tenants will do their fit-outs. And we expect the rentals to commence from sometime in the month of May, June next year. Fortunately, it's completely leased now. And therefore, it's only a question of getting the OC, the tenants doing the fit-outs, and the rental income commencing.

For the mall, which is about 2.1 million square feet, and the offices next to it of about 5.5 million, this entire development of 7.5 million, the excavation has nearly been completed. The drafting, etc., is also getting completed, and we propose to start the civil construction by late December, early January. That has been delayed by a month or 2 because we are given to understand that the National Building Code is changing the structural codes. And we want to be compliant with the new codes. And therefore, the level of structural design and planning has taken longer than what we anticipated.

And the time lines to complete this is in the ballpark of 36 to 39 months. When we look at Downtown Chennai, we expect the OC for Downtown 3, where we have just 2 tenants, out of whom one has already commenced fit outs, because the fire NOC, etc., have come. We expect the OC again by late December, early January. The construction work for Downtown 4 and 5, which is 3.5 million, has already commenced in the month of July, and we again expect it to be completed in 36 months.

I may also add that in addition to the

2 Downtowns, the joint venture with Hines, which is Atrium

Place, the first phase of 2.1 million, we expect the OCs in the month of March, April next year, and the OC for the fourth tower, which is about 800,000, at the end of next year.

Parvez Qazi: Sure. And one question for Aakash. When do we expect the launch for next phase of Privana and also the project on the IREO land that you have acquired?

Aakash Ohri: So Privana, we are planning for this year-end, the last quarter. And the IREO land that we had, again, the demand there is reasonably getting very high. As you know, it is the closest to the Golf Course Road and bang opposite the Grand Hyatt. So there is already kind of a lux kind of a feel already created there. I feel that that should be, well, after the Q1 of next year. But I think you should see it next year for sure. And that's going to be a different product. It's definitely going to be in the luxury stable.

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Moderator: The next question is from Parikshit Kandpal from HDFC Securities. Please go ahead.

Parikshit Kandpal: So my first question is to Mr. Tyagi. So sir, now we have very 2 large launches coming up and which will likely be successful, and we are all set to exceed our presales guidance of INR17,000

crores, INR18,000 crores, moving maybe, if I guesstimate, upwards of INR25,000 crores. So in light of this, how do you think will next year pan out given such a very top-heavy base of presales and large reliance on NCR market to grow from there on. So how do we envisage next year? And also, if you can touch upon your business development plan outside NCR, so that the concentration risk reduces and we see more growth markets emerging for us, maybe in MMR. How do you see the business development pipeline there given some large parcels are coming up for bidding over there? And are you ready to write large checks for those kind of deals like INR1,000 crores or INR2,000 crores, upwards of that?

Ashok Tyagi: Well, the last part is the easiest answer. We will never be reckless on writing any checks for any geography, including NCR. That is very clear. Second, if I may say, semi-joking, semi-serious, this entire thing about NCR concentration is a hardcore Mumbai-based analyst bias, which I've always maintained, frankly. There are developers, very huge developers with almost 95% plus sales in the MMR region who don't get asked this question that we get asked repeatedly. But yes, we are not apologetic at all about our NCR focus and NCR concentration. NCR shall continue to be a center of gravity of our entire launch pipeline. We will continue to expand in places like MMR. And in fact, our first launch should happen in Q4, as we mentioned earlier. We have a significant growth pipeline in Chandigarh as well, and we'll continue to have one-off launches in places like Goa. But clearly, NCR will be the fulcrum of our entire DevCo strategy. Aakash Ohri: But Tricity is also...

Ashok Tyagi: And Tricity also is growing. Tricity is growing, Mumbai is growing, but NCR will be the fulcrum, and we don't anticipate any concentration risk. In fact, ironically, the way other developers are increasingly trying to buy land in NCR, they also don't foresee a concentration risk in NCR. So don't worry about NCR. NCR potentially is the, not only the country's, possibly going to be the world's largest metropolitan area in the next 5 years. And I think we must stay focused on that.

Parikshit Kandpal: Any color on the presales, I mean, given that this year is going to be phenomenal for us?

Ashok Tyagi: Look, except for giving guidance once a year, we normally don't comment on the mid-correction of presales. But one thing I'd like to sort of clearly say to dash your hopes, it won't be INR25,000 crores for sure. That much I can underwrite. It won't be that number, frankly. Especially after the strong prelaunch interest that Dahlias is sort of generati

ng, we are very confident of

INR17,000 crores, and let's see where it eventually lands.

Parikshit Kandpal: Privana will also add there, right, fourth quarter, I mean, something coming in...

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Ashok Tyagi: Well, let's see. Let's see. Anyway, we are almost in the fourth quarter now, January is not so far away. So let's see.

Parikshit Kandpal: Sir, any EOI number on Dahlias? I know, I mean, conversions are still happening, but initially, like for the units which are -- so is it going to be a single-phase project, I mean, in terms of opening up of sales or you have opened certain units? And also, if you can touch upon how many EOIs you would have received. I mean, though conversion, you will get to know more towards the end, which you will disclose, but at least some color on how has been the response in terms of EOIs?

Aakash Ohri: So response with respect to EOIs has been good. As I say to you, I have a different approach to EOIs. Whilst everybody else does an EOI based on a piece of paper or maybe just some formality of a check, we do a very strong EOI with almost 9% monies on the table. So we have a completely different approach. And you've seen it post Arbour. Even in our booking amounts, whilst the rest of the people do INR5 lakh booking, we do INR50 lakh. And now it's going to be INR1 crores. One is that.

So therefore, we rather -- and we very respectfully tell our channel partners and also our customers that, look, this is the broad band, and should you be interested and should you bid in, the EOI process only begins post that. So what I'm saying is once you -- I qualify it in 3 levels, and then we start this particular process.

So when we report these numbers, we report and only tell you post that whole process that -- if I give you a random EOI number, this forum is going to be shocked. So I don't want to go there. And again, I'm saying to you that I want to continue to be grounded with this. I just want to suss out the market properly. I don't want to be reporting things which are untrue and unfair. But very, very strong kind of interest.

And therefore, to start with, yes, you will see those numbers. The first lot, as I said to you also, the numbers that I'm saying to you are post monies received. And I say to you, again, post monies, 9% received, not even booking amount. So this is the first lot that has come in. I assure you all, including Saurabh, that it is not cheap. In no way it is cheap. These are bare shells. We will never allow the valuations of Dahlias or DLF 5 to come down, and that will continue to

happen. So that is something that we'll work hard to make sure that we are meeting expectations of our investors first, our owners, and then, of course, the rest of the country. So it's a thing. And then the strategy is that, look, we have batched them in 50 each. And with each 50, we are going to go up in terms of price points. So that's what our plan is. I have been through the Camellias story. I have seen the ups and downs and the lows and highs. And may I remind this forum, in 2020 or 2021, the first time that I got into these calls, everybody had concerns about where Camellias is going to go and how are we even going to reach INR40,000 a square foot and all that.

So all I say is, look, DLF has a way of doing things. We put lifestyle and services way ahead of our price points and customer comfort. So I think I'd rather continue to play that game and make DLF Limited

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sure that our present inventory is strongly embedded and has enough value. Everything else will stem from that. So if a Magnolia today sells at about INR45 crores and an Aralia is today at INR35 crores, please understand where this is going to go. So yes, is that good?

Parikshit D. Kandpal: Yes. Just one last question, sir. On this balance potential of Phase 5 and the City is about 24 million square feet. I

don't know how much has moved or launched already in that, because you club it in one single line. So is it right to assume now the base rate or base sales clearing price would be upwards of INR60,000 for this portfolio now?

Ashok Tyagi: As I think was asked earlier and commented upon, I think it's safe to assume that Phase 5 will predominantly be the super luxury projects only now in that sense, so you can make your own assumptions. But yes, predominantly, Phase 5, the residual stock will be the super luxury projects.

Moderator: The next question is from Kunal Lakhan from CLSA.

Kunal Lakhan: Quickly on the approvals for the Mumbai project, do you anticipate any delays because of the upcoming state elections? And also the status on Goa approvals, I believe that got delayed in Q2. So what's the status there?

Ashok Tyagi: So honestly, approvals, I mean, without going into the specifics of any particular approvals, the approvals for all these projects, Privana, the next phase, Goa and Mumbai are all in advanced stages, frankly. I'm not sure whether the entire Maharashtra code of conduct has a bearing on that, because these are now fairly routine approvals. None of them is like a policy approval. So at least Mumbai, currently, we do look strong to go for a Q4 -- I mean, for approvals and the launch to happen in Q4, unless there's something completely unforeseen that happens.

Kunal Lakhan: Okay. Understood. Secondly, on, again, like the business development, right? So we haven't seen much of land acquisition or project acquisition being done outside of NCR market. Just wanted to understand like in terms of our priorities outside of NCR market and also in terms of our priorities for capital allocation. I remember like a few years back, we used to talk about like the capital allocation priorities will be towards, firstly, growth, and then CapEx, and then secondly -- thirdly, rather, towards returning money to shareholders. So any change in the capital allocation priorities, and also...

Ashok Tyagi: So the allocation principle remains the same for us, which is broadly a split between shareholder return and growth capex. The growth capex is not just buying new land, but it's also continuing to invest in our capex portfolio. I mean, while obviously, the Atrium and the 3 plazas are the immediate phase, but once they complete, we still have large tracks of commercial land on the DLF side of the equation as well, not the Cyber City, which we will continue to invest in, especially with the upcycle on the commercial piece.

As far as your second point is concerned of where would we be looking at BD opportunities? So in all fairness, from a DevCo standpoint, as we have mentioned repeatedly in the past also, our focus continues to be NCR, but we have a very healthy interest in MMR. And we are waiting DLF Limited

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for how our first launch -- the first launch is like a test pilot. Let's see how it goes. And if we get hopefully an encouraging response here, we'll see what more we can do there.

But clearly, beyond that, Chandigarh, we have a very strong land bank already on both the Panchkula side as well as the Mohali side of the equation. And I think that's enough to keep us busy for the next few years. And we are currently honestly not looking, from a residential side, into acquiring any further land parcel in any new geographies beyond...

Aakash Ohri: But Tricity and all are reasonably big...

Ashok Tyagi: Yes

Aakash Ohri: what we [inaudible 0:47:06] next market. In fact, just to let this forum know, we sold recently...
Moderator: Sir, we missed on that. I mean, your audio a little bit cut down. Can you please repeat it?
Aakash Ohri: So, what I was saying is that the Tricity business is also reasonably big. Just to let this forum know that recently, one of the last -- the Valley Gardens floors, which is the luxury floors that was sold

in the Valley project of ours in Panchkula, we sold the last one at about INR4 crores.
So there is also a very aspirational buildup to good properties in the Tricity. And you know we've got Pinjore and Mohali and all that. So that itself is a big business to follow.
Then, of course, as Mr. Tyagi was saying about Mumbai and acquisitions there will happen post our launch here. And then, of course, NCR is where we are continuously...
Ashok Tyagi: In fact, Kunal, even the Mumbai project that we have, currently, we are launching about 1 million square feet. I mean, if we continue working assiduously with our local partners on expanding the reach of that project, I mean, that project, in all fairness, has the vision to potentially be, over time, more than a 5 million square feet project in that sense. So that's a pretty humongous project. Obviously, you know how slum rehab works, so, I mean, we have to work hard in that sense. But I think over time, this is a 5 million plus square feet vision that this project will eventually entail.
Kunal Lakhan: Understood, sir. And last question is on like this year, right, in terms of like sales concentration, largely will be driven by Dahlias and the Privana phases, the 2 phases, that one is launched and upcoming. But when I look at like, say, '26 and beyond, and I understand like we spoke about like, I mean, we'll never target like a INR25,000 crores kind of a number.
But incrementally, like just growing this business from a scale of, say, INR17,000 crores thereon, right, how should we look at Phase 5 monetization year after year in terms of like how much area would you think would you be able to sell like year after year? Or for that matter, like what is the, say, replacement for, say, '26 or '27, which can happen instead of Dahlias, some other project can contribute to sales, just to keep the momentum of sales growing from INR17,000 crores and beyond?
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Aakash Ohri: Yes. So, see, what Mr. Tyagi was saying, whatever projections we are giving, please understand why we say what we say is also because unless margins make sense to us, we are not in that treadmill kind of a game. We will give you solid products. We will give you solid margins. This is what we work for. So whilst everybody has got their own agendas and we respect everybody, but we are going to be doing what we are doing right now.
Also, DLF 5, please keep it in a separate bucket, because that super luxury will sell by itself. There are certain valuations that we have to achieve there. So it's a 3- to 4-year kind of a project. It's now a continuum. DLF 5, you can put in one bucket and the rest of the business. Gurgaon alone has, in the next year or 2, has 2 another, almost 3 luxury projects like of a Crest coming. So we are going to be occupied there as well. Then, of course, the Privana ecosystem, as you know, there's the 4 and hopefully 5, whatever. All that is going to keep us busy there.
Gurgaon or NCR is something that has caught the fancy of most of the investors internationally. That we will continue to mine. It's not even the tip of the thing right now. What you all need to understand is, whilst you are talking about -- we don't mine the NCR geography, we mine the world.
So once all that is happening, that also will have a reasonable amount of interest coming in. And then, of course, you move on to the other geographies, as mentioned by Mr. Tyagi earlier to you all. So that's how we will be able to take these numbers to where they are. But that's it. I mean, I think we've got enough on our plate to think as to how to bring these to the floor and then you guys can put the numbers to it.
Kunal Lakhan: Sure. Aakash, just one clarification on what you said. So Gurgaon ex of Privana and Phase 5, you said 3 more projects. One is obviously Golf Course Extension, IREO. The other 2 would be?

Ashok Tyagi: We have a couple of group hou

sing potential developments in the erstwhile DLF City of DLF 1 to 4.

Aakash Ohri: Great location.

Moderator: The next question is from Pritesh Sheth from Axis Capital.

Pritesh Sheth: My first question is largely on, I think, margins and cash flows for the current quarter. While we had good revenue bookings this quarter, what drove that revenue in P&L? And we saw margins, at least the gross margins going down from 56% to 44%. I mean, it was just project-specific, or there's something to look at? And second, on cash flows, collections were down, just a seasonal thing? And how do you see that increasing over next half?

Ashok Tyagi: So, I'll answer your last question first, because that's something that caught our attention as well. So, I think that clearly, the absence of a new launch in Q2 versus Q1 was largely responsible for that, because what happens, Pritesh, is that when you launch a new product, typically in 30 days, you collect 10%. So, if it's a INR5,000 crore launch, as we had in Privana last quarter, you collect about INR500 crores in a 30-day cycle anyway.

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Last quarter was extraordinarily good also because we had the instalments coming in from Privana 1, Arbour, and Privana 2, and here, obviously, there was no new launch. We anticipate comfortably to be at INR2,500 crores plus collection machine for Q3 and hopefully an even higher number for Q4. By the way, this excludes One Midtown collection, because that is not consolidated, and that's now going at a very strong clip as well, which is the reason why both GIC and us will be able to harvest a significant amount of our cash flow from One Midtown. That's one thing. Secondly, on the 56% versus 44%, those margin pieces, as you can see from the residual gross margins bar chart, from the launches that we have made, we are now comfortably in the 40% plus. I think with Dahlias baked in, you will see this number approaching our target number of the late 40s, frankly.

One more thing, which I think is maybe it's an arithmetic issue that in some projects, which is notably One Midtown and potentially Mumbai, the sales, which is the denominator, is the combined -- is the total presales, and our share of profits is only 50% of it in that sense. So to that degree, they do tend to pull down the weighted average margin ratio. But in most of our new projects, which are not Dahlias, we are targeting a 40% plus/minus. And obviously, Dahlias would be a 70% plus/minus, so that the weighted average of the late 40s can be maintained going forward.

I'd like to clarify one more thing, which I think came in an offline query, which is that this is the margin on the new projects. What about the reported margins and all? In that, we are very transparent that the reported margins still work on the sales made 4 years back and the positions being done today. But unfortunately, the cost structure of today, so they are basically based on the sales made 4 years back, but the cost structures today, which is for driving this entire INR17,000 crores, INR18,000 crores sales machinery, plus supporting the RentCo in their construction efforts. So there is a certain degree of mismatch, which I think will unfortunately take 18 to 24 months to fully align, because amongst the newer generation of projects, I think the first one that will come for revenue recognition will be Arbour, which should come around the '27-time frame.

So, I think there, you would still see some degree of -- while obviously, hopefully, we'll keep on driving more cost optimization, but I think you will keep on not seeing as healthy reported numbers as healthy you would see in terms of the embedded margins. I mean, I know reported numbers are important, but I think it's also important that the true metrics under this revenue recognition that we have is really the new sales booking, the embedded margin in new sales bookings, and the

free cash flow those are generated.

And I think we'll try to not only focus on those 2, but we'll also try to ensure that we share as much information about those as we can. The rental business, on the other hand, is going extraordinarily strong in both the EBITDA growth, cash flow growth, and the PAT growth. Actually, the PAT growth the RentCo business will be 20% plus on a sustained basis here, yes.

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Pritesh Sheth: Sure. And just on the revenue bump up that we saw this quarter, any specific project led to that, like we were at INR1,400 crores...

Ashok Tyagi: This is basically possessions driven, frankly. And plus offline, Kuldeep will tell you, what happened that, those multiple floor launches that we had over the last 4 years, they depend on the OCs that come. So obviously, this quarter, a higher proportion of OCs must have been received and those resulted in the revenue bump up there in that sense. But that Kuldeep will offline give you the details of that INR2,100 crores number.

Pritesh Sheth: Sure. And the restructuring or amalgamation of several entities that you are planning, anything on the rational side we need to know about, or it's just...

Ashok Tyagi: So I mean, the rationale is simplicity. I mean, obviously, like many people in this business, we had a vast network of these land-owning companies, and then there were complicated developments and arrangements between the landowning companies and the holding company.

And over time, we are just trying to clean those, so that more and more of the licensed landholding comes directly in DLF or DHDL.

And hence, you'll always see DLF and DHDL mergers being there. I mean our target is that once the current state of mergers is implemented fully, I think we'll be down to about 79 entities from a number which was almost 5x of this 6, 7 years back. And I think our target remains that we'll eventually try to drive that number down to about a sub-50 entity on the DevCo side and between 10 to 12 entities on the RentCo side.

Pritesh Sheth: Sure. And one last for probably Aakash on Privana. Now we keep getting better in terms of location within the Privana ecosystem and hence, the pricing would be higher than what it was earlier? Or just as a product itself, since it's evolving, we would target a higher pricing. So what's your sense on that?

Aakash Ohri: No, I think this company leaves a lot of money on the table. So I don't think we go with that. But the product is evolving. The ecosystem is already doing well, very well established. In fact, what Mr. Tyagi was saying, in February, we will take you all there. You will see what you saw maybe 3, 4 years back when we all came. And this time, you'll be very pleasantly surprised to see how that place has come out. It's really beautiful. But the next phase is going to be a very -- it's going to be a more evolved product than the last 2. So therefore, the pricing will reflect that.

Moderator: Ladies and gentlemen, we will take that as the last question for today. I would now like to hand the conference over to Mr. Ashok Tyagi for closing comments. Over to you, sir.

Ashok Tyagi: So, thank you, all of you, for participating and participating very actively. I mean, obviously, if you have any offline queries or detailed financial queries, Kuldeep is there, and you can reach out to him, and he'll reach out to the concerned teams to be able to address those satisfactorily. We will continue evolving the presentation as we keep on moving forward. And hopefully, by the time you guys are here in February, we should be able to be even more sort of discerning in terms of making you understand our business.

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Both DevCo and RentCo continue to be extremely strong clip, frankly. And I think really, I mean, Dahlias on the DevCo side and the Downtowns on the RentCo side, we are actually at the cusp of

some very, very exciting new products now, which will really define DLF in the next few years. And I think financially, we'll continue to be strong and disciplined. And to whosoever asked that question, no, we are not going to keep on recklessly writing checks. So, on that happy note, I shall, again, thank you, and wish you and your family a very happy Diwali.

Aakash Ohri: Happy Diwali.

Moderator: Thank you very much, sir. On behalf of DLF Limited, that concludes this conference. Thank you for joining us, and you may now exit the meeting. Thank you.

Call: Jan 2025

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Sub: Transcript of Earnings Call
Dear Sir / Madam ,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find enclosed the transcript of the Earnings webcast .
Requisite details regarding the earnings webcast are as under:

S. No. Particulars Details

1 Date of Earnings webcast 27th January 2025

2 List of management

attendees - Mr. Ashok Kumar Tyagi – Managing Director, DLF Limited

- Mr. Sriram Khattar – Vice Chairman and Managing Director, Rental Business , DLF Limited

- Mr. Aakash Ohri – Chief Business Officer and Joint Managing Director, DLF Home Developers Limited

- Mr. Badal Bagri, Group Chief Financial Officer, DLF Limited

3 Web -link of the Transcript <https://www.dlf.in/qu -result/Q3 -DLF-Earnings -Oct-Dec-2024 -2025.pdf>

This is for your kind information and record please.

Thanking you,

Yours faithfully,
For DLF Limited

R. P. Punjani
Company Secretary

Encl.: As above

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"DLF Limited
Q3 FY '25 Earnings Conference Call "
January 27, 2025

MANAGEMENT : MR. ASHOK TYAGI –MANAGING DIRECTOR – DLF LIMITED

MR. SRIRAM KHATTAR – VICE CHAIRMAN AND MANAGING DIRECTOR -RENTAL BUSINESS – DLF LIMITED

MR. AAKASH OHRI – JOINT MANAGING DIRECTOR AND CHIEF BUSINESS OFFICER

MR. BADAL BAGRI - GROUP CHIEF FINANCIAL OFFICER – DLF LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to DLF Limited's Q3 FY '25 Earnings Conference Call. We have with us today on the call Mr. Ashok Tyagi, Managing Director, DLF Limited;

Mr. Sriram Khattar, Vice Chairman and Managing Director, Rental Business; Mr. Aakash Ohri, Joint Managing Director and Chief Business Officer; and Mr. Badal Bagri, Group CFO, DLF Limited.

As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ashok Tyagi. Thank you, and over to you, sir.

Ashok Tyagi: Thank you. Good afternoon, everybody. Welcome to the DLF Limited Q3 Analyst Call. As you must have seen the presentation by now, we've had a pretty solid quarter last quarter on both the development and the rental businesses. I mean, Dahlias obviously was the prime highlight of the last quarter and I think we did a sales of almost INR 11,800-plus crores.

You must have seen the cash flows for the quarter are also extremely healthy at INR 1,800 crores. In fact, we are now sitting on a total cash balance of almost INR 4,500 crores. The profit after tax for the quarter is at INR 1,000 crores, which again, after a long time we have hit the 4 digit category from an operation standpoint.

We had promised a series of metrics over the last 2 to 3 years that we'll be doing. And I think you'd be glad to know that we are, by and large, achieving most of them, be it on sales, PAT, cash flow, margins and on the rental business. And we hope that we continue to sustain this in the quarters to come.

You know, frankly, you must have seen that while obviously during the course of the call, Aakash will speak a lot about the Dahlias and about how spectacular a success it has been, but in all fairness, frankly, I wouldn't be lying to say that it sort of has also surpassed our own targets and vision that we had for first quarter after its launch and we hope that this sustains.

We have other products in the offerings as well, which are outlined in the presentation. You may also have seen the notes to account that we have also made a provision of about INR 900 crores towards discharging certain tax liabilities under 'Vivad Se Vishwas'. These pertain to the old SEZ tax issues that we had about almost 12 to 14 years back.

And even though we have won those cases at every conceivable appeal level from CIT appeal to Income Tax Tribunal, but given the fact that it would take at least maybe a decade more for it to be finally adjudicated in both the High Court and the Supreme Court levels, we just wanted to ensure that we future proof our business from this uncertainty as well, uncertainty around that. And hence, we have moved in to do that. This will extinguish in excess of INR 2,000 crores of our contingent liabilities in our books as well.

Before I hand over to Sriram to speak about the rental business, I'd also take this opportunity to introduce our new CFO, Badal Bagri, who has joined us in December. Badal comes from an

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extremely checkered career with GE, GE Capital, Airtel, Reliance and we hope that he brings an extremely strong controls and extremely strong business awareness from him to take DLF onto even higher heights.

Sriram, I request you to chip in with some words about the RentCo business.

Sriram Khattar: Thank you, Ashok. So this is the first time we are changing the format slightly, where after Ashok gives the opening statement I'll spend a little time on the rental businesses. And this has happened because when we

speaking of rental businesses,

the first thing that comes to our mind is

DCCDL, the subsidiary that is there along with GIC.

But as we see the future and as we see now, the rental income on the DLF balance sheet also is continuing to increase and therefore, we will talk a little about the rental business in totality. And so it will be DCCDL plus, plus. So you, please, have to pardon me if the figures are not that very accurate to start with, but I promise you by the next quarter these will be completely fine-tuned as the overall rental business.

I'll first like to touch upon the vacancy level in offices and retail. Our vacancies now have come down to 7.2%, which in offices, which at the beginning of the year were at 9% and the 7.2%, the vacancies in our non-SEZ portfolio are down to about 2% now whereas the vacancy in the SEZ portfolio hovers around 12% - 12.5%. We are working quite hard in Q4 to see how we can bring it down to around 6% - 6.2%.

Retail vacancy continues to be around 2% in the portfolio, which is really a function of the churn that happens in the portfolio and the leasing and before one tenant vacates and the other comes in.

The capex program on the development of new assets is going quite strongly. We have commenced construction on downtown Gurgaon Phase 2, where we have 4.5 million - 4.6 million on offices and 2 million of retail. The construction has commenced there. The construction of Downtown 4, which was the last building in Phase 1, is getting completed. We expect the OC to come in this quarter. Tenant handovers have commenced and the 2.1 million tower is now fully leased, other than 60,000 - 65,000 square feet, which we hope to complete within the next 2 months.

Downtown Chennai, Downtown 3, which is fully leased. We expect the OC anytime now, and the rental also to commence in about 4 to 5 months' time. Construction on Downtown 4 and 5 in Chennai, which is about 3.6 million, started in Q3 and is progressing well.

The construction on the 3 malls, which are in the DLF portfolio, which total led up to 1.3 million, is moving...

Moderator: I'm sorry, sir, you're not audible.

Sriram Khattar: Hello? Can you hear me now?

Moderator: Yes, sir. Please go ahead.

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Sriram Khattar: Which was in the 2 malls in the Delhi NCR were a little delayed because of the GRAP and the stoppage of construction. But otherwise, we are on complete track on that. The construction on Atrium Place is moving on track. Atrium Place, as you know, is a joint venture with DLF

Holdings 2/3 equity and Hines U.S. holding 1/3 equity. 2 million should get completed by early next quarter. And Phase 2, which is 1.1 million, will be about 10 to 12 months after that.

Our SEZ, the total stock that we had, which was vacant was 2.3 million square feet, out of which we have applied for 2.2 million square feet for de-notification. 1.9 million of that has been approved by the Board of Approvals and out of this 1.9 million, 1 million has already been leased.

On sustainability, we continue on our path to be the global leaders. We, as you know, have achieved LEED Platinum for all our operating buildings. We have got LEED Platinum Zero for water discharge for all our buildings, both are sort of leaders globally. And now we are working on LEED Zero for waste, where about 60% of the portfolio has got LEED Zero waste. And by

30

th June, we plan to convert the entire portfolio to LEED Zero waste.

We are working on our carbon neutrality. And sometime in the coming quarter or the quarter after that, we will make an announcement on when we believe we will be completely carbon-neutral.

ICRA and CRISIL who rate our debt, ICRA has improved our rating from AA+ stable to AA positive a few weeks back. CRISIL is in the process of reassessing our rating, and their report should come out by probably February end.

During the quarter, DCCDL sold its IT park in Kolkata,

which was a 1.2 million square feet

asset. We sold it for INR 675 crores, and we got cash of about INR 637 crores after adjusting for the security deposits and the net current assets.

This is from my side. I will now hand over to...

Ashok Tyagi: We can now open for the Q&A.

Moderator: Thank you very much. We will now begin the question and answer session. Participants connected on webcast may click on Ask a Question tab available on your screen. For participants joining through the audio bridge, to ask a question, you may press star and 1 on your touchtone telephone to ask a question. If you wish to remove yourself from the question queue, you may

press star and 2 . Participants are requested to use a handset while asking a question. Ladies and gentlemen we will wait for a moment while the question queue assembles. We'll take our first question from the line of Praveen Choudhary from Morgan Stanley. Please go ahead.

Praveen Choudhary: Thank you so much for taking my call and Congratulations for a phenomenal presales quarter. I have 2 questions. The first question is related to the demand situation in Gurgaon. There has been a lot of market data points suggesting that there might be some over-exuberance in the last 12 months. So if you can update us a little bit on the Gurgaon market, whether it matters to you for your Dahlias project or not, but in general.

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And the second question was related to the investment property. It seems like there are a lot of completions going to happen. Just wanted to understand, again, in terms of long-term target for that asset, will you monetize it? Would you divest it? Or would you continue to keep both the assets together as in DP and IP business together in the business? Thank you.

Ashok Tyagi: Aakash on the demand, please

Aakash Ohri : Okay. So as far as the demand is concerned, I feel that the markets in Gurgaon are now maturing and Gurgaon is no more a geography related purchase story anymore. It's agnostic to investments that are coming into Gurgaon are from all over the world, and of course, all over the country.

So, what is happening today, I will speak for DLF first, where a DLF product is now almost akin like right now what people are doing is , it's something, which has been compared to what people generally like investing in stocks and the market and all. So, a DLF product that way with the liquidity it has and the appreciation that it has given people across the board and Gurgaon markets that has already given that particular increase, is why it is being preferred.

In fact, today, price points, the CRE, which is a data analysis company, has started to compare price points of Gurgaon to Dubai and London and all. See, we are not into all that speculation, but all I can say to you is that the way the infrastructure is being planned in Gurgaon, the proximity to the airport, most of the Fortune 500 companies, I mean, a very robust office business, leisure, hospitality, the best homes to live in, I think the quality of life that Gurgaon today gives in its entirety is something that is driving this growth. It is no more an investor's market. People want to come and live here.

And of course , it has given a very strong rental returns to people who don't live here and own properties here. So, from all aspects, Gurgaon is something that, I feel contrary to what you are saying, is just about establishing itself after almost a long time and I see this trend going forward. That's what I feel.

Ashok Tyagi: And Praveen, I'm sorry, I didn't fully understand your second question, investment properties.

Praveen Choudhary: Thank you so much . Yes, I was asking that the DCCDL as well as your own business are both growing very well. My question was that, is there a chance of monetizing those assets, so you can use those money to higher returns? That was the question, actually.

Ashok Tyagi: No. So , we remain, frankly, equally committed to both the businesses, the DevCo and the RentCo. And frankly, neither us nor our partners, GIC, are in any hurry of any form, frankly, for the monetization exercise.

As Sriram pointed out in his opening remarks, we have just begun the next huge capex build-out cycle. And I think, clearly, we should at least wait for its completion in the next 4 to 5 years , before something of that sort happens.

So at least right now, we are staying committed on the operating piece of the business. And frankly, there are no immediate plans on any monetization.

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Sriram Khattar: Operating and growth.

Ashok Tyagi: Operating and growth.

Praveen Choudhary: Great. Thankyou. And if I could just follow up on last question from my side is Mumbai and Goa market, where you are expected to launch some really marquee projects and we have been waiting for. Can you update us in terms of either timing or what should - what is, if any, the delay , the reason for delay? And also how is the demand looking at this point in time?

Ashok Tyagi: So, the demand is , you can mention it.

Aakash Ohri : Yes. Just one more thing, Praveen, since you all work on numbers and not on emotions, basically, Gurgaon, if you see 15 months when 3 projects that we had to do, I'm talking about DLF right now, we did about INR 22,000 crores. And in the last 12 months, if you just see the ' Privana ',

'Dahlias ' and the other stock that has been sold, it's about INR 24,000 crores.

So, if you see the kind of business go down, that's just DLF's numbers. I'm sure if you just add up everybody else's, you will see the kind of numbers that Gurgaon is continuing to do. And these are hardcore money in the account. That is one.

Then going back to Mumbai and Goa. Mumbai right now, I'm seeing a good kind of a demand. Mumbai, I'm seeing the expectations also quite reasonable in terms of what we are looking at what price points approximately. But overall, I think there is a good amount of excitement for a DLF product to come into Mumbai.

Goa is one of its kind. It's a super -luxury project in Goa, as you all know, and that has its own set of demand. So overall, right now, so far, so good.

Ashok Tyagi: Yes. And again, to your point, there's no delay happening in Mumbai or Goa. But yes, those are newer geographies for us from an approval standpoint and the approval cycles are underway in both the places.

Hopefully, once the approval cycles complete, we should be in a position to launch. Right now, the way it looks, it looks Mumbai should launch first and Goa maybe after some time.

Praveen Choudhary That's super clear and once again your figures are exceptional, so keep it up and congratulations .

Ashok Tyagi: Thank you.

Moderator: Thank you. I now request Pritesh Sheth from Axis Capital to please accept the prompt on his screen. Pritesh, I request you to turn on your webcam, unmute yourself and go ahead with your questions please.

Pritesh Sheth: Yes. Am I audible?

Ashok Tyagi: Yes Pritesh.

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Pritesh Sheth: Yes. So , congrats on great performance. First, I am just trying to understand the mix of demand that we've got in Dahlias. How much is incumbent population from NCR, India, NRI, whatever insights you can provide us because these numbers are like beyond our expectations. So just trying to understand where that's come from.

Aakash Ohri : Yes. Pritesh, So it's the Golf Links community, first, in that order I'm going. Then NCR, then NRIs and then rest of the country. NRIs have contributed to about 12% of our sales in Dahlias. About 50% has been the community, friends and family and people who live there, who have been referred who are there as tenants, their references.

And the rest, I am seeing a good traction

coming from the other metros as well as Tier 2 cities that I saw. In fact, I mentioned on one of the calls even for Camellias. So that's the kind of . See,

if you recall, in one of the conversations, I'd also mentioned that every product that DLF is bringing in today, we are doing a global launch. So , we are not only geography specific as far as our launch is concerned. But I think post the approvals in all, then we go ahead and kind of go seek the market everywhere else.

And but we are in continuous conversations with our customers all over the world and in India.

And I think that is what has given us this first fill-in.

Pritesh Sheth: Got it. Interesting. Just two more, again, on Dahlias. One, on the pricing side, while whatever we have sold is at INR 65,000 per square foot roughly on sellable and whatever inventory that is left is right now priced at INR 85,000 per square foot.

Are we like since, we are going to phase it out, are we building some bit of price increase in those numbers? Or whatever is left is anyways like high -ticket size and the base price itself is going to -- was always planned to be higher than the initial units?

Ashok Tyagi: So, Pritesh, just one mathematical correction before I hand over to Aakash, INR 65,000 is the average price that we have obtained in the first 173 apartments. We have exited more at a mid - 70s price point right now. So really, the delta is from mid- 70s to mid -80s and not from INR 65,000 to INR 85,000 really in that sense.

And , of course, the way the pricing grid and the attributes of each apartment are virtually no 2 apartments have the same price, really. And so , it's a very complicated grid that Aakash has created because only he understands. And hence, I will hand it over to him.

Aakash Ohri: Yes. So basically, how this is working is that this was the first price, and of course, there was a community offer and all that, which, going forward you will see that also being withdrawn . And the inventory available, right now, there was a certain mid -floor and low. So obviously, the price points for the others, as they come along, will be at higher price points.

We have achieved some benchmark pricing here as well, which are very, very encouraging. But at this point of time, I don't want to just give you a number for the sake of it. But extremely encouraging to see what our first phase of price exits have been. So, have we been able to answer that question, Pritesh?

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Pritesh Sheth: Yes, yes. Absolutely clear. And how are you planning to phase it out now, the balance inventory? So, we'll have some bit of sales -yes.

Aakash Ohri: Yes, right now, I think we're taking a very short breather, very short. But I think we will get up because sometime around mid this year, we will be doing our experience centre. That will be another show and tell. That's going to be another experience that people will go through. And of course, before that, I think just give us this little time to just be kind of, in a way, I'd love to say celebration, but...

Ashok Tyagi: Recalibration.

Aakash Ohri: Recalibration is what I can say. I mean, we are not - so that's where we are right now. But I think, see, again, a product like this is going to be hard to beat and I say this with utmost humility that I don't think you've seen a product like this.

Also a USD 4.5 billion launch for 1 condo in the world, I don't think there is any comparison.

But also, it's a very far . I mean, as an Indian, I think I'm extremely proud to see a product like this unveil in our country. So, there will be enough coming in.

And again, as one more last thing I'd like to say to you is that, see, with Dahlias, we're not in a hurry to sell off everything. If you remember, I'd given you a 4 year sales plan earlier, right? So , in super -luxury, this is not like, say, a 'Privana ' or a 'Floors ' or anythi

ng else that I'd like to do

first day first show, that those numbers itself have been large, but the per unit cost here, I'd rather you benchmark our success with the per -unit sale cost rather than the inventory cost. There, you will get far more confidence, and you will see those numbers getting better with every sale.

Pritesh Sheth: Amazing. Just one last from my end on the rental side. I know like you want us to look at combined but just wanted to get a sense of plans at the DLF side of commercial. Since we are almost done with the 3 malls and Atrium Place, what's next for DLF side of commercial business?

Like, will we take up a few more projects there? Or probably right now, the focus would be on the 2 downtowns and then move on to the Cyber City 2, which is always planned for ?

Ashok Tyagi: So, Pritesh, obviously, you are right that we are, in the next 12 months focusing on completing the 3 plazas and Atrium Place. And on the Cyber City side, the 2 Downtowns. But clearly, I think Mr. Khattar and the team is working on the next sequence of options on the DLF side that we could potentially commence construction on. And Sriram, if you would want to answer .

Sriram Khattar: Yes. So , there is a fair amount of potential that we have and we are assessing the potential in new Gurgaon and Hyderabad to see what we can do there. I think by the time we have the next analyst call after the 12 months are over, we will have far more clarity on that.

But clearly, the growth rate of rental assets in the books of DLF will be higher than the growth rate of the rental assets in DCCDL, primarily because DCCDL has a very large base compared to that of DLF.

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Pritesh Sheth: Got it, that's very helpful, that's all from my side, all the best, you are doing amazing work. Thank you

Ashok Tyagi: Thank you Sir .

Moderator: Thank you. I now request Amit Goela to please accept the prompt on his screen. Amit kindly turn on your webcam, unmute yourself and go ahead with your questions please.

Amit Goela : Yes, Hi sir, Congratulations on a great set of numbers. Sir, I've got 2 questions, one is for Sriram. Sriram, on DCCDL, if you look at it, your debt -to-EBITDA has been consistently coming down, whereas your rentals have gone up. Like it's now down from 5.6 to 3.2 - 3.3. Now you've got almost 12 million square feet coming up for expansion. So do you think the same trajectory will continue or there can be some changes there?

Sriram Khattar: Well, I think the trajectory will, by and large, continue but we have started discussing with the shareholders that having come to a figure of between 3 - 3.5 should we go down further or should we look at using the cash generation for future expansion.

I think that is still in the melting pot, and we are working on what to do further. We realized that just reducing debt for the sake of reducing debt is not a good idea, especially for an annuity company, and we are sort of focusing on it. Do we have a ready answer? Not yet, but in the next few months, we will.

Amit Goela : Thanks Sriram , Tyagi ji, I've got one more question for you. Sir, excluding Dahlias , you've got almost INR 30,000 crores of revenues to be booked now going forward. How do you see this spanning out? Because this should throw up a lot of cash also as the revenues keep getting one is the cash from the sales, which is happening upfront and the actual cash coming from the business sublet.

Ashok Tyagi: So, Amit ji, the issue is that across Arbour, the 2 Privanas that we have launched, now Dahlias and going forward the launches that we will, a lot of cash, you are correct, will keep on accumulating in the system. I mean, frankly, the way it's structured, a large chunk of it will continue to be escrowed in the 70% RERA account. As you may have seen, I think in December end, INR 7,000 crores is escrowed in the RERA account

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And I think, really, Amit ji, by the time our natural completion cycle of the high rises that we have launched, which is Arbour onwards, which we expect in about 27 odd months from now, once that cycle begins completion, you will see, hopefully, a far robust jump in both the revenues booked as well as the cash flows unlocked from RERA in that sense.

So, the next 2 years, frankly, would be more calibrated. We still generate a lot of cash, but a lot of it could still stay trapped in the RERA account. Hopefully, from early FY '27, FY28 onwards, we expect this virtuous cycle of the high-rise completions to come into play. And that's where you really see serious amounts of both cash and margins being recognized in the books, sir.

Amit Goela : Okay , Thank you S ir. Sir, just one last question. Sir, in terms of given the kind of size like which has been acquired, like now construction has also becomes very critical, so sir, like what kind of

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square foot construction you're like in terms of million square feet or you are looking at an annual basis? And are you looking to hasten up the process so that like the whole delivery cycle shortens a little bit?

Ashok Tyagi: So, I think including the 2 downtowns that Sriram spoke about, I think our total square footage under construction is now approaching 40 million square feet. We believe that with the current bandwidth that we have, I think a number of between 40 to 50 is what I think we should be efficient at.

A number beyond that could begin testing us, really. But again, I think, to a large degree, it's about internal bandwidth, Amit -ji, and it's about the contracting ecosystem, which we have, you know, you have heard us earlier also on the constraints that are there. We continue to sort of negotiate them on a project -by-project basis.

But I think, really, if you were to ask us, they won't see serious constraint to growth beyond this number would be the contracting ecosystem. But I think we can comfortably handle between up to 40 million to 50 million square feet of construction at a certain degree of , you know, on a simultaneous basis, sir.

Amit Goela : Okay. Congratulations again S ir, Thank you so much.

Ashok Tyagi: Thankyou Amit Ji.

Amit Goela : Thanks, Sriram.

Sriram Khattar: Thankyou Amit.

Moderator: Thank you . We'll take our next question from the line of Abhinav Sinha from Jefferies. Please go ahead .

Abhinav Sinha: Hi and congrats to the whole team on strong set of numbers. Sir, just quickly on the pipeline on Figure 7. Sorry, Slide No. 7, launch calendar. So , this year, we now have Mumbai to come and Privana Phase 3 is next year, right?

Ashok Tyagi: So, Abhinav , that 3 projects, Goa, Mumbai and Privana Phase 3 are all under the approval process. Our current reading of it is that it looks that the Mumbai approval should come hopefully in the next few weeks, and we should be able to launch it. And the other 2 could overflow into the next quarter.

But again, while we have to report on a quarterly basis, this is not unfortunately a business, which is executed on a quarterly basis. So , our three projects are under the approval cycle and we are hopeful at least one of them should be able to make it to the finishing line within this quarter.

Abhinav Sinha: And sir, can you detail the Mumbai product now? Or still too soon?

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Aakash Ohri : No, right now, let the approvals come through, but we've already , whatever , it's a premium plus product. It's going to be , we're going to bringing the DLF lifestyle there. It's going to have the DLF kind of clubhouse and the services available. And it's 1,100 to 1,500 odd.

So basically, I think right now, post the approval process, I think I'll be able to detail it further. But the overall basic stuff

f that I 'd mentioned , I mean, what we had mentioned earlier also stays and it's going to be a good product for that TG, so something which is efficiently done. So yes, it's going to be a nice product.

Abhinav Sinha: Sure. And Tyagi sir, last question on the cash, the tax settlements that we have done, there is no cash impact, right, on a net basis?

Ashok Tyagi: No no . There will be a cash impact , which has not happened in Q3. There's a process to Vivad Se Vishwas, which is that you apply for the settlement. They then approve the settlement. Once they approve, then within 15 days, you have to deposit cash.

So, as we speak, so far, of the INR 900 crores, about INR 300 crores is the amount that has been accepted by the department and which is in the process of getting paid out. The balance quantum should definitely happen this quarter, but hasn't happened yet.

Abhinav Sinha: Okay. So, the whole INR 900 crores will be impacted in the fourth quarter, right?

Ashok Tyagi: Yes, in Q4, you will see a INR 900 crores cash outflow, absolutely.

Abhinav Sinha: And sir, what your liability used to be there against the DCCDL SEZ? It's now over after this thing, right?

Ashok Tyagi: So as against the SEZ of DCCDL with this, hopefully, our entire liability stands extinguished.

Abhinav Sinha: Ok, great and all the best to the team .

Ashok Tyagi: Thank you

Moderator: Thank you. I now request Parvez Qazi from Nuvama to accept the prompt on the screen. Parvez please turn on your webcam, unmute yourself and go ahead with your questions, please. Parvez can you unmute yourself, please.

Parvez Qazi: Am I audible now?

Moderator: Yes, please go ahead.

Parvez Qazi: Thanks for taking my question and congratulations for a great performance in Dahlias. So , a couple of questions from my side. Tyagi sir said that we expect 2 out of 3 projects maybe to spill over to FY '26. I think he had also mentioned that we'll probably see the launch of the project on the IREO land that we had bought in FY '26. So apart from these 3 projects, what could be the potential launch pipeline that we can see in FY '26?

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Ashok Tyagi: Parvez, bhai see, we have a tradition that we speak about the pipeline for the fiscal year in the annual accounts closing call which we do in May. So let that tradition stay right now. But I think you are , I mean, look, the good news is that courtesy and transparency on the sales pipeline, all of you know the projects that we are working on, be it Sector 61, the IREO land, be it a couple of other projects in DLF City, be it the next phase of Privana, the next grounds in Chan digarh, Mumbai.

So, I think, clearly, some of these will eventually fold in into FY '25, FY'26 fiscal. But I 'd that we are in the final throes of our planning exercise for that. So , I'd request that just hold your horses till the end of Q4 and we should be able to give you far more greater clarity. But there'll be no surprisingly new projects. It will be a part of this basket that you are well aware of.

Parvez Qazi: Sure, sir. The second question is our thought process towards future business development. I mean, considering the kind of strong cash flow that we are seeing, do we have plans to, let's say, buy more land in Gurgaon or maybe cities other than Gurgaon? What is our thought process there?

Ashok Tyagi: So see, Parvez, in all fairness, yes, we have cash. But as I explained to Amit Goela ji, as we speak, at least right now, a lot of that cash is still trapped. And you know that even though we are sitting on a huge net cash surplus situation, we still have gross debt. So, I think our, short - term goal is also to actually get rid of that monkey off our backs as well.

But clearly, if it's an interesting and a multiplicative land parcel that we get, like the one that we procured las

t year, we'll definitely be more than willing to enter into discussions on that.

The second point also you must appreciate is that unlike some of our other peers, there is enough land banks that we have both in Gurgaon, Delhi, Chandigarh, at least these 3. The Mumbai project that we are currently launching in the first 900-odd thousand square feet, frankly, the way we are accumulating the entire area, I think that number itself should, hopefully, over time cross a significantly higher number than that and that will keep us busy for maybe the next few years in Mumbai.

So, I think we have enough on the ground, but if we get something truly interesting or truly cost - effective, definitely, you are right, we have the balance sheet now to be able to go in and try those. But obviously, this is also a time when the sellers have also become more aggressive in

terms of the price point that they're looking for. And in many cases, it may not always make sense.

Parvez Qazi: Sure, sir. And lastly, a question for Sriram Sir, it would be great if you could give your estimate of the kind of rental income in FY '26.

Sriram Khattar: So, FY '26, the rental income will be about INR 6,300 to INR 6,315 DCCDL and about INR

1,200 in DLF.

Ashok Tyagi: Exit run rate.

Sriram Khattar: No, He's saying for the year.

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Parvez Qazi: Got it. Thanks, and all the best for future .

Ashok Tyagi: Thank you.

Sriram Khattar: Thank you.

Moderator: Thank you. Ladies and gentlemen, before we take the next question, would like to remind you, participants connected on webcast may click on ask a question tab available on the screen.

Participants joining through audio bridge may please press star and 1 to ask a question. I now request Samir Jasuja from PropEquity to please accept the prompt on the screen. Samir, please turn on your webcam, unmute yourself and go ahead with your questions, please. Samir, can you unmute yourself, please.

Samir Jasuja: Yes, sure. Hi, Congratulations, everybody, on the fantastic results. I just wanted a few clarity on the cost of construction. It goes a long way that, for example, if you're selling Dahlias , let's say, INR 80,000 a square foot and if you're selling Privana, let's say, INR 20,000 a square foot, there would be some value addition in terms of costs that you would be incurring higher on the Dahlias project.

It will go a long way for the customer to understand and the analyst to understand as to what the component or the percentage of cost of construction is to the sale value of the asset. And if that, Sriram sir, can also answer on the commercial side. Because we have less visibility, we keep on getting asked questions why the cost of construction of DLF much higher than their peers.

Ashok Tyagi: Okay. So, Samir frankly, I don't have an answer for the last part of your question as to why is our costs higher except a factual acceptance that, yes, our cost is higher. I think that's it.

So if you see -- if you check out our filings on the Privana piece, I think our construction cost is ballpark in the range of INR 8,000-odd a square foot, INR 8,500 on a sale price of about INR 20,000, which broadly is a 40% ratio.

In Dahlias, frankly, we are expecting a construction cost to be in the range of ballpark 25% to 28% to 30% of our total sale price because the construction cost -- and in all fairness, I mean, I have to concede that we are in the process of fully pulling together the entire construction budget for Dahlias because it's not just the buildings that we are making, but also the infrastructure that we are creating along the Dahlias, which is where -- which will take some more time for us to fully understand the cost implications of it.

But we expect that, say the Privana, the cost -to-revenue ratio would be ballpark in the 40% piece.

And in the case of Dah

lias , I think we should be hopefully not more than the mid- 20s.

Samir Jasuja: So, that would mean about INR 15,000 to INR 20,000 a foot on Dahlias?

Ashok Tyagi: Sir, we don't know including infrastructure, yes, including infrastructure, the numbers could approach those things. But frankly, as I said, I think we are maybe a quarter away from having a complete grip on these numbers, but I wouldn't be surprised if the number does enter those ranges that you're talking about.

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Samir Jasuja: And sir, the same question to Sriram sir, with respect to being LEED certified and all that, what is real cost of construction that happens? And this , sorry, was on carpet area or super area, sir?

Ashok Tyagi: Super, I'm talking super area here.

Sriram Khattar: This is on GLA.

Samir Jasuja: Saleable area.

Sriram Khattar: So Samir, on the rental businesses, say, Block 4 DLF are downtown in Gurgaon, our cost of construction is about INR 6,200 to INR 6,300 a square foot of GLA. Now this is about 2 years before Block 5, 6 and 7 and 8 come into play. And therefore, if you add the annual inflation to it and then you add the additional cost of the structure because of the change in the building codes that are likely to come, we are already planning for that, I would guess our cost will go up to about INR 8,000 to INR 8,200 a square foot.

Samir Jasuja: This is for office area, sir?

Sriram Khattar: Office areas.

Samir Jasuja: And retail GLA is 50%. So , will that be INR 12,000?

Sriram Khattar: No, no. In offices, the ratio is 1:1.43. In retail, it is 50%. And in retail, because the level of finishes and common areas have to be done very differently and it's not a bare shell in that sense,

that cost will be in the ballpark of INR 10,000 to INR 10,200 a square foot.

Samir Jasuja: Got it. Thank you so much sir.

Moderator: Thank you. I now request Puneet Gulati from HSBC to please accept the prompt on the screen.

Puneet you may please unmute yourself and go ahead with your questions .

Puneet Gulati: Okay. Great. Yes, Thank you so much. My first question is, first of all, congratulations on Dahlias, extremely well done. On Dahlias, to start with, have you offered everything, the entire 420 units, to customers? Or was only a certain part of the inventory initially offered and more will be opened up later?

Aakash Ohri: No. So thanks. Dahlias , as far as the inventory is concerned, most of it was offered. Some basically higher floors and they have different price points. And therefore, they come in different phases. But anybody who's wanting to pick up anything at a future price point is more than welcome.

But right now, I mean we did not hold back on inventory. We let people choose, and the price points were according to what they chose. And of course, every, I repeat, every apartment in Dahlias is differently priced from the other.

Puneet Gulati: Understood. That's helpful. Secondly, on the office portfolio DCCDL, there was a sale of Kolkata asset. What drove this sale of assets? You're not short in cash. Any thoughts there?

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Sriram Khattar : Well, if you look at the total rental portfolio of DLF, it is in the -- if you look at the offices portfolio, it's about 43 million to 44 million square feet.

The Kolkata 2 assets were totalling 2.3 million in a city where there has been incremental leasing of 1 million, which is expected this year compared to a country's leasing of about 80 million.

And we also saw that while the rentals were going up, whilst they were going on an absolute terms, relatively, they were not making any dent on the P&L or the balance sheet. We also realize that if we have to put our management time and if we have to use our skill sets, we would rather

expand in geographies, which give us renters which are 3 to 4 times the rental that we were expecting in Kolkata.

So the shareholders discussed this about 8 to 9 months back and then decided that if we get a sort of a benchmark price, we should go ahead. We were able to achieve it, and therefore, we disposed that asset.

Puneet Gulati: Understood. That's very clear. Thank you so much and on the tax side, should we think that INR 900 crores full hit will come in Q4 itself? Or could there be more? You mentioned the number of INR 3,000 to start with?

Ashok Tyagi: No, no. So , the bucket has been taken in Q3. So, bucket has been booked in Q3. The cash outflow will happen in Q4. And no, it's a finite number of this INR 900 odd crores that is there. So , there's no probability of it increasing on account of Vivad Se Vishwas right now.

Puneet Gulati: Okay. So that number is closed. Because even in this quarter, you recorded only INR 116 crores , sorry, INR 16 crores of cash outflow in DLF.

Ashok Tyagi: Cash out flow will come in Q4.

Puneet Gulati: And post that, should we think of tax outflows in similar ranges? Or would you be going back to 25% of PBT as cash outflows?

Ashok Tyagi: No, no. So I think we are possibly a couple of years away from hitting that full throttle cash outflow because of certain accumulated losses and all that we still have in our books. But I think, eventually, obviously, at some stage, the cash outflow on tax should be the equal to the book outflow on tax, but I think we are hopefully about 2 years away from that situation.

Puneet Gulati: Understood. And lastly, in your planned projects, this time on the slide you've excluded some projects of 5.5 on super -luxury gone down to 4.5. And similarly, on the luxury 3.8 in the plan...

Ashok Tyagi: No no, Because the Goa piece, have just moved to the next quarter, in that sense to the next fiscal.

Puneet Gulati: So, Goa was super -luxury, so that's out. And 5.8 luxury is down to 3.8. So, what has moved out there?

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Ashok Tyagi: Well, basically, again, as we mentioned in the call earlier, the Privana Phase 3, which, frankly, I'm not ruling out, right now, we are also conservative plans for the next fiscal given the state of the approvals right now.

Puneet Gulati: Understood. That's helpful. And lastly, I think for Aakash, I think this is a major benchmark you have achieved. What is the next aspirational benchmark for you in terms of product and sales?

Aakash Ohri: I was just told before the call by Mr. Tyagi and Mr. Khattar to be -- don't celebrate right now. So, I am still in a very muted mode. I don't know what to say to you. But extremely grateful for

the support that we've got. I think it's a validation of what DLF super -luxury does. And again, it's a validation of the people who've been through the experience and have supported us and the word -of-mouth thing. So right now, I think what we've done right now is the first phase. And I'd like to continue this run, and it's just that we're taking a very short breather just to recalibrate and re-strategize as to how we want to bring in the rest because, as we had mentioned earlier also, that initially we thought there will be -- we plan to bring only a 10% stock in. But as you see, it's about 41%. So right now, without compromising on the valuation and the price points, I think the focus will be that. And also, we will kind of now expedite the entire show -and-tell experience. But mostly, the endorsement has come in from people within and I think I'd like to continue to invest in them.

Puneet Gulati: Understood. That's really helpful, Thank you so much and all the best.

Aakash Ohri: Thank you so much.

Moderator: Thank you. I now request Kunal Lakhan from CLSA to accept the prompt on a screen. Kunal you may please unmute yourself and go ahead with y

our questions.

Kunal Lakhan: Yes. Am I audible?

Ashok Tyagi: Yes Sir.

Kunal Lakhan: Hi Good evening everyone. So my first question was on your residual portfolio. If you look at DLF 5, there is still additional area of about 20 million square feet -odd. And I think last quarter, you had mentioned about that, going forward, DLF 5 would be, say, Camellias plus or like similar to Dahlias kind of a vision you have for the rest of the portfolio.

In that context, how should we look at the monetization timeline? And how would you bring this product to the market? And what is the timeline for this?

Ashok Tyagi: So, in all fairness, I think as Aakash mentioned earlier in the call, Dahlias total monetization timeline is in the 3 -odd to 3 years -plus range, really, frankly. And depending the pace at which it monetizes is, obviously, you are right, we have both the plans as well as the area identified very clearly on what will be the successor to Dahlias in that sense. We'll just have to keep on finding out flower names, which end with a lia. But I'm sure there are enough available still.

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And so I think that will happen. But at least, given that we are only a quarter from the Dahlias launch, I think your question, while strategic, may still be a trifle premature. But obviously, as we sort of start saturating the Dahlias, the next phase, we are, I think, prepared for what the next phase would be and the phase after that, etc.

And I think you are right, that ballpark 20-odd million square feet of development area still is very clearly available in the DLF 5. And I think it will take the time that it will. But I mean, again, given that it's super -luxury, these things obviously will also sell at a certain pace over time in that sense and that's the way it will be.

Kunal Lakhan: Understood, sir. My second question was on the overall segmentation pertaining to us as well as the overall market, right? So, when you look at say, Dahlias, right, almost like, say, INR 65

crores to INR 70 crores kind of ticket sizes and then there is Privana, which is in the range of, say, INR 7 crores to INR 8 crores kind of ticket sizes, but there's nothing in between like between INR 8 crores to, say, INR 60 crores to INR 70 crores. That segment of the market, do we intend to cater to? Is there enough opportunity over there? And I mean, what's the demand situation there? And how do we plan to cater to that?

Aakash Ohri: So you will see there is a segment that we are planning between this as well and that you will see in the coming years, especially next year onwards, you will see all of that coming into the market for sure.

We'd like to cater to this entire spectrum. And so, yes, in fact, that is something that is planned already. And previously, what you had mentioned about Dahlias and the DLF 5 and all that, I think that one kind of product benchmark or the geography in specific has been established for the super -luxury business.

And I think that's what we'd like to continue because, one, the expectation; second, the kind of infrastructure work; third, the other things that we are kind of putting it together there, I think

that's a story that will be almost akin to what the Central Park in America is. I mean, if you see that, that's the only analogy I can use and that's how it's going to be.

Kunal Lakhan: Sure, sure. And my last question was on any update on the deed side of where we are, what are the partners thinking on those lines?

Ashok Tyagi: So I mean, currently, basis our discussion with our partners, there is, as we mentioned earlier in the call, no immediate plans of any monetization excise on the Cyber City front. In fact, we've just now started the mega capex build-out in both the downtowns of Gurgaon and Chennai. And frankly, only once this cycle completes, I think, would be the right time. But again, this is

,
as we have maintained in the past also that the triggering off of the monetization of Cyber City will be a decision to some degree, which will need to be initiated by our partners because we clearly have no desire for diluting our stake. And we clearly are duty bound to honor their request as and when it happened, But I don't foresee that happening for the next few years.
Kunal Lakhan: Okay, Well understood sir. Thanks and congratulations for the great quarter and all the best sir .
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Ashok Tyagi: Thank you sir.

Moderator: Thank you. Ladies and gentlemen, we'll take that as the last question for today. I now hand the call...

Sriram Khattar: Sorry to interrupt, I would like to make one clarification. I think Parvez asked a question of FY '26 rentals and I told him in DLF, the rentals will be INR 1,000 to INR 1,200. I would stand corrected, they are INR 800. INR1,000 to INR 1,200 was for the following year. And therefore, I erred on that. My apologies sir.

Moderator: Thank you, sir. I now hand over the call to Mr. Ashok Tyagi for closing comments. Over to you, sir.

Ashok Tyagi: Thank you so much. And I think, today, we truly had a very, very engaging call. And hopefully, we continue to stay focused on the path that we have chosen. And I'd just like to have a sort of a moderating tone, which is that while obviously, we are all very buoyed by the Dahlias sales . I think the metric that should truly excite us is not the INR 11,800 crores of the presales, but the fact that INR 8,000- plus crores of free margin has been booked on account of the Dahlias sales because I do believe that, at some stage, the industry and the analysts following the industry have to come out of this presales sort of mind -set and focus on the 2 metrics, which matter, which is margins and cash flows.

And I think we are very clear that, that is the sort of direction on which we'll continue driving our own DevCo. And hopefully, that's how we will. Thank you so much again. And hopefully, by the time we come back to you with our annual results in May, we should have some other some further developments to report. Thank you once again.

Moderator: Thank you, members of the management team. On behalf of DLF Limited, that concludes this conference. Thank you for joining us, and you may now exit the meeting.

Call: Mar 2025

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27th March 2025

The General Manager
Dept. of Corporate Services
BSE Limited
P.J. Tower, Dalal Street,
Mumbai – 400 001 The Vice -President
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra(E), Mumbai – 400 051

Subject: Transcript of Analyst s/ Investors meet

Dear Sir/ Madam,
In continuation of our earlier intimation regarding Schedule of Analysts / Investors meet dated 18th March 2025 and in compliance with Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 as amended , please find enclosed the transcript of the Analysts/ Investors meet held on Friday, 21st March 2025 at 16.00 Hrs.

Requisite details regarding the Analysts/ Investors meet are as under:

Sr. No. Particulars Details

1. List of management attendees - Mr. Rajiv Singh – Chairman , DLF Limited
- Mr. Ashok Kumar Tyagi – Managing Director , DLF Limited
- Mr. Devinder Singh – Managing Director , DLF Limited
- Mr. Sriram Khattar - Vice Chairman & Managing Director - Rental Business , DLF Limited
- Mr. Aakash Ohri – Chief Business Officer and Joint Managing Director , DLF Home Developers Limited
- Mr. Badal Bagri – Group Chief Financial Officer , DLF Limited
2. Web -link of the Transcript https://www.dlf.in/corporate-presentation/Corporate_Presentation_DLF_Transcript_21_03_2025.pdf

This is for your kind information and record please.

Thanking you,

Yours faithfully,
For DLF Limited

R. P. Punjani
Company Secretary

Encl.: As above

For Stock Exchange's clarifications, please contact:
Mr. R. P. Punjani – 09810655115 / punjani -rp@dlf.in
Ms. Nikita Rinwa – 09069293544 / rinwa -nikita@dlf.in

“DLF Limited
Analysts/ Investors meet ”

March 21, 2025

MANAGEMENT : MR. RAJIV SINGH – CHAIRMAN - DLF LIMITED
MR. ASHOK TYAGI – MANAGING DIRECTOR - DLF
LIMITED
MR. DEVINDER SINGH – MANAGING DIRECTOR – DLF
LIMITED
MR. SRIRAM KHATTAR - VICE CHAIRMAN &
MANAGING DIRECTOR - RENTAL BUSINESS – DLF
LIMITED
MR. AAKASH OHRI – JOINT MANAGING DIRECTOR
AND CHIEF BUSINESS OFFICER
MR. BADAL BAGRI – GROUP CHIEF FINANCIAL
OFFICER - DLF LIMITED

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Ashok Tyagi : Hi, Good afternoon. Welcome to all of you. I mean, a lot of familiar faces, some new ones. I hope you had a good, intensive first half and a decent lunch and some of you got to interact with the Chairman, Anushka, Savitri, the leadership team.

You know, the way we want to run this is that we will have a presentation, which has now post the trading hours also been uploaded on the stock exchanges and hopefully the presentation will run for about 35 to 40 minutes. Obviously, if there is a pressing issue, you are more than welcome to ask a question during the presentation as well. But post the presentation, we will open up for a Q&A and invite the Chairman also on stage at that time.

I think really two or three, I will say, disclaimers, I will put . A) most of the data that we have here is data that's already been disclosed as a part of our quarter ly, be it in terms of our presentations or in terms of our analyst calls. What we have done is we have slightly fleshed out the data more, made it slightly more specific, but that's one thing. But there is no new heart shattering data that you will necessarily get here, but hopefully you will get in a form and shape which makes it slightly easier to understand. B) I mean, this is forward -looking data in the sense comparable to what is there in the analyst reports. So , obviously, it is subject to the same sets of uncertainties that any forward -looking data would be, which is the usual safe harbor disclosures. The third point is, wherever we have used areas here, the areas refer to the saleable area and the gross leasable area and not the carpet area. Obviously, as and when those products are launched, they are launched in the form of carpet area square meters. So , this is right now, the metric here used is saleable area stroke leasable area in square feet, you know, in that sense. But obviously, eventually, when the documents get signed, it is carpet area in square meters, you know, in that sense. The fourth point, which I think hopefully you would appreciate as you go through the presentation, is that by and large, it's simply our business is divided into DLF and DCCDL . But that is not the way we actually run the business. The business is run really as DevCo and Annuity business. And most of the data that we have tried to capture is with that distribution in mind, that DevCo and then the Annuity business. And the Annuity business includes the DCCDL as it's called , the Atrium Place, which is our J V with Hines , the rental projects that are housed on the DLF side of the equation and our hospitality business which also is an annuity business and which is an increasingly growing and important business in our ecosystem.

So, what we will do is , we will get Badal to start the pitching of this. Badal, as all of you have met in the morning, is our new GCFO and he will hopefully use all his experience to pitch out and then as and when we come to specific sections, we will request the concerned business leaders to join us on stage and at the end of it all, then we request the Chairman, Anushka and Savitri to join us on stage and then open it up for Q&A. Badal, all yours.

Badal Bagri: Good afternoon, everyone. I thought I would be very serious, but I thought I will start with a slightly lighter note on 107 days of experience in the real estate sector. Hopefully, I would do

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justice to the, I would say, outstanding journey which this Group, this Company has created, and I think is in the path of creation.

So, with that caveat and a few of the caveats which, okay, few of the standard caveats, possibly I will again repeat. We have structured the business the way we would want you to see the data. It's not an accounting representation of information like DCCDL and DLF. It's like a business segment, a man

agement estimate. That's the way we would want you to see this data. And okay.

First to begin with, eight plus decades of strong presence. I think not many companies can boast of. It has an impeccable record of generating customer value, having a customer-centric focus on the quality of development. It's just not about developing a property but kind of an ecosystem around it. Extremely high standards of corporate governance and compliance. I can say this with my five or six different experiences and strengths I have, I think the level of corporate governance and compliance is absolutely top notch and I have worked with some reasonable companies in my life. And this to my mind has resulted in an extremely strong brand which DLF is kind of like I say in Hindi "Name itself is enough." So, I think it stands for itself. It stands for product. It stands for quality. It stands for best of output. It stands for customer's first.

As we said that we have two distinct businesses which we run. One is the development business, and the second one is the annuity business and we are going to cover both. Our development business has been kind of performing exceedingly well, has been a strong growth driver for the last five years and as we stay internally annuity business is extremely steady and strong compounder where we have significantly invested over the last four to five years.

This gives us, to my mind, it's a uniquely positioned organization where we have got a balance of development business and rental business which gives a balanced portfolio which I think we are one of the few players or maybe the only player, at least in the country, to have such kind of a balanced portfolio, diversified portfolio, supported by hospitality and the services businesses. Past few years, and we will kind of run through numbers, you are already aware of it, has been really really strong for DLF as a Group. And as we go through the slides, we will realize that we have laid an absolutely strong foundation for the next level of growth for DLF. As we say and again repeat, focus always remains on prioritizing customer needs, creating customer value with the customer. You would have heard Aakash say at least four times during the Privana presentation, we look at customer first, we look at customer value creation. Okay. Again, repeating the same thing, customer centricity, compliance, safety, governance, and sustainability. The five key pillars which are of no compromise whatsoever in the way we think, in the way we execute, and the way we operate.

These numbers, which we represent, is to give you a sense of scale and size of DLF as a Group. So, again, we have represented the 100% value of all the entities which we have. So, we have disregarded or rather we have not considered the accounting definition of JVs, etc. So, this is 100% level. So, DLF as a Group had over almost 13,000 crores of revenue and over 7,000 crores

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of EBITDA last year. It's an extremely strong performance and we have been kind of growing steadily rapidly over the last five years or so.

We have been consistently paying dividend for almost 17 years and for the last three years at basis the performance we have actually taken care of shareholder returns in the same way and grown our dividend pay out to the shareholders as well.

Net debt or cash is an absolutely one of the critical points which in almost every discussion comes into play. We have had our focus of reducing our net debt position. From almost 24,000 odd crores, we are at 14,000 odd crores net debt position in the last five years, almost reduction of 9,500 crores. And with a strong operating performance measured in EBITDA in this particular case, our net debt to EBITDA has actually come down approximately ~2.6 levels as of December end.

Not repeat the same two lines of businesses. We will now dwell into

the two businesses separately. We will talk about it on what has been the performance and what possibly our priorities are, the way we think about these two businesses in the future.

Ashok Tyagi: Can I request Devinder Ji and Aakash to come for the development business especially Aakash?

Badal Bagri: Okay. As you are already aware that we have a high-quality land bank available for development.

We will do talk about the quality of land bank and how it's situated. So, we are one of the, I would say, fortunate companies having, possessing land bank accumulated at the right time, maybe, and which is ready for super great monetization possibly in the coming years.

Our focus, as we say, is always customer centricity. I am repeating this time and again because, again, it's very close to heart. But along with it, we do focus on margin as a concept from a realization perspective. Our focus is on margin and cash. These are the two key levers which we continue to focus on in almost every discussion, in almost every aspect of business development when we talk about.

One of the things which we wanted to highlight that whatever we are doing today or whatever we have done yesterday is going to come into our financials only after three, four, five years or so is in conservative accounting policy, our accounting records do not reflect what is being done today. So, we thought we will just reiterate this while I am sure you are aware of it but it's important for us to reiterate this because this does not represent your current strength, the current potential of what is actually happening on the ground if we were to just look at mere financial statements. And hence we thought we would bring this point out specifically. You may be aware but it's always important to reiterate this because this is not comparable. Okay.

In sales booking, I think we have had a good year. We have almost hit 19,000 crores, over 19,000 crores of sales in this financial year. Our launches, as you are already aware, have been well received, whether it is Privana South, Privana West, you got some statistics from Akash, was significantly oversubscribed. We did, if I may use the word, rationalize, we had to kind of

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prioritize whom we want to give, and that's always a good position to be in. We saw exactly the same situation when we launched Dahlias, which is an uber-luxury, super-luxury product and it definitely did exceed our expectation of how the sales looking or how the customer responded to our product. So, we feel confident of what possible we have done. We feel confident of what the products have been and we feel that our performance in sales has been fairly, if I may use the word, stellar in the last 1.5 to 2 years or so.

But as I say, no discussion, at least for us, is complete if we do not talk of margin and cash and hence it was important for me to bring this margins page along with the sales number and we continue to generate healthy margins from whatever sales we are doing. Our growth in margins is higher or faster than our sales numbers.

If I were to look at the same margin number in a very different manner, as on April 20, we had almost 10,000 crores of realized margin which was supposed to be recorded in our financial books of account. As I say, there is a lag in accounting. The same number we generated, we accreted around 25,700 odd crores of margin from sales booking which has been done. We consumed in our financial statement almost 13,000 odd crores. We, as on end of December, we had over 20,000 crores of margin which is yet to be recognized in the P&L which is going to get recognized over the next two, three, four years as and when the projects fructify. So, these are for launch product, sales done 20,000 crores of margin sitting on a balance sheet, of course subject to realization of cash. This strong margin etc. has

resulted in reasonable growth in profit after tax and we have seen a steady growth on it.

CAPEX, here the CAPEX, the way we have defined is land and approval cost. We continue to spend money on approvals and land wherever is required. The land acquisition will be whether to kind of improve contiguity or parcels which can have a creative value to the projects which we are launching. And if there is an attractive parcel which we feel can be extremely value-accretive, we would kind of go out and invest in those property. And I think we stopped by the IREO land which we have taken opposite to Grand Hyatt in Sector 61. So, that's one of the examples where we think that we have had a reasonable investment and it is going to be very, very value accretive to the Group as a whole.

Despite spending money on the CAPEX and approval cost, where the realization is going to happen in the future, we continue to generate operating cash post all expenses, post all CAPEX and approvals. We continue to generate cash for the Group. Hence, as a result, one of the stated goals which we had that we want to reduce our debt, which I covered earlier as well, we became net debt positive last year. And we are almost 4,500 crores net debt positive as we speak as of December end. We continue to be in this path. And again, 9,000 crores of cash of which 7,100 crores is lying in the RERA account itself.

This is an interesting thing, and we saw several cuts. This is the cut which we are presenting but when we looked at this data, we looked at data 15 years, 10 years from the product launch, etc. of various product. The point which being made out here is the return or value accretion to the

customers on the product launched by DLF has had a reasonable return over a longer period of

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time and it is comparable with any other asset class in the country. And as I said, we have taken

this into various cuts , various segments, luxury, super-luxury, 10 years, 15 years, and I think the answer by and large remains the same.

This is a chart which has been shown earlier, which is published of the launch pipeline. We had presented that we will have almost 37 million square feet of projects which will be launched in the medium term, effectively yielding around 114,000 crores of revenue over a period of time as and when sold. 35% of this value 114,000 crores, 35% of value worth projects have already been launched till date. Another 15% worth value will get launched in the coming fiscal year. So, the pipeline which has been talked about 50% value worth of projects will get launched and hence all this is here and now and not something of the future.

Again, we will kind of take this and peel this one by one and kind of go into the next level. Of the 40,000 crores, just one previous page, one point, 40,000 crores of launch product, we have already sold 17,000 crores, so the balance inventory left for us to sell is approximately 25,000 odd crores from the products already launched. This is the number which will be required in this next slide and hence I am just highlighting this point.

If you recall, I had said that 20,000 crores worth of margin has already been locked from sales done of all projects launched. The projects launched with unsold inventory, if you were to sell, just mere execute that, the gross margin potential could be another 17,000 crores. So, the total gross margin which we will be able to generate from projects already launched and will be sold will be almost worth 37,000 crores. So, in a very defensive manner, if I were to say it very differently, if I did nothing else for the next five years, 37,000, if I had just executed what I had and sold what I had, we would generate 37,000 crores of margins.

Then we have also talked about another 77,000 odd crores of pipeline, which is going to be launched over the next x number of years, 3 to

5 years or so. And if you were to kind of take a ballpark number of what kinds of margin potential those have, that could be another 30,000 odd crores. And these are rounded off numbers, directional numbers, and that's the way possibly we should take these numbers. So, overall potential of margin to be created from the projects already launched and will be launched, which are clearly defined in our thought process is at most around 67,000 crores. Okay.

If you were to take this forward, this margin into cash, how does this margin generate cash? And the reason we are harping, because it's very important for us. Again, I am repeating, margin and cash are fundamental parameters or KPIs we should like to monitor. Sales also is important, but these two are more important. We are sitting on 9,000 crores of cash as on December end. We talked about in earlier slide. We have receivables of 30,000 crores. These are all published numbers. There is no new numbers on this. 30,000 crores worth of receivables from sales already done. All the projects which are launched, and we were to complete today, we will end up having 20,000 odd crores of cost.

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So, if we did nothing, just executed our projects and realized what we have sold and the cash in hand, we will be left with 19,000 crores of cash before overheads and expenses. If we were to just add the inventory which we are sitting on of launched project, 25,000 crores. And we realized that money, 24,000 crores is net of brokerage, etc. 24,000 crores is incremental money which we are going to realize.

So, from all the launched project till date, we will generate almost 43,000 crores of cash in the medium term. If we were to take this 43,000 crores cash and now take out all our CAPEX, OPEX, taxes, net of financial income, which could be anywhere between 17,000 to 19,000 crores, a ballpark number over this period of time, our net cash generation, post expenses, etc. could be approximately 25,000 crores from project already launched. On top of it, from our new pipeline in this defined period of time, net of operating cost, we could generate another 24,000 to 26,000 crores of cash depending on when we launch, how we launch, etc., etc. So, with in this period, we are looking at anywhere almost 50,000 crores of cash balance in a way because we started with 9,000 crores in the medium term.

So, again to crudely put, if we did nothing and just sold what we had, 25,000 crores cash balance, if we did well and we kind of kept on track and kind of market supported, it could be as high as 50,000 crores, maybe, God knows, it could be even more. But it's a good foundation, good position to be in, is the point which possibly we wanted to highlight out here on this page. Is that clear? Okay.

It's important to also tell us we talked about the land bank which is there. We have been historically reporting that we have almost 192 million square feet of land of which the development business potential was 169. That's the first column. This is what we have been publishing etc. We have reassessed our potential. basis the revised zoning regulations, policies, taking into consideration TODT, DR regulations, etc., etc., and also assessing what we want to do where we feel that this 169 today on a reassessed basis could be as high as 196 million square

feet. Not as high as, it could be approximately 196 million square feet. Of this 196 million square feet, 23 million square feet is already under development and another 29 million is the potential where possibly in the pipeline we will develop. If we did all of it, by the end of this period, we will still be left with almost 144 million square feet of developable land bank, which to my mind will be good for us to execute in a steady-state basis for another 20 odd years or so. So, we have a fair, fairly potent land bank in prime area, d

evelopable, which will help us in good stead for a good times to come, couple of decades at least we think so.

Again, it's important to kind of give a margin twist to it. And we have kind of broadly qualified that what kind of is the super luxury products area which we have, what is the kind of luxury which we have. But the highlight out here would be that the premium and commercial projects also we are saying could be in the benchmark of around 30% (+/-2%) (+/-3%) here and there, 30% kind of realization or margin, which to my mind also is a fairly good number. Overall, we are aspiring to have a 45% gross margin in the long term from our development business going forward.

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Just to summarize, we have got a great quality of land bank. Our focus on cash is paramount. Even if we did nothing, almost 25,000 crores of cash will be generated. We have almost 37,000 crores of margin potential from already launched inventory, which the new sales booking will be a steady state we are talking about. We are looking at a similar number for at least next fiscal year. And this should help us deliver almost 2x growth of PAT and +2x plus growth in cash over the next, in the medium term, I would say, in almost five years or so.

Debt continues to be of importance. We have already done net debt zero. We have already been net debt positive. We want to reach a gross debt zero benchmark, and which will happen soon. And we will be judicious and cautious on capital allocation, whether it's shareholder return or growth CAPEX. So, in summary, this is what we are looking forward from a development business perspective.

Ashok Tyagi : So, we can open up on Q&A on development business for the questions that come to your mind.

Praveen Choudhary: Hi, this is Praveen Choudhary from Morgan Stanley. My question is about capital allocation. I think Badal convinced us, I think we were earlier convinced, but he's convinced us that you are going to generate a lot of cash. So, the question is, how do you use that cash? And I see one line, disciplined and opportunistic capital allocation. But if it's possible to dig deeper into it, the dividend growth has been good in the last three, four years. But as a percentage of earnings, as a percentage of the stock price, it's very small. Can it be dramatically increased? Is that the focus? And the second one is obviously investing in areas where the returns are very high. And if you can delve into what are those areas potentially can be, considering INR 500 billion that you are going to generate over the next five years. Thank you.

Ashok Tyagi : So, on the capital allocation, to be fair, we have maintained that we want to be broadly, I mean, distributing 50% of the PAT that we generate over the medium term. Right now, we are slightly south of it, but I think in the next couple of years, we should hopefully hit that level. But you are right, we will have cash that will be generated over and above that also which Step 1 is to get

gross debt zero, which will hopefully happen in the relatively short term. B, we will build a cash cushion for sure which would be available to us for any opportunistic acquisitions that come to us and frankly for also generating hopefully a very strong stream of financial income that can also become like a third major stream of income over the years. But obviously the intent stays that as and when we get something very interesting, I like the parcel that we did last year, we would be open to do it. But it can't be completely like a pie in the sky sort of a thing. Chairman?

Rajiv Singh: Yes, I think I agree with Ashok. See, the main point basically here is that, as mentioned earlier, these are projections. Okay? So, we have to be careful that we don't go and spend what we don't have right now. So, when we have that money, then you can ask this question again. Maybe th

e answer will be different. Okay. That's the first point.

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Look, I think the message what we are trying to give is, because this question is raised many times by everybody, frankly it's raised in our own mind also. Are we doing enough? Should we do more? Should we look for certain things? I think the message which I want to kind of give to everybody is, you know, over the last eight decades, we have done a lot. Maybe some mistakes, maybe some good things, we have done a lot.

We now kind of feel that we are at that mature point where really we don't need to do more

unless it makes sense to do more. Our numbers are healthy. Our cash generation will be healthy. Hopefully, customer appreciation will be healthy. Return to shareholders will be healthy. Even after that, we will have an opportunity to re-evaluate the next steps here. Nothing, I think, is off the table.

Right now, we don't have anything on mind because we remain totally focused on what we are doing. We are not compelled to do anything fortunately. But what we are leaving out there is that we will have that kind of firepower available to us to do things within our business or for shareholder return as the case would be. But I think we have a few years to get to that point. The importance of this message here is that our journey is rewarding enough and we need to remain focused on it rather than try to seek new journeys, try to seek new projects, try to seek new pastures. There will be bad days and maybe sometimes it's better on those bad days to sit on the sideline and catch your breath and re-invigorate yourself rather than trying to run in all directions. I am well aware that in our industry many people are aggressive and far more sort of, I would say, optimistic. And fair enough, we were like that too. There is a certain stage of growth and a certain stage of evolution where you need to be like that. Luckily, we have crossed that point. We have got all the buffers already built up. We are not sort of feeling that we need to go down that journey and be in that risk-taking stage at this point of our journey.

Badal Bagri: It's easier for the audience.

Rajiv Singh: And whatever slide, they can just refer to that slide. So, you can put it back on here. You just say what you want to ask and we will put that slide on here.

Parikshit: This is Parikshit from HDFC. So, I think one slide you have shown the returns of different asset classes. So, I just wanted to pick the brain of the DevCo team. So, within your client profile, I mean, we see a very super luxury ticket size of 10 crores and upwards in NCR. So, what percentage of their net worth across the asset classes do you think will be real estate and on a more sustainable basis in NCR on a base of 20,000 crores, which you are sitting right now? So, I asked this question earlier to Rajiv Singh. He was saying he will answer in the Q&A. So, on a sustainable basis, what kind of strategy on the DevCo side do you think that what could be the sustainable growth from here on the pre-sales given that we already are sitting on a very high base and given different asset classes, I understand that most of these people are not funding these homes through debt, so they are buying it on their personal balance sheet. So, what kind of allocation in their personal portfolio real estate be?

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Rajiv Singh: Certain points you are asking are actually outside our limit. So, maybe we will have to ask those questions from guys like you. But I think the message here is that firstly, our pipeline we have defined. That number is 100,000 odd crores plus. We have done almost 20,000 odd crores out of it. It kind of, we have defined the medium term. Sometimes these are not hard and fast numbers, but you need something to go by. We have defined it to

be a five-year period. So, any back-of-the-envelope calculation means you kind of try to continue at the present pace of, say, 20,000 odd crores, a good year slightly better and a bad year slightly less.

What we want to point out to you is we are not really pressed for, looking for ways to sharply increase it. I am not saying that we will not have an opportunity to do so or we won't do so. But the financial reasons to do so are not compelling. So, that is the first reason. So, we will keep our sales levels almost at what we have achieved. And if markets allow us an opportunity after a few years we can consider taking them up, but right now it's just executing the plan which will give us this average.

Coming to the question of the customers and what they have and as I told you, look, we try very hard. I am not saying that we are always successful, but there are three things we want to classify our customers as here. First is a genuine user. We love that guy, whoever that person is okay. And we do believe that that person will buy things in a reasonably prudent manner to the extent his or her income supports it to the extent a financial institution decides to support them by giving them a loan. That assessment of the capability, we leave to the financial institution to make that wise judgment. We kind of try our best not to do multiple bookings here. That is where we feel the risk will multiply.

Second is, there is a person who is an investor. Investors are also always required in the business. They take a chance. They create a rental income. They come in at a reasonable time. They exit at a reasonable time. They are generally well-financed people who, what we wanted to indicate from here, would, as part of a larger portfolio, enjoy returns comparable over time to other asset opportunities they may have here.

The third person is the person we are worried about and we try our best to stay away from, is the speculator. The speculator is the guy we all need to be careful about because that person is the guy who overtrades you, will take advantage of the installment payment schemes which are available and try to make bookings which at the end of the day cannot be funded unless

somebody else is found to take them off his hand. That is the person who will suffer in a poor economic cycle.

So, as a Company, I am not saying we have not had a fair share of speculators. We have seen how it all ends. I think I explained to you at lunch time also that with the project cycles today, the only way to really make big money is to go high rise. And the only thing to go high rise is it takes you 5 to 6 years to actually do a project.

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So, by the time you start a project, and you accept bookings to the time you deliver the project, and collect the rest of your money, world has changed. So, we have to be very, very careful that that so-called speculator through that period will certainly not stay the course.

And there will be a bad time, there will be a good time, that person who speculates with us is not necessarily speculating with us alone, maybe by habit he or she speculates all over the place, they could get in trouble somewhere else, and so on and so forth. In the stock market world, it's like trading on margin futures, it's great till it happens. So, we are cautious on that point.

I don't really think in the part of our portfolio that number is significant. We try to keep it down. And we watch our receivables very, very closely, and very, very carefully. So, keeping that in mind, I think Aakash, and his team do proactively reach out.

And if somebody is experiencing even the slightest of distress, we don't want to be harsh with anybody, we generally don't like to exercise the contractual clauses, but we try to get them a profitable exit. So, we are all the time, I would say, I know Aakash can give me a bet

ter number,

but even in a project which is well sold, in the first couple of years, Aakash, what percentage of people do you manage to kind of trade out by giving them a better option?

Aakash Ohri: So, almost about 25% of the people kind of trade out and kind of get a better option. As we have spoken around Privana and Arbour's time also in the morning, we were subscribed and oversubscribed by about almost 4 x in each of these businesses, launches.

As we are today, as we stand today in about 2 years, Arbour has an upside of almost about INR 8,000 a square foot, which is trading in second markets, and Privana is upwards of INR 4,000.

So, that's the kind of trade up that people are also doing and getting the margins that they're getting today.

Rajiv Singh: So, the message here, which I want to just give, Aakash gave the right number, 25%. See the point is, we can step in and take those, somebody has bought from that person. That person could have been my customer directly. I can choose to step in and go to that customer directly, offer him Arbour 2, Privana 8, or whatever I want to do and get that booking in.

But then I leave that festering 25%, which keeps festering, and over time will become a bad debt or a speculative debt in my thing. We very aggressively, very aggressively first say, before we go and sell, let our customers sell if that is their need or their desire, and very honestly, we go out to facilitate their sale. We do not distinguish, if at all, Aakash prioritizes the sale on behalf of an existing customer, even at the cost of a residual stock leftover in the hand of the Company.

So, it's a constant thing.

As I said, with all the care, as he's mentioned, 25% of customers do tend to trade out as time comes through, some for economic reasons, some for making some other opportunities or making some money. We are conscious of it, and our projections take that into account.

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So, I think, I hope in the industry people remain conscious and don't chase sales bookings. It's a metric which is quite a dangerous metric, because at some point of time, you start kind of looking for new customers and ignoring your old customers, and that is where the problem starts off. So, we are careful that, I am not going to say there'll be no accidents, but overall, I think we are now far more cautious of the health of our receivables.

Mohit Agrawal: Hi, Mohit from IIFL. Sir, while you have shared the pipeline for the next 5 years, in terms of your development pipeline, as a business leader, if you look on the next 5 years, and how do you see the geographical spread of DLF markets? So, right now, it looks like it is predominantly going to be Gurugram – for the next 5 years. After that, do you see long-term vision? Do you have a long-term vision? Sorry, I am just going to repeat.

So, do you see after 5 years, DLF being meaningfully present in markets like, even if I consider NCR to be 3 markets, right now, let's say in Delhi, which may possibly open up with the change in the government, you currently just have 1 project. So, do you see your presence meaningfully increasing in Noida, in Delhi, in Mumbai? So, some thoughts, your long-term vision on that.

Rajiv Singh: Yes. I will be frank with you that, as we mentioned, that even after we have completed our immediate launch pipeline, we have got about 150 -odd million square feet of so-called

development potential left over. Willingly through passage of time, some part of that potential will get enhanced, because something or the other will be bought. Some will also get reduced, something will be sold, but net-net, we believe that that number will remain on slightly on the positive side.

So, look, the important point, which is that we are not compelled to do anything. This geography or our mix of geographies will give us the upside we continue to seek. That said and done, NCR, I can safely say, we will try our best to take advantage of all opportunities. We really don't look at Gurgaon or something, we look at NCR generally as a market.

For various reasons, Delhi had its very tough development environment, which hopefully will ease. And the Noida market, for historical reasons, we were not present. We do look for opportunities to be present. So, NCR will be a good market for us. North India, more around Chandigarh, we will continue to be there. Mumbai, we are dipping our toes in the water. Let's hope the results are encouraging. So, I think these will be principally the markets we will remain focused on.

And our Rental businesses will be more widespread, but I am not really feeling the need to do the development business as of right now in new geographies. I think these geographies will keep us quite busy and actually quite engaged.

Another important point of our Company, it may be considered downside that we are over-focused. I keep hearing and reading sometimes that we are myopic in our vision, we are not diversified, we are not this, we are not that. But I will be very frank with you, that's why we are sitting here, that's our strength. We every day keep thinking about the same damn thing all day

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long. And everything we do has a knock-on effect on the next thing. So, imagine if I go to say Mumbai and I go to Thane, I pick up a 10-15-acre parcel, I build it. I will go there, I will make my money, I will leave from there, nobody will miss me and that's the end of it.

Here what happens is I build my parcel, because of that the kids need a school, I build a school. Because of that the attractiveness goes up, somebody better people come there, offices come there, and so on and so forth. So, this whole cycle, this virtuous cycle we will be able to create, is really the reason why actually we are sitting here.

If you go to Mumbai also, go anywhere else, I will tell you guys, the guys who are creating larger communities, who are remaining deeply invested in those communities, at times looking stupidly so, are the guys who actually are succeeding, and in my opinion, will succeed. I don't want to really quote names, but doesn't matter, I mean I am not saying anything negative about anybody. But, say let's look at Oberoi Realty, they've created that project in Mumbai, remained with that project, continue to create that project, that's his goldmine, that's his name, that's his reputation, that's so on and so forth.

You can do 20 buildings in 20 different locations, but it will never have that impact. So, anybody who has, maybe Lodha is doing it with Palavas, takes a sizable chunk, remains deeply invested, starts thinking 20, 30, 40 years, lives through it, takes the good times, the bad times, stands with the customer, that is where the real reputation comes, that's where the real financial upside comes.

So, I think, don't take it as a negative, I think it's a strong positive, that companies are actually deeply focused in what they're doing, versus kind of spreading their bets all over the place. Ideally, you should have many communities in many places, that's a pipe dream. If we get a chance to do larger communities somewhere else, yes, certainly we will consider it. But small,

small things in random locations, they make money arithmetically, but that's not part of our thinking now.

Mohit Agrawal: And sir just 1 question, we met about 3 years back, we had a similar, and this question was asked then also about you entering the mid-income. So, you had clarified at that time that you look mid-income and affordable separately. I understand affordable may not be your area of interest, but on the mid-income, because there is 1 perception today, that a lot of launches that have happened in Gurgaon have been all INR 5 crores, INR 6 crores, INR 7 crores plus, and there's a real dearth of maybe a segment which cater

s to INR 2 crores, INR 3 crores, INR 4 crores, kind

of a ticket size. So, any thoughts around you kind of trying to plug that gap, if at all that exists?

Rajiv Singh: See the basic point is firstly, your memory is good of 3 years back, I don't remember that much.

But anyway, the fact of the matter is that, we are fortunate that we have got land parcels which allow us to operate in the better the segments. Surely you will not expect us to take those land parcels and underprice them and put something which is inappropriate, okay.

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The real question therefore comes up is, do we have land parcels which are possibly in the

premium segment? I think Badal did indicate we have got premium segments and we have the land parcels, okay . And we remain committed to that business, we enjoy that business. The so -called middle-class customer is actually our bread and butter. The Company has been built by them, hopefully, growing through a growth journey of improving their life and their incomes, and hopefully, buying different properties from us at points of time. That's our business. They also are the backbone of our Office business, because the Office business is predicated on good, strong, salaried talent, educated talent. So, we always take steps to encourage that talent. We have today got a couple of projects, maybe if you do have some time or you want to, anyone, if you want to come back separately, please, you are most welcome to. We have struggled with one point that how do you make something which is affordable for a certain income segment, remains viable for the developer, most importantly, remains operational of a certain quality and safety later on? So, anybody can make a 40 -floor building, but if it's not maintained, the lifts are bad, God help us, we are worried. So, we have done a project recently, it's almost getting delivered now, which is called Garden City Enclave, Devinder has done it. It's a bunch of low -rise houses, 4 floors very, very sort of carefully and consciously planned within a price point which we sold, correct me if, it was INR 1 crores something was the price point? So, INR 1.4 crores to INR 1.5 crores we sold it at, not too far back, about a couple of years back, I would say. Okay, these are units of about 1,600 square feet, but we worked very hard in 1,600 square feet. They get 3 bedrooms, they get car parking, they get all the amenities they need. There'll be a nice little community center, and so on and so forth, etc ., etc. Their quality of life, in my opinion, will be quite nice. Today that unit, again, because it's a nice unit, has escalated in value, maybe today, I don't know what's the number for that unit. So, INR 2.4 crores to INR 2.5 crores , so now we offered at INR 1.5 crores , the market has priced it at INR 2.5 crores , but we are in that segment.

The point on that segment basically being that would we like to repeat that? Would we like to go and buy more land to do it, and so on and so forth? Again, that's where the question comes in is, I think since you talked about 3 years back, I am going to repeat what I said 3 years back. I still say today, our constraint is our ability to successfully execute.

The ecosystem around us of execution, unfortunately, is not keeping pace with the needs of our industry, maybe other industries. And therefore, what we need to be careful about is that while all these dreams are predicated on my ability to turn it around with lower margins, somebody behind me has to back me up to accept my sort of proposition and deliver and construct the product. That is, to be honest with you, a problem today at large scale.

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So, when you are, again, confined to a few good contractors, a few people who follow certain quality and safe practices, then you have to ask yourself a question that where would you like to put those p

eople? Would you like to put them to build your office buildings or would you like to put them to build your certain residential projects, or can you spare them for the so-called tighter and tightly priced projects?

So, this is the problem we are facing. If the construction industry here kind of opens up, that the delivery problems start going away from your mind, possibly companies like us can look at doing this. But right now, you have to keep your fingers crossed. It's a risky player. So, we are in the immediate future going to utilize our lands, what we have. I don't think we will go looking for new opportunities in that sector.

Mohit Agrawal: Thanks.

Puneet Gulati: Hi, this is Puneet here from HSBC. You talked about keeping your sales level to the levels that you've achieved. Should we predicate this to the execution challenges or are there any other thoughts that you'd like to add?

Rajiv Singh: No, I think largely, yes, you are right, execution challenge is something. I think the important point which was mentioned earlier was that we declared a launch pipeline a while back. We are not deviating from the launch pipeline. I think to our opinion, we have tested it that does it satisfy us, does it satisfy our ambitions? The answer is yes.

The odd project could come in. I mean I am not ruling that out. But largely, we feel this is a fair balance of the execution capacities, our own ability to focus, and our comfort level of the kind of customers we are seeking. It may be slightly conservative, I hope so, and maybe a new contractor shows up, maybe a new opportunity shows up. I think in the next 5 years, there will be some changes, hopefully positive, but nothing significant.

Puneet Gulati: So, one should assume that pace of launches would be largely what you delivered in last 1 year, 2 years?

Rajiv Singh: Pace of sales, yes. Pace of launches is lumpy. So, what's going to happen is that, as already mentioned in the 5- year story, we are already kind of 35% in there. We will be another 15% as per our estimations. So, we are going to be slightly, hopefully, God willing, front -ended in our launches. Whether that will result in being front -ended in sales or not, time will tell.

What we have told you right now is be prepared for a flattening of the sales curve. If it gets front-ended, good for everybody. Launches will tend to get a little bit front-ended, 50% being done soon, and hopefully, the balance in the nearer future and not at the end of this period.

Puneet Gulati: Understood. And secondly, real estate as an industry, and your Company also has seen 2 cycles, 14 to 20, and then 20 to 25. Is there something that you think you would like to do differently so that you can insulate yourself from these kinds of cyclical impacts?

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Rajiv Singh: Basically, I think that's why we did the 10- year test, we did the longer test. To be honest with you, it firstly depends on what period you measure what year. But the good news is that over time, and I will say this for real estate in general, certainly specifically for our product which we measured, it stands the test of time. It's not something that people go and say, oh, I doubled my money. That's good news for a week or 2 weeks. It's also not that I've lost all my money. So, if you prudently invest, you are as good or as bad, depending on the time of the day and the month, in terms of any other asset class you invest in.

So, real estate, we believe, should be something which should give you safety, should give you comfort. But unlike many other asset classes, it gives you 1 big advantage, and that's what we hope the DLF difference is. Hopefully, you tend to enjoy your investment.

You can live there, you can enjoy it, your family can enjoy it. At the same time, your money is safe and growing. So, that is what I think is the proposition we would like to give.

That period

of time you mentioned, what happens in period of time was, it was a period of excesses. And excesses only get removed by extreme pain. China is going through it as we speak today. This is the first time, I think, where India has been ahead of China. We have been through what they are going through now. It's just when people get carried away, things come down to earth.

If you ask me, I don't think it's an industry problem. It's not a demand problem. Somebody else asked me earlier, cycles and this. It's not a cycle. The consumer was ready to buy. Consumer was scared to buy. Consumer felt that if I go out and give money to anybody, in certain cases, including DLF. My money has gone down the tube. The customer confidence was completely destroyed. Very well known, very established name, which I will be honest with you, even I recommended to many people. I knew them personally and I said, yes, please go ahead. They're good guys. Time proved otherwise.

So, that is why I feel that it was a problem caused by the industry of its own making. If you are intent on scoring self-goals every 5 to 10 years, I can't say. But otherwise, the consumer demand was only sort of staggered.

And therefore, it came back a bit stronger when the industry, post RERA became a little safer place to be. Like everything else, there will be periods of exuberance, followed by some periods of correction. I don't really think we are going to go through that deep a correction, because people have got a bit wiser now.

Puneet Gulati: Understood. Anything you'd like to do differently in the next 3, 4 years versus what you did specifically in the last 3 years?

Rajiv Singh: No. I think the message what we want to give through this presentation, boring as it may be, is we actually want to remain intensely focused on our netting. We actually, you know kind of, we

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all spend half the day keep thinking about what else different can I do, and we are wasting our time.

Okay, I think we spend that time just doing what we should be doing, we will be much better off. So, this industry doesn't have, I was recently in Dubai, there's nothing pathbreaking out there. There's no product I can say, oh my god, no, it's not that. Some nice things are there, I appreciate them, but that's about it. So, it's just doing what we have to set out to do. Innovation levels are lower.

Really what we have brought as DLF to the table, which I think has been well appreciated by my customers, by hopefully the industry, I do also believe even global players have taken notice, is not too much of a change on the hardware, but an intense focus on the software, whether it's

customer focus during the process or the post sales living experience. And I think that's where we are really seeing the monies we are seeing, the profits we are seeing, the price premiums we are seeing.

I really don't think we can really say it's because my concrete is better than his or my this thing.

It's just that people enjoy living in our communities, because of the soft services, our commitment towards them, and the prestige that has given them.

So, today there is some prestige to being part of living in building A or B or developer A or C.

And that comes from the community and the way we run it. So, we will spend more time on the

software services and keep working hard to improve them more and more and more, sometimes even at a cost attributable to us. But that's something which we feel is going to be the difference, not really the hardware. So, if you want to ask me what we are going to change in the next 3, 4 years, just do more and more for the consumers living or going to be living with us.

Puneet Gulati: Thankyou.

Aakash Ohri: Also, if I may just add sir, to what your point is, so what I've seen over the last 4 years, residential real estate post COVID has become a priority. And I am seeing the younger generation in

my

bus, I was addressing some of you, earlier the average age of purchase was about 38. Right now that has come drastically down to about, it's between 28 to 30. This is the new set of Indians or the new set of people who are coming into buying residential real estate. So, the base has increased.

So, the cyclical nature that you are talking about, obviously your Chairman clarified regulation stronger this. But I think what I am seeing over the last 4 years is the residential real estate has become a priority to own bigger, better, and that's what people are aspiring to do. And the younger generation is now more rent. A priority is for even for them is to change I am saying.

Kunal Lakhan: Hi, this is Kunal from CLSA. Sir, just wanted to clarify, you said that you are going to be focusing more on the execution and sales are expected to remain steady at these levels. Do you

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think is it because the industry may take a breather after a sharp run up in the last few years?

And also parallelly, like what are your view on the prices across micro markets of Gurgaon?

Rajiv Singh: No, look, I don't think we are taking a breather, or we are doing anything else. As I am saying it, our cash flow is going to come in sooner. But I want to qualify it. I think Badal put up that slide. He's brutally honest. But the hard fact, which I think all of you must realize is, and that's a question I think you guys may ask us one day, hopefully not today, but one day.

All the money which goes in, goes into the RERA account. So, today the cash flow just goes into RERA account. I can throw my weight around and say it's mine, but actually it's not. So, unless you don't execute and don't deliver, you don't get the cash flow. But yes, we will start banking the cash flow, number 1. Our profits will actually get recognized with a lag. So, you know, we have done the sales booking. Great. We have started the project wonderful. But the journey is not over.

So, that is what I would say that why do we look at our industry as something different than any other industry you guys cover or your colleagues cover? You make a cement factory. The day you go and lay the foundation stone and award the contract and do a little bit of digging, do you immediately start thinking about where would we put the second cement factory? This cement factory is done, let us find the second cement factory. So, whoever does this will die. So, simple fact thing is the journey has to be completed. The sales bookings and all these are just the start of the journey.

And I think that is what I want to just say that it may look like we are actually coasting, but actually the hard work has just begun. And, we want to finish that hard work. If we have time available, certainly we will take on newer adventures.

So, that's what I just want to say, that profits are yet to be realized, profits are yet to be accounted and booked. Cash flow is being realized, but cash flow is yet to be freed up. And, we are on our way, but by no means would I like to say the journey is over, and therefore we start thinking about what's next. That's my answer to your question.

Kunal Lakhan: And on the prices, sir?

Rajiv Singh: Look, prices, we are enjoying good pricing. I think it is respectable pricing. What this product slide we had shown you should tell you that, there was a period where prices had got depressed because of the uncertainty conditions around the industry, as I mentioned. They came back stronger, but over time they leveled out at a low teens type of price delta, maybe 10%, 15%. So, if the price points remain somewhere as a growth rate of, say, 10%, 12% generally, I think the industry is safe and we are comfortable and our margins will continue growing.

Rapid price increases beyond this point would be a little uncomfortable, somewhat unnecessary. Any price increases which start stagnating a

iso would be a cause for worry in the case of inflation. So, far, so good. So, we are feeling that all the new launches which we shall be doing

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will reflect reasonable price increase and appreciation, but nothing untoward, at least from our end, we won't be pushed to change pricing drastically.

Kunal Lakhan: Sure. And my second question was on incrementally our strategy, right, what we have seen in Dahlias is that we sold certain significant amount, then we took a pause and now we will restart the sales sometime in future. For your incremental launches, especially in Privana and subsequent phases or even Sector 63, would we adopt a strategy, what we have been doing in the last few years, where we will sell out if the demand is there, or would we take calibrated pricing hikes, and do calibrated sales based on those pricing hikes? Is there some strategic change there?

Rajiv Singh: No, there is no strategic change. I think it depends how you look at issues. If I had 1 product, I had 1 project, and I had 5 or 7 years ahead of me, I would certainly sort of make sure that I sell x% at time of start, 15%, 20%, then I will sell another 10%, 15% when I start construction, and so on and so forth. I will play the cycle. I will try to get maximize my realization. I will time it to the need of my money, and I will earn my money, hopefully, intelligently, and smartly over, say 5 years. The difference what I want to point out to you guys is it's not a particular project. It's a type of segment we operate in.

So, when we look at Privana, we don't look at Privana West, South. So, if somebody says, Privana is all sold out, the answer is no. Okay. Part of Privana is all sold out, but in totality, Privana is yet to be fully sold out. So, what we are really looking at are these are all incremental blocks in the larger story. The larger story for us remains not Privana West or South, but remains Privana. So, we know that we are intelligently mining Privana.

Our price in South to West has changed. God willing, price from West to something else will change. And over time, we will keep improving the product. We will keep adding value to it. And therefore, when you sit back and say, did Privana get sold in a period of time and in batches, the answer will be yes. And did you collect your due share of upside each time you went out to market? Answer, again, hopefully, will be yes.

So, that is the difference, which I want to say that we look at something in larger chunks, just that offering itself 100% sold out is, because that offering is a part of the larger chunk. If I had nothing else to do, I would not go out and sell more. Dahlias, why we have kind of slightly sort of pausing for breath is because touch wood, the response was more enthusiastic than we expected.

So, we just kind of, we don't want to pump that pipeline too much. So, we just kind of saying maybe we want a little bit ahead of ourselves. Let's just try to get some healthy balance. So, that's why we have kind of eased up a bit. But the intent is to sell Dahlias also at the right point, at the right time, in a manner which is as soon as practically possible.

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Kunal Lakhan: Sure. And my last question was on if you go back to that slide on the potential development of land, almost 85 million square feet is in the premium segment category. And when you try to tie that up with say the asset class wise returns that you have given, right, a premium segment for DLF projects has actually given the least price CAGR in the last 10 years.

So, how should we look at monetization of this 85 million square feet, like in terms of timelines, would you strategically push it further out, so that you know that 85 million square feet or that becomes more mature to launch it as luxury? How should we how should we look at the timeline of this 85 million square

feet?

Rajiv Singh: Very good question. I think the message, 2 points we want to tell you. Firstly, I think the point is that a revaluation of the TOD /TDR potential has resulted in significant delta and increase of almost 40 -50 million square feet, even after accounting for prudence in certain areas. When I kind of put that into perspective, what I want to say is in the whole last decade's development potential which was there it has kind of comeback by change in entitlement and norms. So, in a good way, I am back to square one.

The second side is that yes, today we have accurately reflected that this is what it can fetch as it stands today. But the journey will continue. And our fond hope is that portions of this 85 do tend to become the Luxury segments, and maybe 1 or 2 of the Luxury segments becomes the Ultra Luxury segments. I think I was given an example earlier in the day, Privana, which you all have seen today. Till 4, 5 years back, we were sort of excited about, and I will tell you a real-time case, so we were actually looking at Privana to become a plotted colony, and launch it as a plotted colony.

We had got all the approvals, everything was done. In fact, some development also we had done, and all that, it was done. This is not too far back, I think must be, Devinder can correct me, 8, 9 years ago, not too far back, as a plotted colony.

That time our realization on this land as a plotted colony would have been net of costs incurred, etc, would have been maybe INR 7 crores, INR 8 crores, INR 9 crores would have been considered a home run, extremely excited.

Markets after that changed, it started going down, we felt the need to be on this, we will have to do some construction to hold it, to create the habitation. So, we actually went ahead and made a building, we made a model, not sort of small model, life-size model, and actually said, what will

it require to build something nice where people will buy, will get our margins, etc. And I will tell you, this is how life is interesting, a foolish thing, but we wanted the rear gardens of those units to be contiguous, so people can enjoy not little -little lawns, but sort of nice paths to walk around and enjoy and all that. The laws at that time did not permit it. We tried our best; we could not get permission for them to remove those boundary walls legally.

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And therefore, we were so convinced that that was not going to be a good product from customer living point of view, we abandoned that idea and abandoned that project. So, about 5 years back, we were kind of slightly despondent, in Privana whether we will make INR 10 crores or they could have not, God knows because our thoughts were not working out, regulations were not allowing us, fast forward till today. That number has gone up by 10 times. Now, what was therefore in the lower parts of the premium category now is possibly in the mid parts of the luxury category. So that is the matter of luck, matter of right timing, matter of right product and therefore long story short, part of the 85 will certainly go through a upsizing experience. We have also mentioned in the slides, which you will see more closely, written in small print, but when you see it is some part of this will also not work out. I am not going to say everything works out. Some part will also be outright disposed of if kind of mentioned that 5%- 10% of our land inventory will, after careful evaluation, will not meet the bill. So we do hope 5%-10% will get sold out, 20%-30% will get up skilled and the balance also to be honest, 30% is the number given plus, 30%-40% is, today we are all now flying a little bit high. It is not a bad number at all. And I do believe that a few million square feet a year of this type of potential in towns like Chandigarh, in certain other areas will continue and the company will continue to profit from it. So I am not

really worried about a 30% plus number. I don't think it represents anything which is something which the company should not be aggressively pursuing, but I know it is going to go up overtime because of all the efforts we will put in here.

Rahul Jain: Sir, this is Rahul Jain from Elara Capital. Sir, just one thing on the Gurgaon market, over the last 3 years, what we have seen, some new entrances in the market, few channel partners turning developers, are there any practices in your observation that you are seeing would be concerning or raising red flags?

Rajiv Singh: See, I don't want to comment on anybody else. I am not very familiar but look everybody has to try very hard. It is a natural evolution cycle. Sometimes land buyers become developers, sometime contractors become developers, sometime brokers become developers, and sometime developers become bankrupt. Yes, this goes on in our cycle so this is part of life let them do that, though I think they are doing the right thing. They bring energy to the business. I will be frank with you. Sometimes they may be dreaming a lot, but that dreams are required, so I welcome those guys. I don't want to take names, but I am familiar with a few of them which you are talking about. I wish them well. If they can put it together, the industry always needs some new blood coming in and if they can bring it and become good quality developers more than happy. They have been with us some of them for a while. Hopefully they have learned from our experiences, and they won't do some foolish things and deliver to the customer and keep the customer commitment higher. So that is all I can say. It is a welcome step. I am not going to say anything negative about it.

Rahul Jain: Thank you, sir.

Pritesh: Hi, Pritesh here from Axis Capital. Just couple of questions. So first on the bandwidth part. You know Last 3 years we have seen one major launch or last year we had two major launches. That's how we want to optimally utilize our bandwidth or there is a scope for doing 3 to 4 launches in DLF Limited
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a year. I am not saying couple of launches in Privana together in one year, but we have now good land parcels identified in the city, which we can go for launch, 61 is there. So, you know will there be a time in next couple of years where we will see 3 to 4 launches in a year or we are happy to do 1 to 2 major launch and optimally utilize our bandwidth that way?

Rajiv Singh: I think at some stage we will move on to the next part of the presentation also which is our RentCo business. I think you will see that we are quite active in that area also. So as far as I am concerned, the launches are more than 2 to 3 because we are also starting and initiating significant size rental projects. So, as a company, we are geared up to do certainly 4 or 5 of them. It just so happens right now fortunately, both parts of our business are equally attractive and consuming equal bandwidth, but if tomorrow it comes down that we have to do 3 or 4 launches in the residential sector. I think you will see that happening anywhere next year in my opinion, because some approvals have kind of seem to have got bunched off and delayed. I hope they

come through soon. So, I think that the number of 2- 3 low level, I think 4 or 5 big and small will take place in the development business itself and 2 to 3 starts in the so-called commercial business. We are geared up for that much here.

Pritesh: And second on the Delhi part which you highlighted, So what kind of opportunity we might look at because whatever we have heard till now, opportunities are there, but largely on the mid income side of far out Delhi, so anything on the premium luxury which are our forte, which we can look at?

Rajiv Singh: Look, for Delhi, my main point is that all the land of any significance in better locations belongs to the government. So the government has

to do two things. It has to first loosen this policy and make the development business attractive and then secondly has to make sure that the land is offered to it. It is almost impossible in Delhi for somebody to go out and get large parcels of land, etc. Most of the factories in Delhi were closed a while back, those lands did get sold around, but there will be those kind of opportunities, but they won't be in central Delhi, but peripheral parts of Delhi like where we have a capital project etc., I think more opportunities will come up. That area will start transforming itself. So that is where I think the action will lie. Central Delhi, per se, will be a few, but bulk of the action I think will be around the industrial areas and some areas which hopefully the government brings to the market by some disposal process, whatever they consider fair and appropriate. Outskirts in Delhi it is there but outskirts the infrastructure everything else will take some time. So yes, you are right, it will remain a little bit challenging for the immediate near term.

Pritesh: Sure. Thank you. That's all my questions.

Rajiv Singh: Should we move on to the next part of the presentation, if it is okay and then you we can give you still a chance to recap at the very end of it if something remains or if the last question or something, please feel free.

Badal Bagri: We move to the second block, which we have talked about, which is the annuity business. The way we define annuity business, Sriram. Again, we have almost 44 million square feet of DLF Limited
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operation area, almost 39 plus in office space and close to 3.5 on retail. It is a good mix. We have a large portion in Chennai. We have a reasonable size in Gurgaon. We have got portions in Hyderabad, so it is a kind of reasonably well spread out. Like you talked about developed business, we have an extremely strategically located land bank. We have created large and scalable integrated facilities, which is world class and fairly consumer centric, I would say. So that has been our forte and strength. We have had a steady compounding business over the last 5-6 years, whether it is rents or profits, and we will see some numbers out there and we seem to be aggressively investing for growth in for future as well. So if you look at some references, key numbers, again, just to define, if I were to look at annuity business, rental business is office and retail. Then, we have a hospitality business where we run a few hotels, various clubs and then you also have our services business which is very complementary to both DevCo and RentCo businesses. Look at the overall revenue, which is rental plus services and the hospitality business, it is a INR 7,000 crore business for us of which rental portion for the last year will be almost INR 4,600 crores. We have also given for reference what is the split between DCCDL and DLF, but for us, I think the more relevance is you look at the INR 7,000 crore number as an overall bucket rather where it is getting accounted for. This has delivered, the revenue growth has been single low double digit and it has an extremely healthy over 20% PAT return over the last 5 years or so.

We continuously invest in CAPEX. There are several projects. We visited one of them called Downtown in the morning. We talked about Hines, which was right across the road. We have got one coming out in Chennai. Many of them are in advanced stages and we will get kind of commercially operational if I would say rental yielding in the next financial year itself.

Cash again continues to be our focus area whichever business we consider and this business also generates reasonably healthy cash flows consistently year-over-year. Net debt to EBITDA, we have got almost INR 18,000 odd crores of debt in this businesses, all put together, whether it is Hines and DCCDL. However, our financial performance has been reasonable

very good, very very

steady across the years and our net debt to EBITDA ratio is approximately 3.6 as on December end which to my mind is well benchmarked and we are fairly comfortable with this number.

To give a sense, we talked about 39 odd million square feet of office portfolio. We are looking at adding another 21 million square feet for projects which are already under pipeline or planned for. This portfolio itself will become 60 million square feet and we will see a fairly sharper growth in the retail portfolio as well from another 4 million, we look at almost tripling this number to almost 12 million over the next 5 years or so. These are the list of the project whereby

we say almost 8 million is already under execution and several of them is in the last stages which is going to get delivered in the next year itself.

Overall, if I were to look at this 5 year and all our projects kind of come out on time, we are looking at almost INR 10,000 crores of rental revenue by FY30 plus minus 6 months, 1 year ,

whatever, but we are looking at doubling our portfolio of rental business in the next 5 years with the projects which are there in the pipeline. As we say, we continue to invest -to-order in order

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to make this portfolio viable, we will have to invest in CAPEX. We are looking at almost investing INR 20,000 crores, INR 12,000 crores in the DCCDL portfolio and INR 8,000 crores across rental and hospitality business in the DLF portfolio as well, so INR 20,000 odd crores ballpark number over the next 5 years for identified projects.

In terms of operational portfolio, we have talked about 44 million square feet. This will lend the balanced portfolio after having completed the projects which are in pipeline or which have been

kind of already kind of defined in our mind. We will still have almost 60 plus million square feet available for future development, so my existing base end of 5 years could be approximately 73 million and another 62 odd million square feet available for future development and hence we have enough and more in terms of land bank and opportunity to continue to grow this business even going forward.

Commitment to sustainability, I think Sriram articulated this very , very, well in the morning and I don't think so I will come even close to what to the way he kind of passionately articulated it.

So, I will skip this page. This is glimpses of the projects which possibly are under construction and are going to get launched almost Downtown is what we saw in the morning, Downtown Chennai, the next building is going to be launched sometime in the next quarter, not launched.

It is going to get operational in Quarter 1 and we have Atrium Place which is three of the four buildings are almost ready for occupation in the next 3 to 4 months or so and the fourth building by end of this year.

One thing which I missed talking about is our occupancy level. We are at almost 93% on a weighted average basis across retail and office. Our office portfolio is at short 93% and if I were to exclude the SEZ portfolio, it would be almost close to 97%. Retail is healthy at 98%. All our

new projects are almost 95% pre -leased. So I think we are a reasonable place for all the new projects which are going to come for occupation.

Key takeaways, we have 44 million square feet available. We are going to add, it is going to go up to 70 million square feet in the near term. We continue to focus on cash. Our CAPEX will be almost INR 20,000 crores in the next 5 years. So yielding INR 10,000 crore rental return, rental number by FY30.

Another aspect is the net debt to EBITDA. We continue to look at almost the net ratio of 3 of net debt to EBITDA as a steady state and that is what we kind of aspire to be at this point of time. So , we can actually take questions. If the question on RentCo business, you can take it right now.

Puneet: Yes, hi, th

is is Puneet from HSBC. So in the RentCo business on slide 39, for example, we saw Cyber City as a potential of 28 and you have built 15.5. Is there a risk that there could be disruption in the existing business as you unlock this potential by tearing down some older buildings to build new ones, should one think of it that way or is there land available on which you can build just new high rises?

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Rajiv Singh: I think, look, there is none of this takes into account tearing down anything. That is not there.

This is all well planned for, and the land is available for it. What I think the message which I wanted to give to everybody here was that DevCo is very big, growing, exciting, but there is a

huge development potential sitting in our RentCo itself. That is our benchmark to many other rental players. The delta in today is that most REITs or most of other things have 80%- 90% of their portfolios, even by law in some cases unfortunately to be mature and about 10%-15% to be developable. In our case, the important thing is crazy as it sounds, we are about 33% mature and about 67% yet to be matured. So the growth outlook even in a steady business like our rental business is actually enormous and that's the message I think we want to do. Frankly, when we started doing these numbers very carefully, we also saw them four or five times because they were a bit startling and that is the real message that to your question earlier also that as much as

the development business offers us lots of opportunities, so does the rental business . And between embedded rental growth because of the quality of assets and time, the new additions will keep this business growing at a pretty strong clip. And as we are estimating, certainly the

rentals would definitely hopefully, let us say, double in a shorter period of time and that kind of pace can be continued. Large portion of this land have been kind of, what large means the land has been paid for. So hopefully the addition to the bottom-line in cash and in terms of profits will be proportionately larger. This by itself is a very exciting business. The development business is sort of adds much more to it. So this is why we today actually took the opportunity to present our businesses in two different ways in which we look at it and that is a deviation in a quarterly meeting, unfortunately we are so high bound by so many things, time included and dos and don'ts that you really can't get beyond just updating numbers. This time, I think the message we want to give you is we have taken some liberties to present the data, not as strictly as accountants would want it, but as businessmen would like to see it as investors hopefully would like to see it. And the important thing is that we have got two strong complementary businesses both demanding our time, both giving back a fair degree of return. Collectively, between the two, I think we see good things happening and that is why when somebody asked me questions on development business, I want to kind of measure it with this that both sides are keeping us busy for now and hopefully this trend will continue.

Puneet: And between the two, which one do you think gives you better return on your capital and time and how do you allocate capital between the two?

Rajiv Singh: It will depend on time of day. By 8 o'clock in the morning, RentCo looks good, by 12 in the afternoon DevCo looks good. So yes, they are the two sides of the same coin. It is like you guys all in the financial business you get happy when you sell a stock and book the profit, you get all the more happy when you hold the share see the valuation of that after 10 years. So it all depends on what drives you and what measurement you want to adopt for that discussion. So I can justify either one of the two. So can you. I think collectively it is a very nice mix to have that development gives you the chance

to generate the cash to actually fund the CAPEXs for this one and then overtime this will give you the cash to go back and fund for the development. Most important is we can create the communities part of the Gurgaon story, part of other stories as wherever employment generation is taking place, residential business will do well and wherever residential business does well, retail will do well. So this is going to be there and Gurgaon, DLF Limited

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questions keep getting asked, but the quantum of employment generation and quality employment generation which is taking place, God willing, is quite high and that is how the demand for apartments and other services is taking place. So both things are very strong and this has its own sort of a path and therefore as I said, one time I had mentioned earlier last time, maybe 3 years back, I will look at about 10 million square feet as being our kind of steady state number from a comfort capacity happiness point of view. I think between the two businesses; we are nudging ahead of that number. Now, we are happy to do so. But this itself is a 4-5 million square feet per year delivery kind of thing, so that energy could have been devoted to DevCo if this opportunity wasn't there between the two. It is a very good opportunity, and a lot of this land gives us reasonably good paybacks.

Puneet: And do you worry that this 4-5 million square feet that gets delivered, the city has the potential to absorb it over a foreseeable period of time or would others have to vacate to fill up in your place?

Rajiv Singh: Vacate, that is true, some people will have to vacate. Hopefully, they vacate for better times and better things. Some people will also move on. So that is the way things are. But so far I think we are cautious that as Badal mentioned that we do watch our pre-leasing very carefully. So far the output is backed up by good pre-leasing commitments and hopefully that will continue. If it doesn't, I will be honest with you, we will slow down. So this projection which we are giving you is based on a comfort factor that these things will tend to happen. Beyond that what pace will be adopted will depend on various factors, but I think this overall pace should be maintained.

Puneet: Okay! Thankyou.

Parikshit: Sir, this is Parikshit from HDFC. So just on the CAPEX, you have highlighted INR 20,000 crores of CAPEX will give you incremental rental of about INR 5,000 crores, so which is a 25% yield to cost. So is it the right number, I mean it looks to be very high?

Rajiv Singh: What looks very high? CAPEX or yield?

Parikshit: Yield to CAPEX of 25%?

Rajiv Singh: So I think to be honest with you, I think this is a run rate. The actual numbers on a steady state basis will be slightly better. So we are, those benchmarks are what we start with, but hopefully we will be slightly better in terms of return to cost, but remember in our case, we are fortunate right now to ignore land. So if you ignore land on construction, we certainly feel that money we spend, we should get back hopefully in 3 years, in some cases it becomes 4 years, yes.

Parikshit: Second question, I think morning we are discussing Mr. Khattar. So he said that the concentration of the clients, now I think the tower 7, there were about 4 clients and looking to lease about 1.2 million. So one is the concentration risk seems to be increasing. Then, we have this 40% coming from US and then Europe, about 40 and then balance India and then the trade

war going on all around. So do you think that there was a period when there was a pent-up
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demand which is now getting absorbed and then there will be again a pause and the way the trade war pans out, so there could be a significant slowdown hitting in and with high concentration if some of these clients move out then again we look at a very kind of a model

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which was earlier more stable where we have more diversified plants and then we have built a concentration and then this thing comes out. So that could bring in a big disruption?

Rajiv Singh: No. The first point, I don't think we are out to select clients, okay. So we take all clients as they come. We welcome small guys, we welcome big guys. If it just turns out to be 4 of them, great, if it turns out to be 12 of them, wonderful, we are not doing anything here. Our only focus slightly is that we don't want to overexpose ourselves to the shared office space industry, so we are going to keep that number little bit in mind, but beyond that as long as we are dealing with corporates, corporates who also would be significantly investing, interesting data now, I will tell you I was visiting some of our clients other day. Their spend on their office interiors is actually slightly more than my spend on the building here, slightly much more. So are they deeply invested or am I deeply invested is the question mark. So if some disaster takes place, nobody can say anything about it. But otherwise I think it looks good and we are catering to all kind of clients, big or small, and it is just that many of our smaller clients have become big. Today, I don't think anybody is kind of running away from anything. I don't think this is pent-up demand. In fact if you want a statement from me, I think demand is accelerating and not kind of catch this thing. And last but not the least is that look at the end of the day, any question, any one of you may have, we have the same question. What if this doesn't happen? What if that happens? What if this happens? What if that happens? The answer, simply put, is have the financial strength to see through that period. You could do nothing about it, okay. What will happen tomorrow? I can't change. Neither can you, okay, but we must be able to be around day after. So the fact is that is why a prudent financial policy will just put you in the worst case situation to a period of enforced rest. That is about it. So some building may live empty and vacant for a year, year and a half, two years. If it is not killing you because your balance sheet can take it, that is about the worst that can happen. My colleagues and competitors may not have that luxury. So finally, who will remain standing? Time will tell, so I am quite comfortable with the way things are going right now. The pace is good and we also feel that retail as a sector in India still has fair exploitation potential and anything in offices will more than get made-up by number one is retail and I think the Indian office scenario also should not be ignored. If the economy comes to anything, what everybody talks about, we will start needing our own GCC's or our own offices, number two. And thirdly, I think I will say the most important thing to all of you guys is, you know, for us, we have identified this is DevCo and this is RentCo. That is our view. That is our thought on what we feel is the optimum utilization of space today. It is not mandated by anybody. We are very careful that we do not indulge in some things which are only this or that. We also are very careful that we don't go in locations where if somebody doesn't go and open up a pharmaceutical in that place, you are doomed because nothing else can happen. No, we don't do that. So worse comes to worst one fine day. Worst comes to worst will be that you convert them to residential opportunities. It may happen sometime. Markets may take a turn for this thing. If it so happens we are okay with it. So that is why I am trying to say that all our lands below our office or retail buildings are quality lands capable of any use, so we have thought about the downsides quite a bit. To be conservative, but I don't think such pessimism is really necessary as of now.

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Parikshit: Just on the flex, last question on

the flex piece. So do we have a flex strategy and or we will directly look at like dealing the larger clients directly and maybe a managed office player who will be there leasing out from us and then doing more retail kind of leasing for us indirectly. So we won't have that exposure. So what is your view on the first of all the managed office industry and whether you will have a flex strategy of your own or you will like. So what will be the future of the flex within your leasing portfolio?

Rajiv Singh: Two-three things I will say, may not be in any particular sequence. Firstly, the good news is we are semi in the managed office businesses because we are not just making a building and walking away. Luckily for us, in all our buildings, we have sufficient amount of management presence. We manage them actively, we amortize them a lot. We make sure that the customer, lot of the stuff which he or she may have had to do on their own we are anyway doing it for them even before the flex industry came

around. We had full-fledged maintenance services, we had lots of backups, so that person didn't have that much to do beyond their four walls. So we continue doing that. As I said, we have enhanced our soft services offerings. Hopefully when you guys come back next time in Downtown, you will see very vibrant sort of social amenities and health amenities etc. We have reinvested and right now established a brand. The test samples have been successful. Now, we are going to grow it aggressively called thrive where we feel we will be able to provide a very good wellness option to our customers. Our point is to give it to people who otherwise may not be able to afford that quality. We are determined to give it to them so that they enjoy coming to our buildings, etc. So from that particular point of view, we are actually semi-office managers, but we will not cross that line. We look at the managed space providers as our partners and sort of serve a purpose of providing flexibility and new tenant introduction into our portfolios. Their business model is slightly more fluid, slightly more short-term, and the capitalizations of some of them are slightly lesser than some of these established multinationals. So you will expect that will be slightly more prudent in exposures which we do sort of watch. So that while we manage the overall managed portfolio in our number is controlled and individually also it is controlled that said and done, I think it is a very healthy collaboration and they are actually bringing a lot of value to us. Hopefully, we are also bringing it to them.

Kunal: Hi, this is Kunal from CLSA again. So just you said earlier, you talked about the limitations for REITs to grow and at the same time you spoke about our aspirations of scaling our rental portfolio. So should we just rule out any prospects of REIT in the mid-term or even in the long-term, of DCCDL?

Rajiv Singh: We cannot rule out anything, but definitely for sure in the short run it is not part of our agenda, number one. The way the REIT is structured, it is an instrument which is good, but as I said, it distributes income efficiently to its unit holders, but every time you want to grow it, you have one of two choices. You go and buy something or you have to go and build something. In both cases, you need to go back to your unit holders for capital all over again. So it is a great thing for the finance industry to be in because they get fees all the time from raising capital and the loans and various things. I hope we can stay out of that issue, but like everything else, sometimes, you want to try different things. We may have REIT here or there just to test the waters, but I don't think it is going to be part of our strategy as we speak today. Government regulations can

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change, it may become far more attractive. Certainly, we will look at it as and when such situation

arises here.

Kunal: Sure. Rajiv Singh Sir, my second question was a little more conceptual, 7-8 years back we promoters sold stake in DCCDL and brought in the much needed capital in DLF and it helped us spare down the debt significantly. Today, our situation is very different that today the debt is not an issue. We have significant cash flows like you talked about, like INR 50,000 crores of surplus that we will make right? Would we consider buying out GIC stake at any point in time and or more so sooner than later because like you said that 66% of value creation in that portfolio is yet to happen and no better way to create value than develop the portfolio. So would you consider at some point in time?

Rajiv Singh: Yes, two points I want to mention to you, maybe I think our slides are not showing that correctly. So we need to be careful with that. The value creation in the DCCDL portfolio is not 67%. It is slightly lesser. The rest of it will be now in the DLF portfolio. That is said and done. Look, I am not in sort of push to consider anything to do with GIC in buying out or this or that, no. Our understanding is very clear that if and when they wish to seek options of liquidity, we shall do our best to provide the same to them. It could be through listing. It could be through anything of that particular portfolio. I was with them recently and I don't see anything at the present moment where at their end, anything of that kind is there. So that it is a good partnership. I always want to say that times change. Today, we can sit and talk big things, hopefully we continue to talk big things, but I appreciate anybody who came through at times when they needed to come through. So from our side, we will always respect them and welcome them and make sure that they stay with us as long and as profitable as is practically possible. But the day they want to kind of move on or in cash, certainly we will respect that judgment. I am not going to initiate it. If you want that answer from me, the answer is that.

Kunal: Sure. Thank you so much.

Parvez: Hello. This is Parvez from Nuvama. So my question is regarding your geographical spread. As the development potential shows, we have large development potential in NCR, which obviously has the benefit of probably being the only economic center in North India. Have we, in the past or let's say in future, will we consider moving out in newer geographies where we are not present today?

Rajiv Singh: Are you talking about for the rental business?

Parvez: Yes, for the rental business.

Rajiv Singh: Rental business, we are anyway in Chennai in a reasonable way, Hyderabad in a semi reasonable way. Hyderabad has grown greatly so maybe today we are not that reasonable anymore, but we are there. Bangalore, we are not there. Mumbai, we are not there. These are obvious markets for opportunity. But all I am going to say is that today when markets are hot, sometimes the opportunity is not there. Markets too tend to cool. But yes, I think the rental business will

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certainly seek geographies where our clients wish to be. So while development business, we will have an option to remain hopefully focused. But in rental business, we may follow our clients. But that time and a good opportunity will tell you.

Parvez: The second part of the question is obviously in Gurgaon we have a competitive edge in the form of high quality portfolio as well as a development potential that we have. Do you see that let's say in future if we go to Bangalore or Mumbai which are probably much more competitive market than Gurgaon will have to do something different than what we have done here?

Rajiv Singh: No, I don't think we have to do anything different, to be honest with you. We need to have scale because customers expect that scale from us. They expect a certain level of infrastructure and amenities, which we'll have to

provide. I think we just kind of keep that scale in mind, are willing to put that much on the table, and remain competitive to what that market needs are. I don't see that to be a major issue. Nothing new needs to be done.

Parvez: Thank you.

Karan: Hi, thanks. Karan here from Ambit. Sir, I had one particular question on the overall rental market, right? So if you look at the rates for some of your residential or the DevCo portfolio, and Aakash has spoken about it in a few interviews, how Gurgaon rates have moved closer to London and Dubai and all these markets. But if you think about the rental portfolio, it seems like

India is still a fairly underappreciated market because rentals abroad are much higher than what it is in India and even for DLF's portfolio at about \$2 a square foot or \$2.5 to \$3 a square foot.

So, from a more medium term, do you think that the rentals actually have room for significant rerating, let's say over the next five to seven years or do you feel that the infrastructure initiatives that have been undertaken by the government still aren't enough or the population growth that we are seeing compared to the infrastructure capabilities currently still aren't enough for the rentals to move up?

Rajiv Singh: Firstly, I don't think we are even at \$2.5 to \$3 number you're talking about. The important part is that companies are coming from worldwide here for two reasons. Economics is one of them, capability is the second one of them. So I think hopefully the industry should not go to a point where the economics portion starts getting stressed out. We are making decent numbers, we are getting good numbers. I am quite comfortable if we don't have significant rental deltas but have consistent and steady increase. We watch our paybacks. Inflation has affected us. Certain

changes affect us. So because of that, our costs do go up. So far, the rentals are covering that. I hope they continue to cover it. But otherwise, I think that the rental level is lower than residential.

But again, Aakash is fortunate to speak of a few projects which he's been able to successfully position. But that's not true for the whole, I mean, all of India. So I think an exaggeration on rental sort of being world class. I think India overall has a long way to go, both in rentals compared to world pricing, and in general, I am going to call it, residential being to world prices.

The average in India still today for the kind of apartment you are offering. Today, I hope most of the people start delivering what they are promising. They're quite nice apartments and the price point is, let's say about INR 15,000 – INR 16,000 a square foot. I mean, maximum 20,000, but INR 15,000 – INR 17,000, you get something nice here. What is INR 15,000 – INR 17,000

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here? \$200? You'll get nothing but \$200 in 90% of international cities. So I think we are way, way behind in our residential pricing also. If you go to any other city, \$800-\$1000 is okay for city center pricing and \$500 to \$700 is okay for decent in suburban thing of the quality standard

which people are promising. If you go back also and see, I think you know much better than me, but the average pricing is still INR 7,000-8,000. The bulk of India is still INR 7,000-8,000. I

keep reading reports from all of you guys, I mean, that's the kind of number. It's \$100 a square foot. So when you start looking at those numbers, I think the residential business by no means can be said to be world beating. I think the delta, if you personally ask me, may be slightly more

still in favor of residential being at a discount. And quality commercial not necessarily being at that much discount. So that's the way I'd like to put it there, but let's see, time will tell you.

Karan: And second question, not related to the annuity piece, but the overall NCR real estate market. Historically, we've seen that some of your peers would have taken a fe

w steps because of which

the trust deficit overall went up. Are you seeing something similar happening at this point by any of your peers? Do think that the market is more mature, balance sheets are more cleaner because of which such a risk cannot emanate?

Rajiv Singh: First point, people have become slightly wiser. So I hope they do not make the mistake, but being aggressive is nature of this business. So new people may be aggressive. Some mistakes may happen, I am not going to rule that out. It may not happen financial reasons, sometimes competence reasons, sometimes bad luck. But financially, I think all of you guys must keep understanding that the model of development with post RERA is really a tough model. I will tell you very frankly, I somehow can't figure out how you can enter this business because your project cannot generate the capital required to buy that land. The banks are not authorized to provide capital to buy the land. The money gets stuck into the RERA account. So 90% or 99% of developers are stuck in the wheel where they have to, they generate money, it'll go into the RERA accounts, expectations for them to generate more money will be great. The moment they have to go into that, they can't pull the money out from RERA account, they have to go out and do one of two things. They have to borrow from so-called NBFC sector which has its huge return expectations, which I think sometimes becomes challenging to meet. Or they have to go and raise fresh capital. It's a very vicious kind of cycle. The more you do, the more you dilute, or the more risk you, in effect, kind of take on. Five steps, it's just some, how many people have the discipline that today you have started and for the next five -six years I would not do it and then I will realize my profits of RERA. Out of that profit then I will go and buy genuinely another piece of land then I will take another five years to do it, everybody's in that hurry mode, so in that hurry mode balance sheets or whatever it is but in that if you go to the wrong financials you take high interest cost loans. If you talk about past, the fact of the matter is that 99% of people, I don't know how they borrow, how people borrow 20% IRR, 27% IRR, 30% IRR. The giver knows he won't get and the taker knows he won't be able to. If these things happen in the quest for growth, because you will have to either raise capital or you'll have to borrow from secondary markets. I only hope people are sensible that they don't get carried away in that, because finally those are where the accidents can take place. Right now, I think everybody is scared, not too much of it is happening but if you know lot of capital is put to work in this sector, I think that DLF Limited
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will be weak and bad for this sector. So I don't know how that's going to play out but we'll wait and see.

Karan: Sure and my third and last question, Badal in one of the slides you're talking about the medium term development potential of about INR 75,000 crores. So are you not building any escalation in prices as far as that INR 75,000 crores of launches are concerned or is it based on current pricing or know future?

Badal Bagri: It's based on expected pricing but it's expected pricing from those projects.

Karan: So any escalation, what kind of escalation are you building at this slide?

Badal Bagri: The expectations are fairly marginal I would say. Fairly marginal.

Karan: Sure, thank you.

Murtuza: Hi, sir. This is Murtuza from Kotak. You've talked about investing deep in the infrastructure, the associated sort of network benefits when you look at a residential development. Towards that extent, when we look at the Mumbai project, which is to be launched soon, it's much smaller compared to whatever you would have done in Gurgaon. Is there a larger plan for Mumbai, or the current development would be a one-off that you're looking at

? That's my first question.

Rajiv Singh: Look, I think we are testing the Mumbai waters. Mumbai is a large market, mouth-watering market, but with its own issues and with its own strong set of players. So you know, how that turns out? The project is small, but not small to the point that it becomes unattractive. It's decent. There are certain potentials around that project which actually can make that project quite handsome. We will remain focused on that. So if that project becomes successful, I think it will be a project of reasonable size and scale. And success will also be of reasonable size and scale. Maybe our temptation is to take that thing forward. Maybe after going through that experience, we come back and say that's not the market for us. I think this question execution will answer. Time will answer. 3 to 5 years, either we will take deep steps into the market or we will kind of satisfy ourselves with executing limited projects very successfully. I don't know the answer to this. It's not material to our business, to be honest with you. Therefore, we can do the right thing for that project. There's no pressure either way. Let's wait and see. I mean, ideally, we can have a good presence in Mumbai, wonderful. But past experience has taught us that it's not that simple. So we'll wait and see.

Murtuza: Badal, the second question for you. There is a slide which talks about a INR 20,000 crore odd of CAPEX spend at DLF. Does that include the annuity business as well, or that's just on the development business?

Badal Bagri: So on the CAPEX side, on the development business, I don't think it's a INR 20,000 crore number. I think what we have shown out here that we have spent close to INR 5000 or INR 6,000 crores in the last five years, which was land and approval. So INR 20,000 crores is the DLF Limited
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Rentco business capital, where the INR 12,000 crores will be in the DCCDL projects and INR 8,000 crores will be on the DLF sites.

Murtuza: This is on slide 19, actually, that I am referring to?

Badal Bagri: There is no CAPEX on this page.

Management: This is cost to complete of all the pending projects.

Badal Bagri: This INR 20,000 crores you are talking about?

Murtuza: Yes.

Badal Bagri: This is cost to complete all the projects which have been launched in the development side business as on date. All cost complete.

Murtuza: Thank you.

Rajiv Singh: I think let me clarify to you because maybe in other developments this may not be there.

Anything which we spend for holding for long term including rental is considered CAPEX. Expenditure to complete development obligations for products for sale is not CAPEX. So our

total construction spend will be significantly in excess of INR 20,000 crores because INR 20,000 crores is just CAPEX for the rental business in the next five years. INR 7,000 – INR 8,000 crores would be CAPEX for the development business. So CAPEX alone will be around INR 26,000 – INR 27,000 crore. The expenditure on completing projects which we have to offer to customers would be possibly as per these slides another INR 40,000 to INR 50,000 crores. So actually our construction spend, whether you call it CAPEX or non-CAPEX or government charges or whatever you want to call it, actually will start becoming a significant number of possibly INR 6,000 crore, INR 7,000 crore, INR 8,000 crore a year. We will have to aspire for a greater

number, but that's the kind of scale we'll have to get used to in terms of annual expenditure, some for CAPEX, some for development.

Murtuza: So just one question. One area where we have not invested heavily has been hospitality development. We have a couple of projects, but it's not been like we have invested. So is it just that you don't find the returns attractive enough in hospitality development, even as a part of your, let's say, integrated office development or retail development?

opment? So just your thoughts on that?

Rajiv Singh: No, I don't think so. That's not the correct case. Right now we are new in hospitality. Our focus in hospitality had been to serve our existing customers, whether they were rental customers or development customers. We've done a good job at it. We continue to do more. Frankly, in the next 5 years, a few thousand crores will be utilized just to build CAPEX for that purpose alone.

That money cannot be measured simply by what it earns. It has to be measured by what earnings it provides to the ecosystem it serves. So yes, if you take it that way, very viable and worthy of

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lot of investment. Would we do hospitality completely as a third-party activity that means have a hotel and some location just somebody walks in, somebody walks out, we make some money on it hopefully. Yes, we have deliberately classified the hospitality as a part of our annuity business. It indicates our intent that in due course of time like any other asset class it also represents a decent source of income and value and capital appreciation. We are quite busy with what we are doing, but we'll keep our eye out for it and opportunistically we will look at that as time comes up here.

Badal Bagri: Just to summarize through final slides on what we have talked about over the last couple of hours, we continue to hold extremely strong, valuable land bank with both DevCo and RentCo, annuity business and development business combined over 200 million square feet of development potential pending, which will remain pending after which executing all the identified projects. So that's the first key takeaway which I thought I will kind of bring this about because this is the core and fundamental to both of our businesses ..

Just to summarize on the points which we discussed, we have enough and more land bank to give us sustained growth for over 20 years going forward, development business. The rental business which we talked about, annuity business, we would have 73 million square feet of developed area by end of five years and another 60 plus million square feet available for development and hence both the businesses have reasonably good runway. We are targeting almost 45% gross margin in the development side of business with INR 25,000 crores of surplus cash potential from existing already launched projects. Annual rentals of around INR 10,000

crores in the next five years exit next by FY30 and our group PAT and cash flow to grow 2X or 2X plus in the next five years or so. CAPEX INR 20,000 crores in the annuity business, INR 6,000 to INR 7,000 crores in the development business. The CAPEX of INR 20,000 crores is going to help us build the base to kind of have accelerated growth in the rental business post FY30 as well.

As stated above, in development side we would like to get to a gross debt zero position soon. And overall in the next five years on a group level, our gross debt position should be close to zero. Shareholder return, a balanced judicious approach in growth and shareholder return. We look at almost distributing 50% of our PAT as dividend return, which will translate to 15% to 20% growth over the next five, six years on the dividend payout as well. So broadly, if you were to look at it, these are the goals which we have kept for ourselves for the next five years or so. There will be good times and bad times, but we think that we are fairly well positioned to kind of go out and achieve these set of targets which we have kept for ourselves.

Rajiv Singh: So I think this, Badal has summarized it well. You've all asked your questions, maybe exhausted out, but we've to kind of put everything back in perspective that it's two strong independent businesses, both complementing each other, both having their own needs, but fortunately both being contributive. Collectively, as I said, we still look at generating enough c

ash, even after

strong CAPEXes, strong growth to kind of bring our debt focus, which was for DevCo business. Now we'll shift the debt focus for the entire group. We will hopefully generate even reasonable accounting profits. Despite the accounting standards, which are reasonable and conservative, the

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deltas will be sort of good. And 50% of those profits, which do get accounted and distributable, we will work towards distributing to the shareholders. I know we will be retaining, God willing, a large amount of cash in the company. It's a happy problem to have and something we will look at as time goes forward as that cash becomes more and more real. We have kind of set ourselves a short-term goal of gross debt zero in DevCo, so we remain kind of discipline towards that. We are now trying to set a goal for remaining group net-net-zero. That will also help us being a little bit more disciplined. And even after we achieve both these goals, then we'll have to figure out what to do with the money, God willing. So any questions, anything you guys may have, I know I appreciate you all spending so much time, but please feel free, we do have a little bit of time. The intent was to kind of explain the company and explain the management thinking behind how we do things and sometimes maybe because of the complexity of operations, it appears to be opaque. This is opportunity to kind of clear the area.

Puneet: Yes, hi, this is Puneet here and just following up on your group net debt zero by FY30. I mean should one think that the gross debt would still be INR 20,000 – INR 25,000 crores and you'll have another INR 25,000 crore of cash in your books?

Ashok Tyagi : Puneet, the gross cash that we are saying DevCo business will have would be at least INR 25,000 crores. And hopefully the RentCo net debt should be a number less than that. So on a group basis, our net cash should definitely be higher than the RentCo net debt.

Puneet: So that's the cash we want to hold in the company?

Ashok Tyagi : Absolutely.

Management : And our aim is to at least keep enough cash to cover any obligations which may need for the growth that would be our short-term aim.

Puneet : And do you envisage that the development business may not necessarily in future be, you know, net working capital positive for you? Is that why you want to keep so much cash?

Rajiv Singh : No, I don't think so. But see, COVID happened. God was kind. We all got through it. Our tenants were very responsible. They paid up and so on and so forth. We know in countries like the US or all that didn't happen. Even very large and eminent financial organizations who have great reputations had to kind of default and fold in and so on and so forth. So, in life what can happen, nobody knows. We've seen crazy things happen which nobody could have forecasted. So, as an abundant measure of reasonable discipline, we want to kind of keep ourselves to the following that we want to keep in the near term an objective where we are responsible. We do lot of CAPEX in RentCo, to the maximum extent of our capacity to utilize. That number would be a number which, as we have indicated, about 3X of. So that number generally could be north of what Ashok was talking. And naturally, INR 25,000 crores in the DevCo is just from the visibility of launch projects. Hopefully, we'll be doing some work in the next few years. That number should also be slightly better. So net-net, it kind of keeps you disciplined. So look, I will be very frank with you. Life is good. We need lots and lots of discipline checks because you can

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get carried away. Our business by nature is a business where you are optimistic, you have to dream a bit, you have to believe a bit. When you start believing it too much is when you get into a lot of trouble. So I think I am just kind of putting some guide line

es. After that, yes, the field

will be fully open. I do believe in the next few years we will be able to achieve these goals. They are serving as limiters to us.

But then after that, the machine will start throwing out a lot of cash

with almost no obligation under any circumstances remaining. By that time, hopefully we'll

mature, we'll also build up our organization skill sets better and so on and so forth. And let's see

what we can do with it. So message, what to leave to you is it's good, good become better. Let's

put it that way.

Puneet : Okay, thank you.

Akash : Hi. Akash from Nomura. Sir, some of your peers who are roughly at the same scale in the DevCo side, they're doing

BDs, they're trying to gain market share in different parts of the country, but us, for example, we're still not pressing on growth

as much as we can and we have all this land

bank. So my question is, aren't we being a little too conservative at the risk of losing market

share?

Rajiv Singh: We don't measure market share. This is not a business of market share, number one. Number

two, as I said, we did our bit a few decades ago. We don't really need to do it aggressively today.

Number three, I am still continuously perplexed by words like GDV. Yes. If they are able to

pick up lots of new projects, which generate huge amount of margins, bring the money back and

all, great. And many of those projects, I still would like to say, as I said, they need to, they are

good companies, they are growing well, they are aggressive, so they are hungry for new projects

because they don't have those projects with them. We are far fortunate that we have those

projects with us. So that is the only delta. I don't think it's more or less. Chasing additional business, we've realized it comes

at the cost of what you already have. So we are happy to first utilize what we have and then go out and chase additional

business. Maybe we are slightly more

conservative than others, but maybe, I will be frank with you, we may have learned our lessons over a longer period of time

than others. I hope they don't repeat some of them. But time will

tell you.

Akash : Thankyou Sir.

Ashok Tyagi: If I may just supplement, if you go through just the listed companies, the only ones making any

modicum of serious money are the people who are doing projects on their own land. People who

are doing JVs or JDAs for 10, 12, 15 years, without commenting on individual names, just look

at how much money they have made. So are you in the business for running pre-sales or are you

in the business of generating margins and cash? We believe we are in the business of generating

margins and cash and not in the business of generating pre-sales. So we are off the treadmill, for

sure.

Akash: Hi, one question. On the target for zero net debt at the group level, if I got it right, you said at

the DevCo level, we might have, let's say, close to INR 25,000 crore of cash and maybe slightly

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lower net debt at the RentCo level. Now, I mean, currently our DCCDL net debt is somewhere

around INR 16,000 - INR 18,000 odd crore. Now this would mean that of the INR 12,000 crore

incremental CAPEX in DCCDL, could say maybe only half of it might come through debt and

balance might come from internal accruals. While it is great from a financial stability point of

view considering that we are in a cyclical industry. Another point is maybe we could improve

our ROEs by taking slightly more debt considering the strong quality of assets that we are going

to develop. So just wanted to get your thoughts on that?

Rajiv Singh: Look, point is you're absolutely right. We can do all those things. But to be very honest with you, I think we are

fortunate that the cash being generated from our assets does fund part of the

CAPEX. But let me put this way that if we want more CAPEX, we've got a little bit of a debt

headroom. So it's not that we don't

on't want to raise more or we don't want to do less. These are

arithmetic based on the peculiar equations our company fortunately is placed in today. And it

just so happens that we will try to see the RentCo debt not drastically falling by multiple. It will

in fact increase by absolute value but not too much. DevCo will start throwing out cash. So this

equation I do believe at the end of the day would change but not materially so. Financial

leverage, financial gains, increasing this, these are some things we are kind of little bit away

from because the biggest issue is when you say return on equity, return on profits. Actually,

unfortunately for us, we are, as said, reporting profits of activities. So anyway, those numbers

are anyway kind of skewed. The way the system is set, the way the accounting standards are set,

those things are stacked against you if you really want to play high stakes financial ratio games

and all that. We've realized that and therefore we say, we look, we live with what the external

environment is and not pay too much attention to all these things.

Akash: Thanks

Aditya: Hi, this is Aditya from UBS. A quick question on the land bank. So you have a 5-year pipeline of launches, right, both on DevCo as well as on the RentCo. Apart from this 5-year pipeline, you have a huge land bank of, you know, 150, 160 million square feet on the DevCo and I think 60, 70 million square feet on the RentCo. My question is, why is not more of this future potential also in the 5 – 6 year pipeline? Is it because of kind of execution bandwidth, or is it the kind of demand that you foresee in the next five years, and the launches are calibrated according to that? Or is it also partly that some of this land bank is still in areas that are maybe far from development in terms of infra etc. and so they're not viable in the next five years? Just wanted to understand why the launch pipeline has to be maybe only a small fraction of that overall land bank?

Rajiv Singh: Except for the last bit of your statement not being developable is all of the above. So I think look the fact is we have a capacity constraint in terms of how much we can we believe, we can develop well, number one. Number two, you are in desperate hurry to get rid of something if it is going to lose its value. Whether it loses value absolutely or loses value DCF, CCF, then you are actually in a hurry to do so. I think another myth which I would like to take on is that land loses its value. And that's what we have kind of tried to show you with the slides, that it doesn't lose its value. I can assure you, if you take buyer share, all of you, I don't think you can recommend a single one to your clients if you presume the following, the share will not increase in value, it will not yield

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anything, but it will have to bear the average cost of capital for 10 years. I don't think anybody can put any buy recommendation on any share because you basically by mathematics will come down to say you please give me the money, I will make sure you lose half of it. Okay, it's not practical. The fact of the matter here is we believe land generally as an asset class. Unless you do foolish things with it, you run into some other problems, legal included, those things can cause some damage to your land. But otherwise, sitting on your land is not unsafe. There are better investments may be, smarter things to do, maybe, we don't have that capacity, but maybe. But it's not bad, you're not losing anything. Now in our case, we actually, when we look back and see that would we have been a smart person by selling out that land sooner? Actually, the point is the land value increase. Maybe at some point next time around we'll try to do some flushing out of that also. 10%, 11%, 12% is the average value increase in the hands of my customers. My inherent land value increase is significantly greater.

r. So that is why I am saying

that by quickly and desperately taking it out. Rental is the only business where if I had tenants to give me that money and I had the capacity to build it quickly, I don't lose anything because then it's okay. In development business, we have to be careful that you have to kind of keep building up value. And as I explained to you, unlike many other people, that soft service is part of our business, the attention to customers, the attention to compliances, the attention to safety, believe me, it's taking up a disproportionate amount of our time relative to what it was in the past and what other people do. But that is what is giving us the increase. So I don't think it's that we are not looking at the fact that we should do it faster, not faster. I think there's a reasonable degree of caution that we are not necessarily having to sell it off because it's a losing proposition. Now, bluntly put, you can see the scale of cash generation. We are anticipating it may or not happen. Really, anything, dreaming beyond this, adding to this, making your life miserable, putting some customer to risk and so on. You know, you guys all, I don't know if the risk reward ratio is worth it. But in trying for the next 5,000 crores, you kind of put everything at stake. Not

sounding sensible to me at the present moment.

Ronald: Hi, this is Ronald from ICICI Direct. So I had one question regarding this Gurgaon and Noida versus Mumbai markets with respect to the registration and the process involved in both this market that registered after the completion or you say pay it and after the completion you pay other balance money, so this generates lots of speculative trading of flipping the apartments and everything, so do you consider that this could be rectified in the first place, why it isn't rectified like why it's not paid and registered at the time you sign an agreement and do you think that it would get rectified in the future?

Rajiv Singh: I think what you said is interesting. It came to my notice also. The general principle is that stamp duty is payable when title is passed here. So I would still like to say Gurgaon and Noida do it the right way that you won't pay the stamp duty when the title is passed and you pay a notional amount adjustable against the final stamp duty at the time of execution of a binding commitment. I will also cite, Mumbai treats that almost as an execution upon the first 10%. That the title is technically and theoretically passed. Every state has its own rules and has own interpretation, I am not going to comment on it. But I don't think there's any compulsive need for Gurgaon and Noida to follow the Mumbai model. In Gurgaon and Noida also, we have a very strong apartment

act, which kind of says that the title is passed through a certain legal process upon and subsequent

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to receive of completion certificate, occupation certificate etc. I find it hard to believe that how can title be passed when you may not even have started construction. But anyway, every state has its own issues. If that's the law there, so be it. We will follow it for Mumbai. But I mean I think Gurgaon and Noida is not, I don't think this is encouraging speculative trading or discouraging speculative trading. I really don't think so.

Ronald: Thank you.

Rajiv Singh: It also allows developers to see the new Ind AS standards are that you cannot recognize income till you have kind of created a sort of binding interest in it. So by doing this in Mumbai, fortunately, unfortunately, you can kind of say by taking 10% payment, now you can start recognizing revenue, which in places like Gurgaon and all, till you get an OC, you can't start recognizing revenue. It does change significant benefits for the developer in terms of recognizing revenue. So maybe there's advantages to it, but again, I think we are not pressed to push for it i

n
these places.

Thank you everybody. I think it's been a long good session. I think you spent a fair amount of time in the morning at the sites. All my colleagues have sort of shown you around. All I want to say is that this is a nice event to do periodically, but our doors are open. We're always happy to answer queries. We are also happy to receive and host you individually any time. We remain constrained by what is in public domain, but within that we're more than happy to share and expose any part of our operations to any one of you, so please feel free. I am really happy that many of you made the journey last night itself so that you could spend the whole day productively with us. I do hope this session has been productive for all of you and I said you know, happy to sort of meet up with you next time, maybe someday, God willing, we can have a shorter interaction in Mumbai itself. Vishal will hopefully create something which we can house all of us. So let's look forward to it. I think there's lots of good activity will take place. We had a choice of, kind of doing this significantly later and having things to talk and report, but we felt it's important to do it on the calendar, which it was necessary to do so. And I also aware right now that generally there's a thing in the markets of markets going up, markets going down, this, that, and all that. I said, it was even more important for us to put our point of view across when the point of view may not be that fashionable. Because I think we don't want to be sort of playing to a trend. We would like to play to our own plan and our own story. So I think we've kind of put our facts out without trying to change them because of circumstances, optimistic or pessimistic. There's a period of turbulence which every industry and every market go through. I still remain highly confident that the overall Indian growth story is intact, the real estate journey and the housing and other infrastructure stories in India is just beginning. We have a huge, huge way to go before we can claim to be anything of world class in terms of infrastructure, standards, quality, pricing, availability, everything. And I think we still see a 20 – 30 year clear sort of run rate ahead of us. We can have bad timings and that's why while we are following a very conservative debt strategy, we do believe it gives us the comfort to see through any bad time without changing or interrupting our plans. So I think I'd just like to put it in that perspective to all of you. But thanks for coming here, and we look forward to seeing you again. And some of you, I hope, can stay back and like to join us for dinner. We look forward to it. Thank you.

Call: May 2025

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22nd May 2025

The General Manager
Dept. of Corporate Services
BSE Limited
P.J. Tower, Dalal Street, Mumbai – 400 001 The Vice -President
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra(E), Mumbai – 400 051

Sub: Transcript of Earnings Call

Dear Sir/ Madam,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find enclosed the transcript of the Earnings webcast.

Requisite details regarding the earnings webcast are as under:

Sr. No. Particulars Details

1. Date of Earnings
webcast 20th May 2025
2. List of management
attendees - Mr. Ashok Kumar Tyagi – Managing Director, DLF Limited
- Mr. Sriram Khattar – Vice Chairman and Managing
Director, Rental Business, DLF Limited
- Mr. Aakash Ohri – Chief Business Officer and Joint
Managing Director, DLF Home Developers Limited
- Mr. Badal Bagri, Group Chief Financial Officer, DLF Limited
3. Web -link of the
Transcript [https://www.dlf.in/qu -
result/Q4_&_FY25_Earnings_Call_Transcript-20-05-25.pdf](https://www.dlf.in/qu-result/Q4_&_FY25_Earnings_Call_Transcript-20-05-25.pdf)

This is for your kind information and record please.

Thanking you,

Yours faithfully,
For DLF Limited

R. P. Punjani
Company Secretary

Encl.: As above

For Stock Exchange's clarifications, please contact: -
Mr. R. P. Punjani – 09810655115/ punjani- rp@dlf.in
Ms. Nikita Rinwa – 09069293544/ rinwa -nikita@dlf.in

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LF Limited
Q4 & FY ' 25 Earnings Conference Call"
May 20, 2025
MANAGEMENT : M R. ASHOK TYAGI – MANAGING DIRECTOR – DLF

LIMITED

MR. SRIRAM KHATTAR – VICE CHAIRMAN AND
MANAGING DIRECTOR – RENTAL BUSINESS – DLF

LIMITED

MR. AAKASH OHRI – JOINT MANAGING DIRECTOR
AND CHIEF BUSINESS OFFICER

MR. BADAL BAGRI – GROUP CHIEF FINANCIAL
OFFICER – DLF LIMITED

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Moderator : Ladies and gentlemen, good day, and welcome to DLF Limited's Q4 FY '25 Earnings Conference Call.

We have with us today on the call Mr. Ashok Tyagi – Managing Director, DLF Limited; Mr. Sriram Khattar – Vice Chairman and Managing Director, Rental Business; Mr. Aakash Ohri – Joint Managing Director and Chief Business Officer; and Mr. Badal Bagri – Group CFO, DLF Limited.

As a reminder , all participant line s will be in the listen -only mode and t here will be an opportunity for you to ask questions a fter the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ashok Tyagi. Thank you, and over to you, sir.

Ashok Tyagi: Thank you. So good afternoon, everybody. Welcome to DLF Limited's Q4 and 2024- 25 Year's Analyst Call. Hopefully, all of you have seen the p resentation by now. In all fairness, I think across the board, be it sales, collections, cash flow, net debt, profitability and rentals, I think it's been, by and large, an extremely strong performance across the board.

Our sales, as you know, have been, I think, our highest ever of INR 21,000 crores plus. We had collections of almost INR 11,750 crores , and operating cash surplus of INR 2, 300 crores in the quarter and a total INR 6,200 crores cash surplus in the year.

Our rating outlook had a strong PAT of INR 4,350 crores this year, which again is the highest for a long time now. There was one more metric that a lot of investors and analysts used to task us, which was that you must now over time, get into a double -digit ROE territory and you will be very happy to note that this year, we have had an ROE of 10.2%. So , we have crossed over to the double -digit category. And hopefully, we will keep on improving year -to-year on this piece.

The business continues to be strong. We had met most of you in the Analyst Day in March, where our Chairman and Aakash and everybody else had spoken to you at length. You're also seen a couple of the projects. So hopefully, that should have given you more confidence as well.

In the spirit of what we had done in the analyst call, we continue to present the overall progress around the DevCo and the RentCo verticals. Even though the financial data of DLF Limited and DCCDL is there fully as per the statutory format. But frankly, you would encourage businesses, the analysts and investors to look at our RentCo specifically across the board, which is the RentCo of DCCDL, which obviously is the biggest , followed by whatever little DLF has and over time, as Atrium Place drops in.

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riram Khattar: So with that, I w ould l ike to h and i t over to Sriram f or a b rief intro of the RentCo p erformance, and then we o pen to Q&A.

Thank you, Ashok. The rental portfolio is now, as Ashok mentioned, a combination of DCCDL, DLF and Atrium Place. And th is to tal portfolio now has o perating assets of about 43-4 4 million square feet. And as you kn ow, the pipeline is there for the next year, 18 months, this will go up further. The v acancy levels, as I had mentio ned in the last quarter s, are down to 6% which we had said we were targeting towards. And I am further pleased to say that if you take the occupancy by value, which means the rentals that yo u earn and the rental loss because of vacancy is ab out 4-o dd-percent now.

The progress on our rental side is pretty good . We, in this quarter, hav e received the occu pancy certificate for Downtown 4 in Gurgaon. An d about 10 days back, we have received the occupancy certificate for Downtown 3 in Taramani. Both these buildings, as y ou k now, are preleased. The fit -outs are in an advanced stage, and the rentals sh ould start in another 3 to 4 m

onths' time.

The construction of Downtown Gu rgaon, which is 5.5 million square feet of offices and 2 million of retail is in full swing, and the constructio n of 3.5 million in 2 towers in Taramani is also in

full swing. These are 2 very large and game-changing projects, Downtown Gurgaon once completed, will be a multi-use development of 12 million, and Downtown Taramani will be 7 - 7.5 million square foot development.

In DLF, the construction at Noida for Downtown for Data Center 2 is just about completing and the construction started for Data Center 3, which as you may know, we have already entered into the lease agreement for.

Atrium Place, our joint venture with Hines, is in 2 phases. The first Phase of 2.1 million is we expect the OC in the month of July and 1 million, we expect the OC in quarter 4 of FY '26 or quarter 1 of FY '27. It's really February, March, April next year target.

I am pleased to share that we have already leased the entire about 95% of the 3.1 million space.

On the retail side, Midtown Plaza, which is our High Street Plaza, the OC has been received, and it is about 82%, 83% leased. We are in the process of handing over the stores to the retailers to do their fit-outs.

Summit Plaza, which is the Plaza in DLF Phase -5, we expect the OC to come in about 2 -2.5 months' time. And Promenade, Goa, we expect the OC to come in another about 4 to 5 months.

Leasing at Summit Plaza has started and Promenade, Goa will commence shortly.

Our journey in sustainability continues. During the quarter, we were able to get the U.S. WELL Institute certification of all our buildings. We realized that some of the larger American tenants wanted to know our Wirescore, which is a score on the digital connectivity of the buildings.

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So, 3 buildings have now got a Wirescore a 'Platinum' rating. And now we have asked the Wirescore institute to rate all our buildings across our portfolio.

I am pleased to share that during the quarter, CRISIL enhanced our ranking to AAA with a Stable outlook. This is probably among the very few non-listed entities in the country which have got a AAA rating. At the same time, ICRA upped our rating from AA+ Stable outlook to AA+ with a Positive outlook, and after this quarter's results, we are hopeful that they will relook at this rating also.

With that, I hand it back to Ashok to start the question-and-answer session.

Ashok Tyagi: Thank you, Sriram. So, we are now open for questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. Participants connected on webcast may click on Ask a Question tab available on your screen. Kindly turn on your mike when the operator announces your name. For participants joining through the audio bridge, to ask a question, you may press '*' and 1 on your touchtone telephone. If you wish to remove yourself from the question queue, you may press '*' and 2. Participants are requested to use a handset while asking a question. Ladies and gentlemen we will wait for a moment while the question queue assembles. We will take our first question from the line of Pritesh Sheth from Axis Capital. Pritesh, please go ahead with your question.

Pritesh Sheth: Hope, I am audible?

Moderator: Yes. Please go ahead.

Pritesh Sheth: Perfect.

Pritesh Sheth: Thanks for the opportunity and congrats on a great year across the residential and commercial segment. First question is on the launches. So, INR 17,000 -odd crores of launches planned for next year. Obviously, a few of them we know, which is Privana, third phase, Mumbai and Goa.

If you can share, apart from these three, what are the other launches, which are planned, specifically interested to know whether do we have launches planned for DLF City or IREO Land towards the later part of the year? That's my first question, yes.

Aakash Ohri: So, right now we have

got these 3 big launches in the pipeline. Then we have got the Dahlias also as you know, we will come back some time in Q3 and so, that is going to keep us busy.

With regard to the other two launches at this point in time, we are still in various stages of development and discussions. So, there will be something, say, in Q4, but at this point of time, we won't be able to speculate on that or to confirm. But there are two -three things that are being discussed. So, this year, we have got our hands full already and lots happening actually.

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Pritesh Sheth: Got it. So, this INR 17,000 crores includes these launches that we discussed till now? And anything over and above that will obviously be discussed later?

Aakash Ohri: Yes.

Pritesh Sheth: Perfect.

Ashok Tyagi: That is correct.

Aakash Ohri: That, plus the Dahlias revenues will continue.

Pritesh Sheth: Yes Okay . And second, on the commercial side. So , I suppose, 4.6 million square feet of office space between DLF and DCCDL, plus 1.4 million square feet of malls would be delivered in FY '26 itself. So , exit rentals by FY '26 would be INR 7,000- odd crores, if I am not wrong, sir?

Sriram Khattar: Exit rentals by FY '26 should be about INR 6,700 crores. But that's because these assets which are getting completed this year, we will not have the advantage of rentals for the full 12-month period. Then FY '27, we will see a further jump in the rentals because we would have had the advantage of these for the full year.

Pritesh Sheth: Correct. And nothing getting delivered in FY '27, right, incrementally? Now whatever we do will be 2, 3 years later?

Sriram Khattar: Yes. So next year, the only delivery will probably be the D ata Center 3 in Noida. And the year after that, again, we will see a spurt of completions.

Pritesh Sheth: Yes. Got it. Fair enough. I think those were my questions. I will come back in queue in case I have more. Thank you.

Moderator: Thank you. We will take our next question from the line of Praveen Choudhary from Morgan Stanley. Praveen, can you please unmute and go ahead with your question, please .

Praveen Choudhary: Yes. Thank you. Can you hear me?

Moderator: Yes. Please go ahead.

Praveen Choudhary: Hello, Mr. Tyagi, hello Khattar sir, hello Mr. Ohri and Badal . First of all, I just wanted to congratulate for a phenomenal result. And then I have literally one question, which is if you can guide us about your operating cash flow outlook for FY '26 FY'27 as well as CAPEX, including construction that will be helpful for us to think about for the next couple of years.

Ashok Tyagi: Okay. So , Praveen, thank you. As you know, we typically do not guide in a very specific manner on the forward-looking detailed financial data. But if you have seen now for the Fiscal '25, I think our total free cash flow was INR 6,200-odd crores. And now it's running at a rate of m aybe

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this quarter was a slight hike because of One Midtown completion. But it's clearly running at INR 1,500 crores per quarter sort of a run rate, if you will, which should only keep on growing over time. So , you could make your own assumption basis that.

What was the second question? I am sorry.

Praveen Choudhary: It was mostly about construction expenses and CAPEX .

Sriram Khattar: Yes. So , the CAPEX spends in RentCo, which again, if I may say, the combination of DCCDL, DLF and Atrium Place, i n FY '26 and in FY '27 will be in the ballpark of INR 5,000 crores. And this is a big jump of what we used to see earlier , because the pace of execution of the downtowns and the completion of Atrium Place etc. and the certain approval fees that has to be paid for incremental FAR will take it to about INR 5,000 crore number this year and also next year.

Praveen Choudhary: Okay. So that's very clear. And as you have mentioned

, you're definitely spitting a lot of cash,

based on this free cash flow that you just explained, and we are seeing growth. And you also grew dividend this year. Can you just rehash one more time going forward, how should we think about the dividend outlook, please?

Ashok Tyagi: So look, again, I would not want to make a speculative go-forward statement, Praveen. But if you look at the last 4 years, our dividend has been growing from INR 2, INR 3, INR 4, INR 5 and INR 6. And in all fairness, the dividend inflow from Cyber City has also been growing year - on-year. So , both our outflow and inflow from Cyber City have both been growing. I can't comment on exactly what number it will be for the following fiscal, but we do hope that we can sustain some form of a growth strategy that we have had on dividend.

Praveen Choudhary: That is very clear, and thank you so much once again, and congratulations.

Ashok Tyagi: Thank you.

Moderator: Thank you. We'll take our next question from Parvez Akhtar from Edelweiss. Parvez kindly unmute yourself and go ahead with your question, please .

Parvez Akhtar: Hi. Good afternoon. Congratulations for great set of numbers. So, my question is on the housing demand in Gurgaon. If we, let's say, want to meet our whatever we have done in FY '25 numbers, we would need a significant absorption in the new launches, etc. , that we plan to do in FY '26. So just wanted to get your thoughts on how do we see, one, launches and housing demand? And second, your outlook on the pricing front? Thank you.

Aakash Ohri : So housing demand for good houses and DLF has got its own diaspora. So , housing demand for quality products i s continuously there. And also what is happening i n Gurgaon today has become a very solid investment option too. A nd why I am not just saying building investment options , but people are monetizing it through rentals and all that because of the large Cyber City that

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exists with the major workforce that exists in Gurgaon and so many other things that the city today is and the employment matrix is almost No. 1 in the top 3 in the country.

So, there is housing demand for sale as well as rentals. And therefore, a lot of people are investing in the DLF real estate as an asset class, which they prefer because of the certain quality deliveries and on time, and the escalations that they get. And therefore, it becomes a very good opportunity to invest also, should they not take it for their own. So, our attempt has always been that we go for people, who are buying these for themselves. So that is one.

And second, people who are also NRIs or the rest of India has started to invest in Gurgaon in a reasonably big way. Those people are doing this as an investment, and they get great rentals. So, if you look at our assets across the board, and I am not even talking about our blue -chip assets in the Golf Links. I am also talking about Ultima in the rest of Gurgaon region. I am talking about floors which we launched, have great rentability. So that has actually added to the entire demand scenario of Gurgaon.

Parvez Akhtar: Yes. Sure. Thanks and all the best for the future .

Aakash Ohri : Thank you.

Moderator: Thank you. Before we take the next question we'll like to remind our participants connected on the webcast may click on Ask a Question tab available on your screen. Participants connected through the audio bridge may please press '*' and 1. We'll take our next question from the line of Abhinav Sinha from Jefferies. Please go ahead.

Abhinav Sinha : Hi. Congrats on a strong quarter. Tyagi sir, any guidance for presales that you would like to give for next year?

Ashok Tyagi : Any guidance for sales?

Badal Bagri : Presales.

Ashok Tyagi : Okay. So , if you could recall, Abhinav, when you were here in March, and we had that big Analyst Day, we had said that we would continue

to be broadly at this level, what we have

achieved last year. So , I still say that we should be in the 20,000 to 22,000 range for next year.

But again, as Aakash has consistently outperformed in the last 3 years, I don't see why he can't again. But right now, our guidance will be 20,000 to 22,000.

Abhinav Sinha : Sir, also on cash collections, we have had a very strong year. And do you think that we will sort of have a 30 billion quarters now or even higher?

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Badal Bagri : So I think Abhinav, our trajectory should not be any different from what possibility we have achieved in the last couple of quarters in terms of gross collection. It should follow the same trend level in the coming year.

Abhinav Sinha : Okay. And on the construction cost for the DLF part?

Badal Bagri : So, construction cost, if you see the cash flow, we spent around close to INR 724 crores in the last quarter. And I think this number should become the baseline for next year with all the projects coming through. So, I would say INR 800 crores a quarter inching up slightly over the next 3, 4 quarters should be a safe assumption to take.

Abhinav Sinha : Okay. That's very helpful. My next question is for Mr. Ohri. Sir, on the Privana side, how are we looking at the next Phase -currently? And what the product and the size looks like? And what's the timing here? Thank you.

Aakash Ohri : Okay. So the Privana North is a far more evolved product. It is quite a nice product, allow us a little more time to come to the market to come and talk about it for compliance reasons. But like anything else, it is the natural progression. The area has been pretty well received and established. It abuts a great green lung. It's got great infrastructure where 5 minutes, you are in various parts of well -connected expressways. The 2 products themselves , the 2 launches have been so well received.

Previously, as you are aware, South and West, it's a very homogeneous setup in terms of both the product offering as well as the crowd. So overall, the Privana, it's like one contiguous 116 acres of a thing which is of a piece of land, which has really been received very well by the people. So , I feel that is something people look forward to. It's now an established brand. Within the DLF stable, Privana is an established brand. It's got a very healthy and very eclectic mix of people, who bought Privanas in the previous lots also, where there are all sorts of people who have taken it.

And the good part is that since we know most of them, they have taken it for their own purpose to reside. So , I think that has kept the stickiness. Also to let you know that presently, the 2 Privanas that were sold last year are trading at a premium of INR 2,500 to INR 4,000 a square foot at present, as I speak to you, which is also very heartening and good to know. And that's the kind of demand that the present set of Privanas have. And therefore, now the next phase. I think as soon as we have our paperwork in terms of RERA and all done, we will be in the market very soon. You should hear about it soon.

Abhinav Sinha: Sir, I will just get back in the queue for more questions.

Moderator: Thank you. We'll take our next question from Akash Gupta from Nomura. Please go ahead.

Akash Gupta: Hi. Am I audible?

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Ashok Tyagi : Yes Akash.

Akash Gupta : Hi, everyone. Congratulations on a great set of numbers. Sir, my first question is on the timing of the launches for Privana and the Bombay project and the next Phase -of Dahlias. So how are we looking at these timing of launches?

Aakash Ohri : The timing of launches are now in Q1 and for the first two , Privana and Bombay we are working towards the Q1 story. And Dahlias, obviously, as I mentioned to you, once the experience center is ready, which should be some time in November -December, we will then do

the show and tell

and bring it . In fact , this particular thing , the main launch is slated for the Dahlias. But for the Privana and Bombay, it's now Q1.

Akash Gupta : Okay. Sir, so like are we sure that we will get RERA approval for the Bombay project in the first quarter?

Aakash Ohri: Yes .

Ashok Tyagi : So I think we will. But frankly, the reason for the delay of a few weeks on the Bombay project has actually had nothing to do with RERA. It's that because it's a slum rehab society with multiple societies whose approval and all of those things have to be taken. It's just the multiplicity of the small approval, which has led to a delay. But I think we are now looking good, as Akash said, for hopefully RERA in June for sure.

Akash Gupta : Got it, sir. And my, sir, the second question is about the Privana North product. So sir, your previous Privanas have been sold out , so with like awesome demand. So I wanted to understand like what interest is this product generating?

Aakash Ohri : So as I was saying just about in the previous question, Privana has got an established ecosystem today. There is a very good demand for the Privana . And the present Privanas are being traded at a premium of INR 2,500 to INR 4,000 a square foot. And therefore, there is a reasonable demand for the new offering now and people are waiting for it. So, as far as we are concerned, we will get into the market post -RERA and then get down to doing what it is.

But right now, overall, because I am not in the market, so I can't give you an exact statement here. But what I hear is that there is a reasonable amount of demand, and people are looking forward to the launch.

Ashok Tyagi : Thank you.

Akash Gupta: Thank you so much, sir.

Moderator: Thank you. We'll take our next question from Taran Gupta from Elara. Taran, please unmute yourself and go ahead with your question, please .

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I am sorry, we have lost his connection. I now invite Pritesh Sheth from Axis Capital to please unmute and go ahead with your question .

Pritesh Sheth : Okay. I think it was answered in a bit in the previous question, just on Privana again, previous 2 phases has been sellout with the kind of expectations that's already built in since we are closer to launch. If not during launch, but if there is a demand, would we still look to sell it out by this year? What's your base expectation for Privana North for this year?

And similar question for Mumbai as well. We have been hearing about a lot of demand coming from NCR and especially from Gurgaon as well for Mumbai project, but just your initial thoughts on the kind of interest that we have got for Mumbai as well.

Aakash Ohri : Yes. So you're right, Pritesh, so a DLF product today is agnostic to geography in terms of investors. So today, you are looking at various sets of people who are wanting to pick up a DLF home. And as I said previously also why they're looking at , because these are not dead assets. Not only do they make money in capital appreciation, but they also, you know, once you lease them out, you have recurring income also. So it's like good for both investors, to people who want to live in them.

So today, right now, as I see it, there is a sizable demand. I can't go beyond that today to explain to you , because you understand why, but there is a sizable demand for both the products, both

here in Privana and Mumbai, both from the micro geographies, rest of the country as well as the NRIs. So , we will cross the bridge when we come to it, just give us a little more time. I think we will have more answers for you, and you'll hopefully hear about it.

But I'd just like to leave it here right now that based on how we want to do it. But yes, as you know, we don't discount our products. We don't do that. So, I think at this point in time, we have planned a structured launch to do some towe

rs now and some in the following quarters. But I think let's see how it goes and also because Mumbai, it will start raining from June end. So, I think our window is very short in June for both Mumbai and then, of course, as soon as Privana comes in before that. So, both are going to almost run concurrently.

Pritesh Sheth : Okay. So, phasing out of towers that you have mentioned is for Mumbai project. And Privana would be like all opened up all together, right?

Aakash Ohri : No, Privana also, like I said, it's too close to the quarter end. And also being both June is the time where North India generally travels. Most of the people are out for vacations. So it's just the timing. So otherwise, there is a good amount, I am only talking about logistics. So right now, just to manage logistics, that's all. Otherwise, as far as demand is concerned, right now, so far, we are in a good place.

Pritesh Sheth: Sure. That's it from my side, and all the best. And looking forward to a good news in June. Thank you.

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Aakash Ohri : Thank you.

Moderator: Thank you. We have our next question from Manish Dhariwal from Fiducia Capital. Please go ahead.

Manish Dhariwal : Very good afternoon. Am I audible?

Moderator: Yes please go ahead.

Manish Dhariwal : Thank you very much for this opportunity. Great numbers, great performance. And year -on-year, as the MD mentioned that it's been an incremental improvement year -on-year. So all that's like very good news. See, the thing is that my question was a little long -term -ish in nature. And I wanted to understand how is the management attempting to build DLF into a structural business, not a hardcore cyclical business that a typical real estate development business is. See, you're a great brand, okay? So that's a great strength that you have an advantage of, also a great rental business, the biggest in the country. So how is it that maybe the structural story? Or is that even a thought?

Ashok Tyagi: Yes. So Manish, a very interesting question, frankly. Clearly, we have 2 parts of the business, the development and the rental business. And in some sense, the rental business provides stability and gradual increase, while the development business basically is the one where you take risk, hopefully grow a lot and then unfortunately, also encounter a few cycles when it happens. So, A) the combination of these 2 provides natural institutional hedge against a completely all or nothing story, which may impact developers who are only in one side of the business. That is clearly one. B) from an institutional and from a management standpoint, we have clearly been strengthening all streams of our management over the last few years now in that sense. And I think we feel that now we have the where with all, if something like a COVID happens in a big way, nothing for 6 months, you may have to ride it through. But for most normal business cycles, I think we are now reasonably well covered.

Yes, the residential business will, at some stage, have cyclicity to it but when will it come honestly, I don't think anybody has a crystal ball on that. But I think we are reasonably well captured. Also, structurally, we are now a zero -leverage company on the development business.

So that entire pressure that we used to have earlier of being caught in a down cycle with no debt.

So that is gone now.

Manish Dhariwal : So, just want to take this forward, and thank you so much for this answer. See now I think we reached a situation where about INR 15,000 crores to INR 20,000 crores of development sales can happen like the market is taking it, right? And in fact, there are other competition, which is also doing it. So, when I mentioned that how you make it a structural thing is, so you have a

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huge land bank in the NCR, that is Gurgaon and the extended Gurgaon and the further extended ended

Gurgaon region.

Now one way to derisk that is to have a multi -locational play. So you tried Goa, Mumbai in a very small way. So, I basically want to understand that can the company or maybe are your long -term plans, do they talk of INR 15,000 crores to INR 20,000 crores sales on a year -on-year basis?

Moderator: Manish, if we can mute please, there's some disturbance on your line. Thank you.

Manish Dhariwal : Yes.

Ashok Tyagi: Thank you. So Manish, first of all, obviously, while our sales are running at this INR 20,000 crores approximately levels, I think we internally chase 2 metrics, which is, A) the free cash flow that we are generating ; and B) the embedded margins that we are generating. You could have developers who are doing INR 35,000 crores of sales and generating embedded margins of maybe INR 7,000 crores, while there are developers who are INR 20,000 crores, can generate embedded margins of INR 12,000 crores. We would like to be in the latter category.

So, we clearly want to be in a situation where our embedded margins on an annual basis continue to be in the 5-figure range, and the sales that supports it. While Mumbai is a geography which interests us, because it is the largest real estate play in the country for sure. But having said that, I don't think that we have any doubts in our mind that our center of gravity will overwhelmingly remain NCR. That's for clear even in that sense.

And NCR today is one of the deepest and one of the widest sort of markets that exist in the country. There are pockets of NCR, we are not present in also today. So I think there's enough to grow in NCR itself.

Manish Dhariwal : Thank you.

Sriram Khattar : Question about the structural stability or institutionalization, I may just add to 1 or 2 points, which Ashok mentioned. As we have declared, we have adequate freehold license land to take forward our growth for the next several years, whether it is on the residential side or on the rental side. And I think that is a very- very big competitive advantage that we have over the other developers, who are continuously scouting for land, and therefore, have to be on the edge at all points of time to grow.

Manish Dhariwal : Absolutely. Thank you for your detailed response.

Ashok Tyagi: Thank you.

Moderator: Thank you. We'll take our next question from Kunal Lakhan from CLSA. Kunal kindly unmute your microphone and go ahead with your question, please.

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Kunal Lakhan: Yes. Hi, thanks. Good evening. Sorry, I just missed the time lines on launches of Goa and IREO. And also if you can comment on our Delhi subsequent phases as what will be the time line of launching that?

Ashok Tyagi: Kunal, half of your question, I think, was muted at that time. So can you please repeat?

Kunal Lakhan: Am I audible now?

Ashok Tyagi: Yes sir.

Kunal Lakhan: Yes. Sir, I just wanted the time line for launches of Goa, IREO and also the Delhi subsequent phase?

Ashok Tyagi: So IREO, I think we should be in a position, hopefully, with all the approvals. IREO was, as you know, it's 8.5-acre parcel, but it is 2 distinct parcels. So, I think we should hopefully have all our approvals done sometime this year.

And if all goes well, IREO pieces should be launched next fiscal. Mumbai, we have completed OneMidtown apart of some residual sales that remain. So, I think Mumbai will get back to the planning stage, it's not Mumbai, Delhi. So, Delhi, we will get back to the next year to the planning stage. But the Delhi launch of the next phase may not happen next year.

Kunal Lakhan: You mean FY '26, it will not happen, FY '27...

Ashok Tyagi: It may not happen in FY '27. It may take longer than that.

Kunal Lakhan: Okay. Okay. And Goa?

Ashok Tyagi: Goa should happen sometime this year, I presume, yes.

Kunal Lakhan: Second half?

Ashok Tyagi: Second half year...

Aakash Ohri :

Yes, around that time.

Ashok Tyagi: Around that time.

Kunal Lakhan: Understood. Thanks. My second question was to Khattar Ji. Sir, if you look at the Cyber City portfolio, right, which is I wouldn't say mature yet, because when I look at the rentals, let's say, about INR 110, INR 115 bucks. And when I look at the rentals in our newer blocks that we are leasing, like INR 145, INR 175. What's the rerating potential there in terms of rent over the next few years?

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Sriram Khattar : So, let me take Cyber City, which is really a legacy asset. We have the current rental for the minimum space that is vacant and for the term expiries is in the ballpark of about INR 125 to INR 135. And that if you say, compare with Downtown 4, which is the last building or to say, Atrium Place, which we have just leased, which is in the ballpark of INR 160 to INR 170.

Kunal Lakhan: Sure, understood. But probably, it will never reach those levels because these are much newer assets. But you're saying that roughly about 10% upside potential on rent on the Cyber City portfolio, is something that we should look at?

Sriram Khattar : I think maybe a little higher than 10% compared to the weighted average rate that is already there in the portfolio.

Kunal Lakhan: Understood, sir. And secondly, so on the ROE target, we have reached 10% plus, so that's a great thing. But on a sustainable basis over the next say, 2 to 3 years, where do we aspire to be?

Ashok Tyagi: Kunal, about 4 years back, we were told that ideally we should at least target at a double-digit first. Having done that, now obviously, after double -digit, early -teens and mid -teens come, but let's see how the process runs.

Sriram Khattar: On a lighter way, triple digit is still a little beyond.

Kunal Lakhan: Okay. Thankyou. And my last question is to Badal. Badal, this year, we had a fair bit of deferred taxes or tax reversals. How should we look at tax rate going ahead over the next 2 to 3 years, maybe?

Badal Bagri : The tax rate should be normal to my mind. The deferred tax was a very - very minor component in the current P&L from a P&L perspective, Kunal. So , the tax rate from a P&L forecasting perspective should be business as usual. No significant deferred tax asset gain to be considered in the coming years.

Kunal Lakhan: Understood. Thank you so much, and all the best.

Ashok Tyagi : Thank you.

Moderator: Thank you. We have our next follow -up question from Abhinav Sinha from Jefferies. Please go ahead.

Abhinav Sinha : Thanks for the follow up. First question on Dahlias. What are the price points we are at right now? And what could be that jump when we relaunch in 3Q?

Aakash Ohri : So, Abhinav, right now, we are at almost about lakh plus on carpet. So right now, that's where we are. And just to tell you what Camellias is about now 2 lakhs on carpet. So , you do the math now, because we are almost sold out. As you know, we are sold out in Camellias. We have got

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nothing. So tomorrow, when people want to get into the DLF Golf Links, the price points, I think, will continue to go up.

I don't want to right now speculate on what we are going to be. But if you see the gap between what Dahlias is today and what the present prices of Camellias are, I think that's what the catch - up will be. And it's going to be faster because of what Camellias has already delivered, done.

People have seen the product, used it, using it. Therefore, there is obviously a great legacy. But I think people, who missed the boat then are now joining the Dahlias story. So there is a tremendous amount of, I'd say, money to be made. Also, there is a good amount of escalation here.

Abhinav Sinha : Great. Sir, one clarification. I think, Tyagi sir, if you can provide on the land bank, Slide # 17. So, we have this 12 million square feet of p

ipeline in DLF City and 9 in New Gurgaon. So, what does this refer to specifically among the projects?

Ashok Tyagi: So, the DLF City refers to primarily the IREO timeline at Sector 61, and it refers to some pockets that we have for group housing in DLF City in the erstwhile DLF Phase -1 to 4. And Privana is affected in New Gurgaon.

Abhinav Sinha : Okay. And metros will be Mumbai then?

Ashok Tyagi: Metros are Mumbai, Delhi and Goa.

Abhinav Sinha: Okay. Thank you.

Ashok Tyagi: Thank you.

Moderator : Thank you. Ladies and gentlemen, we will take that as a last question for today. I now hand over the call to Mr. Ashok Tyagi for closing comments. Over to you, sir.

Ashok Tyagi: So, thank you so much for joining this call. As I think we sort of presented, and I think a lot of questions also are on the same tune that it's been a pretty strong performance. The key for us continues to be how do we sustain ourselves not only on the sales cycle, but also on the execution cycle because now between the rental buildings that we are building and the sales commitments that we have made, I think we are already building now in excess of almost 45 million square feet, which is under construction today.

And that number will keep on growing, but that's the number that we have to track, because selling is exciting, but you also have to eventually deliver those products, and we have had a pretty strong track record of delivery.

On all the financial metrics, as we mentioned, we will continue to be razor -focused on PAT, on EBITDA, on cash flow, on rental run rates, on rental rates. As Mr. Khattar also said that even

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on the older buildings, he keeps on trying to see how we can squeeze an additional 10% there.

So we will continue to be extremely focused on all of that. And hopefully, we look forward to reconnecting back to you guys in the June analyst call. Thank you.

Moderator: Thank you, members of the Management team. On behalf of DLF Limited, that concludes this conference. Thank you for joining us, and you may now exit the meeting.

Management : Thank you.

Call: Aug 2025

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7th August 2025

The General Manager
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BSE Limited
P.J. Tower, Dalal Street, Mumbai – 400 001 The Vice -President
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra(E), Mumbai – 400 051

Sub: Transcript of Earnings Call
Dear Sir/ Madam,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings webcast.

Requisite details regarding the earnings webcast are as under:

Sr. No. Particulars Details
1. Date of Earnings
webcast 5th August 2025
2. List of management
attendees - Mr. Ashok Kumar Tyagi – Managing Director, DLF Limited
- Mr. Sriram Khattar – Vice Chairman and Managing
Director, Rental Business, DLF Limited
- Mr. Aakash Ohri – Chief Business Officer and Joint
Managing Director, DLF Home Developers Limited
- Mr. Badal Bagri, Group Chief Financial Officer, DLF
Limited
3. Web -link of the
Transcript <https://www.dlf.in/qu -result/Q1FY26 -earning -Transcript -2025 -26.pdf>

This is for your kind information and record please.

Thanking you,
Yours faithfully,
For DLF Limited
R. P. Punjani
Company Secretary

Encl.: As above

For Stock Exchange's clarifications, please contact: -
Mr. R. P. Punjani – 09810655115/ punjani -rp@dlf.in
Ms. Nikita Rinwa – 09069293544/ rinwa -nikita@dlf.in

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"DLF Limited
Q1 FY'26 Earnings Conference Call"
August 05, 2025

M
ANAGEMENT : MR. ASHOK KUMAR TYAGI – MANAGING DIRECTOR –
DLF LIMITED
MR. SRIRAM KHATTAR – VICE CHAIRMAN AND
MANAGING DIRECTOR -RENTAL BUSINESS – DLF
LIMITED
MR. AAKASH OHRI – JOINT MANAGING DIRECTOR
AND CHIEF BUSINESS OFFICER
MR. BADAL BAGRI – GROUP CHIEF FINANCIAL
OFFICER – DLF LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to DLF Limited's Q1 FY '26 earnings conference call. Today, we have with us on the call Mr. Ashok Tyagi, Managing Director, Mr. Sriram K hattar, Vice Chairman and Managing Director, Rental Business, Mr. A akash O hri, Joint Managing Director and Chief Business Officer and Mr. Badal Bagri, Group CFO, DLF Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal the operator by pressing '*' then '0' on your touchtone phone . Please note that this conference is being recorded.

I now hand the conference over to Mr. Badal Bagri. Thank you, and over to you, sir.

Badal Bagri: Thank you, and welcome to the first quarter earnings call for F inancial Year 2025-26.

I'll just start with the key highlights before we start our question-and-answer session. Our overall sales booking for the development business stood at INR 11,425 crores, which reflects a year-on-year growth of almost 78%. This was led by another successful launch in our DLF Privana ecosystem.

This reaffirms the sustained demand of high -quality products, which are backed by DLF as a brand and also reaffirms the strength of our core market. The embedded margin from the sales made in the first quarter was close to INR 4,500 crores. The overall collections for the quarter were INR 2,794 crores, generating a net cash surplus of over INR 1,100 crores. We reduced our debt by INR 1,364 crores in the current quarter, reflecting strength of our balance sheet.

We'd like to reiterate the key KPIs that we monitor to be net cash generation and gross margin. The gross margin potential for the sales already made stood at almost INR 24,500 crores and for the products launched, including the inventory, is over INR 40,000 crores. The cash potential from this entire product launch over the period of time is over INR 46,000 crores.

We believe that these metrics enable us to be a very strong and distinguished player in the market and speaks of the embedded large potential of the business, which will be reflected in our financials over a period of time. Revenue for the quarter was slightly short of INR 3,000 crores, INR 2,981 crores, with a gross margin of 28%.

We would like to highlight that the gross margin is a reflection of the product mix and with Camellias and the DC floors going down , have led to a lower number. Operationally, our embedded margin stands to be very healthy, which is reflected in the future potential, which has been talked about, and this will get reflected in our reported financials as and when the new age projects starts to come into fruition . Overall EBITDA stood at INR 628 crores and

PAT at INR 766 crores, reflecting a year -over -year growth of 19%.

On our annuity side, we have an operating portfolio of 46 million square feet with industry standard on occupancy of 94%, Downtown Chennai received OC in the current quarter and it is already leased over 99%. We also received the OC for Midtown Plaza, which also we have an

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over 80% pre-leased. Atrium OC is expected in the current quarter. The reported rental for the current quarter for DCCDL grew at almost 15% year-on-year and almost 12% sequentially. PAT had a very, very healthy robust growth year-on-year, reflecting at 26%.

With this, I'll open for question and answers.

Moderator: Thank you very much. We'll now begin the question and answer session. Anyone who wishes to ask a question on the audio bridge, may press '*' and '1' on their touchtone telephone.

If you wish to remove yourself from the question queue, you may press '*' and '2'.

Participants on the webcast can click on the Ask a Question

tab on the webcast screen and follow

the instructions and join the Zoom meet and click on the Raise Hand icon in the bottom of the Zoom window.

First question is from the line of Akash Gupta. Kindly introduce yourself and your firm name and proceed with your question.

Akash Gupta: Hi sir. This is Akash, from Nomura. Congratulations on the great sales performance for both Privana and the Bombay project. Sir, my first question is on your launch pipeline.

What's your thought on the launch pipeline for the Goa project?

Second, when are we bringing the next phase of Dahlias? And what would be the size of that project? And when are we bringing the Phase 2 for the Bombay project? That's my first question.

The second question is with respect to your collections. Collections for this quarter were slightly on the flattish side. So what's your thought on that? Thank you so much sir.

Aakash Ohri: Thank you. So Goa, as you've seen are -- when we mentioned and talked about Bombay, Goa, as and when the approvals come by, we will get down to Goa, which we're hoping they come by in the near future. So Goa, we'll work on that.

With regard to the next phase of Mumbai, we've just about come out of the first phase.

In fact, I was complaining right now that Mr. Tyagi has not even congratulated me. So at least let me take a breather here.

So but Mumbai, we're excited. I think that we changed the discourse there and very grateful for the support we got in Mumbai.

You all are aware that we did what we did in record time,

and we were oversubscribed in our whole in the entire process. So hopefully, I think even if we prepone and do whatever, the next phase will take until next year, so because of the SRA regulations, as you are aware. But Mumbai has given us great belief and things. So we will come to Mumbai as soon as we get all our approvals. That's for the second phase.

Dahlias, the main launch in Dahlias is sometime in March, April, the main launch, with the experience center and everything. But that doesn't stop us from doing -- we are still in demand.

We are taking this call. We had completely got out of the market. But I guess you know there are a lot of friends and family references that are coming for Dahlias. And I think our approach DLF Limited

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will be to kind of meet them and take this forward for Dahlias as well. So I think as far as sales is concerned, this is what how we're going to be approaching quarters, let's say, 3 and 4.

And as far as the collections are concerned, be rest assured, there was some delays in construction, and therefore I mean, because of actually weather conditions and all that.

So some demands couldn't go out.

But let me just tell you, most of these demands or the monies are in the tune of almost about 80% to 90% received. So maybe just about 10-odd percent demands, which got withheld because of certain conditions, which are going in or are in the process of being sent right now.

So that will then take care of that particular thing also.

Akash Gupta: Got it, sir. And sir, my next question is on the DCCDL part. DCCDL rental income was up by 15% in the quarter. I just wanted to know your thoughts what drove the DCCDL's rental income growth this quarter?

Sriram Khattar: So the rental income growth, if you please allow me to explain to you on an annual basis, that will probably be a little easier. See, from the existing portfolio, the rental growth is between 7% to 8%, 8.5% or so. But we have put in a framework in place, where we want the growth to be in the mid-teens year after year. And for that, the balance growth from 7%, 8% to the mid-teens comes from the new assets that come into play. And the total growth will be, if you look at year-to-year, of about 15-odd percent.

There will obviously be variances from quarter-to-quarter depending on which assets got completed and where the rentals

commenced in a particular quarter. So this quarter, we had the benefit of, last quarter we had the occupancy certificate of Downtown 4 Gurgaon. And this

quarter, we had the occupancy for Downtown 3 Chennai. But the rentals for both these will commence sometime from September - October.

Akash Gupta: I see. Got it sir. Thankyou so much and best of luck.

Ashok Tyagi: Thank you.

Moderator: Thank you. Next question is from the line of Puneet. Kindly provide your company name and proceed further with your question.

Puneet: Hi this is Puneet, from HSBC. My first question is with respect to the income recognition.

Can you talk about what all projects were recognized in this quarter?

Badal Bagri: Yes, Puneet, the OMT project in Delhi and the Garden City Enclave in near Gurgaon, they were the two main projects, which we recognized in the current year.

Puneet: And so primarily, the OMT is responsible for lower margin. Is that how one should look at it?

Badal Bagri: Yes, yes.

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Puneet: Okay and secondly, if I look at the consolidated sales number for ONE Midtown, it seems to be a negative number. Is there a cancellation here?

Aakash Ohri: See, ONE Midtown, what happens it's not cancellation. But what has happened in ONE Midtown is that people have upgraded from 2 bedrooms to 3 bedrooms and 3 bedrooms to 4 bedrooms.

So that is the variance right now that you see is because of that.

So what you do is generally when, let's say, couple of people, not couple, a lot of people had taken 2 apartments, and they have now upgraded to 1 large apartment. So the other one has come back to us, but that will be sold at the present premium, whereas at that point in time, these were 3 to 4, about almost 3 years back. So we've got a very healthy margin in each one of these.

So they're not cancelled. They're upgrades.

Puneet: Because when you look at the cumulative gross sales last quarter, it was INR 4,112 crores.

This quarter, it is INR 3,980 crores. So negative INR 132 crores. So that's what I'm wondering.

Aakash Ohri: So what happens here is that because people had upgraded, we've given them the option, so area to area, they have the same value. It's only the additional area that they paid for, and this has been our practice since the Camellias times and all. So there's nothing...

Ashok Tyagi: So Puneet, I mean just to refurbish what Aakash is saying, people upgraded from -- they have taken 2, 3 bedrooms. They upgrade to, say, a 4-bedroom and in the process releasing. So I think about 25-odd apartments have gotten released. This is reflecting in the negative sales in this quarter in OMT. And this, I'm sure with the demand should be more or less done in the hopefully, the following quarter, if not latest, in the next quarters.

Puneet: Okay. Fair enough. And second, on the construction run rate. While you did talk about environmental -related issues, weather -related issues, what is the level of construction spend one should pencil it for DLF residential business?

Badal Bagri: So Puneet, we had almost INR 740 crores to INR 750-odd crores spend, which was almost same or slightly higher than what we possibly spend in the last quarter, which is always the peak.

I think you can safely assume a number, which is this slightly going up over the next 2- 3 quarters or so.

Puneet: Okay. And collections should primarily follow with those construction spends?

Badal Bagri: That's correct.

Puneet: Okay. And lastly, there is also some bit of Vivad Se Vishwas recognition. Is there more to go?

Or is it just for....

Ashok Tyagi: No. It was the same one that was declared in the Q4 of last year. One particular form, by the time it was delivered to us, it was the first week of April. So it was actually the money was paid in the first week of April, even though all our applications have been done, I t

hink,

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in January or whenever they were done. So it is the same family of Vivad Se Vishwas, which we have disclosed last quarter. Cash flow -wise, one cash flow overflowed into the April.

Puneet: Understood. And lastly, on just DCCDL. When I look at cash flow statement, the finance cost has gone up while your net debt has gone down on a Q -on-Q basis.

Sriram Khattar: So I think it's got to do with the capitalization of assets. So since Downtown 4 Gurgaon and Downtown 3 Chennai got capitalized one in March and one in April or early May, the interest then goes to the debit. But if you observe, one second, please, you please observe our net debt levels have gone down.

Puneet: Yes. So I could see no material change in the finance cost as per P&L, but an increase in finance

cost as per cash flows.

Sriram Khattar: Absolutely. And not only that, I must say that last quarter, we were graded AAA by ICRA. And if you may recall, we have already graded AAA by CRISIL. And we were able to bring down our borrowing cost on the portfolio, which at an exit level is at 7.7% now. And we plan to continuously keep improving upon it.

Puneet: Okay, That's helpful. Thank you so much and all the best.

Moderator: Thank you. Participants may click on the Raise Hand icon to ask a question. Next question is from the line of Praveen Choudhary. Kindly provide your company name and proceed with your question.

Praveen Choudhary: Thank you. My name is Praveen Choudhary, from Morgan Stanley. Hello Tyagi ji, Khattar ji, Aakash ji and Badal ji. Congratulations on great quarter for presales of Privana as well as Mumbai launch and also a big growth of 26% in the rental business profit. So a very good quarter. I have the same question that I always ask, which is what's the use of so much cash that you are generating? So if Badal can provide us in the next 3 years, how much cash are we expecting from DP business? And then if anyone else can tell us where will we use this cash? Because my calculation of dividend growth is not enough to use all the cash. So that's the first question.

And I had a second question on Mumbai project. The fact that it has been very successful and, obviously, we will do Phase 2 as well. When should I expect or investors expect you to announce another project in Mumbai, if ever? Thank you so much.

Badal Bagri: Hi Praveen, if you look at, I think our overall cash balance is around circa INR 10,500 crores, of which almost INR 8,000 crores is sitting in the RERA account, which cannot be taken out, per se, and it's not free for use. INR 2,500 crores is sitting as cash balance right now, where there is a significant order of dividend payout, which is going to happen in the month of August itself. So while technically at this particular time, I don't think so we have significant surplus cash. But yes, the way the projects have been kind of envisaged and the way it's planned, over a period of

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time, yes, the company is going to generate a fair amount of cash. But you'll have to appreciate that a significant amount of that portion will always be locked into the RERA account until the time this is completed. So I think for the next 1-1.5 years or so, it may be premature for us to kind of think of extreme surplus cash available for any other alternate use as an organization, while as an embedded margin, the cash will be available to us as and when the project is going to get consumed. Secondly, on the dividend, I feel that we have a very positive trajectory over the last five years. We have continuously increased the dividend. And as and when more cash is available, this trajectory may change. So I would say that the next 1-1.5 years or so, we'll have clear position on the excess cash available, which is available for alternate use. And I think we should be kind of at

that particular point in time.

Ashok Tyagi: Praveen, really, it will only be, I'd say, about 24 months from now when Arbour sort of hopefully hits completion, that this entire cycle of the inflated RERA balances will start significantly moderating. And that's where the book cash will actually become sort of actual usable cash.

And that's where, frankly -- so we'll have like about 24 months to figure out what to truly do with the real big quantum of cash that could be available from then on in that sense.

And obviously, the dividend will keep on increasing.

Secondly, obviously, as you know, dividend is a function of two things. One is the cash available and B, obviously, is the DevCo profit recognition, frankly. And I'd say for the next 18-24 months, till the new generation of high-rise projects hits the revenue recognition mode. The growth in dividend will be there. I think it's been a very impressive growth, and it will continue at a very good pace. But possibly 2 years later, I think these paradigms could shift significantly.

Praveen Choudhary: There was a question on Mumbai project.

Ashok Tyagi: Okay. So Mumbai, look, the Phase 1 is done. For the Phase 2, we are commencing the slum rehab construction now. And I think hopefully in the next 12- odd months, we should have the approval level for the next phase of 1.2-odd million square feet to be made available to, Aakash. And so this will keep on chugging along at the rate, hopefully, of a million -odd square feet every 15 months or so. This is our projection.

We are -- to your second question that, would there be a second project in Mumbai? And if ever, I think I mean, clearly, we are open to a second project in Mumbai. We just have to figure out the right project and everything. As we have mentioned in the last many quarters, this was our first tentative return to Mumbai, and I think touch wood, the Phase 1 has gone off very well.

So I think it clearly gives us more confidence. I think hopefully, in the next 12 to 18 months, we should get even better confidence of Mumbai. We also settled our one old dispute that we had in Mumbai. So I think

clearly, hopefully, Mumbai, the geography, should grow, but just be slightly patient with that.

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Praveen Choudhary: Thank you very much and Congratulations again.

Ashok Tyagi : Thank you.

Aakash Ohri: Thank you.

Moderator: Thank you. Next question is from the line of Kunal. Kindly provide your company name and proceed with your question. Kunal requesting you to unmute your line and proceed with your question. Due to no response, we move on the next participant. Next question is from the line of Pritesh Sheth from Axis Capital. Please go ahead.

Pritesh Sheth: Yes. So thanks and congratulations for the great quarter. First question, in terms of launch plans, any changes for our project launch planned in DLF City that is probably Hamilton Phase 2, IREO or all of these projects would largely be FY '27. That's my first question.

Aakash Ohri: Yes. So right now we are working towards whatever guidance we've given you on. I think we're first working towards that. Launches take, as you know, in DLF, there's a lot of planning, especially on product. And I think that is what takes time. So I don't think we'd like to compromise or circumvent that procedure.

As far as the projects that you mentioned, they are slated for FY '27. And I think we will stick to that unless something changes or things are done. But as per plan, right now, we've got whatever we have committed and DLF itself is, as you know, INR 40,000 crore turnover. So a lot of work and effort, and I think time is going into that. And of course, whatever I said that we've done, we've committed, we'll be finishing that for this year.

Pritesh Sheth: Sure. And Aakash, congrats for a great response on the Mumbai launch. If you can highlight on the demand, w

high facets of the geography segment this demand came from? And how do you see this spanning out for the second on future phases? Any change in mix from what we saw in the first phase to second phase you envisage for our Mumbai launch?

Aakash Ohri: Thanks, Pritesh. So yes, Mumbai, I think business came from all over. In fact, I was told that Mumbai doesn't even shift PIN codes, but we have business in South, we have business from all over. We had a massive, massive broker support in Mumbai, who kind of got in business from every where. The DLF brand prevailed.

The product itself. I've done an analyst meeting there at site. So most of you have come there.

You know how good the product is. You know 50,000 square feet is just the clubhouse.

And DLF's track record of service and hospitality, most of the customers are thrilled to have a facility like this.

So I think what prevailed there was definitely a very solid futuristic product, very thought after.

People love the balconies. People loved every attribute of what we had to present there.

So that was very heartening to see. I was also told that Mumbai takes time in selling, and it's flow wise and everything else.

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So that confidence that the public at large and the customers really gave us a lot of strength.

Our centers, almost literally, I mean, used to pack up late night and get back there early in the morning to get everything going. So great response in Mumbai.

With regard to how I mean, the other demographics are all CXOs, COOs, entrepreneurs.

We've got 20% of our business has come from NRIs, which our regular trend in any of our launches that you may be tracking and seeing. And these are the Mumbai NRIs we're talking

about. Also, some of the other brokers all across the country contributed, but they brought in

people from Mumbai and around. So I think the Maharashtra business prevailed, so it was in 80:20. And that's where we work, Pritesh.

Pritesh Sheth: Got it. Got it. And just one question for Sriram sir, on the SEZ occupancy, which is 87%, I think big opportunity for us to improve this going ahead and have a scale up in terms of our rental portfolio. So how we expect the trajectory to be in terms of the SEZ occupancy?

Sriram Khattar: Okay. So let me first put the opportunity in perspective. You would have seen that we have an overall vacancy of about 6% in volume terms. But in value terms, the vacancy would contribute only to 4% of total income. So that's one part.

Second part, in an SEZ, as you know that the SEZs are going through a transition at the moment, where the government has announced certain portion of the SEZs to be converted into non-processing areas and then leased out as normal commercial space as per the license allotted to that particular plot.

So we are in the process of doing that. And we believe that this 13-odd percent will slowly come down. But I do not think it will come down in the next quarter or 2. It will take a few quarters for it to come down. The process itself with the government, where you have to get the approval

from the unit area commissioner going right up to the Board of approvals and Ministry of Commerce is a 4 to 5 months affair. Having said that, we have seen one more trend that the non-processing areas, which are converted in North India, seem to be getting a better rentals from compared to the SEZ areas. But in the southern SEZs, we are not seeing that. The rentals typically remain the same for SEZ and non -SEZ areas.

Pritesh Sheth: Got it. That's helpful and answer my questions. Thank you and all the best.

Moderator: Thank you very much. Next question is from line of Abhinav Sinha from Jefferies India. Please go ahead.

Abhinav Sinha: Congrats to the team on a strong set of numbers. Sriram, sir, just a follow -up. So I understand that straight lining for the Block 4 Gurgaon Downtown would have st

arted last quarter.

Did we start for Chennai this quarter? Or it is in Q2?

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Sriram Khattar: Yes. So the OC for Downtown 4 Gurgaon came in the month of February and the spaces were handed over to the tenants. I expect the rentals to commence from next month and then right up to November, December when the full 100% rentals will start coming. The O C for

Downtown 3 in Chennai came on May 4 th.

However, we had worked out with the largest tenant there, which out of 1 million , had taken about 740,000 square feet to start the fit -outs after the Fire NOC came in November. And the good news is that the rental for that 740,000-odd will start from 5th of August, which happens to be today. The balance, 400,000-odd , the fit -outs are going on, and the rental for that should start sometime in November, December.

Abhinav Sinha: Okay. And sir, also for Atrium, how do you look at this ramp up?

Sriram Khattar: So Atrium Place, is nearly fully leased, I think about 150,000 square feet from 3.1 million is left. In fact, the entire amenities and retail area is also now going to be fully leased by the end of this month. We expect the OC for the first three blocks totalling to 2.1 million to come in later part of this month. Three tenants have already started the fit -outs, and the balance will start the fit-outs after that. So as we see today, the rentals will come in sometime in December, January.

Abhinav Sinha: Okay, sir. Thanks. Aakash, a couple of questions on the resi dental side. So on Dahlias, I understand earlier plan was to open the experience center in third quarter.

So is it March, April now? Is there some reason for that? Or we're just taking some time for the product itself?

Aakash Ohri: No, it's too grand a product and the experience center itself is going to be quite an experience.

So always, especially when you have foreign consultants, you have equipment coming from all over the world, certain design-related issues keep going back and forth. So that is what it is.

But as I mentioned some time back, sales, we are not going to stop sales. Sales, we will continue.

We've got, as you know, 50% of Dahlias is sold. And therefore , and with super luxury, it's always a valuation game.

So every sale, and also please understand that in the entire Golf Links complex, we have nothing.

If somebody wants to actually now buy, we don't have stock. So retrade is something that we are concentrating on. We're trying to make sure that values are even further strengthened for all our customers, not even the Dahlias, but Aralias, Magnolias, and Camellias . And that's what we're doing, both from the rental point of view and retrade and sale point of view.

So, we are making sure that there's enough support given to our existing customers.

And therefore, that will , today if people won't have that time and are okay to wait it out for 4 years, then Dahlias is the option. Otherwise, there is a constant and robust demand for Golf Links in general. So I think that's what it is.

Also, mostly the show and tell is the Camellias , existing Camellias and which is already ready.

So no matter what I do in our experience center, the proof in the pudding is in its eating and the kind of endorsement that I have of people who live there and who make good amount of money,

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even if they can say they live there, so it's notional money, but still it's great appreciation to their properties and, of course, their experiences that they go through. So that's our biggest support today.

Abhinav Sinha: Right. On the launches for the year, from the premium bucket, can we expect something in

FY '26?

Aakash Ohri: Yes, but we've got some of these things that are coming out is more luxury. So I think right now, at this point in time, I think, we'll be concentrating on this and some risk here and there .

But I think that is what we'll be concentrating on for the next two quarters.

Abhinav Sinha: Okay, sure. So Tyagi sir, maybe if you can help me with one , I mean, just wanted to understand how you're seeing the movement on approvals for, say, the next set of ONE Midtown. Are things better in Delhi on that front? Or it's still more than a year or two years out?

Ashok Tyagi: So ONE Midtown , I mean, not ONE Midtown, but basically that Midtown Project, the next phase, I think, in all fairness, is a couple of years down the line. So obviously, the approval processes and all have begun. The EWS will be constructed there. But I think by the time it is ready for launch you could be talking of two years. So , I mean, clearly, it should be fiscal 2027-28. I don't think it's going to happen in the fiscal 2026- 27, the way things look right now.

Abhinav Sinha: Got it. And it's still the same issues or have they like sort of changed?

Ashok Tyagi: I'm honestly not as prudent into the minutia of the approval policies. But I think obviously, the Delhi, because the quantum of high-rises that come up for approval is far lower than a Gurgaon or a Mumbai or a Chennai. The process is slightly slower than what it is in these more , in these cities where this is almost down to our process.

But I think I don't foresee any fundamental challenge, except the general pace is just a trifle, more complicated or slower in a place like Delhi than it is in Gurgaon or Mumbai. It's also the multiplicity of authorities and all in the way the city is governed. And I think all of those things just add to that challenge.

Moderator: Thank you. Next question is from the line of Girish Choudhary from Avendus Spark. Please go ahead.

Girish Choudhary: Hi good evening. Congratulations on the successful launches. Firstly, if you could help us understand the embedded gross margins, which if I refer to Slide number 10, this quarter was around 39%. It is lower than FY '25, I understand that, but why this should be lower than fiscal '24? Because we've seen like a meaningful price increase for Privana over, I mean, the last two launches. So I mean that's the first question.

Badal Bagri: Right. So Girish, our embedded margin for the sales done for the quarter is coming at 40%. The margin for our projects, as you would appreciate that when we drop a project model, DLF Limited
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there's a fair amount of contingencies and escalations, which are built in the project line itself.

And as an organization, we always continue to be slightly on the conservative side.

So 40% margin for Privana North is, I would say, still fairly reasonable, okay?

And this is in line with our guidance of almost on a product portfolio perspective, a weighted average margin of 45%. So the INR 4,500 crores over INR 1,100 crores kind of reflects a 40% margin from Privana standpoint.

Ashok Tyagi: And it's the improvement on the margins o f the previous two Privana s which are in the 36%-37% range.

Girish Choudhary: Got it. Sec ond, if you can guide us on the...

Moderator: Girish, sorry to interrupt you, can you please, speak through the handset. Sorry, sir, there was a hold music from the Girish's line. We will move on to the next participant. Next question is from the line of Kunal. Kindly introduce your company name and proceed with your question.

Kunal : Yes. Hi t his is Kunal , from CLSA. Just on the cash utilization side, right? You did mention that there's a lot of completion coming in the next few years and that will unlock a lot of cash, which is sitting in the RERA accounts. At what level of cash levels would you be compelled or, for that matter, like you would look at deploying that cash into growth capital vis -a-vis like keeping it in banks?

Ashok Tyagi: No, no. So please understand the preferred utilization of free cash is growth or shareholder return, honestly. Obvi

ously, if we have cash more than what those two can absorb, then it goes into earning financial income. And there also, I think over time, as those quantum , we'll have to figure out more efficient uses of improving the financial income. But clearly, there's no threshold as such that on top of that we will begin hunting. Like we purchased, we did one deal last year.

If there are opportunistic transactions that come our way, we'll be more than happy to look at.

I mean, in the last two years or so, we did about INR 1,000 , INR 1,100-odd crores in that Sector 61 transaction. We have spent a few INR100 crores in the Mumbai investment. So clearly, we continue to invest. In fact, even in the North heightened land acquisitions through the year, I think it's a number which almost puts us INR800 crores to INR1,000 crores through the year,

4 acres here, 3 acres consolidation there, horizon Center, TDR land, all of those things. So I think we are keeping our machinery busy. But yes, if you're looking at a big bang land acquisition, I think, (a) it will depend on one that is available to our risk appetite and our risk appetite in all fairness might be lower than what some of our competitors may have. And (b) I think obviously, the cash is there even today. I mean, access to cash is the least of our problems right now, frankly. And that given that we have already a land bank of more than 20-odd years, it has to be a very, very tempting opportunity for us to be tempted into it.

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Kunal: Sure. Just a follow-up on that, having seen the kind of response that you got in Mumbai and the success that you received. Are you now going to start, will you look at other geographies also besides Mumbai, just to see how the brand is perceived and what kind of response you can get in these new markets?

Ashok Tyagi: I mean, honestly, outside NCR and the Chandigarh Tri-City where we have vast land potential, I think Mumbai is our only location where we are potentially looking to execute and hopefully, over time, invest because it is the country's biggest real estate market. We were not present for such a long time. This is our first very controlled entry experiment. And hopefully, if this clicks, and if this does well for us and for our customers, there could be growth opportunities there.

Aakash Ohri: So Kunal, I'm respectfully, I just want to say that you send us, send me also on a wild goose chase. Now the point is that even the share value has to increase, right? So that's how we go back, when we go back and talk to the management, they say, well, every other parameter has been met, everything has been done, you've got margins. So basically, what happens is, first, I was told Mumbai is tough market.

Three years, we've been talking, press, you guys, everybody told us this. Now that resounding success, the day of the success, actually that morning, the shares dropped by 2%. So I don't know what the parameters or where the motivation lies actually, honestly, so we keep going around circles. But point is that, look, if you are talking about our ability to go to any place in the country and do whatever, and I'm saying this very humbly we have that.

We've got land banks that we have to monetize here and elsewhere. And we will do that in good time. And I think I also recall that conversation in 2018, where we were termed as an elephant and not agile and all. I've been through all those cycles. Now that we are doing whatever we're doing and demonstrating it, I think somewhere down the line, someone in the system is not convinced of what is happening.

So I think one step at a time, but whether it is Gurgaon or Mumbai or Panchkula or Chennai or Bangalore, I can assure you, wherever we go, there's a certain way we operate.

There is thankfully a good customer base that continues to have faith in us and support us.

And I think right now, what

that DLF is doing is not on that treadmill. DLF is also being very conscious of two things: one, responsible pricing and second, execution. So I think that's where we are.

And none of this should be misconstrued to be any weakness or our ability to do INR 50,000 crores a year or anything. So this is where we are right now, and this is where we'd like to keep it.

Kunal: Thanks, Aakash. Just reconfirming a few launch time lines. You did say that you'll open Dahlias for sales even during the festive season despite the formal launch in March and April 2026.

So that will continue, right, from festive season?

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Aakash Ohri: Yes, yes. That we will have to continue because, thankfully, as I said, 50% of Dahlias are sold now. I'm under pressure from friends and family. But all that is going to come at an incremental value, I mean, valuation. So that I can assure you that whatever has been done has been done.

The new sales or the new, not even, I'd say, if I can call this prelaunch, that was pre-pre-launch, now this is prelaunch, and then there will be launch. So even now, the valuations have kind of gone up in Dahlias.

Kunal: Understood. And then on a couple of projects we had lined up even in DLF City, I suppose, in this fiscal. Would that also come in the second half?

Aakash Ohri: Yes. No, they were not in this fiscal. They were always in the next fiscal, but there are some very exciting projects that are on the anvil, and you will see them.

Kunal: Okay. And lastly, on Goa launch, did you say FY '26 or '27?

Aakash Ohri: No. As soon as we get like all these new regions, whether it's Mumbai, Goa, they come with

their own complexities and also their approval processes. I think Mumbai took whatever time it took and thankfully, all's well that ends well. But Goa will also it's in the last stages of approval. So I think as soon as that is done, we will be in the market.

Kunal: Sure. My last question was to Mr. Khattar ji. Sir, one of your peers recently bought out stake from its partners, which was initiated by its partner in one of the rental platforms.

Are you hearing anything from GIC in terms of like potential exits or anything of that sort?

Sriram Khattar: In DCCDL?

Kunal: Yes, in DCCDL. Yes.

Sriram Khattar: So the answer is a very straight no. They have been invested in us from the later part of 2017.

It's nearly 8 years now. They are very credible, and they are extremely -- it appears they are very quite happy with the way their investment and the progress that DCCDL is making. And between Ashok and me, we have not heard anything from them in terms of their wanting to exit. However, on the other hand, they are always looking at seeing how they can invest more with us.

Kunal: Very clear sir. Thank you.

Ashok Tyagi: And again Kunal you are sitting in Mumbai, you should check with them.

Kunal: Thanks.

Moderator: Thank you very much. Next follow-up question is from the line of Girish Chaudhary from Avendus Spark. Please go ahead.

Girish Chaudhary : Yes, thanks for the follow up. A couple of housekeeping questions. Firstly, if you can guide us on the capex budgets, both DLF and DCCDL for FY '26 and FY '27?

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Sriram Khattar: So I'll probably answer DCCDL and Rent Co assets, which are either in DLF, DCCDL or, say, the Atrium Place investment, we will be investing in the ballpark of INR 5,000 crores this year and INR 5,000 crores in FY'26 and FY'27.

Girish Chaudhary : Okay. Got it. And in terms of any updates on the exit rentals at DCCDL for fiscal '26.

Sriram Khattar: So I think the exit rentals for March '26 for DLF as a whole will be INR 6,700 crores, out of which INR 5,900 -odd crores will be DCCDL and the balance INR 750 crores will be between DLF and Atrium Place. See, DLF is now going to get 3 new malls for 1.3 million in Moti

Nagar, Summit Plaza in DLF Phase 5 and Goa.

And it will have the benefit of one data center in Noida and the Atrium Place rentals kicking in.

So whilst you will see that the rentals commenced this year, the actual full year benefit will come in FY'26, FY'27.

Girish Chaudhary : Got it. That's very clear. Thank you and all the best.

Moderator: Thank you. Next question is from the line of Vasudev Ganatra. Kindly release your company name and proceed with your question.

Vasudev Ganatra: Yes. Hi, Thank you for the opportunity. I'm Vasudev, from Nuvama and congratulations on the super quarter. So just on the 1.3 million square feet of malls, which you just said, just wanted to know where are we in terms of leasing and completions for these assets?

Sriram Khattar: So I'll start with the three malls. The first is what we call a High Street Plaza, which is near the Midtown projects in Moti Nagar. That mall is now 85% leased. It got its OC about 3 months back. The tenant fit-out is commencing within the range. There was a little disruption, but it is commencing now.

And we expect that by December, the rentals will start. Summit Plaza which is in DLF Phase 5. For that, the OC application is being submitted during the course of this week. It typically takes 60 to 75 days for the OC to come. And the fit-out start around the time of the OC with most players other than some of the anchors. And therefore, we believe that should also start generating the first round of rentals from Q4 FY '26.

Promenade Goa, which is the biggest out of these three, the construction is delayed by about a quarter primarily because of the slowness in the labor markets in Goa. We expect the mall to be completed by January and the fit-outs to start thereafter. But I was in Goa recently, and I dare say that the design of that mall and the way it is coming up. It will be an excellent example of how a midsized mall should be designed and created. And we will surely have the first-mover advantage in Goa.

Vasudev Ganatra: Yes, sure, sir. Thank you. And just one number about gross leasing that we did in this quarter ?

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Sriram Khattar: So I don't know. I mean, this year, our target gross leasing is like last year, between 8 to 9 million square feet in offices and between 1 to 1.4 million leasing, 1.5 million in the malls, in the retail

space.

Vasudev Ganatra: Okay. Sure sir. That's it from my side.

Moderator: Thank you. Next question is from the line of Akash Gupta. Kindly provide your company name and proceed with your question.

Akash Gupta: Akash here from Nomura. Sir, in FY '25, we did a presale of roughly INR 210 billion.

And during the Investor Day, we were thinking that the presales for this year would be also at a similar level. Now the experience center for Dahlias we are bringing in March and April.

Do you think there's a risk to this number for FY '26?

Ashok Tyagi: No, there is hopefully no risk to this number. I think if you see, we have already done 11.5 in the first quarter. Mumbai has already happened. So I think we will already be sitting at about 14. So I think that this number of 20 to 22 that we had said last time is completely secure.

And then I think let's just see how the balance pieces fall into play. But I don't think we have a challenge on this on the sales guidance that we had given you.

The second piece I'd like to -- which I thought was a part of my closing comment, but I'd put it here also is that, much as it will break your hearts, presales is not a metric that we track.

We track margins and cash flows. And presales is a necessary fuel for that. But because we do INR 30,000 or INR 20,000 or INR 18,000 as long as I'm generating the same quantum of embedded margins and the same quantum of current and future cash flows.

Those are the metrics that we are looking for. And frankly, not just I mean,

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he INR 12,000 crores presale this year will have the entire Privana piece will have hopefully a healthy sprinkling of Dahlias. We'll have Mumbai. We'll have some of Tri -City Chandigarh.

And last year, the presale of 21 had a huge INR 13,000 crores of Dahlias.

So I think it's what constitutes that presale, which is a number that, frankly, we are focused on versus just the presale number by itself. That's the story from my side, this is the new story.

Akash Gupta: Understood sir. Thank you so much.

Moderator: Thank you very much. Ladies and gentlemen, that was the last question. I now hand the conference over to Mr. Ashok Tyagi for closing comments.

Ashok Tyagi: So thank you so much all of you for taking time out on this Tuesday afternoon. I mean, yes, we had a decent quarter. Obviously, we need to continue sustaining this. I mean, as I mentioned just now 30 seconds back, our primary driver continues to be to strengthen our embedded margins, to strengthen our operating cash flows and to strengthen and grow our rental business.

And I think on all the three parameters, we continue to work in a with a reasonably strong piece.

Mumbai, this quarter was a first for us in that sense, and we are happy that Aakash pulled it off.

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In the previous quarter, the entire Privana North sale was also an absolutely fantastic experience, INR 11,000 crores of sales.

So clearly, I think our , I mean, whatever steps we had outlined for ourselves, whatever objectives we had shared with most of you who came in on the Analyst Day, we continue to relentlessly pursue that path without necessarily getting distracted into anything else. And hopefully in the next few quarters will continue to be an ongoing journey down that road. And I think we'll continue sharing the good news, hopefully with you quarter -on-quarter. Thank you.

Sriram Khattar: Thank you.

Aakash Ohri: Thank you.

Moderator: Thank you very much. On behalf of DLF Limited, that concludes this conference.

Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Nov 2025

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4th November 2025

The General Manager
Dept. of Corporate Services
BSE Limited
P.J. Tower, Dalal Street, Mumbai – 400 001 The Vice -President
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex
Bandra(E), Mumbai – 400 051

Sub: Transcript of Earnings Call

Dear Sir/ Madam,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings webcast.

Requisite details regarding the earnings webcast are as under:

Sr. No. Particulars Details

1. Date of Earnings
webcast 31st October 2025
2. List of management
attendees - Mr. Ashok Kumar Tyagi – Managing Director, DLF Limited
- Mr. Sriram Khattar – Vice Chairman and Managing
Director, Rental Business, DLF Limited
- Mr. Aakash Ohri – Chief Business Officer and Joint
Managing Director, DLF Home Developers Limited
- Mr. Badal Bagri, Group Chief Financial Officer, DLF Limited
3. Web -link of the
Transcript Q2FY26 -earning -Transcript -2025 -26.pdf

This is for your kind information and record please.
Thanking you,

Yours faithfully,
For DLF Limited

R. P. Punjani
Company Secretary

Encl.: As above

For Stock Exchange's clarifications, please contact: -
Mr. R. P. Punjani – 09810655115/ punjani- rp@dlf.in
Ms. Nikita Rinwa – 09069293544/ rinwa -nikita@dlf.in

"DLF Limited
Q2 FY'26 Earnings Conference Call "

October 31 , 2025

M
ANAGEMENT : MR. ASHOK KUMAR TYAGI – MANAGING DIRECTOR , DLF
LIMITED
MR. SRIRAM KHATTAR – VICE CHAIRMAN AND
MANAGING DIRECTOR (RENTAL BUSINESS), DLF
LIMITED
MR. AAKASH OHRI – JOINT MANAGING DIRECTOR AND
CHIEF BUSINESS OFFICER
MR. BADAL BAGRI – GROUP CHIEF FINANCIAL OFFICER ,
DLF LIMITED .

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Moderator: Ladies and Gentlemen, Good Day and Welcome to DLF Limited 's Q2 FY26 Earnings Conference Call.

We have with us today on the call, Mr. Ashok Tyagi – Managing Director, DLF Limited; Mr. Sriram Khattar – Vice Chairman and Managing Director (Rental Business); Mr. Aakash Ohri – Joint Managing Director and Chief Business Officer; and Mr. Badal Bagri – Group CFO, DLF Limited. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Badal Bagri. Thank you and over to you, sir.

Badal Bagri: Good afternoon, everyone and thank you for joining this call. Sriram will be joining us in a few minutes from now.

First of all, to begin with, I would like to wish all of you a very happy Diwali and hope all of you had a good time with your family.

Let us start with the “ Quarterly Highlights. ” New sales booking for the quarter stood at over Rs.4,300 crores, which was led by our successful maiden launch in Mumbai, “ The Westpark , ” which was extremely well received.

Our momentum on the super luxury segment continues to be robust.

Consequently, cumulatively, our sales for the first half of this fiscal stands at over Rs.15,750 crores, which is in line with the guidance which we have provided for this fiscal.

Collections were at Rs.2,672 crores, which was in line with the demands raised basis the construction and payment milestones. We continue to have extremely high collection efficiency across all our launch projects. We would like to highlight that this number does not include the collections of JV, which is The Westpark , which was approximately Rs. 240 crores. As the construction progresses and corresponding payment plans are there, we expect the collections to inch up in the second half of this fiscal. As guided earlier, our construction is witnessing a ramp up and consequently, we saw an increase in the outflow for construction expenses at Rs. 925 crores.

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Overall gross cash balance stood at over Rs. 9,200 crores, of which approximately Rs. 8,350 crores is in RERA accounts.

We repaid Rs. 963 crores of debt in the current quarter, leading to our outstanding debt position as on September 30th to be Rs. 1,487 crores.

In line with our strategy of increasing shareholder returns through higher dividend payouts, we paid Rs. 1,485 crores of dividend in this quarter, implying Rs. 6 payout per share, reflecting a 20% growth year-over -year.

Consolidated revenues stood at Rs. 2,262 crores, EBITDA at Rs. 902 crores and PAT of Rs. 1,171

crores on a consolidated basis. This includes a one-time impact of approximately Rs. 600 crores on account of the settlement done on the Tulsiwadi project, which was entered into in the previous quarter in the month of July. This has been accounted partly in other income and exceptional items. CRISIL has upgraded the credit rating of DLF Limited, and it stands at AA+ with a Stable Outlook, which reflects of our strong balance sheet, our healthy cash flow generation and sustained business performance.

As we have highlighted in the past, apart from pre-sales, our focus area continues to be gross margins and surplus cash generation. At the end of this quarter, as on 30th September, our gross margin potential stood at over Rs. 40,000 crores and surplus cash potential stood at over Rs. 44,000 crores. On the annuity business, our operational rental portfolio stands at 49 million square feet, which is one of the largest organically grown business. We continue to maintain extremely high levels of occupancies. O

n a value basis, it is around 96% and area basis almost 94%. Non-SEZ office is over 98% and retail continues to be at 97%-98%.

DCCDL rental income grew to Rs. 1,362 crores, which reflects a 15% growth year-over-year.

PAT grew by 23% for the same period. DCCDL net debt stood at Rs.17,335 crores as on September end and net debt-to-EBITDA on an annualized basis stood at a healthy 3.1x.

DCCDL has been awarded Five-Star Rating by GRESB for its ESG initiatives and has been awarded as the Global Sector Leader in this space.

Our pre-sales continue to be very, very strong. Atrium, Gurgaon, which is a 3.1 million square feet, our pre-sales levels are all at 93%.

Midtown Plaza, where we have received the OC, the pre-leasing has been at 85%.

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With this, I will hand over to Michelle for Q&A.

Moderator: Thank you very much, sir. Ladies and gentlemen, we will now begin with the question-and-answer session. The first question is from the line of Akash Gupta from Nomura. Please go ahead.

Sriram Khattar: So Badal, it is pre-leasing and not pre-sales, that's just a little bit of a.

Badal Bagri: Pre-leasing, yes yes.

Akash Gupta: Hi, sir. Congratulations on good performance this quarter. My question was on your launch pipeline in the second half. Where are we on the Goa project? And then we saw a pickup in the Dahlias sales this quarter. How should we think about the Dahlia sales for the rest of the quarter? That is my first question. And then my second question is on the FY27 launch pipeline. What projects are we looking at for launches there? Thank you.

Aakash Ohri: So, thanks, Akash. First of all, your question on the present status of Goa is all approvals are received where there is a court case that is going on in Goa, which is not related to us, but I think as far as we are concerned, we are getting launch ready in Goa, which we hope to bring hopefully in this quarter, otherwise, definitely next quarter. That is Goa. Your question on Dahlias. Dahlia sales has done well for this quarter. You may have heard the news yesterday about this big sale also that happened. Dahlia sales is on its track, but Dahlia sales is not a mass product, we take Dahlias on an invitation basis only and that will continue. So, far, so good. We have done over 50% of sales in Dahlia sales and we will continue our kind of score there. With regard to launch pipeline for FY 27, we have got good things happening then as well. We have got the Hamilton 2 project lined up, we have got another Privana, we have got some developments in Panchkula. So, we have got the next 18 months kind of clear visibility of what we want to do and how we want to do it. Right now, as Badal was saying that our main focus right now is making sure that our construction capabilities are strengthened so that our customer commitments are on track. Akash, does that answer it?

Akash Gupta: Yes, sir. Just a follow-up question on the pre-sales guidance. I think we have a guidance of Rs. 200 to 210 billion for FY26. We have already done Rs. 160 to 170 billion in the first half. Is there any upside risk to the guidance for FY26?

Aakash Ohri: No. I think as far as we are concerned, we are going to be working on that particular commitment as of now. I do not think at this point in time, we would like to overcommit ourselves. But as you know, our main focus has always been on margins and you have seen the report and we would like to maintain that trajectory.

Akash Gupta: Got it. So, one final question on the IREO land parcel. Is that coming in FY27?

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Aakash Ohri: IREO, I mean, not FY27, maybe end of it. But at this point of time, the sequence that I have kind of mentioned to you first is how it is going to play out.

Ashok Tyagi: Akash, we are in the process

of getting the final licensing and some of those things on that. So, I think, Akash, Mr. Ohri is right. So, that it will come sometime, hopefully in the next 18 -months. But obviously, I mean, there are some things that still need to be there to make it completely ready for come to the market.

Aakash Gupta: Understood, sir. Thank you so much and best of luck.

Moderator: The next question is from the line of Parikshit K handpal from HDFC Securities. Please go ahead.

Parikshit Khandpal: Congratulations on very, very strong numbers on pre -sales. So, A akash, my question, so I quite did not get what is the launch pipeline for the rest of the year. So, what I could gather is that Goa is the next launch. So, after that, any other launch for the rest of the year?

Aakash Ohri : Yes, we have got the Arbo ur 2, the senior launch that is pending. We have got some things in Panch kula that is going to happen. Obviously, D ahlias the next phase before we formally launch it sometime in Q1, the main launch, but definitely in Q4, we woul d be doing some more I woul d say invitations in D ahlias. So, we have got our hands full, Parikshit, right now for at least the next quarter and a half. So, we have got these two, three things lined up.

Parikhit Khandpal: Okay. And sequencing wise, you said Q3 is the Goa. So, Goa will be like upwards of like 3, 000. So, what will be the G ross Development Value of Goa? And also, if you can highlight Arbou r 2 tentatively, what is the timing and what kind of GDV you expecting to reach ?

Ashok Tyagi : Parikshit, if I may step in. Across the next 18-month s cycle, we have Goa lined up , we have this Arbo ur Senior Living lined up , we have hopefully one round of P rivana lined up , we have one round of what is usually called Hamilton 2 , we have the next phase of The Westpark , we have Panch kula. Across the next five and a half quarters, how these things eventually launch will be a function of the approval cycle and the underlying demand in those places. We are a business which frankly does not pitch fork ourselves disproportionately on the Devco side into how a particular quarter is looking or not looking frankly. It is a long cycle business. But across the next 18-months, I have broadly laid out, A akash has also laid out the sort of launches that we are looking at and the exact timing of these will frankly be a function of the underlying demand and the approval cycles of each of these individual projects.

Parikhit Khandpal: Understood, sir. So, the second question is like, I mean, for the last many series of launches, we have been seeing a complete sellout, including the Andh eri West. So, A akash, can you give us some flavor on the demand now , in subsequent launches , so, are you seeing a similar kind of trend or do you think DLF Limited

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that now the thing is of the past and maybe the velocity will slow down and as the realizations have gone up and it will be more distributed now with the construction of the project?

Aakash Ohri : So, are you talking about new going forward, what are you talking about?

Parikhit Khandpal: Yes, new projects which are lined up on a launch.

Aakash Ohri : So, as you know, every time there are doubts and all that and there are certain markets which operate differently. But as DLF, we operate differently. So, for us, as far as we are concerned, I think I have said it before also, for me, the world is my playing stage. So, it is not concentrating on any particular geography of what I mean . Wherever there is an Indian outside, wherever there is, let us say, an investor within the country / person, who is keen for me, it is like a continuum, we continue to market brand DLF. So, as far as we are concerned, yes, we kind of get into this first day, first show mostly. But again, to prepare for that, it takes time. But Mumbai has been an overwhelming response. We just d

id a broker 's reward and recognition yesterday . It was again a full house. So, all that will continue to happen. But I think, ye s, if you ask me that right now, going forward, we woul d like to keep each launch as take it one time a launch and I think we will prepare for them as we do regularly in how our processes work. I do not think we can take any launch for granted or any market for granted or any individual. But for us, as I said, we continue to mine DLF as one of the most prominent and most preferred asset class and especially in the residential offering. One thing that I can just answer this question for you is that today my demand for DLF is not geography-specific. I am getting responses from across the country and that is my policy of one DLF . It does not really matter where you are, as long as it is an asset, as long as it is something that is giving you great returns and fantastic living value. I think that is what ha s driven home. That is where I have investments from every potential investor coming into a DLF property launch, whether it is in Mumbai, whether it is in Panchkula, whether it is in Gurgaon or Delhi.

Parikhit Khandpal: Okay. So, my question was, are you seeing any slowdown in demand? And what I could gather is that you continue to see the strong demand and the velocities, which we have seen in the past may continue to happen project -by-project , is it the right assumption?

Aakash Ohri : Yes, yes. I only speak for DLF right now. So, I just feel that we have a certain set of people we have created or have worked with for over years and I woul d like to believe that, look, we will go back to them and their kit h and kin and our extended relationships. And I feel that DLF today is a very strong brand to reckon with and has become a good source of investment. I am happy to tell you that the top equity brokers have also invested in the super luxury real estate today. So, I think that itself is a fantastic validation of what the residential business is doing today of DLF.

Parikhit Khandpal: Okay. This is the last question, Aakash. So, now Noida's prices have come in line with what Gurgaon or they coming closer to that and also in MMR after the successful Westpark. So, how are you looking
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at business development in these two locations going ahead to get incremental market share and growth on pre-sales?

Aakash Ohri : See, I think as and when we get a good deal in Noida, we will be there. Noida is something which has been also calling us for some time. Mr. Tyagi sitting here is also listening to you. So, as far as Noida is concerned, yes, if you ask me whether I am prepared for Noida, the answer is yes, and we will come into Noida as soon as we get a good deal. We just want to make sure that for us, it is an opportunity, cost of time and money and energy. Either you continue to spend time to clean up a land parcel or you get something which is reasonably clean so that we can get involved, we would go with the latter. And Mumbai the same, I think we are right now going to be busy with our phase-II launch. The first launch has been a very humbling experience. So, we will continue to keep our head down and do our job there. And yes, as and when there are other opportunities in Mumbai, we are going to be doing that. In fact, as I speak to you, I am in Mumbai meeting a lot of new, kind of CEPs and everybody. So, yes, we are excited.

Parikhit Khandpal: Thank you.

Moderator: The next question is from the line of Pritesh Seth from Axis Capital. Please go ahead.

Pritesh Seth: So, first question is on Dahlias when you mentioned that we will have another phase of opening before the official launch. What sort of phasing out that we would want to do in terms of our inventory -- would it be like similar to what we have done this quarter or more than that, how are we looking to phase

out the rest of the inventory in Dahlias? That is my first.

Aakash Ohri: So, Dahlias as you know, is like a Rs. 100 crore plus kind of an investment. So, again, this one thing that I want to say, it is not going to be a mass thing, but we are getting reasonable traction and pulls. Even yesterday's news, we were trending number one in Twitter and everywhere else. So, there is a good amount of attraction we have got and attention we have got actually for Dahlias across the country actually. What is happening, the top 5-10 families in every big city is now reaching out to us, which is again something that we are working very hard on. So, yes, we would like to kind of maintain what we did for one more tranche or whatever placements that we want to do. But our process of kind of meeting people and all that is continuing. We are already over 55% -odd already sold. I think our main game is going to begin after the experience center is ready and the whole show and tell starts, which is post-April and then, of course, the price points will substantially go up from there. So, I think, let me put it this way, what we had to do for Dahlias we have done. And right now, now it has to kind of play its own game. And I feel that the game has just begun in Dahlias. Please keep watching this space. But I think we are not going to be in any hurry and kind of just offloading and nor is it a product which it is not that kind of also affordability and all that is going to play a big aspect there.

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Pritesh Seth : And just for clarification, how many units were sold this quarter and in terms of average realization, where we are in Dahlias ?

Aakash Ohri : Dahlias, I think we are about close to Rs. 16,000 plus there.

Badal Bagri : We sold 18 units this quarter, Pritesh. Okay, on cumulative basis, we sold 221 units.

Pritesh Seth: And pricing?

Aakash Ohri: Pricing in terms of what, per unit?

Pritesh Seth: Per square feet.

Aakash Ohri : Per square feet is now over a lakh and on carpet is now almost about 1.25 to 1.50 depending on where you are located.

Pritesh Seth: So, almost a Camellias kind of a pricing? Okay. Okay. Second question on the collections, I am sort of like just trying to figure out how should I look at it, Rs. 2,500 crore s annualized run rate of Rs.

10,000 crore s. We have sold almost Rs. 15,000-20,000 crore s every year in last three years, right?

Ideally, I would want the collection to catch up to that number. But alternatively, when I look at what we have sold, in terms of major projects, right, Privana, Arbor and Dahlias, cumulatively is around

Rs. 46,000 crore s. If that supposed to be get realized in next 4-5 years, then this Rs. 10-11,000 crore s

collection run rate is kind of enough, right? So, do you expect this collection to scale up or I think

this Rs. 10-11-12,000 crores annualized run rate should be a good number to look at, at least from

the sales that we have done and probably incrementally once we add up more in terms of sales, then there would be growth in that collection, so just some thoughts on that ?

Aakash Ohri : Collection is as per schedule.

Badal Bagri: Pritesh, I think, as you rightly pointed out, our average collection for the last two quarters have been in the range of Rs. 2,700 to 3,000 crores. As I also mentioned in my opening commentary that the collection is dependent on the timing of how the construction develops, and it is all payment linked. Our collection efficiency remains extremely high across all our projects. In the second half, many of the milestones will come in and you should expect uptick in the overall collections in the H2 of this financial year. On an average, I would say Rs. 13,000 -14,000 crores is the number broadly going forward, I think you can work on for next year.

Pritesh Seth: Perfect, perfect. That is helpful. And lastly, on Atrium

Place, how are we going to recognize the rentals coming from that asset into the cash flows? I think in P&L, we will do in that one line JV item, but just in terms of cash flows, where should we look at for that number?

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Badal Bagri : So, Pritesh, as it is a JV, I think the cash flow is going to come only through either interest payout or dividend payouts in the parent company. So, as of now, no cash flow has been included from Atrium . The profit will also come as a one-line pickup as we see in DCCDL as far as DLF consol is concerned.

Ashok Tyagi : What we can do , Pritesh is, maybe from the quarter -ending March, we can have a one pager on the operating performance of Atrium , so that there is complete visibility on the rental collections, leasing person pay, all of those things from your side.

Sriram Khattar : So, Atrium plays as an entity has a total development of 3.2 million, out of which 2.1 million, the occupancy certificate came this quarter. And this 2.1 million, between 1.9 and 1.95 million is already leased. Tenant fit outs are progressing fast. And we expect the rental income to start coming in from December. But for all the three put together, the income will come by about April of next year. That is one data point. The other data point is that the last hour of 1.1 million is under construction and is slated to be completed in May, June next year. By the way, it is already leased and it should be handed over and then the rentals will start 6 -7 months after that.

Pritesh Seth: That is helpful and answers my question.

Sriram Khattar : And when all the four towers are rented and the rental comes in full force, I think the gross rental income is in the ballpark of Rs. 600 to 650 crores.

Pritesh Seth: Got it. Perfect. Thanks. That is it from my side and all the best.

Moderator: The next question is from the line of Abhinav Sinha from Jeffries. Please go ahead.

Abhinav Sinha: Hi. So, just following up on the previous question on the rental income , so, the three retail assets that we have completing this year, when do you expect them to start contributing to the P&L as well as the cash flows and what should be that number?

Sriram Khattar : So, the rental income should start from the coming quarter Q4 and will continue to accumulate till Q3 of next year or Q2 end of next year. That is because the OC for Midtown Plaza has come. We spread the OC of Summit Plaza this quarter and the OC of Promenade Goa in Q4. After the OC comes, it typically takes 4 -5 months to do their fit outs before their income starts coming in. I think on a cumulative basis for the three malls, the rental income should be about Rs. 400 odd crores , out of those plus another Rs. 60 crores for the Summit Plaza, which is established, it was Rs. 450-460 crores.

Abhinav Sinha: Okay. So, that should be say the exit run rate in FY27, right?

Sriram Khattar : Yes.

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Abhinav Sinha: Okay. And have we started thinking about which assets to start working on, because we are almost done with this round of CAPEX in DLF Limited ?

Ashok Tyagi : Okay. So, in DLF Limited, we are looking at identifying with Mr. Khattar and his team the potential assets that we can take on once these three plazas are commissioned. And if you look at the five -year projection in that we had put out in the analyst presentation, actually that does lay out some of those assets. But I think serious work on those would possibly begin by early part of next year.

Sriram Khattar : Early part of next year , and if you open your notes on the five -year projections we had given, we had tentatively laid out the assets that we are going to work on and develop over the five -year period.

Abhinav Sinha: Okay. Tyagi sir, just continuing a little bit here. So, we now have REIT being classified as equity very soon and

and there has been a bit of a run -up. So, any thoughts, again, on considering a REIT of DCCDL?

Ashok Tyagi: So, in all fairness, as we have said earlier also, that for us, the entire strategy of cyber city

monetization, the timing and the form would largely be driven by what our partners want. And from whatever we have understood so far, at least in the next, I would say, medium term, right now, there does not seem to be any evident plans of that, so, I would say, at least for the next three years possibly we are not looking at anything serious. And again, once they are closer to making an option, we will evaluate all the options that exist in the market at that time. REITs are looking good today. They were looking bad nine months back. Who knows what the situation is in 18 months down the line.

So, it is a dynamic situation here. Purely from a DLF standpoint, we are clearly not in any hurry to monetize this entire great asset that has been created. But at some stage if the partner wants a public way out, at that time, we will definitely honor their wishes.

Abhinav Sinha: Right. Sir, just one last bit on the Kolkata IT SEZ. I think that revenue recognition is still pending, right? So, will it conclude this year?

Sriram Khattar : So, the progress is good. But since it is an SEZ and there is a land parcel as part of the integrated sale, the approval process is rather slow because it not only makes the SEZ approval, but the state government approval also. So, our teams are working on it. As we speak, the state government approval has come and the development commissioner has given his go-ahead. So, now it will go to the board of approvals for a final approval and then it will go through another round of approval for the de-notification. So, I think we are still about three and a half months away from monetization.

But let me mention that from, I think, August onwards, there was a delay benefit that was attached and therefore, every month, in addition to the rental, about Rs. 2.5 crores keeps getting accumulated to the sales consideration. So, if you look at the sales value there, the rental and the sales consideration more than take care of the opportunity cost of those funds.

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Abhinav Sinha: Okay. Thanks and all the best.

Moderator: We will take the next question from the line of Puneet Gulati. Please introduce yourself and proceed with your questions.

Puneet Gulati: Hi! Thank you so much. This is Puneet from HSBC. My first question is, if you can talk a bit about the cost of construction for Atrium Place, Summit Plaza, how much has it really cost you to build Atrium?

Sriram Khattar : So, we always calculate the cost of construction based on the gross municipal area. So, Atrium Place, including the cost of approvals and consultants, it is about Rs. 6,000 per square foot.

Puneet Gulati: And if you add the land cost, etc., then how much would have it totally cost the then JV entity?

Sriram Khattar : So, if you want me to give the math, the total cost, including cost of approvals and the opportunity cost of the purchase of land and otherwise comes to about Rs. 17,000 per square foot. Yes. And if you look on the other side, the average rental is about, if you say about Rs. 170 plus the parking income and the carrying income. And if you try to sort of multiply that by 12 and put whatever cap rate you like, you will see the gross profits that are there or the value accretion that is there.

Ashok Tyagi : So, Puneet, this includes the land, the approval, the construction cost, the capitalized interest for the last four years, all of those things.

Puneet Gulati: Okay. So, Rs. 17,000 per square foot there ?

Ashok Tyagi : Yes.

Puneet Gulati: And on the debt side, while we do not really worry about debt and is there an endeavor to bring down gross debt to zero or you think because of Atrium Place now, you will

I always have a LRD kind of debt which will keep sitting here ?

Sriram Khattar: In which entity? DLF, DLF group, DCCDL?

Puneet Gulati: DLF.

Badal Bagri : So, in DLF, I think, Puneet, our endeavor is to kind of go to gross debt zero. So, we are already at Rs. 1,487 crores as I mentioned earlier and we are working towards making DLF level the gross debt to be zero. In DCCDL and Atrium kind of place, you will always have long term loan because that is the most efficient way to operate those assets as well.

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Puneet Gulati: Great. That is helpful. And lastly, on The Westpark, like you talked about disclosing on the Atrium detail, that will be great if you can disclose The Westpark as well, because that is also separate collections, which investors should know and the construction spend which is happening there ?

Ashok Tyagi : Sure. Absolutely.

Puneet Gulati: That is all from my side. Thank you so much and all the best.

Moderator: The next question is from the line of Parvez from Nuvama Group. Please go ahead.

Parvez: Hi. Good afternoon and thanks for taking my question. So, one question is from my side. When we

talked about our potential launches over the next 18-months and which includes Goa, Arbour, Privana, etc., what would be the total GDP of all these projects?

Badal Bagri : So, Parvez, the way we would like to look at this is that if you look at our analyst presentation, which we had made, and this is also included in our quarterly presentation, we have a roadmap of a total launch of Rs. 1,15,000 crores in the next four to five years or so. And we are tracking against that. It is again that we have already almost Rs. 48,000 crores of products that have already been launched between last year and this year. And we benchmark ourselves to that number. Depending on government approvals and the market situation and the demand, I think we are product-ready and we will be product-ready. Depending on the market situation over the next two to three years or so, these will get fructified and these will get launched.

Parvez: Sure, sir. The second question is, some status of the under-construction projects, largely the Downtown in Gurgaon and Chennai would be great, what is the status of construction and then a likely timeline for completion both in Gurgaon and Chennai?

Sriram Khattar : So, let me start with Gurgaon. Gurgaon is a total development of about 7.5 million square feet. It is an integrated development and going down to six basements. So, construction is now in full swing and we expect to complete it by mid '28. And in Chennai, Tower 4 and 5, the construction is also in full swing and Chennai is ahead of Gurgaon by about six to eight months. So, we should finish the construction of that by beginning of '28.

Parvez: Sure, sir. Thanks and all the best.

Moderator: The next question is from the line of Ronald Sioni. Kindly introduce yourself and proceed with your question, sir.

Ronald Sioni: Thank you for the opportunity. This is Ronald Sioni from ICICI Securities Direct. Sir, just wanted to understand on the cancellations part, like we had seen this quarter also one of the projects getting

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higher cancellations than sold. So, at what point of time the contractual terms do not allow cancellations, because I believe there is an interest component also attached with respect to cancellations, so, at what point of time the agreement or the construction timeline does the project or does the unit does not get cancelled?

Ashok Tyagi: So, our philosophy over the recent past at least has been that if for whatever reason, technical, commercial, personal circumstances, a customer is not happy with staying in a particular project, we do not create any artificial impediments in retaining him with any unneces-

sary encumbrances.

And so hence frankly, like, Aakash can educate you on the cancellation in the last quarter. But there will always be one of cancellations that will keep on happening because of individual customers, including at times what they will get and their own requirements may have evolved in the three or four years of construction. And so, I do not think it is anything to be alarmed about. And we definitely, while we obviously want everybody to abide by the contract, we do not use the contract to basically, as I said, we will obviously recover the unnecessary deposit, etc., But we do not like to unnecessarily keep the customers artificially encumbered because of contract. Aakash, please.

Aakash Ohri : No, a couple of things. So, Ronald, first of all, this is not a cancellation, this is actually an upgrade to what Mr. Tyagi is saying. As the product evolved and people came to its fruition and handover started to happen, people realize that they needed larger and bigger apartments. So, first, that is a very healthy sign actually. So, we can, Badal, going forward also, I think we can say cancellation / upgrade, whatever kind of clarifies further. So, even if you look at the scheme of things with Rs. 16,000 crores of sales and all, it is a very minor kind of a thing. But these are good problems to have, because people have upgraded from a two to a four or a three to four bedroom actually, and then have released their stock, which we happily take back and sell at present price points. The other thing what Mr. Tyagi was saying that when the other part, which is a very important part of retaining customers is also it directly impacts our collections. So, we have a very robust system where a third-party tracks it within our system, and they are responsible for collections and should we find any red flags there it is independent systems checking each other, which flag such things and generally we avoid taking laggards and all, generally, we give people enough time, but at no point in time, do we penalize anybody, in fact, even deposits and all that. So, I think that is how we go about it. So, collections is a very important factor of thing. And if you have seen, they are healthy, because there are good sales, but there will always be these times where people would want to for whatever reasons bail out. And I think it gives in our part, I think it is, we report these things, not only but also it gives, I am sure the customer and overall market get strength from how we practice this particular process, because at no point in time, we hold on to people who do not want to be part of our system.

Ronald Sioni: That is very clear. Thank you very much for the response. Best of luck.

Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Ashok Tyagi for closing comments. Thank you and over to you, sir.

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Ashok Tyagi: So, thank you so much, gentlemen and ladies for joining this. I mean, I think as Badal, Mr. Khattar and Aakash all took you through the various aspects of our performance, not only for the quarter, but also the coming medium term. I think this continues to be a good phase for us as a company and possibly for the industry as a whole. I mean, residential, retail, and office leasing, all the three verticals are continuing to do well. We continue to stay focused on responsible launches and selling, constructing to the utmost quality and with the utmost compliances, and trying our best to come up to the maximum expectations of our customers, be it in the commercial business or residential business. Our own internal standards of governance, etc., continue to be, we keep on trying to improve those quarter-on-quarter, year-on-year. And I think, frankly, hopefully with all this, look forward to reconnecting back with all of you in the

new year. Thank you.

Moderator: Thank you members of the Management Team. On behalf of DLF Limited, that concludes this conference. Thank you for joining us and you may now exit the meeting.

Call: Jan 2026

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29th January 2026

The General Manager
Dept. of Corporate Services
BSE Limited
P.J. Tower, Dalal Street, Mumbai – 400 001 The Vice -President
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex
Bandra(E), Mumbai – 400 051

Sub: Transcript of Earnings Call

Dear Sir/ Madam,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings webcast.

Requisite details regarding the earnings webcast are as under:

Sr.
No. Particulars Details
1. Date of Earnings webcast 23rd January 2026
2. List of management
attendees - Mr. Ashok Kumar Tyagi – Managing Director, DLF Limited
- Mr. Sriram Khattar – Vice Chairman and Managing
Director, Rental Business, DLF Limited
- Mr. Aakash Ohri – Chief Business Officer and Managing
Director, DLF Home Developers Limited
- Mr. Badal Bagri, Group Chief Financial Officer, DLF Limited
3. Web -link of the Transcript <https://www.dlf.in/qu -result/Q3FY26 -DLF-Earnings -transcript -2025 -26.pdf>

This is for your kind information and record please.

Thanking you,

Yours faithfully,
For DLF Limited

R. P. Punjani
Company Secretary

Encl.: As above

For Stock Exchange's clarifications, please contact: -
Mr. R. P. Punjani – 09810655115 / punjani -rp@dlf.in
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"DLF Limited

MANAGEMENT : MR. ASHOK KUMAR TYAGI – MANAGING DIRECTOR ,
DLF LIMITED
MR. SRIRAM KHATTAR – VICE CHAIRMAN AND
MANAGING DIRECTOR (RENTAL BUSINESS), DLF
LIMITED
MR. AAKASH OHRI –MANAGING DIRECTOR AND CHIEF
BUSINESS OFFICER
MR. BADAL BAGRI – GROUP CHIEF FINANCIAL
OFFICER , DLF LIMITED .

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Moderator: Ladies and gentlemen, Good Day and Welcome to DLF Limited's Q3 FY '2 6 Earnings Conference Call.

We have with us today on the call Mr. Ashok Tyagi, Managing Director, DLF Limited ; Mr. Sriram Katt ar, Vice -Chairman and Managing Director (Rental Business); Mr. A akash Ohri, Managing Director and Chief Business Officer ; and Mr. Badal Bagri, Group CFO, DLF Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. Participants connected on the webcast are requested to refresh their tab in case they face any issue.

I now hand the conference over to Mr. Badal Bagri. Thank you and over to you, sir.

Badal Bagri: Good evening, everyone, and thank you for joining us today. We will begin with our overview of operational and financial performance. We are pleased to report a strong performance in third quarter of this fiscal with robust operating execution, strong cash flows, and a significantly strengthened balance sheet.

Our performance this quarter reinforces the resilience and quality of our business model. We are extremely pleased to report that we witnessed record gross collections of around Rs. 5,100 crores with sustained collection efficiency across all our projects. We believe this is one of the most critical and leading indicator of the underlying strength and quality of our sales.

Net collections during the nine -month period were Rs.10,216 crores, reflecting a year -on-year growth of 21 %. Supported by these strong collections, our net surplus cash generation for the nine-month period was Rs. 6,432 crores, exceeding the entire cash generated in the last fiscal. The performance highlights a disciplined focus on cash flows as a core metric of value creation. As a direct outcome of this strong cash generation, we have achieved our goal of zero gross debt in the development business ahead of our estimated timelines. Our balance sheet remains extremely robust, with gross cash of approximately Rs. 11,600 crores, of which the RERA balance would be Rs. 10,400 crores. Recognizing the sustained improvement in our business, ICRA upgraded our credit ra ting to AA+, with a stable outlook , following C RISIL upgrade in the previous quarter.

New sales booking in the current quarter was Rs. 419 crores. A few things we would like to highlight around this are, as previously indicated, bookings at Dahlias were paused during Q3 as a part of planned redesign to enhance customer experience. The bookings have now resumed. While there were no new launches, it is noteworthy that we were able to monetize almost one -fourth of our inventory, excluding Dahlias , within this quarter. New launches continue to be aligned with our medium -term growth plan s, and we remain confident of achieving our stated sales trajectory across the medium -term. Few financial highlights of the quarter Our consolidated revenue stood at Rs. 2,479 crores, a growth of 43% year -over-year. EBITDA stood at Rs. 848 crores, a year -over-year growth of 39%. Profit after tax before exceptional items at DLF Limited

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Rs. 1,252 crores, reflecting a growth of 29% year -over-year. Reported profit after tax of Rs. 1,207 crores, a 14% growth year -over-year.

Now I'll hand over to Sriram to give the highlights of our annuity business.

Sriram Khattar: Good evening. T he annuity business continued to perform well. The take -up from the GCCs and

international companies, especially in the BFSI and technology sectors, was fairly strong. Our closing vacancy as of 31st December is now in DCCDL, where about 88 %-90% of the rental

assets are – is now down to about 5% - 5.5%. However, in terms of value, now it is further down to about 3.5%. The income was fairly robust.

The Downtown 4 in Gurgaon is fully leased. Downtown 3 in Chennai is fully leased and I am further pleased to share that Downtown Phase 2, if you may recall, we have four towers. The biggest tower is Tower 7, which is 2.2 million out of 5.5 million total offices. We have been able to lease the entire tower already. In Atrium Place, we've been able to lease one, two, three and four all the towers completely.

We received the OCs for Tower 1, 2, and 3. The tenant fit -outs are making very good progress, and the rent commencement has started for one or two tenants in the last quarter, but will now pick up pace. The construction of Tower 4, which is leased to one single GCC, has slowed down marginally because of the GRAP situation here.

There we expect a delay of about 45 days to 60 days in its completion, but we expect the completion to be in July -August of this year. Maybe it goes to August and September beginning. In Downtown Chennai, we have the construction on the 4th and 5th towers going full speed. We have re -engaged with the international architects and re -done the promenade, which is in the centre of these five buildings, and I dare say it's come out to be extremely nice and good. In this also, in Tower 4 and 5, which is 3.5 mil lion, we have already leased 4 ,50,000 square feet, and negotiations are on for further leasing in Downtown here and Downtown there. Therefore, as we stand today, our stock in our existing buildings is quite low. It's now down to about 1.5-odd percent, and therefore the leasing in the next year will be restricted to either the mid -term expir ies that happened, the nine -year renewal s, and the new build -out that is still in place. In retail, the consumption in the last quarter was much better than the consumpti on in the corresponding quarter in the previous calendar year. We have met our budgets in terms of our NOI and in terms of our other activity.

The occupancy continues to be 97 %-98%, the three new malls, which are all in the books of DLF , two of them, Midtown Plaza and Summit Plaza, are now 95 %-96% leased. Fit -outs are going on, and within the next three months, we should open both these malls. Promenade, Goa, the leasing has commenced . And I'm saying it with some cautious optimism that the initial response has been very heartening, and we have the first -mover advantage there.

We have the advantage of creating the best mall in that entire region, and we are reasonably confident that we'll make a big success of it. The construction of Mall of India, Gurgaon, is progressing along with the other towers and offices, and there is goo d progress being made there. In Noida, Data Centr e 2, as we call it, which is the third building, we have the rent

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commencement of that also in this quarter, and construction on Data Centr e 3 is going on in full swing.

We continue to create a lead in the area of ESG and in sustainability and fire safety. We became the world leaders again by the swords of honour received from the British Safety Council. We have also got a Platinum rating from WiredScore for a number of our buildings, and now we are the largest portfolio in the world.

Badal Bagri: Okay, we can take the questions now.

Moderator: Thank you very much. Ladies and gentlemen, we will now begin the question -and-answer session . We'll take our first question from Puneet Gulati from HSBC. Please go ahead.

Puneet Gulati: Thank so much for the opportunity. My first question is actually on your collection, which has notably gone up this quarter. Is that a sustainable run rate one should think of from a quarterly perspective, or has there been some previous quarters views which have got accumulated in this quarter as well?

Badal Bag

ri: Okay, Puneet, I think from a development business perspective, it will be the best way to look at the collection will be on an annual basis rather than quarter -on-quarter basis. As you would know that most of our sales is construction linked, and the amounts become due as and when the construction phases or the milestones are ac hieved. So , I would say instead of looking at quarter -to-quarter, this will always be misleading.

We had no significant dues of the previous quarter which has got taken up in this quarter. As mentioned earlier in our presentation as well, that our collection efficiency across all projects remains extremely high. So , the way I would look at collections is we should look at a 10 %-15% growth year -over-year versus what we have achieved last year on an overall basis from a collections point of view.

Puneet Gulati: Okay, so 10 % - 15% growth this year, full year, and then next year also similar number?

Ashok Tyagi: Yes.

Badal Bagri: Indicatively, yes .

Puneet Gulati: Okay, okay. And from construction spend , should that also be largely similar, I understand that there 's a bit of GRAP issues you are facing?

Badal Bagri: So, Puneet, I think this quarter was, as you rightly pointed out, we had issues. We had suspension of work for a good 30 to 40 days, 40, 45 days or so. But if you look at the nine -month trajectory, the last nine months of this year and last nine months of previous year, our construction spends are almost 40 % up, almost Rs. 2,400 crores versus Rs. 1,500 odd crores which we spent last year.

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And as we had kind of mentioned earlier, a range of Rs. 900 crores to Rs. 1,000 crores is a good number to kind of look at on a quarterly basis. It's a number which possibly you can consider as a reasonable construction spend over the coming quarters.

Ashok Tyagi: And Puneet, just to, I mean, reiterate one more point that if you now look at the last three or four years, Q3 always gets impacted by a GRAP . I mean, 30 days, it could be 45 days, but effectively like between one to one and a half months in the entire year does get lost unfortunately to the entire pollution -related GRAP measures. And I think most of it happens in Q3, unfortunately.

Puneet Gulati: Understood. And secondly, if you can elaborate a bit more on why did you pause the sales in Dahlias and what is the expectation of the new product into this Q4?

Ashok Tyagi: Ok. So here, unfortunately, Aakash, while he was joining .

Badal Bagri: He's already there.

Ashok Tyagi: So normally, Puneet, this quarter would have been a reasonable quarter for us in the usual couple of thousand crores of the non-launched quarter sales. We were doing some design modifications on Dahlias to improve the entire layout and the client experience.

And then as you know, as per RERA, if you do a design modification, you have to run it for the approval of all the existing customers and I think 75% odd customers need to sign off, then RERA needs to take cognizance of it. So unfortunately, about two to two and a half months of this quarter was spent in that entire process.

I mean, we are very glad that in early January, RERA has given that permission after taking into cognizance of all the customer approvals that came in. And now Aakash has resumed the sale.

Aakash, over to you on the Dahlias Q4 piece .

Puneet Gulati: And also what design modifications you've done, if some colors can be given.

Aakash Ohri : So Puneet, I'll tell you first, with regard, it's an enhanced design. Basically what happens is as the codes change, you can adapt to the new ones or you can go back and work with the old ones.

I think we've demonstrated a tremendous amount of strength in kind of implementing that. And every element of design and structural stability has gone up manifold.

Again, I 'd say to you that we could have continued to do what we

were doing, but I think we

chose, took a call that this is going to be, since the project right now is in its inception, we decided that we'll go with the new code and therefore, whether it was the structural part or whether it was the certain other elements in terms of facade and all, you know, the product has come out beautifully. So , I think that is one.

It is, you know, accepted also by a lot of customers who have endorsed it. As you know that the process is that you have to take full endorsements from the existing customers. And now we're over 55%, almost 60% sold and that is before launch. We've got an overwhelming response from our customers and that's as far as Dahlias is concerned. With regard to your point on collections, I'd just like to add to what Badal and Mr. Tyagi has already said.

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So our collections, if you have been tracking them, have been consistently doing well for the last over two years. And that speaks clearly about the quality of sales done. So as far as this particular quarter is concerned, it is, and there is no overhang or there is nothing that has added to the previous quarter that we have kind of realized this quarter. This has been primarily a schedule based collection and it has been more than 100%. .

Puneet Gulati: And the design change, will it do anything material to cost of construction for Dahlias ?

Aakash Ohri : Yes, it will do material change to cost of construction, little bit for sure. But also as you know, Dahlias is a dynamic price point system. It is not linked to volume sales or not linked to any categories. The Dahlias will continue to rise. Just to let you know, from the past year alone, there has already been a 25% increase in Dahlia's pricing and we are selling. So both, yes, to answer

your question, that plus, of course, commensurate revenues as well.

Badal Bagri: Puneet, just to add one more point, our margin for this project will remain intact despite what we are doing. Intact to positive, I would just say, but I would leave it intact for this point of time.

Puneet Gulati: And lastly, if you can also elaborate on what your plans for this calendar year in terms of new products or phases that we should watch out for?

Aakash Ohri : Well, this calendar year, we are working on Arbour 2, as you know, the senior living. And we've got our residual business to do. And then, of course, now we are back to, we re-introduced Dahlias and that is before the main final Big Bang launch. So, we will try and use this quarter as well for that. And look forward to the senior living launch, as we had talked about.

Ashok Tyagi : And Puneet, if you are asking for the Calendar '26, will see at least one major group housing launch in DLF City. It will see the next phase of Westpark in Mumbai. It will see a launch in Panchkula . It will hopefully see Goa. So , I mean, all of those launches will happen. Most of them in the calendar, maybe something will fall into Q4 next year, but I think most of them should happen in this calendar.

Puneet Gulati: So, Goa should be now next year, fiscal year, not this whatever potentially.

Ashok Tyagi : In this fiscal, there are eight weeks left. Let's see if we can pull out in this eight weeks.

Puneet Gulati: Okay, great. Thank you so much and all the best.

Moderator: Thank you. We'll take our next question from Pritesh Sheth from Axis Capital. Please go ahead.

Pritesh Sheth: Hi Sir, thanks for taking my question. Just on Dahlias , so, any specific set of inventory planned to be open for this quarter in terms of if you can quantify that or everything is open for now, but we are taking it, you know, invite by invite. So how should we one look at that?

Aakash Ohri : Dahlias has been open always. I don't think we've restricted any inventory or any tower. So , we've been getting a phenomenal response. And I'd be happy to, at any given po

int in time, show

you the graph there and so Dahlias is doing very well.

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Aakash Ohri : So, Dahlias , there is basically, as far as sales is concerned, it is open because also, please understand that these are high value transactions. So , it will be unfair for people. Yes, the price difference between certain values, depending on the preferential location charges that they carry, obviously are different from what they will be to maybe lower apartments or lower placed apartments or certain other things.

So that's like any other kind of development that we do. But Dahlias has got some amazing view with the new Lake Park that we are building, which is one of the most phenomenal green spaces that you will see. It's a hybrid of Hyde Park and Central Park . So, it's going to be one of its kind. And that carries its own price point.

And then, of course, the south side carries its own. So , it's open. It's by invitation. And all I can say at this point in time, we have got healthy traction. We are doing well and now we've got great traction from the rest of India. In fact, from top equity and capital market brokers also have started to realize that, look, with all the geopolitical issues going on, converting financial assets to hard assets is prudence today.

So, I think Dahlias is doing pretty well there and also the NRIs continue to respond. We just clocked in Super Luxury, one of the most renowned NRIs. I won't name him at this point in time, but one of the most respected and I think in the top three NRI persons in the world has just bought DLF Super Luxury. So , we continue to get good traction from across the world. The Rest of India is responding extremely well and of course, our local markets as well.

Pritesh Sheth: Sure. And how should we think about the monetization? Obviously, we don't want you to rush on that. But in general, like initially when we launched, we had a target of, I mean, we have internal targets of probably monetizing it in three years. That still holds or longer or shorter? What would be the time now?

Aakash Ohri : No, so Dahlias , as I said, first of all, let me tell you, it's a dynamic pricing policy. As you know, the valuations, the turnover is about Rs. 42,000 crores and when we started off, it was about Rs. 29,000 crores . So, you've seen it grow. And as far as the monetizing is concerned, we had started with a four-year plan.

And because we've done well, what we had planned to do, we've almost doubled that target in just about one year. So, I think we're not going to stop anything. But based on what the price points are going to be, I feel that it'll take its own time and that's how Super Luxury should.

Pritesh Sheth: Sure, sure and just to reconfirm, Arbour 2 the senior living will get launched in Q4, along with the next set of inventory.

Aakash Ohri : Yes. So we're working towards that. We are r ight now in various stages of permissions and all. So yes, we're working towards that.

Pritesh Sheth: And what is the revenue potential, GDV potential for that?

Aakash Ohri : That is about close to, now it will be close to about 2,000 odd.

Pritesh Sheth: Okay. Okay. Fair enough. And just on the commercial side, Sriram sir, what the exit run rate look like now with these leasing that has happened in the quarter, maybe for F Y 26- 27, if you can.

Sriram Khattar: Yes. So, exit run rates are now getting more and more difficult to forecast because exit run rate, which we say have in March, we multiply it by 12. And then the escalations that come up there, and then the new build out, which keeps getting leased and the operations commence and the rental start, it gets a little difficult to sort of only talk of the exit run rate.

So, as we stand today, our FY '26 will be about, the earnings for FY '26 will be in DCCD

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Rs. 5,900 crores and for DLF will be another about Rs. 550 odd crores. So, we, in that sense, FY'26 for the year, it will be about Rs. 6,400 crores for the rental business, for the annuity business.

Next year, the Rs. 6,400 crores will go to about Rs. 7,400 to Rs. 7,500 crores. In this, DCCDL will be about Rs. 6,300 crore s. But DLF will take a big leap of about Rs. 1,150 crores because Atrium Place rent als will start coming in for the first three towers and the rentals for the three malls will kick in also.

Pritesh Sheth: Sure. So these are actual numbers that we project, rather than the exit run rate?

Sriram Khattar: No, not the forecasted numbers.

Ashok Tyagi: The rental income forecast for the next fiscal year. Yes.

Pritesh Sheth: Sure. Sure. That's pretty helpful. Okay. That's it from my side and all the best. Thank you.

Moderator: Thank you. We'll take an audio question from the line of Abhinav Sinha from Jeffries. Please go ahead.

Abhinav Sinha: Hi, and great to see the cash collections happening in the quarter. So just one question on the cash balance and its utilization that we have. So, are we looking for a bigger jump in dividend payout this year?

Ashok Tyagi: So, Abhinav, as we have told in the past also, that while obviously this cash number looks brilliant on paper, and it is, a large chunk of it unfortunately still is trapped in RERA and frankly, we will start getting the unlocking of the RERA cycle from fiscal 27, 28 onwards. So, which is where I think meaningful cash utilization questions will come.

On the dividend front, two metrics have been going in the last 3 years, if you see. The dividend that we received from Cyber City to DLF and the dividend that DLF distributes to its shareholder. So, we are hopeful that the same trajectory of growth on both of those metrics will continue.

Abhinav Sinha: Okay and sir, for DCCDL dividends, should we see it as a 75% of PAT ratio to continue or because I guess the last, the biggest chunk is actually given out in the fourth quarter. So, what's the thought there?

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Sriram Khattar: So, the dividend payout, whatever percentage of the PAT was there last year, we at least propose to the Board to continue at that level for FY '26 and FY '27.

Abhinav Sinha: In DCCDL?

Sriram Khattar: That is in the ballpark of 75 %-80%.

Abhinav Sinha: Okay. Okay. That's helpful. Sir, on the Kolkata IT SEZ, when is the completion expected of the transaction?

Sriram Khattar: Yes. So Kolkata SEZ, which is, if you may please recall, Kolkata, one asset which was in the books of DCCDL was sold and the deal closed in December of '25. Kolkata SEZ, which is in the books of DLF, we have got the first stage approval from the Board of Approvals. We are awaiting the state approvals on one or two issues, which we are working along with the buyers. And we are quite hopeful that we will be able to close it in the current quarter.

Abhinav Sinha: Okay. So, the recognition should happen in the fourth quarter itself entirely?

Sriram Khattar: Yes. But having said that, the deal was such that the rent als per month continued to accrue to us till the date of the final payment. So, in addition to the advance we received, the rent als continued to accrue to us till the date of sale.

Abhinav Sinha: Okay. Sir, one last question on the broader Gurgaon market. Now, I know, I mean, DLF branded products have continued to do very well. But we keep on hearing two -way news flows. Just wanted to hear your take on that.

Sriram Khattar: On what? Residential, retail, commercial?

Abhinav Sinha: Residential.

Ashok Tyagi : Firstly, it is -- I'll tell you , Abhinav , which is, and I'll hand this over to Akash obviously . But then I'm saying it with semi -serious ness and semi -light, that you know, all the Mumbai -based analysts anyway view Gurgaon market with some

degree of scepticism. So that's one problem .

So even the slightest line hidden in somebody's stock exchange release, you know, gets flared up and then is projected to cover the entire market, which is not the case. But Akash, obviously you have a far closer connect with the market. So , your view on the Gurgaon market, sir?

Aakash Ohri: So, so Gurgaon market right now, I think this was a question also raised about maybe two quarters back. Gurgaon market right now has shown its robustness over years and also see, basically, please, there will always be all kinds of people operating everywhere, whether it's Mumbai or Gurgaon.

But if you see the kind of traction Gurgaon is getting, and you know, as I said, as far as DLF is concerned, I'm getting business for the Gurgaon markets from the rest of India. I have a very healthy pipeline and we've converted, so just to put it in perspective for all of you, our sales are about 25% NRI, our top line, and 15% are the rest of India sales coming in for Gurgaon alone.

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Now, that is the kind of business that we are getting. As far as Gurgaon is concerned, it is extremely, extremely well kind of, what do you call, accepted and people are, and across price points also, whether it's super luxury, luxury, premium floors, plots, I mean, you name it, and Gurgaon is right now the most favourite investment option for people across the board. So, there is enough depth in the market. People are choosing this by choice and, also a good reflection to all of this year -after-year, month -after-month, quarter -after-quarter is the collections that we report.

So, if there was any strain in anything that we would talk about, it will obviously, you will see a disconnect between sales and collection. So , the markets are strong, people are putting their money where their mouth is. And I think the growth potential is tremendous.

You see all the biggies coming to Gurgaon now. You name it and they're in Gurgaon. So why would they come into Gurgaon if there was any lack of depth or, if they'd assess it differently. But you look at all the top guys in the real estate market today, all of them are in Gurgaon now. Abhinav Sinha: Yes. Thanks, A akash sir, and all the best to the team. Thank you.

Aakash Ohri : Thank you.

Moderator: Thank you. We'll take our next question from Murtuza Arsiwala from Kotak. Please go ahead.

Murtuza Arsiwala: Yes. Hi, sir. In terms of, I think, part of the question you 've already answered. You had a lot of commentary from Peer set about Gurgaon being sort of slow, etc. But you've kind of answered that already. So that's well taken. If you could give some color on, let's say, what FY '27 looks like. We're almost towards the end of FY '26 in terms of the building blocks to sales just beyond, Arbour 2 and Dahlia s? That could be useful.

Ashok Tyagi: So, Murtuza, as I mentioned earlier that, I mean, from now till March 27, basically apart from Arbour 2, which senior living, which Aakash mentioned, we have one major group housing scheme in DLF City. We have the next phase of Westp ark. We have the next phase of Panchkula . We will possibly have one more phase of DLF City Floors. We'll hopefully have Goa.

So, all of these are in the approval and launch queue, in that sense and Dahlia s will continue to be the strong underpinning for this entire piece. So, fiscal 27 honestly looks pretty strong right now.

Murtuza Arsiwala: Thank you so much, sir.

Ashok Tyagi: We will give you the guidance in numbers in May .

Murtuza Arsiwala: We'll wait another quarter.

Moderator: Thank you. We'll take our next question from Jatin Kalra from Bank of America. Please go ahead. Jatin, can you please unmute your line? Since there is no response, we'll move on to the next. I request Parvez Qazi from Nuvama to please accept the prompt on his screen.

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Parvez Qazi: Hi, good afternoon, sir. So , one question from my side, I mean, for the next year, you gave the launch pipeline. If we leave apart Goa and take the other four projects, which is Mumbai Phase II, Arbour Phase II, Panchkula , and maybe the one group housing scheme in DLF City, what will be the total sales potential of these four projects?

Ashok Tyagi: So, honestly, I think , while we have the numbers, frankly, typically for the go -forward fiscal, we

have traditionally done that, I mean, slightly more transparent disclosures when we do the annual call. And I'd like to stick to that.

But broadly speaking, the DLF City group housing should be in the range of a couple of million square feet plus hopefully, 2.5 million square feet with all the TD Rs and all coming in. The Westpark should be about 1 million square feet and the senior living is there 0.5 million square feet. Goa, we know, Panchkula will be in phases. So I think there will be, and of course, Dahlias will continue to be ongoing selling.

Parvez Qazi: Sure, sir. Thanks and all the best.

Ashok Tyagi: Thank you.

Moderator: Thank you. We have a question from Jatin Kalra from Bank of America. Jatin, can you please unmute your audio and go ahead with your question, please?

Jatin Kalra: Hi, sorry, I think there was an issue earlier. My question has been answered. Thank you.

Moderator: Okay, thank you. We'll take our next question from the line of Akash Gupta from Nomura. Please go ahead.

Akash Gupta: Sir, First on the Q 4 FY '26 and the FY '26 guidance. My question is that I think we have just one project, which is the Arbour senior living. So, that would be roughly 20 billion GD V, and we have done roughly 160 billion. So, should we expect Dahlias sales only to the extent to meet our guidance? Is that how should we think about the fourth quarter?

Ashok Tyagi: So look -- I mean, nice try, Akash. But we stick to the fact that we continue to be confident. Look, there was a time at the end of September quarter when we had done Rs. 15,000 odd crores of sales. When your brethren were saying that now revised the guidelines and -- because we knew that you could occasionally get a rough over as well.

So, I think we stay confident to meet our original guidance in that sense. Whether frankly, that guidance will lead us to Rs. 20,438 crores or Rs. 21,744 crores, I'm not getting into that. But we had given you a guidance range, and I think we broadly stay on good for that. Akash, over to you, boss, if you want to add to that, sir.

Aakash Ohri: Yes. I'd love to give you any guidance you want me to. So, no problem there. The only thing is that, yes, we've given something we are not planning to just fit that bill. But I think one thing good about our setup is that there are two things we are very conscious about.

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One, we are extremely cautious about compliance, and we like to make sure that everything is there before we make third-party commitments. And I think that is one thing that takes a lot of courage for a company to do.

And second, as we've already been highlighting, there's a severe construction resource crunch and other issues that are going on. So, there's no point, just going into a situation where just you just for the number's sake and for doing things you continue to just be on that treadmill and make commitments and then struggle to meet them in the construction.

So, I think that's also something that as a Company we have taken a call that we want to make sure that our construction processes get stronger and better. So, I don't see any harm in that. I think both these display a tremendous amount of strength. We have also demonstrated our sales prowess. So, I think, you all need to now, please look at it from that perspective.

When we're asked to do what we'

re asked to do, we will. So, I don't see numbers a problem

because as I say to you, I said it earlier also, the world is the market for me. And today, a DLF brand painstakingly for over years, you know, customers have been with us and stay with us.

I mean, everybody gets very excited anything new comes in. And I relate to that. But I think this is where we are. It's a very strong brand today. Great pull. So, I think one step at a time, ladies and gentlemen. So I think that's what Mr. Tyagi also mentioned. And I'd like to say that also. I'd like to second that.

Akash Gupta : Understood, sir. Actually, my next question is on Privana and the IREO land parcel. I didn't see that, I think, in the FY '27 line-up. Is that stacked up for FY '28 now?

Ashok Tyagi: So, on the IREO land parcel, as I think I mentioned last time also, that we are now getting in hopefully the final leg of the entire approval, etc. And I think at some stage, it will now come up for launch. I mean, it's a huge land parcel, as we know, with potential GD V of 8 million or 7.5 million square feet plus, which frankly could be in the range of Rs. 27,000 crores, Rs. 28,000 crore s.

So, I think that's something that will have to be handled with extreme degree of planning. So, we clearly get the other products that I spoke about, you know, out of the way before that. But I mean, of course, that will come up for development and launch hopefully in the not too distant future.

Akash Gupta : Got it. And Privana, that's FY '28.

Ashok Tyagi: Privana, the last, I mean, the next phase -- Aakash, you have some visibility?

Aakash Ohri: No. So Privana, we may bring in Privana in Q3, Q4. But again, as I think we're concentrating on first finishing of the three, the successful sold outs that we've done and collections are in line with all that. Construction going on full swing next time when you guys are here in May. Obviously, the whole thing is planned to show you there as well. So I think the next phase will be sometime in later part of Q3 or Q4.

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But that's the final call that we take is post this quarter when we kind of make our annual guidance. That's when we will run it by you. But see, we're okay with, as Mr. Tyagi had mentioned to you, there will be one DLF Gurgaon launch. And it can be either, it can be both. So, we'll see. Just give us -- let's finish this quarter. I think we'll make those announcements.

Aakash Gupta : Understood, sir. And sir my one final question is on the medium-term launch pipeline, which is roughly 600 billion and along with the inventory we have, which is 200 billion. How much time do you think should we expect this entire inventory and launch pipeline to be consummated?

Ashok Tyagi : Three to four years.

Aakash Gupta : So, if we assume four years, that's roughly Rs. 20,000 crores annually. Is that how we should think about it?

Ashok Tyagi: You're absolutely right. So, at Rs. 20,000 crores, I think we achieve all our financial and stakeholder goals. Good year. It will hopefully be a number higher than that. In a one-off, you know, problematic year, it could be Rs. 18,000 crores Rs. 19,000 crores also, but broadly. And again, the good thing is that after that 80,000, the next 40,000 is identified clearly. If the markets continue to be buoyant and if it continues to be strong, it's not that we have to then desperately go around scouting land. Land is there, licenses are there, you know, frankly. So, if it's in the drawing board, so in the next six months, those things can be on the market.

Badal Bagri: Akash, there's one thing which we have reiterated several times, that we have an identified set of pipeline, which we have talked about in the near future and we continuously work on these identified projects. We are not dependent on anybody else except for our own assessment of how the market is and our

ability to deliver.

Our ability to move forward any project out of these and incrementally add more projects because land is already available with us, is at our own will and flexibility. So, the timing of this could be a quarter here or there, but in terms of our ability to say where all and what all projects are going to come in has always been there.

Aakash Gupta : Perfect, sir. Thank you so much for detailed explanation. That's all the questions I have.

Ashok Tyagi: Thank you.

Moderator: Thank you. We'll take our next question from Kunal Lakhan from CLSA. Please go ahead.

Kunal Lakhan: Yes, hi. Good evening. Thanks for taking my question. Just to follow up on the previous question, like I understand you have an identified pipeline for the next mid to long term. But just looking at your cash flows and your Rs. 11,000 crores of cash plus the Rs. 43,000 crores that you'll make from your existing projects, you have alluded to us in the past that you may look at certain markets like Noida, right?

Any update on Noida firstly and then any opportunity outside of Gurgaon that you're looking at, where your pipeline is? But outside of Gurgaon, are you looking at any other opportunities or any other markets?

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Ashok Tyagi: So, as we mentioned and I have mentioned in the past, you're right, that I think clearly Noida continues to be one area of interest. We haven't, frankly, I mean, we have one land parcel which is under litigation, as everybody knows. But beyond that, we haven't come across something which is completely clean, take-worthy and available.

But clearly, Noida continues to be one segment and Mumbai continues to be the second segment. But again, Mumbai, we believe that The Westpark parcel that we have, hopefully, if we keep on working and expanding the circle of Westpark, this could potentially be a very long term and a very deep land parcel for us, in that sense.

But again, if there is something else which is of interest and which comes up, clearly, that will be the second thing. And then, of course, what we do with the balance of the money, I think is an important point. Shareholder returns will be an important thing. But also, as the money comes out of RERA, frankly, land replenishment and how best to deploy it into assets with higher yield and all will be issues that will work in the next year or so.

Kunal Lakhan: Sure, sure. But no new market besides Noida and Mumbai that you're looking at, at least in the

mid-term.

Ashok Tyagi: No. Delhi, of course, continues to be there, but beyond that, no.

Kunal Lakhan: Okay, so just to follow up on that again, on Delhi, any clarity on the second phase of Moti Nagar?

Ashok Tyagi: So, the issue, I'll tell you honestly, is that Moti Nagar, we are working with the government to see and basically to ensure that the infrastructure around Moti Nagar can actually get enhanced to truly make it like a far more upscale neighbourhood. I mean, Moti Nagar is central Delhi.

And I think that that is a process which will take some time, but I think we would ideally like to hold on to the next phases of Moti Nagar launch till such time that the infrastructural work being planned by the government, there's a visibility on that and there's a certain execution that has happened.

But clearly at some stage, you're right that the next phase of the Moti Nagar piece will happen. There's a 7 million plus square feet that is available there. The Moti Nagar Mall is getting commissioned this year, Midtown Plaza. Midtown Plaza is getting commissioned in the next quarter and so we continue from our standpoint to do everything to make the experience of the residents there.

I mean, already now we have in excess of 8 million square feet between Capital Greens and one Midtown resident who are, I think they're almost 3,500 residents who are already staying there.

So, improving their quality of living and just trying to work with the authorities to see how we can improve the infrastructure, including the massive green around that area.

Kunal Lakhan: Great and one last question. You did give clarity on the health of the NCR market in a previous question. But just to follow up on that in terms of like I understand DLF is doing really well.

You're getting response for your projects, but how is the industry or your peers doing? One of your peers earlier in the month kind of alluded towards some kind of a slowdown. Some of the DLF Limited

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other peers out of Bangalore also alluded towards a cautious outlook on the NCR market. I mean, just your thoughts on the overall market, not just your products?

Ashok Tyagi: In all fairness, we don't comment on individual peers. But to just borrow from what Akash mentioned earlier, a lot of the major real estate players are coming to Gurgaon. Some of them have announced very marquee launches in the next calendar. So, clearly, I think Gurgaon, I mean, again, NCR overall is three different markets.

But Gurgaon specifically continues to be a market which does attract attention and hold attraction for even other players who are not present in Gurgaon so far. So, I think there is an underlying thing. Yes, obviously, they'll be one of people who may have had some headwinds in that sense. But I mean, we do believe that the underlying strength of the market for credible names continues to be there.

Kunal Lakhan: Thank you. Very helpful. And all the best.

Ashok Tyagi: Thank you.

Moderator: Thank you. Our next question is from Gaurav Khandelwal from J.P. Morgan. Gaurav, please unmute yourself and go ahead with your question, please.

Gaurav Khandelwal: Yes, hi. Good evening. Thanks for letting me ask my questions. My first question is just to understand the company ethos a bit better. I'm just wondering what will it take or is there any intention or no intention to, let's say, scale up your deliveries closer to the other big listed players. So, they're talking about 15, 18, 20 MSF of deliveries every year. So, what exactly is your thinking on these lines where we are and is there any possibility of this scale changing in the next three to five years?

Ashok Tyagi: So, I'll tell you, Gaurav, actually, million square feet is about the most irrelevant metrics entry in this industry. You have to focus on the sale value we are generating. You have to focus, not only you, anybody, you have to focus on the margin that is being generated. You have to focus on the free cash flow that is being generated.

And frankly I truly I would say appreciate this that over time if the entire community who's studying this industry moves. I can launch, I'll tell you frankly, I can launch a 10 million square feet somewhere on the outskirts of Haryana or UP or Ghaziabad. That will add volume, that will add execution headaches. Will it add cash flow? Will it add margin? And I think that's the question that we have asked ourselves.

And frankly, yes, we have a sharper or a higher threshold of margins that meet our products.

And I think we clearly products that don't meet those margins. I mean, we ourselves have some land parcels, which we have not developed so far, because we believe that there is an eventual margin that those products will realize, which is not available today.

So, we are definitely, Gaurav, from an ethos standpoint, not going to chase volume for the sake of volume. We were the original pioneers of the volume journey and we have seen the downside of that better than anybody else.

Gaurav Khandelwal: Right. That's super helpful, sir. But just as a follow up to this, in your current business then is supply availability of contractors, the Grade A contractors, is that a hurdle or not really?

Ashok Tyagi: It's not a hurdle, but it's clearly a constraint and you have to work on that. So, we do keep on expanding the pipeline of contractors, I mean, the last 12 months, I think we have added three or four new contractors with whom we have not worked in the past. A couple of old contractors have retired.

So, I think clearly, going into the contracting piece, we have ourselves strengthened our technical backbone, humongously in the last 24 months, the number of senior technical people that we have taken, because now we clearly realize that we are going to do a lot of that to ensure better supervision. For Dahlias, we have lined up Samsung to do the project management. So, I think we are clearly looking at all possible tools to ensure that whatever we undertake, we execute and execute it well.

Sriram Khattar: May I just add you talked of this million square feet, I think what's probably lost is that today in the rental business, we have projects in pipeline totaling to about 12 million. So, if you add that and you add the residential side, 40 million square feet.

Badal Bagri: Over 40 million square feet is under construction at this particular point.

Sriram Khattar: So, 40 million is under construction. So I do not know if there are any developers who are doing 40 million a year ago.

Ashok Tyagi: They need to be fair, but I think we feel that this 40 to 45 is what we believe we can, as today, this is what we can execute well. And hopefully, I mean, this number was a lower number three years back and hopefully, as the competence keeps on strengthening, I'm sure this number can go up in a calibrated manner.

But 40 to 45 million is frankly what we used to be at the peak in 2010-11. So, I think we are where we feel we are now being, I mean, we are being constructively stressed, but I think we are still able to keep. What also happens is that we have a tremendous, I mean, we have an enormous architecture of the compliance framework.

I mean, the total number of individual compliance items that gets vetted and checked and audited every quarter is, I won't give you exact number, but it's a five-figure number. So, I mean, you know, it's just a, I mean, it's an elaborate engine that works, you know, unfortunately.

Gaurav Khandelwal: Well, no, that's phenomenal and thanks for that color, and yes, commercial, of course, I completely agree, you are the largest operator in the country. And just my final question, which is more of a housekeeping question. On slide 28 on your cash flows, there's an inflow of Rs. 131 crores on account of government approval and others. Can I just better understand what is this number?

Badal Bagri: Yes, Gaurav, there is an investment which was made in one of the subsidiaries which was returned back this month of close to Rs. 250 odd crores. And that is included in that line, and hence, it's shown as a recovery rather than expense.

Ashok Tyagi: Actually, it's Rs. 120 crores of government outflow and Rs. 250 crores was the refund that we got. So I mean, we had given an ICD to our Mumbai project and hopefully, because of the boisterous collection, that money was returned back by the JV Co. to us. So that Rs. 250 crores came back.

Gaurav Khandelwal: Got it. Perfect Thank You. Those were all my questions.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand over the call to Mr. Ashok Tyagi for closing comments. Over to you, sir.

Ashok Tyagi: Thank you. Thank you so much for this extremely insightful conversation. I mean, yes, I mean, I'll address the elephant, you know, that state that as Badal also mentioned and Akash mentioned, this quarter did visually have a very low key pre-sales number.

So, I understand that. But I mean, we explained the reason for that, because basically, the fact that we consciously and regula

tory held back the Dahlias sale and that anomaly has been fixed now. And hopefully, it's back in the pipeline now.

Our launch pipeline continues to be exactly as we had mentioned and articulated in the past. And while obviously, Akash and his team have to work, and have worked tremendously hard in the last three or four years. I think that will continue as we bring more and more of these products

into the market. The construction back engine has been strengthened over the last few years and continues to be so.

But obviously, when we are not looking just at a launch, we are looking at our 100% certainty that we'll be able to bring that launch to the consumer's hand in the time period that we have mentioned. Financially, of course, we have our five-digit surplus cash with us. It is still with RERA, but hopefully from fiscal '27 onwards, we should begin seeing a very systemic unlocking of that.

And I think that that's where things should start really strong and the commercial engine just keeps on outperforming quarter-on-quarter, year-on-year. And hopefully, in the next, you know, 12 to 18 months with the Downtown Chennai, Atrium Place, the three malls, and then the next phase of Downtown begin to commission, Downtown Gurgaon. I mean, this engine will just keep on growing. And hopefully also we continue to be in a safe and a sweet spot. And just that's it. Thank you.

Moderator: Thank you, members of the management team. On behalf of DLF Limited, that concludes this conference. Thank you for joining us and you may now exit the meeting.

Call: May 2026

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18th May 2026

The General Manager
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Sub: Transcript of Earnings Call

Dear Sir/ Madam,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings webcast.

Requisite details regarding the earnings webcast are as under:

Sr.
No. Particulars Details
1. Date of Earnings webcast 14th May 2026
2. List of management
attendees - Mr. Ashok Kumar Tyagi – Managing Director, DLF Limited
- Mr. Sriram Khattar – Vice Chairman and Managing
Director, Rental Business, DLF Limited
- Mr. Aakash Ohri – Chief Business Officer and Managing
Director, DLF Home Developers Limited
- Mr. Badal Bagri - Group Chief Financial Officer, DLF Limited
3. Web-link of the Transcript <https://www.dlf.in/qu-result/Q4FY26-DLF-Earnings-transcript-2025-26.pdf>

This is for your kind information and record please.

Thanking you,

Yours faithfully,
For DLF Limited

R. P. Punjani
Company Secretary

Encl.: As above

For Stock Exchange's clarifications, please contact:-
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Moderator: Ladies and gentlemen, good day, and welcome to DLF Limited's Q4 FY26 Earnings Conference Call. We have with us today on the call Mr. Ashok Tyagi, Managing Director, DLF Limited; Mr. Sriram Khattar, Vice Chairman and Managing Director (Rental Business); Mr. Aakash Ohri , Managing Director and Chief Business Officer; and Mr. Badal Bagri, Group CFO, DLF Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Badal Bagri. Thank you, and over to you, sir.

Badal Bagri: Good evening, and thank you all for joining this call today. We are pleased to report a strong close to FY26, wherein we have delivered robust earnings, healthy sales booking and strong cash generation, supported by sustained demand momentum across our development business and continued strength of our annuity business.

This performance reflects the underlying quality of our assets, the Brand strength, prudent capital allocation and disciplined execution across a well -diversified mix of development and annuity business. Some of the key operating and financial highlights would be that we had a record collection of over INR13,500 crores in this fiscal, representing a growth of 15% year -over-year, which led to healthy cash surplus generation of over INR 7,700 crores, reflecting a growth of 25%.

It is important to highlight that our collection efficiency across all our projects continues to remain extremely high indicating the strong underlying demand of our products and high quality of sales. Our net cash position at the end of FY26 stood at INR 14,155 crores, of which close to INR 11,200 crores are in the RERA escrow accounts, signifying a robust balance sheet strength. It's important to reiterate at this point of time as per our commitment, we achieved zero gross debt position in the development business in the last fiscal . New sales bookings for the year was in line with our guidance and stood at INR 20,143 crores, led by successful sellout of Privana North in Gurugram , West Park in Mumbai and very well supported by our super luxury offering in Dahlias . In Q4, we had a sales of close to INR 3,967 crores, which was primarily led by Dahlias .

It's important to highlight that in a particular quarter, we were able to sell 32 Apartments of Dahlias , which by itself is a remarkable feat. We were able to meet our guidance despite of deferral of a couple of our launches in the last fiscal year.

Our rental portfolio stands at 50 million square feet and continues to operate at industry-leading occupancy of 95%. In terms of financial highlights , our consolidated revenue stood at ~INR 2,452 crores, with a gross margin of approximately 46%. Net profit for the quarter was INR 1,256 crores. Overall revenue stood approximately INR 10,000 crores with a gross margin of 39% for the fiscal.

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EBITDA was over INR 3,000 crores and net profit on a reported basis was INR 4,408 crores excluding exception. The net profit for the financial year was INR 4,256 crore , representing a growth of 16%. For DCCDL, I think we had another outstanding year with revenues close to INR 7,400 crores, a growth of almost 15%. EBITDA at over INR 5,700 crores a growth of 16%

and net profit before exception of INR 2,726 crores, a growth of almost 38%.

In line with our stated commitment of enhancing shareholder return, combined with strong performance and growing cash flows, the Board has recommended a dividend of INR 8 per share for shareholders' approval, which represents a growth

of 33% year-over-year.

With this, I will hand over to Sriram to talk about the annuity business.

Sriram Khattar: Good evening, everyone. Let me share with you the rental business highlights for Q4, mainly and some for the year FY '26. The few highlights of Q4 are ; the Atrium Place, our joint venture with Hi nes is now fully leased. We have got during the year, the occupation certificate for three towers, and the OC for the fourth tower is expected in Q2 of FY '27, though it is fully leased, it's in the final stages of completion. The 3 malls Midtown Plaza is 95% leased and operational as we speak. Summit Plaza is 95 to 97% leased, and we expect to open it most likely in the second half of July.

Promenade Goa, we have a line of sight of leasing to the extent of 50%. We expect the mall to be completed sometime in the month of August, and the opening will be 2, 3 months thereafter. We've had exceptional growth in this year. As Badal was mentioning, we have a high growth in our EBITDA or NOI as we call it, a 34 to, 35% growth impact . This has been rather exceptional given the fact that some of our assets got completed at the end of the previous year, and their entire income came because they were 100% leased in the current year.

I would request you not to take that as a basis for the future , because in our business, to construct the property and to bring it to market takes the cycle of 4 years, and every quarter and every year, it may not be the same. However, our 4 to 5 -year guidance remains intact, that we will have mid -teens growth in NOI and 20 to 25% growth as a CAGR basis for the next 4 to 5 years. The offices business is strong . Our occupancies in the non- SEZ areas are 98 to 99%. We have SEZs, which are at about 88 to 89%. However, the value of income loss because of vacancy is now down to about 3.5% in the overall portfolio, and our teams are working hard to continuously try and see how this gap can be further met .

The good part is that all the new er properties where the rental rates are higher are 99 to 100-odd percent leased , occupied and generating revenue. The recent issues related to AI and then the war between Iran and U.S. has not had any impact on the portfolio per se. However, there are large tenants who are reviewing their internal processes and internal decision -making and there could be some deferral in their decision-making without it in any way disturbing the structural strength of the business.

The retail business continued to do well. Our ability to create experiences for the tenants continuously improve the quality of our retail offering. And we see in the current year, a growth of about 10 to 11% in our income from the existing properties, plus, of course, the

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3 new malls that come up, that would be the incremental growth. If there is any questions after Ashok finishes, we'll be happy to answer that.

Badal Bagri: We can take the questions now.

Moderator: Thank you very much. We will now begin the question-and -answer session. We'll take our first question from Puneet Gulati from HSBC.

Puneet Gulati: My first question is with respect to the cash flows first. There seems to have been some increase in marketing brokerage cost for the quarter and also overheads. How should one think about these trends?

Badal Bagri : Okay. Marketing brokerage, our brokerage payout is linked to collections. And as in the ir milestones basis, which the payout happens , so if you recall, there was a reasonably robust collection in the previous quarter. And thereafter, the brokerage becomes due, and hence, you have seen a slight bump up in the current quarter on a sequential basis. So I would say , you should consider that.

Marketing is normal phenomena, and the overheads could be some year -end provisioning, etc.

But the way you should look at is the overall number for the full year shoul

d be taken as a

guidance. I don't think , our overheads are going to change any further. In fact, it should be around the similar numbers going forward as well. But looking at quarter on quarter ba sis, can be slightly misleading.

Puneet Gulati: And from the taxation perspective also, should one think that you've been getting the benefit of tax refunds, is that era largely over or...?

Badal Bagri : So, I think in the current year, we had some accumulated losses in 1 - 2 of the legal entities where we are now comfortable and we have recognized the deferred tax assets in the last financial year. And from a refund perspective, no, I think there will be the amount which we are

seeing in the current year, I think we should continue to see those kinds of flows coming through in the future as well.

Puneet Gulati: Understood. That's very clear. The more important part is, how should one think about the launch pipeline for this year?

Ashok Tyagi : Okay. So Puneet, I mean Aakash , I'm not sure -- Aakash unfortunately is traveling, so his connection is patchy. So Aakash, you want to talk about the launch pipeline?

Aakash Ohri: Puneet, we've got a healthy launch pipeline, almost about INR 20,000 crores. And we've got some good Gurugram products , we've got Mumbai , we've got Goa. And we've got some residual , and of course Dahlias . So we've got a good set and looking forward to that.

Puneet Gulati: In Gurugram, what should be a target which all projects should we focus on? And what is the progress on Goa in terms of approvals?

Aakash Ohri: So...

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Ashok Tyagi: Go ahead, Aakash .

Aakash Ohri: No, Gurugram, we've got 2 good projects. We've got the senior living and we've got the Hamilton 2. These are good products. And Goa, of course, approvals are all done. There is a PIL, we don't want to create third -party rights just right now. We're just going to make sure that we are clear, and then we'll bring in Goa. But Go a, we're all ready to go.

Puneet Gulati: And Privana , any chance during the year, last phase?

Aakash Ohri: No, no, not right now . Next year.

Puneet Gulati: Okay. And then Khattar ji, on the commercial side, any projects that you think will get completed in FY 28?

Sriram Khattar: Yes. So FY28, the 2 new towers totalling to 3.5 million in Downtown Taramani , will get completed.

Puneet Gulati: Okay. And for FY '27, it's just the Atrium where we should expect OC?

Sriram Khattar : Please don't call just the Atrium . It's 3.2 million square feet and will generate about INR 700 crores of rent. And in addition to that, the 3 malls will get completed and will be leased .

The benefit of full rentals of all Atrium Place Tower s and for the 3 malls, while the income accrual will start this year, the full income will come in the following year.

Puneet Gulati: Understood. And what should be the exit rental for FY27 or DCCDL separately and for the rest DLF asset?

Sriram Khattar: If I said separately, but I think the total should be about INR 8,200-odd crores. Just on the lighter way, it could have been \$1 billion had the Iran US war would not have happened.

Moderator: We'll take our next question from Nilang Mehta from HSBC Asset Management. Please go ahead.

Nilang Mehta: Good evening, sir, and thanks for the opportunity. I just wanted to check a pipeline which we show now medium term, we're showing around INR 60,000 crores of medium -term pipeline for launch. And I just go back to our previous presentation and go back to Slide 23 of the presentation for the year end, we had INR 67,000 crores of pipeline.

So in last 3 years, pipeline, at least the future pipeline seems stagnating while obviously, I understand you've done launches and grown the business or presales to the current level in the last 3 years. But just wanted to think how have you seen this number when you look at next few years

at least, maybe not next year, but why is this number not increasing? Are you not confident about the market ?

Ashok Tyagi : So Nilang , this more or less like a status update of the INR1,14,000 crores pipeline that we had projected, I think, about 2 years back for a 5-year cycle. So every quarter, we update on how much of that INR1,14,000 crores has been launched? And what is the to be launched pipeline.

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So basically, it needs to be connected to that INR1,14,000 crores that we had said. Obviously, this launch pipeline is not the end all. We have like the next phase also identified, but we will obviously unlock it at the pace at which the market can comfortably absorb and we're at a pace which does not overstrain our own execution capabilities.

Nilang Mehta: Yes, just I think what Puneet has asked in terms of launch pipeline for next year, I missed it. So , what's the number you're looking like? And what's the pre -sale target for next year?

Ashok Tyagi: Okay. So Nilang, basically, just to answer your earlier question also because I think you had -- I mean, the audio was slightly poor. About 2 years back, we had laid out a pipeline of INR 1,14,000 crores of launches across the medium term of 5 years. So , every quarter, we give

an update against how much has been cumulatively launched and how much is the to be launched . That's how the INR 60,000 crore s number comes in. So , it's not that the INR 60,000 crores , I mean, launch pipeline that we had. We have projects lined up even once this is done.

And this is being sort of phased out in a manner where we believe the market can absorb at the products that we are offering and something which we believe that we can execute well. To the point that Puneet raised earlier, just to reiterate what Aakash said, next year, we should definitely have , in the current year, FY '26,27, we should have 1 big launch in DLF City, for sure, which should hopefully be in the INR 8,000 to INR 9,000 crores range, if not higher. We should have the Arbo ur Senior Living launch, which we have spoken about.

We should have the next phase launch of West park. And Dahlias will continue selling , at some stage Goa should also come into play. So from a guidance standpoint, we had mentioned I think last year as well, that we believe that we will broadly stay on this trajectory of a INR 20,000 crores of sales guidance and ballpark about INR 9,000-odd crores of new margin creation every year.

And I think we should hopefully be comfortably placed on that trajectory. Obviously, this guidance can go up if there's demand, and if the demand sort of continues to be strong, there is always an upward assessment for it and an upside risk to it. But a 20,000 number broadly in that trajectory, I think we are comfortable.

Nilang Mehta: Okay. Thank you, sir.

Moderator: Thank you. Next question is from the line of Abhinav Sinha from Jefferies. Please go ahead.

Abhinav Sinha: Hi. Sir, thanks for taking my question and just a couple of details on the project pipeline that we were just discussing. So , on Arbo ur Senior Living, what is the size and timing that we are looking at? And similarly, if you can update us on the Dahlias Experience Centre?

Ashok Tyagi: So, the Arbo ur senior living should happen in the next few months. I mean it could be 1 -month or 3 months , we'll have to see. But clearly, these projects that I mentioned have a fair chance of being launched in this calendar year, they're very comfortably. Dahlias Experience Centre , I will defer to Aakash. Aakash, what's the current time line of the Dahlias Experience Centre being ready ?

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Aakash Ohri: Around Diwali. Yes. So , we're doing something nice, something that has not been done so far, at least presentation -wise in the country. So, I think it will be nice for everyone t

o see, and we'll

definitely organize a show for you all also.

Ashok Tyagi: Yes. The only risk we do is that by the time the Experience Centre is commissioned, you may actually have sold out a large number of Dahlias.

Aakash Ohri: No, sir, may your words come true ! I hope that happens because then the analysts are never happy. Then they tell us Dahlias 2. So, we'll at least have something to tell them during that show . No, but God is kind. I think we've done phenomenally well in Dahlias. I'm sure you'll note this quarter alone, we've done about 32 and plus 2 of the Camellias.

And what has happened is right now that as far as this entire thing is concerned, we've been able to create demand, which is in fact, we've been able to do sales in the entire country, I don't think if we put all the developers together. I don't think anybody has crossed to double -digit in the INR 100 crore s sale mark.

But I think this speaks volumes of the Dahlias and the commitment that DLF brings on the table on super luxury. So this is huge. As far as anybody is concerned, please don't judge us with the real estate thing, but I think it's phenomenal for the business and, of course, the industry as well and the demand people keep talking about, it's pretty large, very well accepted, and we're doing about 100 plus, as you know. Dahlias is now touching about INR 135 crores per sale, that's where we are.

Abhinav Sinha: Sorry, can you hear me clearly now?

Ashok Tyagi: Go ahead.

Abhinav Sinha: Yes. Sir, on the dividend side, which has been increased this year to INR 8, I fully appreciate that. Where do you see this setting given the current pace of FCF generation?

Ashok Tyagi: Look Abhinav, dividend is driven by 2 pieces. A large chunk of this dividend is driven by Cyber City's dividend to us, frankly. And I think broadly about two-third of this dividend is really Cyber City 's dividend. Cyber City, like a normal proper operating rental company with its debt to NOI at a very comfortable sub 3.5 level is generating more FCF and will continue, hopefully, growing its own dividend cycle. DLF cash flows themselves are growing. So aga in, we do not offer a dividend guidance.

We have never done it in the past. But if you see the trajectory across the last 4 or 5 years, it has been one of continuing growth in dividend. And if things stay well, hopefully, that trajectory should be maintained. But again, no guidance on that, yes.

Moderator: Next question is from Samir Jasuja from P.E. Analytics Limited.

Samir Jasuja: This question is for Aakash, if I can get some sense on the weighted average per square feet sales of the last 32 Dahlias? And what was the first 10 units sold and last units sold. So, what's the real price appreciation that has happened over the last 1.5 years?

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Aakash Ohri: We've done about 60% already done. And this 32, you can safely say they've gone about almost INR 100 crores. About INR 90-odd crores because of the South and North, there's a South orientation, and there's North orientation. North looks over the lake park and everything else and the South looks, as you know, into the Aravalli s. And there is a price difference between the South and North, which is about between INR 20 to INR 30-odd crores, depending on the size and PLC.

And then, of course, we've got the north side. As far as when we started off, what was about INR 60 crores is now INR 90 crores. And what was about INR 75 crores is now about INR 110 crores. So there has been a phenomenal growth, but I don't want you all to kind of look at that right now at the moment because this is just the beginning. And I feel it's more to do with what the entire offering is going to be.

Once you see Experience Centre and see what we're actually up to, you would be happy to kind of acknowledge the fact that super luxury in India, the definition that is s

uper luxury, is a

completely different one as far as this is concerned. So, Dahlias is something far more superior than the Camellias which has made a benchmark for industry in the country, I think you'll all be very happy to see whether Dahlias is heading to.

Also, as I said, we recently hosted a dinner for all Dahlias owners. Everybody, but Mr. Ashok Tyagi attended it. But it was good. It was phenomenal. And I wouldn't call it a show of strength, but I think more to do with building a camaraderie. And actually, a lot of people had this whole thing about they started to compare price points and all. And that's what I wanted to bring out in the open that whoever boarded this journey in the beginning obviously have benefited enormously with the kind of first stage. So, I think that's where we are Samir.

Samir Jasuja: So just 1 follow-up question. We have already a product like Camellias. So what is the price per square foot of a ready product like Camellias compared to an under-construction product like Dahlias, which, of course, is going to be far more superior, but just the price differentiation between a super luxury ready product and an under construction product on a per square foot basis, if you can throw some light on that, please?

Aakash Ohri: So a Camellias right now is trading now -- we're talking about super or carpet?

Samir Jasuja: Apples to apples, whatever?

Aakash Ohri: Okay. So Camellias today right now is trading between anything between INR 80 to about INR 150 crores. Now the good thing is that the Dahlias has caught up much faster than we expected it to, which is we thought we will achieve this target in about 4 years, but we've done it in about 1.5 years. in terms of per square foot realization. And that's where I'm saying that if you do apple-to-apple, Dahlias would be maybe almost at par at the Camellias today. And now that is actually a pain point for me, for Camellias, because I feel there's a good headroom there. I feel that we will be able to achieve the next lot as far as Camellias is concerned or the next valuation will be the next jump for Camellias will be at least INR 25 crores an apartment. But it's going to be a progress driven by people who are wanting to live in immediately versus waiting out for about 4 years.

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Samir Jasuja: So just to -- I still didn't get that answer. Can I take Camellias at INR 120,000 per feet on super and maybe Dahlias, I'd say, INR 95,000 per feet on super, would that be a correct estimation?

Aakash Ohri: You can take Camellias INR 1,20,000 per square feet on super, but Dahlias. average right now you take about a INR 1 lakh...

Samir Jasuja: 20% differential?

Aakash Ohri: Right.

Ashok Tyagi: And Samir the interesting thing of course, since, apart from you most other people on this call would be from Mumbai, that these prices of Camellias or Dahlias today. If you convert it to carpet, there'll be carpet north of INR 150,000 per square foot, INR 160,000 a square foot. Frankly, compared with the super lux products in Mumbai, be it Worli or South Mumbai. So, I mean, Gurgaon pricing of the super lux has, frankly, caught up, if not exceeded that in South Mumbai.

Aakash Ohri : So, we have exceeded Mr. Tyagi ?

Ashok Tyagi: No. I don't want to say we exceeded, but only thing that we definitely hit that level for sure. Absolutely.

Aakash Ohri : No, I reiterate we exceeded.

Moderator: Thank you. Our next question is from the line of Gupta. Please introduce yourself, your company name and go ahead with your question, please.

Aakash : This is Akash from Nomura.

Aakash : Hi, my first question is on the pre sales guidance of 200 to 220 billion and this is the third year we are coming up with this guidance. So , peers have now gone to presales of 300 billion to 350 billion and we are still at 200 billion to 220 billion. So , I just

wanted to know your thoughts

as to when should we think about growth on the presales front?

Ashok Tyagi: So my advice honesty will be for all analyst that presales is about the wrongest metric that you can use to track us or frankly any of the substantial real estate players. I mean, if you also look at some of the other players, some of them are no longer chasing presales. I mean we can do presales of INR 50,000 crores a year also, frankly we have the land bank, we have the demand. But what we have to do is chase margins, chase cash flows and where we believe our primary objective is chasing margins and cash flows and not chasing presales, frankly. So, we are comfortable with generating this INR 9,000 to INR 10,000 crores of margin every year, generating about this INR 7,000 to INR 8,000 crores of free cash flow every year on the Devco side.

And obviously, building a pipeline for the future. From next year onwards, we also entered the virtuous cycle of completions from a bookkeeping standpoint. And frankly, I mean, chasing joint DLF Limited

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venture deals or deals of lower -margin products or even higher margin products beyond this.

I'm sure, at some stage, these numbers will grow. I'm not saying it will not.

But we are not going to chase the INR 35,000 crores, a INR 30,000 crores numbers just for the heck of chasing them. If you have a great product, maybe we will, we will achieve. So , there have been years and we have been the highest in presales for the year, but that was not because you were chasing presales. You were chasing margins and we were basically riding on all our products.

Aakash: Understood, sir. Thank you so much.

Aakash Ohri : Also, Mr. Tyagi, if I can just add to what you said, I'd like to address the elephant in the room that most importantly, you all need to understand that the construction capabilities in our country are still limited. So , everybody can chase the presales number, but who's going to deliver on time.

And please understand with the monies that you are taking from yourselves as long as even if you're a consumer, how would you like it to make a commitment for your delivery and deliver in 8 to 10 years. So, I think that is something that this company is absolutely cognizant of Mr. Tyagi has told you what our capabilities of sales are and across the geographies, we are invited to participate post our Mumbai success and Panchkula as you know already.

A lot of companies and JVs are wanting to partner with them. So , I don't think that is something that we need to prove anymore. I think we've got capabilities of selling. We've got capabilities of making sure that we have the brand out there, but the delivery is something we are extremely, extremely cautious of.

Aakash: Understood, sir. Sir, my second question is on your Mumbai strategy. I think we are launching the second phase of Westpark this year, what after that? How are we thinking about the Mumbai market going forward?

Ashok Tyagi: So, Westpark itself, overall is a total -- I mean, the Westpark as defined currently is a total pipeline of in excess of 5 million square feet super area. Against this, we have so far launched 900,000 square feet we should be launching the next phase of 800,000 -odd in this fiscal, maybe 500,000 or 600,000 square feet the fiscal afterwards and we change it . We are also constantly looking how we can organically grow the West park geography and we are in conversations across with other development options in and around Westpark.

And obviously frankly our Mumbai team and our joint venture partners, we continue to look at any other interesting opportunities in Mumbai. So, we are in Mumbai now for good for sure

clearly. We will continue to be cautious and calibrated in Mumbai, but we would be open to a lucrative and nice opportunities in Mumbai and Westpark itself should keep on going into a very

strong core for us.

Aakash : Understood. And sir, my third and final question is on the cash balance. So , we are already at INR 14,000 crores of net cash balance and generating free cash flow of INR 8,000 crores.

on the land bank. So, any thoughts there and also on the revenue recognition front in FY '27, how should we think about that?

Badal Bagri : Yes. So Akash, as you rightly pointed out of the INR14,000 crores of cash balance, almost INR11,200 crores are sitting in RERA balance. And all of these projects will start getting unlocked from FY'27, '28 onwards. That's when these cash will be available for us different things.

As stated earlier, I think we have a three-pronged approach. Number one is increasing shareholder return from the cash perspective. Second, we have an extremely healthy pipeline in DLF as well, mothership of annuity business and there is a large amount of cash apex, which is already kind of committed and will be invested for building the portfolio.

And third, is, as you rightly pointed out, we already have a reasonable share of land bank, but we are always open for opportunistic deal what will be margin accretive in our assessment. So that cash pool is always available for reinvestment. On the second question, it's linked to the first one itself.

As you know, our accounting policies are fairly conservative. We follow the CCM method, which is completed contract method. All our large projects starting from Arbour will start getting delivered from FY 27, '28 onwards. So, from there, there will be a virtuous cycle of getting free of cash and also an extremely healthy margin, which is going to get booked in our P&L, which we always share, which is kind of getting accrued and just fitting for the final delivery.

Akash: Understood, sir. Thank you so much.

Moderator: Thank you. Next question is from Kunal from CLSA. Please go ahead.

Kunal : Thanks for taking my question. On the 200 billion guidance, how much have you budgeted in terms of contribution coming from Dahlias in FY 27?

Ashok Tyagi: So look, I think this year, the Dahlias sales was about INR5,000 crores and hopefully it stays to INR 5,000 crores to INR 6,000 crores next year as well.

Kunal : Sure. And then you said you have a launch pipeline of 200 billion for FY27. So, from that, you are expecting another 150 billion odd?

Ashok Tyagi: We expect that the 13 to 14 million or 14 to 15 million, somewhere in that ballpark of sale to come through from that pipeline.

Kunal: And then why is that? Because typically, if you see the barring Dahlias, whatever you have launched so far have forgotten sold at launch, including Mumbai projects. So just trying to understand your assumption that by 150 billion, 130 billion out of 200 billion of launch pipeline we expect?

Ashok Tyagi: Kunal, it was the 200 billion the assumption is that maybe we will eventually may end up launching a subset of 200 billion. We, I think, you're right that so far, we have always sold 100%.

I mean, Dahlias, of course, a calibrated soil, but we have sold 100%. But I don't think it's smart
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in today's world to bank on everything to be a 3-day sale. So we do believe that of our launch pipeline. The balance, INR 13,000 to INR 14,000 crores should come comfortably for us to hit it to be on these INR 20,000 crores.

Kunal: Understood. Understood. And my second question was more on the land bank side, I mean you have articulated a plan for the next few years in terms of our 25 million square feet pipeline. But just wanted to understand on the land bank outside of your launch pipeline, right, especially the one in the north and metros, which is almost close to 40 million square feet. How marketable that is in terms of, like, say, in terms of time horizon of the next, say, 5 to 10 years?

Ashok Tyagi: No. Most of this is marketable. The North and metros pipeline. Most of this is marketable. It's a question of, some of these pipelines may not get the best pricing today, they will get in the next 2 or 3 years.

In fact, some parts of Gurgaon also, we believe it's better to wait 2 or 3 years to versus launch them today. I mean, Privana, when we launched versus had we launched it 6 years back, there would have been a world of difference in terms of the monetization. So I mean what is here these 137 million square feet of balance potential. All of this is monetizable for sure, in that sense.

There is nothing like that in this sense. This is all monetizable and the only thing is getting the right price point, getting the right demand. And as Akash mentioned, marrying it to our execution capability.

Kunal: Sure. And lastly, any update on Moti Nagar Delhi project, the second phase of it?

Ashok Tyagi: Moti Nagar , we are hoping that the government will do some infrastructure improvements as well in Central and Western , Delhi in and which may be the right more opportune time for launching the next phase. The first phase is almost completely sold out, barring some small tail that is remaining. So I think it will happen, but I don't think it's going to happen in this fiscal for sure.

Kunal: But FY '28, you would aspire for that?

Ashok Tyagi: Yeah, FY '28, we will see now. FY '27 is not there right now.

Kunal: Thank you so much and all the best.

Moderator: Thank you. Next question is from Parvez Qazi from Nuvama Group. Please go ahead.

Parvez Qazi: Hi, thanks for taking my question. So a couple of questions for Sriram sir. One, on the 4 blocks, which are under construction in Gurgaon, DT 5 to 8, what is the construction timeline also same for the mall that we are making in Gurgaon. And the second question is of both , DT 5 to 8 in Gurgaon, and the Block 4, 5 in Chennai, what is the pre-leasing status considering that in our existing portfolio anyway, we don't have much to lease? Thank you.

Sriram Khattar: Yes. So let me start with Downtown Gurgaon Phase 2, Downtown Gurgaon, Phase 2 is an integrated development of 7.5 million square feet, out of which 2 million is the mall and 5.5 million is offices split into 4 Towers, as you rightly mentioned Tower 5, 6, 7 and 8 Out of DLF Limited

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this, Tower 7, which is 2.2 million is nearly fully leased. So now we have released Tower 5 and 6 and they are in the process of being leased.

The finishing time lines are later part of FY'28, early '29. This, at the end of it will still leave Downtown as one which is in between when we have the multilevel car park today, which is in between ambience and Tower 2, 3 and 4. And that's so to be an iconic tower that we will start the construction about 2.5 years from now.

As far as Downtown, Taramani is concerned, the 3.5 million construction is progressing well. We are reasonably confident of its completion in Q2 of the next fiscal year. We have made certain project changes there because we have created a central atrium between Tower 1, 2, 3, 4 and 5, and that's turning out to be a very beautiful place. Out of 3.5 million, we have already leased about 500,000 and the balance leasing is on its way.

Parvez Qazi: Sure, sir. Thanks, and all the best.

Moderator: Thank you. We'll take a next follow-up question from Nilang Mehta from HSBC Asset Management. Please go ahead.

Nilang Mehta: Yes. I just wanted to get some sense on the pending area, we have on SEZ what's the house that being deployed or rented out, that's one. Second is, based on the micro markets in which we are, if you could give some colour on supply and absorption and also the rental trends, what you're seeing ?

Sriram Khattar: So, as a concept, SEZ is not

something which is growing. It is showing a decline in trend.

So out of our total portfolio of SEZ of about 16 to 17 million, we have already converted about 4-odd million into non-processing areas including a small portion, which we have even de-notified. However, there, the existing tenants who have not yet exhausted their 80-I tax incentives continued to take SEZ on lease.

The overall vacancy is about 10- odd percent out of which the lowest vacancy is in the Cyber City in Gurgaon and then we've got about 8 to 9% vacancy in Silokh era or 7% we can see between Silokh era and Chennai. And Hyderabad is at about 17 to 20% vacancy.

As far as the rentals are concerned, we are slowly striving to close the gap between the, say in Cyber City in Gurgaon, between the cyber city rentals and the SEZ rentals for the new take up. And that gap has now come down to within 10 to 12%. Chennai, we continue to get marginal rental increases. Silokh era, we continue to get marginal increases. And so is the case with Hyderabad .

Nilang Mehta: Sure. And could you give some colour on supply as well in these markets and absorption, which has happened so broadly.

Sriram Khattar: So, Gurgaon, I believe we've set a certain standard and quality of the office space , and we believe this is the first call for any global blue-blooded marque company that comes in, especially with GCC. We've just completed leasing the entire tower of downtown of Atrium place Tower 4 to a DLF Limited

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single tenant from the US . We believe that with the quality of offering that we have and what we create in terms of the workplace solutions and spaces, we shall continue to be a leader here. To some extent, this will also be reflected in Chennai, where we have now a fairly large operating

portfolio exceeding 10 million square feet, going up to about 14 to 15 million square feet. We also created a benchmark about 2 years ago in crossing a rental of INR 100 in Taramani, the 450,000 square feet, 500,000 square feet that we have leased in Tower 4 and 5, I must share that the top floors which have a 360o view of the city and the sea have been leased at INR 145 to INR 150 per square feet and we expect average rental realization of between INR 125 per square feet, INR 130 per square feet there.

Moderator: Thank you. Ladies and gentlemen, we'll take that as the last question for today. I now hand over the call to Mr. Ashok Tyagi for closing comments. Over to you, sir.

Ashok Tyagi: So, thank you once again for joining us on this year -ending call. As Badal and then Sriram mentioned, both on the DevCo and the Rent Co pieces, though we continue to have a strong story. In fact, the rental business with the commissioning of the 2 D owntowns and the full throttle going on rental of Atrium Place, plays is actually poised to see a very exciting phase of growth.

On the DevCo, I could sense some degree of expectations that we should have given a higher sale than 20,000, but frankly, I would still encourage that we need to not only focus on pre-sales as a metric, but on the margins and cash flows. And I think once that entire sustainability comes into play, hopefully, the presales number will grow organically. That is very clear.

We have a reasonably strong launch pipeline, and Dahlias continues to be the base for our entire growth prospect. Our cash generation would continue to be extremely strong as should hopefully be our dividend trajectory. And our continued focus on the entire E HS and G overnance pieces continues to be extremely, extremely strong, which at times leads to a more delayed start when we launch a new project because we just go through such an exhaustive checklist of our own.

But I think all in all, we are poised for a strong FY '26, '27 coming on the heels of a strong FY'25, '26, and look forward to connect ing with all of you through the year. Thank you.

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oderator: Thank you, members of the management team. On behalf of DLF Limited, that concludes this conference. Thank you for joining us, and you may now exit the meeting.